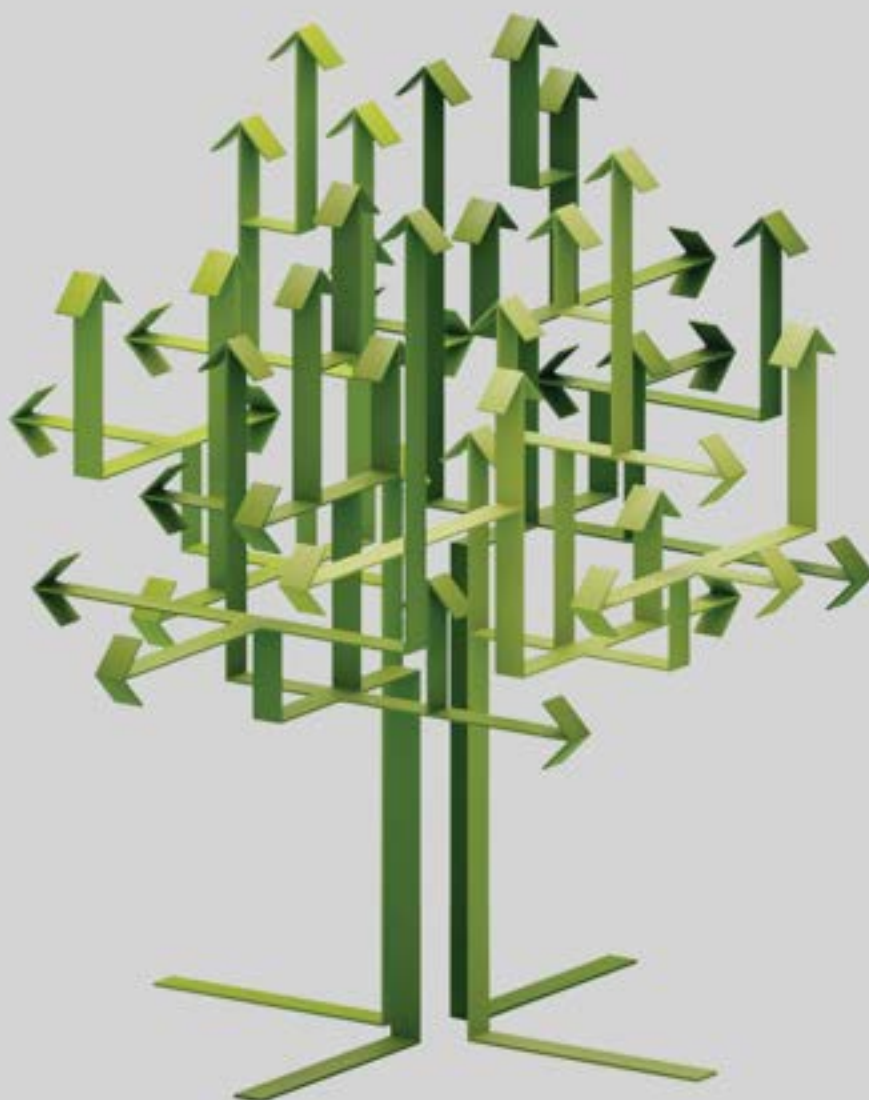


ANNUAL REPORT 2020



FINANCING THE **FUTURE**



ANNUAL REPORT 2020

ANNUAL
REPORT
2020



FINANCING THE FUTURE



CONTENTS

Letter of Transmittal	4
-----------------------	---

Leadership

Advisory Board	5
Message from the Chairman of the Advisory Board	6
Message from the Chairman of the Board of Directors	8
Board of Directors	10
Directors' Profile	11
CEO's Review	20

About the Report

Navigating through this Report	24
About Integrated Reporting	25

BIFFL

Awards and Recognition	27
Milestones	28
Our Philosophies	30
Code of Conduct	32
Core Values	32
Corporate Information	33
Products and Services	34
Value Creation for Stakeholders	35
Business Model	36
Management and Executives	40
Event Highlights 2020	52
Corporate Social Responsibility	53

Strategic Plan 2021

Macroeconomic Aspects Affecting BIFFL	55
Market Forces and Competitive Landscape	57
Entity Analysis	59
Stakeholder Engagement	61
Material Aspects for Stakeholders	65

Management Discussion and Performance Analysis

Review of Financial Performance	68
Statement on Contribution to Government Exchequer	84
Contribution to Achieving SDGs	86

Key Resources of BIFFL	88
Large Infrastructure	96
Sustainable Finance & Green Banking	99
Women Entrepreneur Development Unit (WEDU)	100
Treasury Operations	102
Empowering Business through IT	103
Financial Relations	104
Technical Unit	106
Human Resource	107
Environmental and Social Considerations	109
Strategic Evaluation	112
Risk Management	
Statement on Risk Management	116
Statement on Non-Performing Loan (NPL) Management	126
Corporate Governance and Compliance	
Directors' Report	131
Statement on Corporate Governance	140
Corporate Governance Compliance Report on BSEC's Notification	145
Statement of Compliance with the good governance guideline issued by the Bangladesh Bank	152
Credit Rating Status	154
Ethics and Compliance	155
Report of the Audit Committee	157
Responsibility Statement of CEO and CFO	159
Assessment Report on Going Concern	160
Disclosure on Capital Adequacy and Market Discipline	161
Notice, Reports & Financial Statements	
Notice of the 10 th AGM	169
Independent Auditor's Report to the Shareholders	170
Balance Sheet	175
Profit and Loss Account	177
Statement of Cash Flows	178
Statement of Changes in Equity	179
Liquidity Statement	180
Notes to the Financial Statements	181
Disclosures, Checklists & Other Pertinent Information	
Glossary	210
Abbreviation	211
Vote of Thanks	215

Letter of Transmittal

Annual Report for the year ended 31 December 2020.

Valued Stakeholders,

We are pleased to present the Annual Report of Bangladesh Infrastructure Finance Fund Limited (BIFFL) for the FY2020. BIFFL is a Government owned non-bank financial institution established to cater to infrastructure projects and Public Private Partnership (PPP) projects. It is also promoting energy efficient and environment friendly investments along with women entrepreneurship projects.

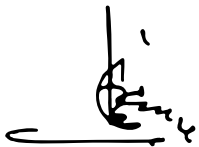
The Annual Report has been prepared comprising material information of the organization, audited financial statements presenting the company's financial position, cash flows and changes in equity. It also contains the independent auditor's report by ACNABIN Chartered Accountants.

BIFFL is vigilant in practicing Anti-money Laundering Policies and Integrity Strategies promoted by the Government. Accordingly, the corporate governance and regulatory compliance status of the organization are presented in this report.

To the best of our knowledge, the report provides all information required by the regulators under applicable laws and regulations.

Best Regards.

Sincerely Yours,



Mohammad Monirul Islam Khan FCS
Company Secretary

Advisory Board



A H M Mustafa Kamal, FCA, MP
Hon'ble Minister, Ministry of Finance and
Chairman of the Advisory Board



Obaidul Quader, MP
Hon'ble Minister
Ministry of Road Transport and
Bridges



**Adv. Nurul Majid Mahmud
Humayun, MP**
Hon'ble Minister
Ministry of Industries



Dr. Tawfiq-e-Elahi Chowdhury
Hon'ble Energy Adviser
to the Hon'ble Prime Minister
Prime Minister's Office



**Khalid Mahmud
Chowdhury, MP**
Hon'ble State Minister
Ministry of Shipping



Fazle Kabir
Governor
Bangladesh Bank



Md. Sirazul Islam
Executive Chairman
Bangladesh Investment
Development Authority



Dr. Zaidi Sattar
Chairman
Policy Research Institute of
Bangladesh



Dr. Mohammed Farashuddin
Former Governor
Bangladesh Bank

Message from the Chairman of the Advisory Board



A H M MUSTAFA KAMAL, FCA, MP

Honorable Minister, Ministry of Finance, Government of Bangladesh and
Chairman, Advisory Board, BIFFL



BIFFL has become a pioneer in the country's
infrastructure and PPP project financing for which
it was established.

আ হ ম মুস্তফা কামাল, এফসিএ, এমপি
মন্ত্রী
অর্থ মন্ত্রণালয়
গণপ্রজাতন্ত্রী বাংলাদেশ সরকার



A H M Mustafa Kamal, FCA, MP
Minister
Ministry of Finance
Government of the People's
Republic of Bangladesh

Message

It is a matter of immense pleasure for me to know that Bangladesh Infrastructure Finance Fund Limited has completed a successful decade. It continues contributing towards the sustainable development of the country extending long-term finance to the infrastructure and Public Private Partnership (PPP) sector. I would like to congratulate all Shareholders, Directors and Management of the company as well as appreciate the active role and contribution of the regulators, development partners and other stakeholders on its 10th Annual General Meeting.

Guided by the vision and principles of the Father of the Nation Bangabandhu Sheikh Mujibur Rahman, under the dynamic leadership and prudent economic management of our Hon'ble Prime Minister Sheikh Hasina, Bangladesh is moving on the right direction towards achieving development milestones. Bangladesh has already achieved a significant milestone meeting criteria for graduation from Least Developed Countries (LDC) to a Developing Country.

As Bangladesh is graduating to a developing country, we need to focus more on infrastructure development than ever before. In order to ensure sustained growth and create an investment-friendly economic environment in Bangladesh, we have to build effective and robust infrastructure all over the country. It is a matter of my pleasure that BIFFL has become a pioneer in the country's infrastructure and PPP project financing. Since its inception, BIFFL has been actively pursuing its mandate of accelerating the economic growth of the country through financing much needed infrastructure.

Finally, I would like to extend my sincere appreciation to the management and employees of BIFFL who are working relentlessly to take the organization to new heights. I wish every success of the 10th Annual General Meeting of BIFFL.

Joy Bangla Joy Bangabandhu
May Bangladesh live forever

27 September, 2021

(AHM Mustafa Kamal, FCA, M. P.)

Message from the Chairman of the Board of Directors



Abdur Rouf Talukder

Senior Secretary, Finance Division
Ministry of Finance, Government of Bangladesh, and
Chairman, Board of Directors, BIFFL



BIFFL is proud to extend financing to infrastructure
and Public Private Partnership (PPP) projects for
the sustainable development of the country.



ABDUR ROUF TALUKDER

Senior Secretary

Finance Division, Ministry of Finance
Govt. of the People's Republic of Bangladesh

I am pleased to share with you the activities and performance of Bangladesh Infrastructure Finance Fund Limited (BIFFL) in 2020. On behalf of the Board of Directors, I would also like to express my gratitude to all members of the Advisory Board and Shareholders of BIFFL for their guidance, and cooperation in the functioning of the organization. I extend my appreciation to the management and executives of BIFFL for their efforts over the past year.

Bangladesh has experienced a sustained trajectory of economic growth over the last decade and become a lower-middle-income country as per the World Bank's classification. BIFFL is proud to take part in that endeavor by extending financing to infrastructure and Public Private Partnership (PPP) projects for the sustainable development of the country.

Despite the Covid-19 pandemic and various constraints and challenges, BIFFL has invested BDT 3,807.89 crore up to 31 December 2020 in different infrastructure projects and has attained growth in terms of profitability, quality of assets, capital adequacy etc. In 2020, the profit after tax stood at BDT 54.16 crore. Shareholder's equity increased by 9.93 percent, from BDT 2,378 crore to BDT 2,614 crore. The capital adequacy ratio is 121 percent against the minimum requirement of 10 percent and the company is in the green zone as indicated in the stress test conducted by Bangladesh Bank. The financial health of the company remains stable as it holds a paid-up capital of BDT 2,308.00 crore (as of 31 December 2020).

BIFFL's development partners deserve special thanks for helping the organization leverage and invest BDT 1,150 crore (approx.) in energy efficient projects. Besides, JICA funded Food Value Chain Improvement Project is already onboard where BIFFL is the sole implementing agency. In 2020, GoB signed an agreement with ADB providing a 25-year long credit line worth USD 50 million to BIFFL for re-lending to eligible sub-projects structured through PPP modality. In addition, several other projects funded by ADB, AFD and KfW are under consideration. Considering the Government's development plan, it is expected that BIFFL's contribution to national growth will be increasing in the coming days through financing infrastructure projects, PPP projects as well as energy efficient and environment friendly projects.

Finally, I would like to take this opportunity to thank our existing and prospective borrowers for their faith in BIFFL. My sincere gratitude goes to all the regulatory bodies, Ministry of Finance, Bangladesh Bank, Registrar of the Joint Stock Companies and Firms, Bangladesh Securities and Exchange Commission for their valuable guidance and timely support. I am confident that BIFFL will overcome every upcoming challenge with dedication and enthusiasm. I wish BIFFL a successful future.


27.09.2021
(Abdur Rouf Talukder)

Board of Directors



Abdur Rouf Talukder

Senior Secretary, Finance Division, Ministry of Finance and
Chairman, Board of Directors, BIFFL



Md. Anisur Rahman

Senior Secretary, Energy and
Mineral Resources Division,
Ministry of Power, Energy
and Mineral Resources



Md. Nazrul Islam

Secretary, Road Transport
and Highways Division,
Ministry of Road Transport
and Bridges



M. Tofazzel Hossain Miah

Secretary, Prime Minister's
Office



Fatima Yasmin

Secretary, Economic
Relations Division,
Ministry of Finance



Md. Abu Bakr Siddique

Secretary, Bridges Division,
Ministry of Road Transport
and Bridges



Md. Habibur Rahman

Secretary, Power Division,
Ministry of Power, Energy
and Mineral Resources



Md. Ekhlasur Rahman

Additional Secretary, Finance
Division,
Ministry of Finance



S. M. Anisuzzaman

Chief Executive Officer,
Bangladesh Infrastructure
Finance Fund Limited

Directors' Profile



Abdur Rouf Talukder

Chairman,

Bangladesh Infrastructure Finance Fund Limited, and

Senior Secretary,

Finance Division, Ministry of Finance

Mr. Abdur Rouf Talukder, Senior Secretary, Finance Division, Ministry of Finance joined BIFFL as its 6th Chairman on 8 August 2018 in the 67th meeting of the Board of Directors. As the Chairman, Mr. Talukder has successfully conducted 30 meetings of BIFFL until July 2021. BIFFL as well as the country has benefitted immensely from his versatile professional experience, intelligence, prudence and pragmatic leadership.

In 1988, Mr. Talukder joined Bangladesh Civil Service and has been serving in a wide range of important positions in the government. He is the only civil servant in Bangladesh who has had the experience of working in Finance Division as Assistant Secretary, Senior Assistant Secretary, Deputy Secretary, Joint Secretary, Additional Secretary and Secretary before being elevated to the position of Senior Secretary.

In the Finance Division, he has contributed to important areas like Budgetary Management and Macroeconomic Management. Mr. Abdur Rouf Talukder has experience in designing and implementing projects under Annual Development Programme (ADP).

Apart from his long career in Finance Division, Mr. Talukder has worked in the Ministry of Industries, Ministry of Food and Ministry of Information. He also worked in the Bangladesh High Commission, Malaysia as First Secretary (Commercial).

As Senior Secretary of Finance Division, he is Director, Board of Directors, Bangladesh Bank; Chairman, Bangladesh Infrastructure Finance Fund Limited (BIFFL); Chairman, National Human Resource Development Fund (NHRDF); Deputy Chairman, Saudi Bangladesh Industrial & Agricultural Investment Company Limited (SABINCO); Vice-Chairman, Committee of Mutawallis of Islamic Development Bank-Bangladesh Islamic Solidarity Educational Wakf (IDB-BISEW); Member, Bangladesh Institute of Development Studies (BIDS); Director, Biman Bangladesh Airlines Ltd.; Director, Infrastructure Development Company Ltd. (IDCOL); Member, Bangladesh Judicial Service Commission; Member of the Board of Governors of BPATC, BIIS and National Defence College.

Mr. Talukder holds an M.Sc. in Development Management with major in Public Economic Management and Finance from the University of Birmingham, UK and an MBA from Institute of Business Administration (IBA) of the University of Dhaka.

In his long career, Mr. Talukder attended many professional training courses at home and abroad. Recently, he secured the prestigious National Integrity Award for FY20-21.



Md. Anisur Rahman

Director,

Bangladesh Infrastructure Finance Fund Limited, and

Senior Secretary,

Energy and Mineral Resources Division, Ministry of Power, Energy & Mineral Resources

Mr. Md. Anisur Rahman, the Senior Secretary, Energy and Mineral Resources Division, Ministry of Power, Energy and Mineral Resources joined BIFFL as Director on 27 February 2020 in the 86th meeting of the Board of Directors. As Director, Mr. Rahman has attended 10 meetings of Board of Directors until July 2021. He is also the Chairman of the Executive Committee of BIFFL.

In 1988, he joined Bangladesh Civil Service as part of the 1985 batch and served in various capacities in field service as Assistant Commissioner, Upazila Magistrate, Upazila Nirbahi Officer. Apart from these he served as Assistant Secretary/Senior Assistant Secretary in the Cabinet Division, Local Government Division, Finance Division, Ministry of Fisheries and Livestock, Ministry of Home Affairs. He worked as Deputy Secretary in the Ministry of Fisheries and Livestock, Local Government Division. He also served in the Local Government Division and the Ministry of Fisheries and Livestock as Joint Secretary. Later he served as an Additional

Secretary in the Ministry of Fisheries and Livestock and Public Security Division of the Ministry of Home Affairs. He also served as Secretary in the Ministry of Religious Affairs from 14-09-2017 to 04-04-2019.

Mr. Rahman has obtained Honors and Master's degree from the Department of Geography, University of Dhaka. In his long career, Mr. Rahman attended many professional training courses. As part of official duty, Mr. Rahman visited different countries around the globe including India, Nepal, Maldives, Sri Lanka, Thailand, Myanmar, Indonesia, Malaysia, Singapore, Vietnam, Hong Kong, South Korea, China, Japan, United Kingdom, France, Germany, Italy, United Arab Emirates, Qatar, Russia, Philippines, Switzerland, Belgium, Netherlands, Austria, Czech Republic, Turkey, Norway, Spain, Portugal, Switzerland, Canada, United States of America, Malawi, South Africa, Australia, New Zealand, Brazil and Saudi Arabia.



Md. Nazrul Islam

Director,

Bangladesh Infrastructure Finance Fund Limited, and

Secretary,

Road Transport & Highways Division, Ministry of Road Transport & Bridges

Mr. Md. Nazrul Islam, the Secretary, Road Transport and Highways Division, Ministry of Road Transport and Bridges joined BIFFL as Director on 07 November 2017 in the 58th meeting of the Board of Directors. As Director, Mr. Islam has attended 18 meetings of the Board until July 2021. He is also the Chairman of the Audit Committee of BIFFL.

Mr. Islam joined Bangladesh Civil Service in 1986 as part of the 1984 batch. In his long service life, he has served successfully in different levels of field administration. He worked as Upazila Nirbahi Officer (UNO) of Boda, Nabiganj, Bahubal, Habiganj Sadar, Deputy Director of Department of Youth Development of Mymensingh, Chief Executive Officer

of Netrokona District Council, Zonal Settlement Officer of Mymensingh, Director General of National Academy of Primary Education, Chief Executive Officer of Dhaka North City Corporation (DNCC), Administrator of Dhaka South City Corporation (DSCC), Chairman of Bangladesh Road Transport Authority (BRTA) and Member of the Planning Commission. In continuation of glorious service, he took the charge of Secretary, Road Transport and Highways Division on 15 October 2017.

He completed his Honors and Master's from the University of Dhaka. In his long career, Mr. Islam attended many professional training courses and visited different countries as part of official duty.



M. Tofazzel Hossain Miah

Director,

Bangladesh Infrastructure Finance Fund Limited, and

Secretary,

Prime Minister's Office

Mr. M. Tofazzel Hossain Miah, the Secretary, Prime Minister's Office joined BIFFL as Director on 27 February 2020 in the 86th meeting of the Board of Directors. As Director, Mr. M. Tofazzel Hossain Miah has attended 11 meetings of the Board until July 2021. He is also a member of the Audit Committee of BIFFL.

Mr. Tofazzel started his career in Bangladesh Civil Service in 1991. In his long career, he served in various capacities of the government including Director General, Prime Minister's office; Director General of Private Export Processing Zones, Deputy Commissioner and District Magistrate in Dhaka, Cumilla and Panchagarh. Prior to that, he was private secretary to Principal Secretary, PMO, Director Board of Investment, Additional Deputy Commissioner in Sylhet and Upazila Nirbahi Officer, Monohardi. He also worked in different Ministries/Divisions/

Directorates of the Govt. including Ministry of Public Administration, Local Government Division, Ministry of Primary and Mass Education and Power Division. Mr. Tofazzel was promoted to Secretary, Prime Minister's Office on 11 January 2020.

In the part of academic education, Mr. Tofazzel completed both of his Honors and Master's degree in English Literature from the University of Dhaka. Later, he obtained M.Sc. degree in Early Childhood Development (ECD) from BRAC University.

He has attended many trainings both at home and abroad. He has undergone training on Project Management & Governance in UK, Vietnam and India. He visited South Korea, Malaysia, Thailand, Germany, Czech Republic, Switzerland, Portugal, Spain, China etc. He received a certificate on Excellent Performance in Land Administration. He is also a trainer on Development and Governance issues.



Fatima Yasmin

Director,

Bangladesh Infrastructure Finance Fund Limited, and

Secretary,

Economic Relations Division, Ministry of Finance

Ms. Fatima Yasmin, the Secretary, Economic Relations Division, Ministry of Finance joined BIFFL as Director on 04 June 2020 in the 87th meeting of the Board of Directors. As Director, Ms. Yasmin has attended 10 meetings of the Board until July 2021. She is also a member of the Audit Committee of BIFFL.

Ms. Fatima joined the Bangladesh Civil Service administrative cadre in 1991. In her long career, she worked at the Export Promotion Bureau as its Vice Chairman and served as the Director General of the Institute of Public Finance (IPF), Finance Division, Ministry of Finance. Prior to these, she served in various capacities in the Ministries of Agriculture, Women and Children Affairs, Defense as well as Finance Division and Economic Relations Division of the Ministry of Finance. She also worked as Project Manager of the International Jute Organization

in 2002, Management Consultant for the Asian Development Bank in 2007 and as an Economic Adviser to the European Delegation in Dhaka in 2013 under lien (leave) from government service. Ms. Fatima joined the Economic Relations Division, Ministry of Finance as the Secretary on 23 February 2020.

Ms. Fatima has obtained Master's in Business Administration (MBA) from the Institute of Business Administration (IBA), University of Dhaka. She is also a Hubert H. Humphrey Public Policy Fellow of the US State Department for the year 2004-5 at The Rutgers University, USA. She did her Master's in Development Economics from Australian National University (ANU), Canberra in 1995.

In her long career, Ms. Fatima attended many professional training courses and visited different countries as part of official duty.



Md. Abu Bakr Siddique

Director,

Bangladesh Infrastructure Finance Fund Limited, and

Secretary,

Bridges Division, Ministry of Road Transport & Bridges

Mr. Md. Abu Bakr Siddique, Secretary to the Government of the People's Republic of Bangladesh took over as the Secretary, Bridges Division and Executive Director, Bangladesh Bridge Authority on 31 May 2021. As director, Mr. Siddique has attended 1 Board Meeting until July 2021 since joining as Director of BIFFL on 19 July 2021. Prior to joining at Bridges Division, he served as Chairman, Bangladesh Petroleum Corporation.

Mr. Siddique is a meritorious and efficient officer of the ninth batch of BCS administration cadre. In his long career, he has worked in various levels of field administration including APD wing of Ministry of

Public Administration, Ministry of Health and Family Planning, Ministry of Primary and Mass Education, Ministry of Power, Energy and Mineral Resources, Ministry of Local Government, Ministry of Housing and Public Works and Political Branch of Ministry of Home Affairs. He holds a post-graduate degree from Bangladesh Agricultural University. He was born in an aristocratic Muslim family in Laksam upazila of Comilla district.

Under his able direction, the Bridges Division and Bangladesh Bridge Authority are striving to establish an uninterrupted transport network across the country.



Md. Habibur Rahman

Director,

Bangladesh Infrastructure Finance Fund Limited, and

Secretary,

Power Division, Ministry of Power, Energy & Mineral Resources

Md. Habibur Rahman joined the Power Division as Secretary on 12 November, 2020. Prior to this appointment, he was the Additional Secretary (Budget 1) in the Finance Division, Ministry of Finance. He joined as a Director of BIFFL on 31 December 2020 and has attended 5 Board Meetings since then.

Mr. Rahman joined the Bangladesh Civil Service (Administration) cadre in 1991 and belongs to the 10th batch. He started his career as an Assistant Commissioner in the Office of the Divisional Commissioner Rajshahi and was subsequently posted at the Office of the Deputy Commissioner, Natore and worked there as an Assistant Commissioner until February '93. Then he worked in the Refugee, Relief and Repatriation Commission at Cox's Bazar from March '93 to February '94. He was posted in the Office of the Deputy Commissioner Habiganj and went on to work as Assistant Commissioner (land) in Habiganj Sadar from April '94 to September '96. There after he worked as Assistant Director in the Bureau of Anti-Corruption from October '96 to November '98. Afterwards, he was appointed as Assignment Officer in the Prime Minister's Office and worked there until September '01. As Senior Assistant Secretary he worked at Finance Division from January '03 to September '05 and at Ministry of Education from February '06 to May '07.

The high point of his career has been his long stint of more than fifteen years in the Finance Division. He was one of the early group of officers who steered the Finance Division during the transition from traditional

method of budget preparation to the Medium-Term Budget Framework (MTBF). At the Finance Division, he worked as Deputy Secretary (Budget-1) and Joint Secretary (Budget 1) before being elevated to the position of Additional Secretary (Budget-1) and was the lynchpin of national budget preparation for more than a decade. He was also a Budget Specialist in the Financial Management Reform Programme and Deepening DMTBF and Strengthening Financial Accountability Project of the Finance Division. He has taught in all areas pertaining to Public Financial Management at the Institute of Public Finance as well as many other training institutes and has been instrumental in developing a critical mass of Civil Servants with expertise in Public Finance.

Mr. Rahman earned his BSc. and MSc. in Applied Physics and Electronics from the University of Dhaka. He holds another Master's degree in Economic Development Policy and Research from the University of Birmingham, UK. He also received training on Government Budget Management, Public Financial Management, Professional Development and Performance Management from India, Singapore, USA, UK and New Zealand. In addition, he has attended numerous seminars, workshops, study tours and official visits at home and abroad. Mr. Rahman is a recipient of the prestigious Public Administration Award of 2017 for his outstanding contribution to public sector.

Mr. Rahman hails from Bangakha village of Lakshmipur Sadar Upazila of Lakshmipur District. He is married and blessed with three daughters.



Md. Ekhlashur Rahman

Director,

Bangladesh Infrastructure Finance Fund Limited, and

Additional Secretary,

Finance Division, Ministry of Finance

Mr. Md. Ekhlashur Rahman, Addl. Secretary, Finance Division, Ministry of Finance joined BIFFL as Director on 06 February 2018 in the 60th meeting of the Board of Directors. As Director, Mr. Rahman attended 36 meetings of the Board until July 2021. He is also a member of the Executive Committee of BIFFL.

Mr. Rahman joined the Audit and Accounts Cadre in 1988 as part of the 1985 batch and served in different capacities. In 2006, he joined the Finance Division as Deputy Secretary, worked there as Joint Secretary and presently he is working in Finance Division as Additional Secretary. Mr. Rahman is a Director of Bangladesh Development Bank Ltd (BDBL) and is also serving as the Chairman of Audit Committee there. He is serving as a Board Member of Nuclear Power Plant Company Bangladesh Limited, Bangladesh Cable Shilpa Ltd, Financial Reporting Council (FRC) and Padma Oil Company. He is also a Board member of SAARC Development Fund (SDF).

He obtained his Graduation and Master's from the Department of International Relations from University

of Dhaka. He also obtained a Post Graduate Diploma in International Relation and Development from Institute of Social Studies (ISS), Hague, Netherlands. Then in 2000/2001 he obtained an MBA degree from Maastricht School of Management (MSM), the Netherlands.

Mr. Rahman attended many professional training courses specialized in Public Administration and Public Finance Management. Some of the highlights are Advanced Course on Administration and Development from BPATC, Financial Programming and Policies, IMF Institute, Washington, D.C, USA, Managing at the Top (MAT) Courses from Asian Institute of Technology (AIT) and Wolverhampton University, UK, Negotiation Skill and Public Management from Open University, Malaysia and Negotiation Skills and Development Administration from Duke University, USA, Public Debt Management, UNITAR, Geneva, Switzerland, Public Debt Management from Tbilisi, Georgia and Foreign Exchange Reserve Management from South Korea.



S. M. Anisuzzaman

Chief Executive Officer, and

Ex-officio Member of the Board of Directors

Mr. S. M. Anisuzzaman, Chief Executive Officer, joined BIFFL on 4 May 2020. Before joining BIFFL, Mr. Anisuzzaman worked at the National Housing Finance and Investments Limited as the Deputy Managing Director. He has attended 10 meetings of the Board until July 2021.

A dynamic and versatile management executive, Mr. Anisuzzaman has more than 26 years of extensive experience in the financial sector of Bangladesh. During his long career, he held different senior positions in several banks and NBFIs. As recognition

of his excellence in banking profession he received many accolades and achieved 'Best Manager' award several times.

Mr. Anisuzzaman completed his B.Sc. in Civil Engineering from BUET and MBA in Strategic and International Management from the University of Dhaka. In addition, he attended several training programs at reputed national and international institutions. He has travelled to many different countries around the world.

CEO's REVIEW

“

Amidst the jarring Covid experience, we have to rebuild and forge ahead to grasp the new opportunities on the horizon.



S. M. Anisuzzaman
Chief Executive Officer, BIFFL

Distinguished Stakeholders,

The life we knew has changed drastically owing to the global pandemic. Online transactions, communications, work from home, health and safety measures have become a part of life as the Covid-19 pandemic casts its shadow over our lives. Norms of the workplace are changing. Overwhelming change and disruption- driven by a wide array of global health, geopolitical, economic and technological influences as well as social and demographic trends- is taking place.

Amidst these challenges, BIFFL presents its Annual Report for the year 2020. In its own right, 2020 was a challenging year that we completed with success.

BIFFL in 2020

Up until the end of 2020, BIFFL invested an aggregate amount of BDT 3807.89 crore. Out of that amount BDT 3249.70 crore was invested in infrastructure, BDT 553.16 crore in sustainable finance and about BDT 6 crore in Women Entrepreneurs Development Unit (WEDU) and Small and Medium Enterprises (SME) projects. In spite of the global pandemic, the portfolio has grown further considering the progress in the year 2020.

Because of initiatives taken in the previous year, we have been able to utilize a significant portion of funds under the Energy Efficiency and Conservation Promotion Financing Project (EECPFP) funded by JICA. BIFFL has also made headway in utilizing its Investment Promotion Financing Facility (IPFF) II Project funds sponsored by the World Bank and administered by Bangladesh Bank. Involvement with this project has mitigated our limitation to extend foreign currency loan to eligible projects. We are also collaborating with development partners from home and abroad in ensuring sustainable growth and infrastructure development. BIFFL is always looking to diversify its portfolio. To this end, it selects the most promising projects to enhance its contribution towards the national economy.

Intending to support women in accessing affordable financial services, BIFFL established Women Entrepreneurship Development Unit (WEDU) and signed a participation agreement with the Bangladesh Bank for refinancing support. Thus far, BIFFL has financed about 300 SMEs under the portfolio with reasonable success. Additional support is forthcoming in this sector from the Agence Française de Développement (AFD).

BIFFL, in 2020, obtained 3rd largest Taxpayer Award in the Non-Bank Financial Institution (NBFI) Category.

Financial position

BIFFL's total assets increased by 13.15 percent to an amount of BDT 3,910 crore in 2020 compared to BDT 3,456 crore in 2019. In 2020, the net profit after tax increased by 19.56 percent to BDT 54.16 crore from BDT 45.30 crore in 2019.

Contribution to National Exchequer and dividend to shareholders

BIFFL has been making consistent contribution to the National Exchequer. In 2020, it has contributed an amount of BDT 78.17 crore as income tax and declared BDT 21.66 crore cash dividend for 2020 to its shareholders.

Infrastructure development and sustainability

To ensure a safe and livable future for the next generation, sustainable growth is a must for Bangladesh. Infrastructure development is the key to spreading access to opportunities that the global village has to offer.

For us there is much room to grow in this sector, both in terms of physical and social infrastructure. In the Global Competitiveness Report 2020, importance has been given to creating enabling environments in order to cope with and recover from the pandemic situation by the World Economic Forum. As such, ICT literacy, flexible work arrangements and digital legal framework have come to the fore as important prerequisites for economic resilience. BIFFL has acknowledged the need for adaptation and worked to sustain a safe, enabling work environment for its staff over the past year. This has led to increased productivity and profit for the organization.

In the infrastructure sector, with large-scale projects being developed all over the country like the Padma Bridge, Rooppur Nuclear Power Plant, Dhaka Metro Rail, Dhaka Elevated Expressway, Dhaka Bypass Expressway, Matarbari Deep Sea Port, Economics Zones, Dhaka-Chattogram Express Railway, Karnaphuli Tunnel, Expansion of Hazrat Shahjalal International Airport, Moheshkhali LNG Terminal etc., there is massive scope to work in the upcoming years in the infrastructure sector in Bangladesh. BIFFL hopes to partner in these and other large projects as per its obligation to create a developed Bangladesh.

Global economic outlook

In 2020, the Covid-19 pandemic has wreaked havoc on the global economy leading to a 3.5 percent shrinkage overall as per IMF.

Following a collapse in 2020 caused by the Covid-19 pandemic, global economic activity is forecast to expand 4 percent in 2021 as per the World Bank. The global recovery, however, has been dampened in the near term by a resurgence of new Covid-19 strains, posing a significant risk on the economies of developed and less developed countries alike. While global economic activity is expected to solidify as confidence, consumption, and trade gradually improve with the backing of ongoing vaccination, the materialization of a number of downside risks—including a worsening of the virus, delays in vaccine procurement and distribution, and financial stress amid high debt levels—could derail the projected global recovery.

Since the beginning of the pandemic induced downturn, there have been extraordinary fiscal, monetary and regulatory policy measures that have allowed both households and businesses to avail emergency income as well as cashflow support, with governments around the world arranging approximately USD 12 trillion over the course of the year. However, existing support measures may not be enough to carry many economies through the current struggle. It is thus extremely important to introduce structural reforms as well as monetary support to continue on course towards recovery.

While it is easy to be lulled into a false sense of security given the rally in GDP that quite a few economies are undergoing as various pandemic measures are lifted, prudence dictates that a variety of antagonistic outcomes be taken into account before reaching any favorable conclusions, given the unpredictability of the Covid-19 virus. Hence, the path to economic recovery will be long, arduous, disproportionate, and asynchronous across different parts of the world. However, it can be designed and managed proactively to ensure best possible results locally and globally.

Bangladesh economic review

Economic growth slowed to 3.51 percent in FY2019-20 (July 2019 to June 2020), according to the final estimates of BBS, which is the lowest since FY2008-09. Following the trend of achieving economic growth, the growth exceeded 6 percent in FY2010-11, 7 percent in FY2015-16 and 8 percent in FY2018-19.

Although the economic situation of the country was normal in the first eight months of FY2019-20, the Covid-19 pandemic has had a huge negative impact on the economy of Bangladesh since March 2020.

According to the provisional estimate, the volume of GDP at current market prices reached BDT 27,96,378 crore in FY2019-20, which was BDT 25,42,483 crore in FY2018-19. The per capita GDP stood at USD 1,970 in FY2019-20, up by USD 142 from the previous fiscal year, while the per capita national income stood at USD 2,064, up by USD 155 in the previous fiscal year.

Of the 4 broad industrial sectors, growth in the manufacturing (large and medium scale and small-scale) has slowed down significantly. According to provisional estimate, the growth of large and medium enterprises and small-scale industries in GDP stood at 5.47 and 7.78 percent respectively in FY2019-20, compared to 14.84 percent and 10.95 percent in the previous fiscal year. The growth of the construction sector stood at 9.06 percent as compared to 10.25 percent over the previous fiscal year. Overall, the contribution of the broad industry sector stood at 35.36 percent in FY2019-20, as compared to 35.00 percent in the previous fiscal year. (Source: Bangladesh Economic Review 2020, Finance Division, MoF)

Overall, the outlook for the economy at the moment is cautiously optimistic as industries and markets begin to recover from the initial shock of the pandemic. However, the economy will only fully recover with the adoption of effective mitigating measures (e.g., mass vaccination) and adoption of resilient and robust policies that enable adaptation to the post-pandemic world.

Caring for society and the environment

Conservation of society and environment is paramount to BIFFL. As a responsible organization, BIFFL has taken necessary measures to go further with the sustainable development. Our safeguard policy is maintained and implemented through a panel of local and international expert with significant experience in their field.

We help our clients to comply with the national and global safeguard standards by advising them in various capacities through our Environmental and Social Cells. We have updated our environmental and social commitment recently to achieve long-term sustainability. We are strongly committed to comply with environmental and social best practices.

Financing the Future

The global pandemic has changed the outlook of BIFFL in many ways. As recommended by the World Economic Forum, the key to adapting to the pandemic situation is creating an enabling environment within the organizational framework. BIFFL has proactively braced for the impact of the global pandemic and as a result, so far, Covid-19 has had a very little impact on our business. Our operation is continuing in full swing following all the health guidelines and safety measures stipulated by WHO and the Government of Bangladesh. We are working to improve our ICT backbone through introduction of new Core Financial Software which will come into full-fledged operation in 2021. Furthermore, BIFFL is working to review its policies and bring them up to date with the post-pandemic world.

Amidst the jarring Covid experience, we have to rebuild and forge ahead to grasp the new opportunities on the horizon. In this situation, avenues have opened in healthcare, medical equipment, logistics, IT, fintech and so on. BIFFL is keenly observing the changes in the business landscape in order to identify new prospects. Meanwhile, we are meticulously reviewing our project pipeline considering the new risks that have risen out of the current state of affairs while following up on the position of our current portfolio.

In the meantime, our mandate for the development of infrastructure in Bangladesh remains steadfast. Considering the huge amount of work to be done, we are looking to leverage funds from the market as well as from our development partners, courtesy of reputation and goodwill. Our aim is not only to provide financing for the projects involved, but also to provide services as a complete financial solution package for the projects. Through all our actions, we are committed to maintain utmost transparency and

depth in risk management and compliance. We assign due emphasis on accounts integrity, transparency and anti-money laundering safeguards, information security and resource development.

To ensure a sustainable future and attaining the SDGs, we are expanding and diversifying our portfolio in infrastructure, including energy efficiency, renewable energy, connectivity, hi-tech parks, economic zones, social development initiatives (e.g., social safeguards, gender equality, environmental considerations, CSR etc.) and so forth. We will continue to carry with pride our identity as one of the forces financing the future.

Note of thanks

With due honor, I voice gratitude from the core of my heart to the Hon'ble Prime Minister, Hon'ble Finance Minister, the Ministry of Finance, the PPP Authority, Bangladesh Bank, Bangladesh Securities and Exchange Commission and other regulators for precious guidance and support.

I am thankful to the valued development partners- JICA, The World Bank, ADB, KfW, AFD for their continuous cooperation and support. I also wish to convey my thanks to all of our shareholders, partners and clients who form an extensive network of business assets. I appreciate the honorable directors, who are all top officials of important Ministries, with distinct skills and experiences. Under the active leadership of the Hon'ble Chairman, the Board has continuously provided prudent guidance to the organization. Finally, I acknowledge the efforts and dedication of fellow colleagues in placing us where we stand today.



S. M. Anisuzzaman
Chief Executive Officer

Navigating through this Report

This report is designed to give an overview of BIFFL's organizational strategy based on its vision, mission and present situation based on the resources at its disposal. The contents of this report are meant to answer key questions pertaining to the company's condition, as follows:

Core topic	Where to look	What is to be found
Identity	- Corporate Milestones - Our Philosophies - Code of Conduct - Core Values - Corporate Information - Advisory Board - Board of Directors - Our Products and Services - Corporate Social Responsibilities	BIFFL is the largest NBF1 in the country in terms of capital base and is mandated to support sustainable infrastructure development.
Standing in the industry and means of value creation	- Value Addition - Business Model - Awards and Recognition - Corporate Governance and Compliance - Statement on Contribution to Government Exchequer - Report on Green Banking	- Position in the bigger picture. - Means of conducting business. - Organizational hierarchy for business model and performance optimization. - Contribution to national economy.
Reflections and deliberations of the leadership	- Message from the Chairman of the Advisory Board - Message from the Chairman of the Board of Directors - CEO's Review - Statement on Corporate Governance	- Broad overview of current standing and future trajectory. - The key drivers of success and incisive analysis of business verticals. In-depth review of governance and control framework.
Current market condition and competitive landscape	Operating Environment and Stakeholder Analysis	- Macroeconomic aspects that shape the industry. - Market forces and the competitive landscape that shape BIFFL's business. Key competencies and scope of improvement.
Risks and mitigation	- Statement on Risk Management - Statement on Non-Performing Loan (NPL) Management - Disclosure on Capital Adequacy and Market Discipline	- Risk identification and quantification. - A look at risk distribution through heat maps. - Risk mitigation tools and techniques. - Stress Testing.
Review of financial performance	- Management Discussion and Performance Analysis - Notice, Reports & Financial Analysis	- Review of financial performance. - Independent Auditor's Report to the Shareholders.

About Integrated Reporting

BIFFL's Annual Report 2020 has been presented as an 'Integrated Report' with the goal of describing how BIFFL has effectively operated in consistence with its policies to add value for shareholders and customers. It covers the BIFFL's activities in boosting infrastructure development, economic growth, inclusive prosperity as well as sustainability.

Content Overview



Scope of the Report

In presenting the Integrated Report, we have referred to the guidelines issued by the Institute of Chartered Accountants of Bangladesh (ICAB) in the form of 'Integrated Reporting Checklist', which is consistent with the integrated reporting framework issued by the International Integrated Reporting Council (IIRC). In communicating the company's operations and financial performance, financial information has been extracted from the Audited Financial Statements for the FY2020 with relative comparative information. The financial statements consistently comply with the requirements of:

- International Accounting Standards (IASs) and International Financial Reporting Standards (IFRSs)
- The Companies Act, 1994
- The Financial Institutions Act, 1993
- The Securities and Exchange Act, 1993
- Relevant rules and regulations of Bangladesh Bank and other regulators
- Requirements of Development Partners
- Other applicable laws and regulations of the land

The disclosure of non-financial information has been extracted from internally maintained records.

Our corporate governance practice has been disclosed in line with guidelines of Bangladesh Bank and the Corporate Governance Code (CGC) issued by BSEC in 2018. Moreover, there have not been any significant changes to the scope, boundary and reporting basis since the last reporting date as of 31 December 2019.

External Assurances

The company has obtained external assurance through the following reports in the reporting period under consideration:

Audit Report on Financial Statements	ACNABIN Chartered Accountants
Entity Credit Rating	Credit Rating Information and Services Limited (CRISL) Emerging Credit Rating Limited (ECRL)
Comprehensive Inspection Report & FICL Inspection	Bangladesh Bank

Comparability & Materiality

The information disclosed in this report is on similar basis as in the 2019 report in terms of the entities covered and measurement procedures used. Ratios used are comparable across the industry. It entails all material topics relating to business strategy, risk and areas of critical importance to our stakeholders and is arranged in a coherent manner in order to express the company's agenda with clarity.

Availability of the Annual Report

The hard copy of the annual report is sent to all the shareholders, prior to holding the Annual General Meeting, giving due notice. Besides, for the benefit of all stakeholders, our report has been uploaded on the website biffl.org.bd

Statement on Integrity of the Integrated Report

I acknowledge the responsibility to ensure the integrity of the disclosure contained in this Integrated Report, which comprises the discussion, analysis and disclosures pertaining to stewardship of the company, which should be read in conjunction with the audited financial statements. The annual report has been prepared in accordance with the IIRC's international reporting framework and addresses the material matters pertaining to the long-term sustainability of the company and presents, to the best of my knowledge, the integrated performance of BIFFL and the impacts thereof.



S. M. Anisuzzaman

Chief Executive Officer

Awards and Recognition



3rd Highest Tax Payer Recognition Award for the assessment year 2019-20 under NBFI Category by NBR.



19th ICAB National Award for Best Presented Annual Reports 2018 under Public Sector Category (First Prize).



South Asian Federation of Accountants (SAFA) Best Presented Annual reports Awards and SAARC Anniversary Awards for Corporate Governance Disclosures 2018 under Public Sector Entities (2nd Runner Up).



18th ICAB National Award for Best Presented Annual Reports 2017 under Public Sector Category (Second Prize).



4th Highest Taxpayer Recognition Award for the assessment year 2018-19 under NBFI Category by NBR.



BIFFL office attained LEED Platinum certification for energy efficiency in December 2018.

Milestones

2010

29 July 2010:
Cabinet meeting approved the formation of BIFFL, its Memorandum of Association and Articles of Association

2011

11 March 2011:
Incorporation of the company with highest paid-up capital in the business history of the country (BDT 16.0 billion/US\$200 million)

12 April 2011:
Ministry of Finance approved the formation of the 7-member Board of Directors

20 April 2011:
The first meeting of the Board of Director held at the Finance Division, Ministry of Finance

16 October 2011:
Obtained license from Bangladesh Bank

2014

03 June 2014:
Signed participation agreement with Bangladesh Bank to participate in the "Financing Brick Kiln Efficiency Improvement Project"

2013

10 October 2013:
Signed participation agreement with Bangladesh Bank to participate in the "Refinance Scheme for Renewable Energy & Environment Friendly Financeable Sector"

2012

01 February 2012:
Mr. Md. Atiquzzaman joined as the first full-time Executive Director & CEO of BIFFL

2017

14 January 2017:
Approved BIFFL's First 5-Year Strategic Investment Plan (2017-2021)

25 November 2017:
Organized BIFFL Green Convention & Expo 2017

2016

21 March 2016:
Formed a Women Entrepreneur Development Unit (WEDU)

11 December 2016:
Arranged Green Brick Convention 2016

2018

3 June 2018:

Moved into new Corporate Office at Eskaton, Dhaka

10 July 2018:

Reached disbursement milestone of BDT20 billion

9 August 2018:

Signed Master Facility Agreement with Bangladesh Bank under IPFF II

4 October 2018:

Successfully organized Green & PPP Convention and Expo 2018 in Dhaka and Chattogram

19 November 2018:

Signed MoU with BlueMount Capital to collaborate on raising global fund for BIFFL

Jan-Nov 2018:

Approved SME, ICT, HR, Equity, Accounts, Treasury and ESMF Policies

December 2018:

Signed participation agreement with BB under "Refinance Scheme for Green Products/Initiatives"

December 2018:

Obtained USGBC LEED Platinum Certification for Corporate Office

December 2018:

Achieved paid-up capital of BDT2,108 crore

2019

July 2019:

Signed a Term Sheet with Summit Towers Limited (STL) and IDLC Finance Limited for raising innovative long-term financing through issuance of bond from the Investment Promotion Financing Facility (IPFF)

November 2019:

Awarded as the 4th Best Tax Payer in the Non-Bank Financial Institution category for the tax year 2018-19

December 2019:

Won the 1st prize in the 19th ICAB National Award

December 2019:

Won the 2nd Runner Up prize in SAFA Best Presented Annual Report Award

December 2019:

SAARC Anniversary Award for Corporate Governance disclosure in Annual Report, 2018 in the category of Public Sector Entities

2021

February 2021:

Awarded as the 3rd Highest Tax Payer in the Non-Bank Financial Institution category for the tax year 2019-20

2020

January 2020:

Subsidiary Loan Agreement of Energy Efficiency and Conservation Promotion Financing Projects (Phase 2) executed with the Ministry of Finance

22 January 2020:

Achieved Paid-up capital of BDT2,308 crore

August 2020:

Signing of Loan Agreement of JICA funded Food Value Chain Improvement Project

Our Philosophies



VISION

Leading the process of national development by leveraging relative strengths of public and private sectors through financing infrastructure (including PPP) as well as sustainable development projects



MISSION

To perform as a highly skilled financial institution by adopting the best international practices and maintaining highest standard of integrity and ethics in financing infrastructure as well as sustainable development projects

To encourage inclusive growth and protect the environment for sustainable development

To act as a catalyst in developing physical and social infrastructure where private sector participants can contribute alongside the public sector

To provide a vehicle for capital market development by exploring and utilizing different instruments to capture domestic and foreign investments in infrastructure sectors

To support national initiative for achieving Vision 2021 and SDG 2030



GOALS

To supplement achieving Vision 2021, SDG 2030, Vision 2041, and Delta Plan 2100 of the Government through investment in infrastructure as well as sustainable development projects

To ensure adequate infrastructure development of the country through promotion of PPP

To cater to the requirements of critically important infrastructure projects through customized and structured financial solutions

To bring in dynamism and necessary expertise in the financial industry for financing infrastructure projects



OBJECTIVES

Launching innovative financial products

Introducing infrastructure bonds as a long-term source of financing

Developing a vibrant infrastructure market from the perspective of both the investors and financiers

Achieving development goals while conserving nature

Attracting private investment in long-term infrastructure projects by addressing the asset liability mismatch of existing sources of finance

Code of Conduct

The Code of Conduct sets forth the rules and principles for the stakeholders i.e., Board of Directors, Board Committees, employees at all levels, business partners, service providers and customers of BIFFL to uphold and promote the interests of the company.

BIFFL adopted the Code of Conduct as circulated by the Bangladesh Bank through DFIM Circular no.-04 dated 12 December 2017.

BIFFL employees are duly bound to adhere to the code.



Core Values



Corporate Information

Board of Directors

Chairman

Mr. Abdur Rouf Talukder

Senior Secretary, Finance Division,
Ministry of Finance

Directors

Mr. Md. Anisur Rahman

Senior Secretary, Energy and Mineral Resources
Division,
Ministry of Power, Energy and Mineral Resources

Mr. Md. Nazrul Islam

Secretary, Road Transport and Highways Division,
Ministry of Road Transport and Bridges

Mr. M. Tofazzel Hossain Miah

Secretary, Prime Minister's Office

Ms. Fatima Yasmin

Secretary, Economic Relations Division,
Ministry of Finance

Mr. Md. Abu Bakr Siddique

Secretary, Bridges Division,
Ministry of Road Transport and Bridges

Mr. Md. Habibur Rahman

Secretary, Power Division,
Ministry of Power, Energy and Mineral Resources

Mr. Md. Ekhlasur Rahman

Additional Secretary, Finance Division, Ministry of
Finance

Mr. S. M. Anisuzzaman

Chief Executive Officer, BIFFL

Chief Executive Officer

Mr. S. M. Anisuzzaman

Company Secretary

Mr. Mohammad Monirul Islam Khan FCS

Executive Committee

Chairman

Mr. Md. Anisur Rahman

Member

Mr. Md. Abu Bakr Siddique

Mr. Md. Ekhlasur Rahman

Mr. S. M. Anisuzzaman

Audit Committee

Chairman

Mr. Md. Nazrul Islam

Member

Mr. M. Tofazzel Hossain Miah

Ms. Fatima Yasmin

Mr. Md. Habibur Rahman

Registered Office

Unique Heights (Level-3)
117 Kazi Nazrul Islam Avenue,
Eskaton Garden, Dhaka- 1217, Bangladesh
IP Phone: +8809638124335
FAX: +880-2-9348518

Website

biffl.org.bd

Incorporation

Company Registration No-C91370/11
March 21, 2011

Licensed by Bangladesh Bank

DFIM (L)-32
October 16, 2011

Share Capital

Authorized Capital

BDT 10,000 Crore

Paid-up Capital

BDT 2,308 Crore

Value per Share

BDT 100 Each

Ownership

Government of Bangladesh

Represented By

Finance Division, Ministry of Finance

Auditors

ACNABIN Chartered Accountants

BDBL Bhaban (Level-13 & 15)
12 Kawran Bazar Commercial Area
Dhaka-1215

Products and Services



Sectors for Investment

A. Infrastructure

- Power & Energy
- Transportation & Connectivity
- Port, Container Depot & Terminal
- Economic Zone & Industrial Park
- IT & Telecom
- Tourism & Hospitality
- Healthcare & Education

B. Sustainable Finance

- Utility-scale Solar Power
- Green Building
- Energy Efficient Technologies
- Waste Treatment & Recycling
- Waste Recycling
- Other Innovative Green projects



Products and Services

1. Advisory Services

- Reviewing preliminary business plan/concept note prepared by project sponsors
- Conducting market research for the project
- Drawing full-fledged, sound business plan
- Devising an optimal financial structure/package
- Liaising and advising for necessary authority permissions

2. Financing Services

Considering the varying needs of the projects, BIFFL extends finances through 13 loan and equity products.

A. Debt Financing

- Term Loan
- Working Capital Loan
- Bridge Financing
- Factoring
- Take Over Financing
- Take Out Financing
- Lease Financing
- Bond Financing
- Commercial Papers/ Instruments

B. Equity Investment

- Ordinary Share
- Preference Share
- Mezzanine Financing
- Convertible Debt

Value Creation for Stakeholders



Shareholders

At present, the Government of Bangladesh (GoB) holds 100 percent ownership of BIFFL. It is giving the highest importance to manage its assets and maximize profits by adopting sound governance practices as well as effective risk management structure.



Customers

BIFFL ensures quality investment by conducting thorough due diligence on every project and promotes innovative financing to support our clients in meeting their financing needs.



Fund Providers

GoB, Bangladesh Bank, Development Partners are our main fund providers. BIFFL ensures that the fund is used in the most efficient and productive ways for its stated purpose.



Regulators

Our regulators include Bangladesh Bank, the Registrar of Joint Stock Companies and Firms (RJSC), Bangladesh Securities and Exchange Commission (BSEC), National Board of Revenue (NBR), etc. BIFFL ensures compliance with all regulatory guidelines and directives through adopting best processes, practices, and controls to ensure compliance with all applicable rules and regulations.



Employees

BIFFL is continuously developing its corporate culture in such a way that employees are trained, developed, and empowered to work and achieve their business objectives. BIFFL is committed to providing leadership and expertise which promotes excellence in work through competence, integrity, respect, and professionalism. It believes in achieving business objectives through focus on quality human resources. BIFFL values diversity and promotes equal treatment and opportunities in recruiting, remuneration, personnel development, and advancement regardless of race, religion, political views, gender, age, nationality, language, marital status, disability, etc.



Communities

BIFFL commits to promoting inclusive growth of the society through sustainable infrastructure development as well as eco-friendly investment. It serves the smallest of entrepreneurs through its SME and WEDU and is committed to promote financial inclusion at the grassroots level.



Environmentally Interested Groups/Non-Government Organizations

While considering a project, BIFFL attaches high importance on its social and environmental impact to make the project sustainable in the long-term. Green economy and eco-friendly measures are our foremost priority while considering any investment. BIFFL ensures that the provisions of its Environmental and Social Monitoring Framework (ESMF) and guidelines of development Partners are followed along with the national guidelines provided by the Department of Environment. BIFFL's corporate head office is Platinum certified under the LEED 2009 Commercial Interiors rating system of U.S. Green Building Council.

Business Model

Fund Providers

- Government
- Central Bank
- Development Partners
- Investors

Other Stakeholders

- Shareholders
- Employees
- Customers
- Regulators
- Society
- Environmental Groups
- Media

- Human Capital
- Financial Capital
- Intellectual Capital
- IT Resources
- Social Resources
- Corporate Brand

- Public Sector Entities
- Private Companies
- PPP Projects
- SME
- Women Entrepreneurs Scheme

- Interest Expense
- Cost of Loan Losses
- Operating Expenses
- CSR

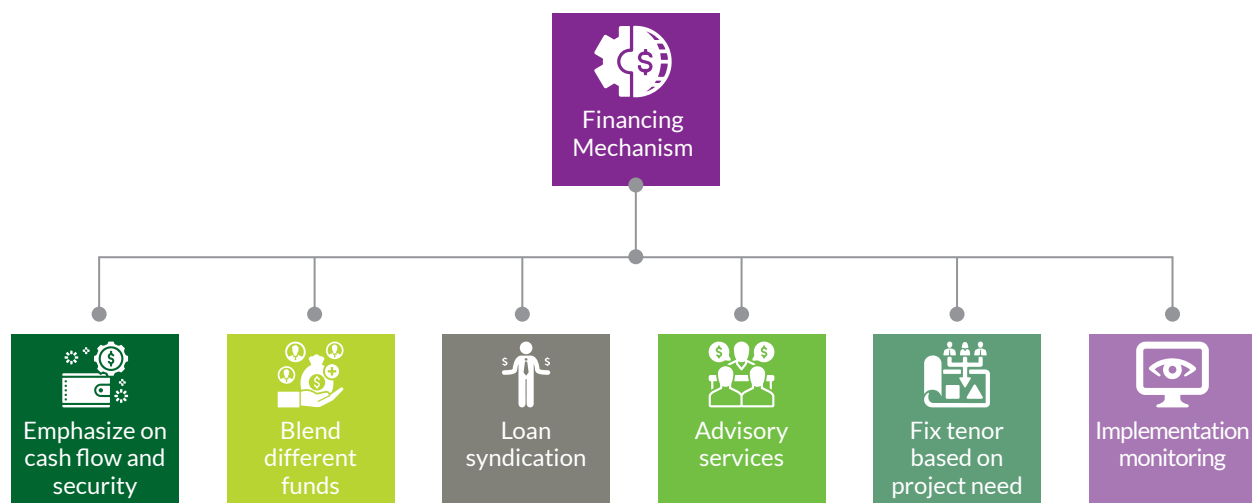




Financing Mechanism

In the course of financing infrastructure projects, BIFFL emphasizes on Government's priority sectors and projects which are closely related to national development. We assist the project proponents

during implementation phases and even after project implementation if needed. Our diverse fund sources and partnerships with local and global partners make it possible to cater to the needs of projects in their entirety.





Spinning, a crucial energy efficient industry

Management and Executives



BIFFL Team





MANCOM



Credit Committee (CC)



Asset Liability Management Committee (ALCO)



Risk Management Forum (RMF)



Central Compliance Unit (CCU)



Procurement Committee



Accounts and Finance Department



CEO's Secretariat



Credit Risk Management Department



Credit and Investment Department



Credit Administration Department



Environmental and Social Unit



HR and Administration Department



Internal Control and Compliance Department



Legal Unit



Special Asset Management Department



Technical and IT Departments



Treasury Department



Support Staff with Senior Management

Event Highlights 2020

Activities in 2020



BIFFL Management Handed over Dividend of BDT 181,196,112 to it's Chairman, Honorable Senior Secretary, FD for FY 2019



Farewell Program of Director of BIFFL Mr. Monowar Ahmed, Former Secretary, Economic Relations Division, Ministry of Finance



Celebration on 10th Anniversary of BIFFL



Training on Anti-Money Laundering and Combating the Financing of Terrorism



Celebration of The Victory Day of Bangladesh



Meeting with Industry Stakeholders

Corporate Social Responsibility



On the occasion of the Birth Centenary of the Father of the Nation Bangabandhu Sheikh Mujibur Rahman, BIFFL has donated BDT 5,255,000 (Taka Fifty Two Lac and Fifty Five Thousand) only to build houses for 29 homeless poor families at different areas of the Country, under Corporate Social Responsibility (CSR) activities.



Honorable Chairman, BIFFL
handing over keys to new
homeowners.



STRATEGIC
PLAN 2021

Macroeconomic Aspects Affecting BIFFL

Factor and Aspect	Outcome	BIFFL's Approach
Covid-19	Impacts of the outbreak of the Covid-19 may raise risks in terms of continuation of BIFFL's operation, liquidity crisis, asset quality, composition of loan portfolio, growth of loan portfolio and others.	- Covid-19 has had little impact on BIFFL's business. Its operation resumed after a two-month 'general holiday' period from March-May 2020 following all the health guidelines and safety measures stipulated by WHO and the GoB. - Covid-19 has naturally affected business and industries for a short span of time during the general holidays declared by the GoB. However, in recent days business activity has resumed and most of its clients have continued servicing their debt despite the choice given by the Central Bank to defer instalments during this period. BIFFL is closely monitoring its clients. - BIFFL may have to restructure a few loan accounts in the near future, but only in cases where project implementation has been delayed due to the pandemic. Besides, BIFFL will also follow relevant regulatory guidelines for rescheduling or restructuring. - In 2020, BIFFL approved a number of new loan facilities. However, the number is quite low compared to previous years as most of the projects aspiring for BIFFL financing had been postponed for the time being in face of pandemic. Good news is that most of the postponed projects are being revived now and we are expecting a sizable growth of our portfolio in 2021. - At this moment, BIFFL is in a strong liquidity position. Besides the Government, BIFFL is availing funds from Multilateral Development Agencies. Recently we have availed multiple facilities from JICA worth JPY 20,300 million and another facility from ADB worth USD 50 million. We are also availing funds under the World Bank funded IPFF II project through the Central Bank of Bangladesh. With increase in the number of projects and programs, BIFFL's scope of funding is widening with time.
Economic	- Investment-GDP ratio increased to 31.75% in FY2019-20, from 30.57% in previous fiscal year. The Consumer Price Index (CPI) inflation rate in FY 2019-20 is 5.66%, which was 5.48% in FY2018-19. Satisfactory domestic production, favourable domestic environment, low budget deficit and prudent monetary policy coupled with low fuel and commodity prices in the international markets contributed to subdue inflation level. - The government expenditure as percentage of GDP has increased gradually in recent years. However, Government expenditure decreased to 15.03% in the year 2020 from 15.1% in the year 2019. Currently, the larger portion of ADP is financed from domestic sources.	- BIFFL takes timely strategic action on interest rates, business volume, strategic shift on business focus etc. to adjust with the changing economic condition. - BIFFL pursues its core business growth in infrastructure and energy efficient industries. This enables BIFFL to be the support of the Government's Vision-2021 and SDG 2030. - As a highly customer responsive organization, BIFFL continued to identify ways of expanding its product offerings and services to cater to wider customer needs.

Factor and Aspect	Outcome	BIFFL's Approach
	- Fiscal policy by Government includes changes in different components of yearly budget like tax rates, interest waivers, refinancing facilities which affect the overall economic activities of the country as well as the performance of BIFFL. - The Government is taking initiatives to implement mega infrastructure projects on a priority basis to achieve the Vision-2021 and SDG goal 2030.	BIFFL's strong and intelligent workforce monitors the infrastructure development trend on a regular basis to gather and disseminate economic and business information. This enables BIFFL to respond to the market trend in a prompt manner.
Political	Stable political environment has a positive impact on financial as well as economic development of a country.	- BIFFL adjusts its internal guidelines and projections as per the directives provided by Bangladesh Bank. - BIFFL also prioritizes sectors that the Government attached priority for economic development of the country.
Social	Growing GDP and per capita income driven by economic progress has paved the way for better social conditions and quality of life for society. However, Bangladesh may experience lower economic growth in coming days due to Covid-19 like other countries.	- Numerous CSR initiatives were initiated for the betterment of society beyond commercial boundaries. Internally, BIFFL continued to adopt sound human resource practices to nurture our valued staff. - Being a people-oriented company, BIFFL remained receptive to people's needs as a socially responsible corporate and a caring employer. - BIFFL emphasized on the importance of creating customer awareness and building customer relationships. So, BIFFL is always looking to invest in areas with high potential but lower access to financial services. - Considering the shrinking economic growth due to Covid-19, BIFFL will pursue CSR initiatives more actively along with various stimulus economic incentive-based packages of GoB.
Technological	The role that ICT plays in creating operational efficiency and generating Management Information Systems (MIS) for effective decision making has become vital for BIFFL.	- Required updates were made to the core ICT system to make it more effective and meet user requirements and also to accommodate rapidly changing demands of the industry. - MIS reports are developed on a periodic basis to cater information needed by key departments, for decision-making. - BIFFL is at the final stage of installing Core Financial Solutions (CFS) using customized software to keep up with the market.
Environmental	- The green initiative in project financing has a long-term effect on both environment and economy of the country and helps in cost reduction as well. - A World Bank report says, the brick kiln sector consumes 3.5 million tonnes of coal and 1.9 million tonnes of firewood, emitting 9.8 million tonnes of greenhouse gas annually. During the dry season, 58% of the total air pollution in Dhaka city is caused by the brickfields. - As per the seventh five-year plan, the Government is to stop the use of topsoil in brickfields by 2020.	- BIFFL has a dedicated team working towards negating the impact of the highly polluting traditional brick industry in line with its green motto. - BIFFL has a full-fledged Environmental & Social Unit overseeing environmental footprint of its projects to ensure sustainable economic growth of Bangladesh. - BIFFL is actively seeking projects in the field of renewable energy, waste recycling and other environment friendly projects. For instance, BIFFL has already invested in a project which is using waste PET bottles as raw material and producing Polyester Staple Fibre (PSF) to be used in apparel industries.
Legal	BIFFL is regulated by the FI Act 1993 and other periodic guidelines as issued by Bangladesh Bank from time to time.	Apart from FI Act 1993 and other prescribed guidelines of Bangladesh Bank, BIFFL also complies the applicable regulations of RJSC, BSEC and other regulatory bodies.

Market Forces

and Competitive Landscape

Analysis of the various market forces provides a starting point for formulating strategy and understanding the competitive landscape in which a company operates. For the benefit of our stakeholders, the existing market forces are broken down to show their impact on BIFFL and our strategic actions in the near future as well as in the long run.

Industry Forces Analysis

Competitive rivalry: Moderate

Influencing Factors	BIFFL's Strategic Approach
Number of competitors: Financial services industry of Bangladesh is marked by high level of competition with 61 scheduled banks and 34 NBFIs operating in the country. However, most of these FIs are not direct competitors of BIFFL as most of them do not finance infrastructure projects. BIFFL also plays a significant role in financing sustainable and energy efficient projects. Switching cost: As there are many local and foreign service providers, the switching cost is low. In most cases, infrastructure financing involves larger amount of loan for a longer tenor. If a customer opts to switch in the middle of a long-term commitment, switching cost is significant as most Banks and FIs will demand compensation in the form of Early Settlement Fees. However, switching cost is low for short term loans. Quality of Products and Services: Even though BIFFL provides specialized financial products and services, there are few local as well as foreign organizations comparable in terms of service quality.	● Focus on relationship building among existing client base and channel resources towards finding new opportunities. ● Develop and use innovative financing instruments that cater to the varying needs of infrastructure sector. ● Explore different avenues to capture domestic and foreign investment. ● Give emphasis on innovative value creation ideas to outplay the competitors. ● Build capacity through training, exposure and adopting best market practices.

Supplier power: Moderate

Influencing Factors	BIFFL's Strategic Approach
BIFFL is an NBFIL and our major source of fund comprises the Government, different multi-lateral financial institutions etc. A key factor in the determination of bargaining power is the control over interest rates and our cost of funds. The Central Bank as well as the Government and development partners have significant control over the rates at which we can source our funds or invest. Various other organizations operate as our vendors for several miscellaneous activities, such as arranging events, advertising and marketing. However, they are responsible only for a small part of our total cost structure.	● Focus on a diversified pool of funds from local as well as foreign institutions. ● Develop sustainable relationship with bilateral and multilateral agencies. ● Offer competitive interest on bond and good relationship with investors for better negotiations of borrowing rates. ● Proper selection of vendors to ensure smooth supply of materials.

Buyer power: Moderate

Influencing Factors	BIFFL's Strategic Approach
Giving larger loan is becoming difficult due to liquidity crisis, longer tenor, higher risks etc. Consequently, buyer power is comparatively low for infrastructure financing. However, for borrower with smaller funding needs, buyer power is increasing as the number of banks and FIs are increasing with different types of deposits and investment opportunities. Increased competition has forced many organizations to adopt aggressive growth strategies for their loan portfolio and subsequently started a price war by reducing margin which increased borrower power.	• BIFFL will be able to increase lending rates on the existing loan in case of a likely increase in interest rates portfolio as the majority of the portfolio is of a floating nature. • Arrange sustainable and diversified sources of funds for future loan growth. • Strategic emphasis on diversifying the existing portfolio. • Deliver uncompromising services to retain customers and maintain sustainable relationship with borrowers and investment partners.

Threat of substitute products: Low

Influencing Factors	BIFFL's Strategic Approach
Infrastructure financing has very few alternatives due to larger fund commitment for longer tenor. For larger loan, BIFFL has little threat of substitute offerings from the competitors. However, many borrowers are now considering financing from foreign sources. BIFFL is playing a leading role in sustainable and energy efficient project financing. For small and SME products there exists a high threat of substitute products. As, BIFFL has very little exposure in SME financing, this sector is not a threat for us.	• Continue to update the technological platform, embrace breakthrough technology and process upgrades to stay ahead of competition and be the first to address new opportunities offered through technology and policy incentives. • Analyse macro-economic environment to understand the financing requirements, price structure, product features, and performance of different sectors. • Ensure maximum satisfaction to retain the company's trusted customers.

Threat of new entrants: Low

Influencing Factors	BIFFL's Strategic Approach
Even though the financial sector is crowded, there still is possibility of a few more contenders joining in the near future. However, the new local competitors' chances of entering the infrastructure financing sector is low. Involvement of different foreign financing agencies is also increasing day by day. Threat of new entrants largely depends on decisions made by the Government, be it in terms of granting new licenses or varying the scope of services provided and/or operating procedures of financial and non-financial institutions. In the long run however, the industry is assumed to see consolidation in the face of exceeding an optimum number of institutions.	• Maintain strategic relationship with policy implementing agencies, other Government organizations, and multilateral development banks. • Continue efforts in the process of improvement to ensure long-term competitiveness and sustainability.

Entity Analysis

Key Competencies	Reinforcing our enterprise further
The BIFFL Brand	
Nine years of impeccable track record as a diligent, proactive and customer centric financial service provider	Investment in fostering Brand Value of BIFFL is to continue.
High prominence among local brands	Continue sustaining our image in the community by remaining as a caring, responsible, transparent and trust-worthy operator while supplementing the image by engaging in community services through our volunteer based community service platform "Manush Manusher Jonno" and other social welfare initiatives.
Customer Centricity	
Customers' need or aspiration-based products and quality service standards	Cornerstone is based on sustained revolution in products and services designed to cater to the latent needs and aspirations of the new niches developed through market study, customer survey and observing the trend.
Swift decision-making (lowest loan TAT in the industry)	Retaining the upscale office management software and MIS to launching a centralized operations system; focus is to automate all manual processes to increase mobility of relationship managers through offering app-based platform to manage and document customer interactions.
Transparent and ethical	Maintaining ZERO Tolerance for any unethical behaviour (Sexual Harassment and Corruption). Relentlessly providing training programs for new recruits on our code of ethics and values.
Training, counselling and business facilitation services	Launch new non-financial services and expand the horizon for existing business facilitation services.
Infrastructure	
World-class core office management software	Committed to have secured and efficient software to deliver effective customer services.
USGBC Leed Platinum Certificate	BIFFL corporate office space is PLATINUM certified under the LEED 2009 Commercial Interiors rating system with a total of 90 points. Continue to have environment friendly green infrastructure facilities.
Corporate Governance and Compliance	
Stringent regulatory obedience	BIFFL abides by the law of the land in both letter and spirit.
Participative and dynamic manner towards regulatory and industry reform initiatives	BIFFL continues to collaborate with regulators, peers and other industry participants and adopt best practices.
Respectable, experienced and professional Board of Directors	

Key Competencies	Reinforcing our enterprise further
Quality Human Resources	
Dedicated, competent and empowered human resources	Continue investing in human resources as they are the principal driving force of the company.
Focused on continuous training and development	Continue arranging need-based training programs and promote leadership from within.
Highest levels of integrity	Educate new employees on BIFFL's moral codes, values and ethics.
A winning culture fostered through years of embracing best-in-class practices	Continue seeking for innovation and improvement; continue upholding the culture of trying new things without the fear of failure.
Strong Financial Footing	
Solid capital base	Foster to utilize capital in an organized manner to provide maximum shareholder return as well as to assure sustainability of the profit.
Professional & proper fund management	Committed to follow proper fund management practices, utilize bonding to minimize risk factors.
Sound and steady ROA and ROE	Focusing on superior financial results and maintaining shareholder returns.
Scope For Improvement	Addressing our weaknesses
Dependence on own capital; No private sector equity or debt (fully owned by Ministry of Finance, Government of Bangladesh)	Continue to issue bond to attract private sector funding and blend foreign and private sector fund to finance several development projects of the country to foster long term economic growth. Focus on Public Private Partnership (PPP) to collaborate with Government as well as private sector to become a major development partner of the country.
Portfolio concentration in Infrastructure development.	BIFFL continues bringing innovation in the product suite and carefully finds new niche markets to enter into. To address country and customer needs properly, BIFFL invests in diverse sectors including Power and Energy, Connectivity and Economic Zone, Green and Renewable Energy, Tourism, Social Infrastructure, Small & Medium Enterprise (SME), Women Entrepreneur Development and other sectors of utmost importance for the sustainable development of Bangladesh. BIFFL participated in various environment friendly projects including Green Bricks and Waste Recycling to foster environment friendly infrastructure development. Through SME and Women Entrepreneur Development program, BIFFL is ensuring access to finance to marginal borrower and women entrepreneur, which in turn creating jobs for unskilled and semi-skilled worker.
Portfolio concentration in Dhaka (limitation of having no branch outside Dhaka)	Conscious and strategic effort is in place to expand the geographic coverage and reduce portfolio concentration in Dhaka. A liaison office is being considered to be established in Chittagong.

Stakeholder Engagement

Stakeholders are people/communities who may – directly or indirectly, positively or negatively – affect or be affected by the outcomes of BIFFL's initiatives and decisions. Multi-stakeholder consultation in policy and strategy development and review is vital to ensure that policies reflect international best practices and incorporate the opinions and needs of those they intend to support. The participation process builds understanding and ownership of the policies and eases implementation.

At BIFFL, we work in the belief that stakeholder relationships are critical for BIFFL to be able to play a positive role in the society. Engagement with our stakeholders enables us to gain insight, sharpen our decision-making process and improve our capacity to generate shared values. Identification of stakeholders is the key to understand their expectations out of the company and, as such, helps pave the way towards fulfilling those expectations and delivering consistent values. The stakeholder ecosystem of BIFFL can be broadly divided into two categories: the core stakeholder group comprising shareholders, borrowers, suppliers and employees and other stakeholders including regulators, the local community, environmental groups and the media.

Stakeholder Engagement Mechanism

Shareholders

Management Philosophy: Ensuring long-term shareholder values, upholding the rights of the shareholders and supporting a broader shareholder constituency to ensure their wealth maximization.

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
Shareholder relations forums	P	- Shareholder satisfaction regarding BIFFL's financial position - Shareholder views on key governance and policy matters - Return on equity - Strategy and continuity - Financial performance	- Maintaining a consistent bottom line - Ensuring sustainable return on investment - Engaging in greater transparency and responsible stewardship - Maintaining BIFFL's reputation and credibility - Safeguarding asset quality
General meetings	A/P		
Annual Report	A		
Interim Financial Statements	Q		
Disclosures and announcements	P		
Corporate Website	24/7		
EC meeting, AC meeting and Board meeting.	P		
Meetings and consultations	P		
CSR activities	R		
A – Annually P – Periodically Q – Quarterly R – Regularly 24/7 – 24 hours 7 days			

Development Financial Institutions (Investors)

Management Philosophy: Engaging development financial institutions (investors) as partners of BIFFL rather than a mere creditor.

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
General meetings	P	• Transparency • Building a responsible culture • Sustainable business performance and growth • Responsible lending and investment • Financial inclusion and access to products and services	• Green Loan Initiative launched to incentivize energy efficient and other sustainable projects. • Engaging in greater transparency and responsible stewardship. • Sharing project pipeline and loan status.
Annual Report	A		
Interim Financial Statements	P		
Investor presentation	P		
Meetings and consultations	P		
One-to-one discussions	P		
General correspondence	P		
Technical Assistance (TA)	P		
Corporate website	24/7		
Review mission	P		
Exchange & exposure	P		
A – Annually P – Periodically Q – Quarterly R – Regularly 24/7 – 24 hours 7 days			

This **Stakeholder Engagement Assessment Matrix** gives a brief overview of how BIFFL identifies and manages its stakeholders considering the impact of BIFFL on stakeholders and the impact of each stakeholders on its activities.

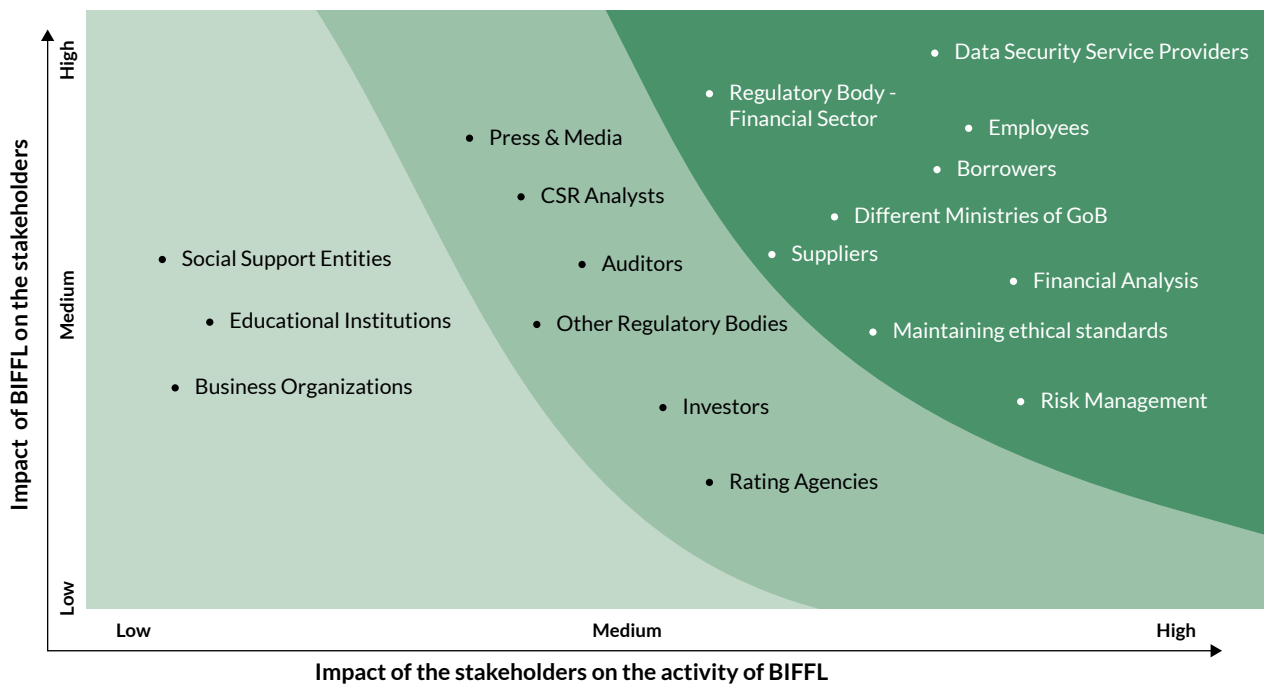


Figure: Stakeholder engagement assessment matrix

Employees

Management Philosophy: Commitment to create a conducive environment for the employees to develop and reach their potential, both professionally and personally.

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
Open-door policy	R	- Ethical employment practices - Career development opportunities - Employee communications & feedback - Rewards / recognition - Employee welfare - Work-life balance - Gender equality - Non-discriminatory work place - Non-smoking environment - Child-care - Prayer Hall - Gym - Subsidized lunch - Health insurance - Transportation facilities - Socialization	- Competitive rewards and benefits to attract best talent in the market - Promote greater diversity and inclusion - Develop from within through training & development - Encourage greater engagement - Performance-based incentives - Effective handling of grievance - Maintain high standards of occupational health & safety - Ensure employees' welfare - Foster a sense of belonging
Grievance-handling procedure	R		
Business unit level meetings	R		
Corporate Website	24/7		
Intranet	R		
Memorandums / Directives	P		
Training	P		
Internal circulars	R		
Get-togethers / Events	P		
CSR activities	P		
Online groups	24/7		
Retreat	A		
Newsletters	A		
Huddle Meetings	R		

A – Annually | P – Periodically | Q – Quarterly | R – Regularly | 24/7 – 24 hours 7 days

Borrowers

Management Philosophy: Uphold the borrowers' right to demand a stable and progressive borrowing environment which provides a superior service platform and promotes their choice / convenience

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
Open-door policy	R	Customer service	Maintain service excellence
One-on-one feedback from customers who visit BIFFL	R	Satisfaction on existing products	Effective complaint resolution
Customer surveys conducted via traditional or non-traditional research techniques	P	Need for innovations and customized solutions	Continuous introduction of innovative products which promote greater customer convenience
Social media interactions	24/7	Communication methods	Effective marketing and communication
Customer complaint handling mechanism	R	Awareness promotions	Better market share
Corporate website	24/7	Timely and relevant information on products and services	Regularly arrange conventions, expos, meetings, seminars etc. to engage stakeholders
Correspondence	R	- Customer benefits and rewards - Loyalty recognition	

A – Annually | P – Periodically | Q – Quarterly | R – Regularly | 24/7 – 24 hours 7 days

Suppliers and Service Providers

Management Philosophy: Striking the right balance between cost and quality and promoting ethical and transparent sourcing practices.

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
Interactions through the purchasing policy	R	Developing strategic partnerships	Engaging in fair and equitable procurement
Feedback evaluations	P	Promoting transparent and ethically responsible business practices	Supplier risk assessment mechanism
Meetings	P		
Visits to supplier workshops / offices	R	Continuous communication with suppliers & service providers	Contractual agreements to promote sustainable procurement
Written communications (letters & e-mails)	R		Local sourcing, maintenance of suppliers & service provider register
Reviews & assessments	24/7	Regular reviews on quality of goods and services	

A – Annually | P – Periodically | Q – Quarterly | R – Regularly | 24/7 – 24 hours 7 days

Government Institutions

Management Philosophy: Ensure compliance with all legal and regulatory requirements.

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
Policy directives / circulars, guidelines and operating instructions	R	- Policy decisions affecting the financial sector - Submission of returns - Taxes paid to the Government	- Compliance with regulations - Rectification actions on supervisory concerns - On-time submission of statutory returns and statutory payments - Response and contribution at meetings / forums and to instructions of the regulators - Micro, Small & Medium - Entrepreneurs lending & Women Entrepreneurship Development - Support Energy Efficiency and Renewable Energy (RE) sectors - Support agro-processing and other sustainable projects - Help investors to make better investment decisions
Meetings and forums	P		
Press releases	R		
Periodic and one-off returns	P		
On-site and off-site supervision	R/AW		
Memorandums / Directives	R		
Training	R		

A – Annually | **P** – Periodically | **Q** – Quarterly | **R** – Regularly | **24/7** – 24 hours 7 days | **As & When Required**

Community

Management Philosophy: Working with global and local mandates which safeguard the environment and promote community empowerment.

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
Feedback forms / environment grievance handling mechanism	P	- Community capacity building - Community empowerment - Social welfare - Environmental protection - Preservation of local culture	- Socially-responsive transformative CSR model - Community engagement - Employee volunteerism - Become an agent for change
Discussions with local government representatives	P		
Discussion with other organizations,	R		
community and opinion leaders on community development efforts	24/7		
Media-based forums			
CSR activities			

A – Annually | **P** – Periodically | **Q** – Quarterly | **R** – Regularly | **24/7** – 24 hours 7 days

Material Aspects for Stakeholders

According to the Global Reporting Initiative (GRI) standards, the materiality for reporting is identified by the engagement of the stakeholders throughout the countrywide economic and financial sphere. By using the GRI guidelines, reporting organizations disclose their most critical impacts – be they positive or negative – on the environment, society and the economy. They can generate reliable, relevant and standardized information with which to assess opportunities and risks, and enable more informed decision-making – both within the business and among its stakeholders. As the guideline goes, the ‘Materiality’ recognizes the reportable subjects and the subjects itself that are identified is considered as the ‘Aspects’. At BIFFL, the culture is to value the issues raised by stakeholders during the engagement process. Through the process a number of material aspects were found which are detailed as follows:

Economy	Environment	Social
• Economic performance • System efficiency	• Materials • Energy • Biodiversity • Emission • Waste • Compliance	• Equal Rights • Labour • Treatment • Child labour • Personal development • Grievance mechanism • Encouragement

Checklist Delineating the Sphere of the Material Aspects

The following checklist will detail out how BIFFL considers the material aspects and their influence on the performance of BIFFL from both the inner and outer spheres:

Category	Identified Material Aspect	Why is this material?	Inside the Organization	Outside the Organization
Economy	Economic performance	Competitiveness, better customer relationship and well inspection of projects enable long-term profitable growth. A financially strong company can shoulder responsibility for the environment, take care of its employees, monitor its funds, meet customer expectations, and produce excellent value to its shareholders.	Yes	Yes
	System efficiency	Better energy efficiency reduces the use of primary energy and the environmental impacts of energy production and use. We encourage energy-efficient projects while evaluating projects.	Yes	Yes

Category	Identified Material Aspect	Why is this material?	Inside the Organization	Outside the Organization
Environment	Materials	Many of our large infrastructure projects use large volumes of fuels in electricity and heat production and LP Gas processing.	Yes	Yes
	Energy	Many of our large infrastructure projects use large volumes of fuel and other energy sources, like hydropower, in electricity and heat production.	Yes	Yes
	Biodiversity	Land-use change due to site preparation for mega or large-scale project influences ecosystem and regional biota in several ways. Although, ecological characteristics are continually changed at different temporal scales, mega project may stimulate those changed by decreasing habitat of local biota. Operation of those large-scale projects may also accelerate degradation of biodiversity at a regional scale.	Yes	Yes
	Emission	Fuel combustion in electricity and heat production generates emissions into the air. Statutory limitations target emissions in Bangladesh.	Yes	Yes
	Waste	Projects we deal with are often of such nature that they create a huge amount of waste. This can pose a threat to our country.	Yes	Yes
	Compliance	Compliance with legislation in Bangladesh forms the foundation of our social operating license. Compliance of funding sources like, BB, JICA, WB, ADB etc. is also required.	Yes	Yes
Social	Equal rights	We value diversity and we promote equal treatment and opportunities in recruiting, remuneration, personnel development and advancement, regardless of race, religion, political views, gender, age, nationality, language, sexual orientation, marital status, or disability. We happily and confidently declare “One Team, Big Dream; Be the Best!”	Yes	Yes
	Labour	Collaboration between the employees and the employer is based on local legislation, agreements and BIFFL's Code of Conduct.	Yes	Yes
	Child labour	BIFFL has a higher level of vigilance on this issue ratified by the International Labour Organisation (ILO)'s Convention on the Minimum Age and the Worst Forms of Child Labour.	Yes	Yes
	Personal development	We are one of the most lucrative employers in Bangladesh. We aspire to be a desired employer that attracts and engages the best employees at all levels. That requires us to responsibly take care of our workforce to develop their personal skills.	Yes	N/A
	Grievance mechanism	Our operations are guided by BIFFL's values, the Code of Conduct and the Operations Policy. A grievance mechanism offers stakeholders a channel for reporting possible misconduct and get redressed.	Yes	N/A
	Encouragement/ Training	We aim to create interesting career and development opportunities to continuously advance personal professional skills and know-how. It is important to us to secure the expertise required to implement the company's strategy.	Yes	N/A

MANAGEMENT
DISCUSSION AND
PERFORMANCE ANALYSIS

Review of Financial Performance

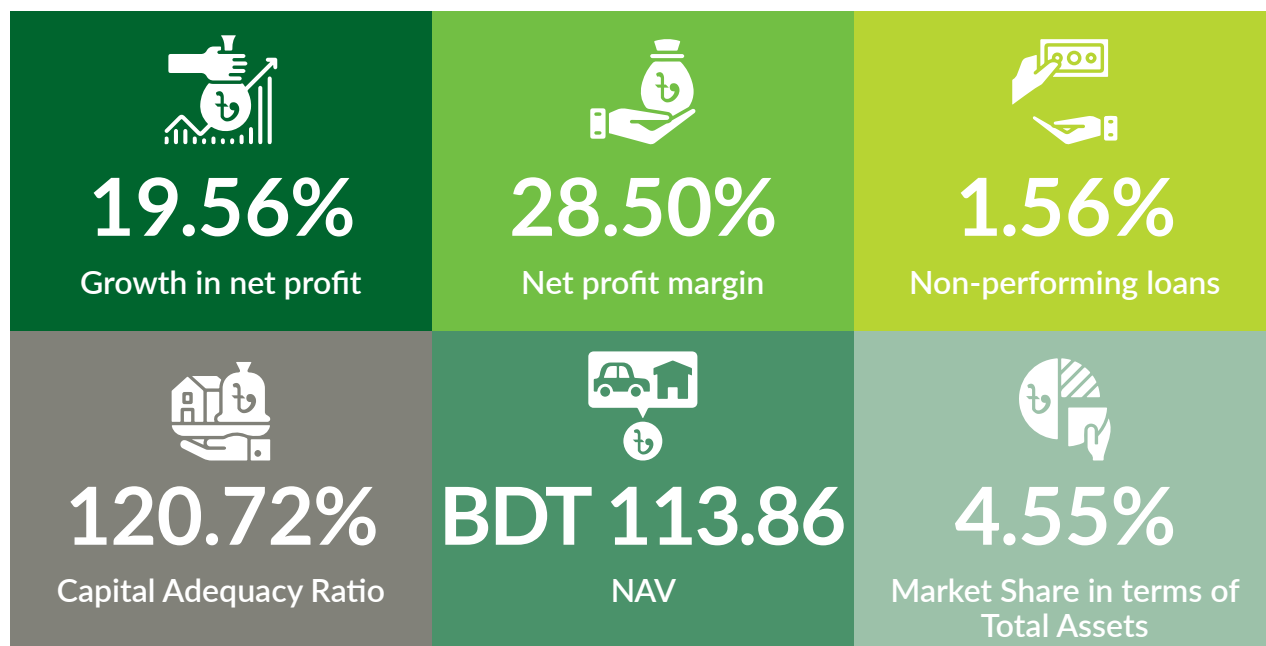
Being a unique organization in terms of its vision, mission, objectives, area of operations, and funding mix, BIFFL continued to perform in a positive trend in 2020, supported by increasing trend of interest revenue from long-term loans. In pursuit of achieving loan disbursement growth, we prioritize financing long-term infrastructural projects which are sustainable, energy efficient and overall environment friendly. Besides, being directly involved with the implementation of PPP projects, we also promote sustainable private sector initiatives in collaboration with different development partners.

Our long-term nature of funding sources has put us in an advantageous position to finance such long-term projects.

Notably, while explaining our key performance indicators and comparing those with industry benchmarks, we have considered our long-term nature of investments and sources of funding.

BIFFL's strong performance in 2020 is evident by its loan disbursement, net profit margin and earnings per share. It disbursed BDT 172.69 crore in 2020 and ROE was 2.07%.

We continued to create value to our shareholders by way of:



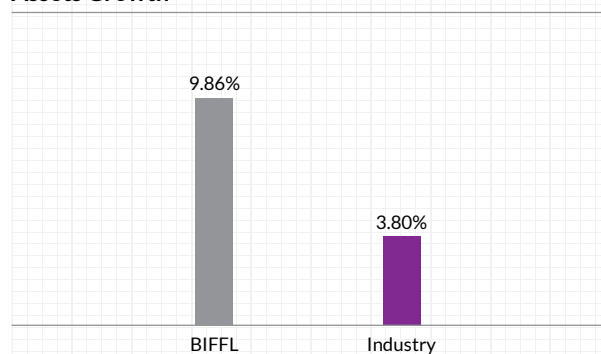
BIFFL's Performance against the Industry

BIFFL continued outperforming the industry in 2020 in terms of asset quality, earnings per share, net profit margin etc.

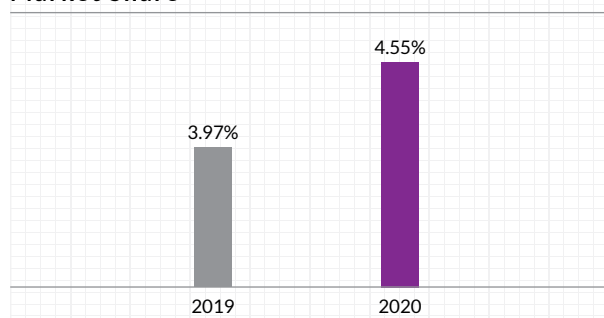
Total Assets

From the year 2016 to June 30, 2020, asset base of NBFIL industry grew at a Cumulative Average Growth Rate (CAGR) of 3.80%. At the same time, BIFFL asset base grew at a CAGR of 9.86%. At the end of 2020,

Assets Growth



Market Share

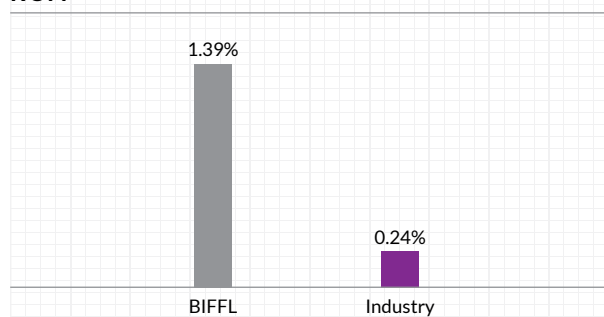


BIFFL's total assets is BDT 3,910.27 crore. BIFFL is sustainably maintaining its asset growth. Market share in terms of total asset is also growing. At the end of 2020 BIFFL holds 4.55% (Bangladesh Bank Annual Report- 2019-20) of the total assets of NBFi industry, that was 3.97% on 31 December 2019.

Return on Assets (ROA)

BIFFL's ROA at the end of 2020 was 1.39% compared to 0.24% of industry ROA. It outperformed the industry in terms of ROA. BIFFL maintained average ROA above the industry for the last five years.

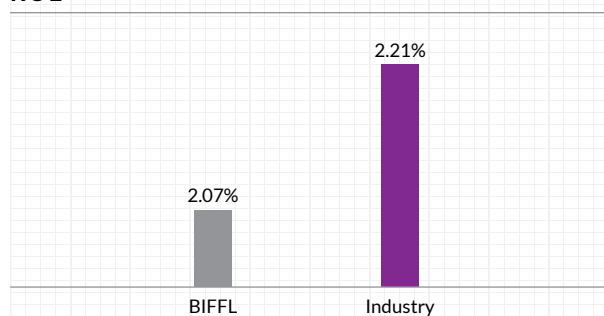
ROA



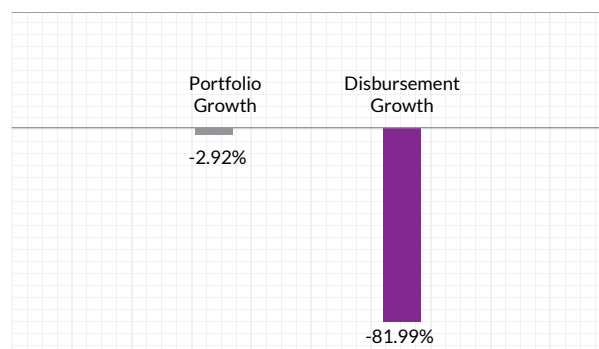
Return on Equity (ROE)

BIFFL's ROE in 2020 was 2.07% against the industry ROE of 2.21%. This relatively low ROE is mainly due to low value of BIFFL's equity multiplier resulted from unique sources of funding compared to other entities operating in the industry. BIFFL's capital structure is heavily dominated by equity capital.

ROE



Key Developments in 2020



BIFFL's financial results in 2020 reflect both the benefits of strategic actions taken over the past few years and the impact of strategic actions and restructuring which were continued in the reporting period.

Loans and advances to corporate sector and for national infrastructure development projects were BIFFL's strength for several years. Considering current business trends, risks, and profitability, BIFFL tends to focus more on long-term loans in different sectors. Considering adverse impact of Covid-19 pandemic, BIFFL remained cautious in selecting projects and disbursement thereon which results negative portfolio (-2.92%) and disbursement (-81.99%) growth compared to 2019.

BIFFL focused meticulously on human resource as one of major strategies. Recruitment of quality resources continued in 2020. BIFFL invested a lot to improve the quality of the existing employees in the form of both local and foreign trainings and exposures. Employee motivation is visible in BIFFL by means of competitive compensation package, increment and performance bonus, family gatherings, annual retreats, social events and so on. A well-defined succession plan has been introduced in BIFFL. A three-four level backup and career path has been introduced. BIFFL encourages leadership and provides for ample opportunities for its employees to march forward.

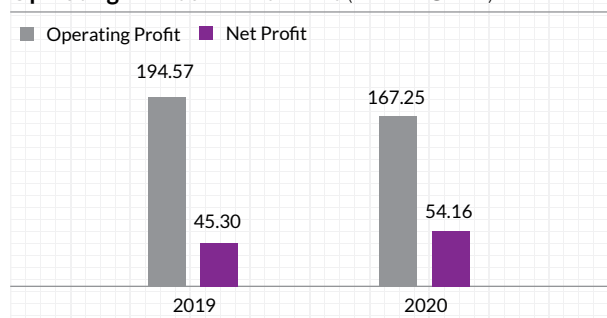
Analysis of Financial & Operational Performance

Profitability Position:

In 2020, the profitability indicators showed improvements posting net profit after tax of BDT 54.16 crore compared to BDT 45.30 crore in 2019 reflecting a year-to-year growth of 19.56%. That growth in profitability resulted mainly due to strong emphasis on portfolio management and asset quality. BIFFL focuses more on primary line of business and 2020's financials show the following results.

Particulars	In BDT Crore		Y-Y Growth	
	2019	2020	Amount	%
Operating Profit	194.57	167.25	-27.33	-14.04%
Net Profit	45.30	54.16	8.86	19.56%

Operating Profit and Net Profit (BDT in Crore)



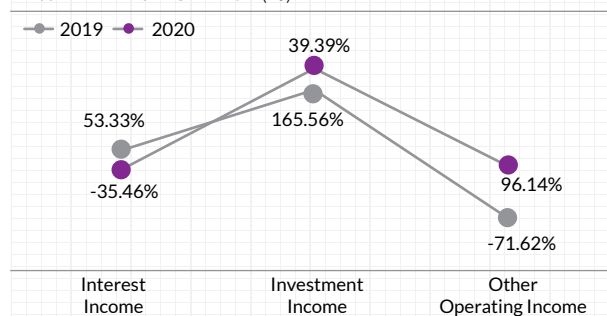
Revenue Position

Though revenue of BIFFL dropped down to BDT 190.04 crore in 2020 from BDT 220.14 crore in 2019, the organization experienced a 19.56% growth in net profit due to reduction in operating expenses and improvement in assets quality. BIFFL is expecting a decent growth in revenue and profit in coming years with new PPP and sustainable projects financing.

In total revenue mix, core contributor was interest revenue. In 2020, interest revenue contributed 58.96%, investment income 17.15% and other income 23.89%, respectively, in total revenue.

Particulars	Percentage (%)	
	2019	2020
Interest Income	78.86%	58.96%
Investment Income	10.62%	17.15%
Other Operating Income	10.51%	23.89%
Total	100.00%	100.00%
Total	220.14	190.04

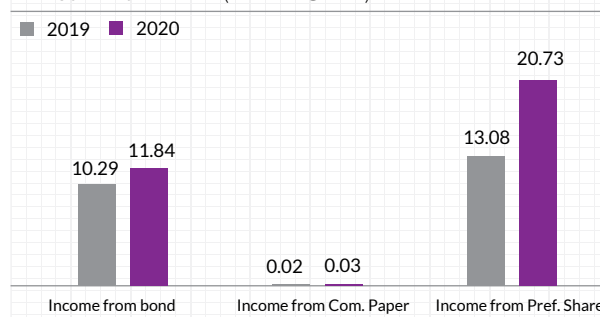
Total Revenue Growth (%)



In 2020, BIFFL's income from bonds preference shares and commercial papers increased by 15.09%, 58.50% and 50.00% respectively which resulted overall, income from investment increased by 39.39% in this year.

Particulars	In BDT Crore		Y-Y Growth	
	2019	2020	Amount	%
Income from bond	10.29	11.84	1.55	15.09%
Income from Com. Paper	0.02	0.03	0.01	50.00%
Income from Pref. Share	13.08	20.73	7.65	58.50%
Total Investment Income	23.38	32.59	9.21	39.39%

Investment Income (BDT in Crore)

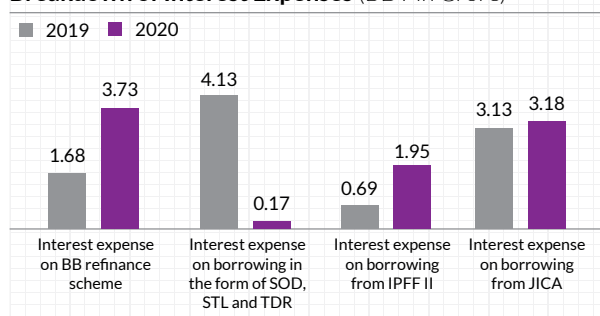


Interest Expenses

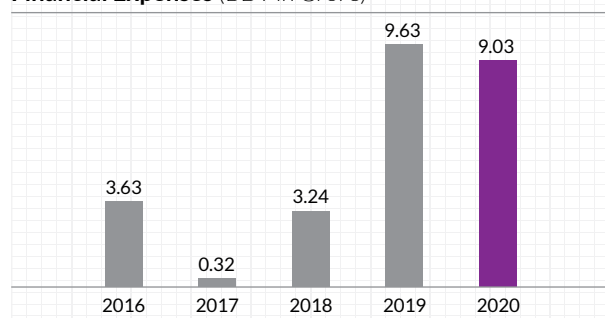
In 2020, interest expenses decreased by 6.29% to BDT 9.03 crore from BDT 9.63 crore of 2019. This reduction of overall interest expenses was mainly due to BIFFL stances to move to low cost funding sources of DFIs from high cost funds of local markets such local banks and other entities.

Particulars	In BDT Crore		Y-Y Growth	
	2019	2020	Amount	%
Interest expense on BB refinance scheme	1.68	3.73	2.05	121.98%
Interest expense on borrowing in the form of SOD, STL and TDR	4.13	0.17	-3.96	-95.85%
Interest expense on borrowing from IPFF II	0.69	1.95	1.26	182.61%
Interest expense on borrowing from JICA	3.13	3.18	0.05	1.62%
Total interest expenses	9.63	9.03	-0.61	-6.29%

Breakdown of Interest Expenses (BDT in Crore)



Financial Expenses (BDT in Crore)



Operating Expenses

Operating expenses was BDT 13.77 crore in 2020 compared to BDT 15.93 crore in 2019 which reflects 13.56% savings in operating expenses compared to previous year.

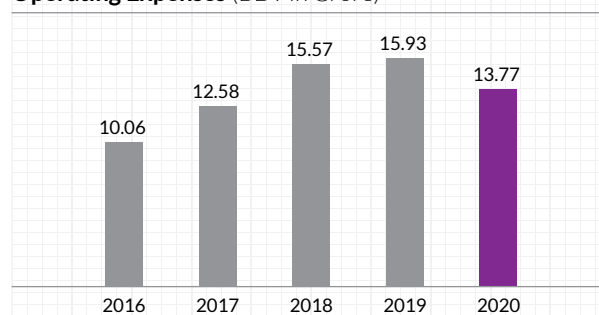
Particulars	In BDT Crore		Y-Y Growth	
	2019	2020	Amount	%
Rent, taxes, insurance, electricity etc.	0.35	0.17	(0.18)	-50.68%
Legal expenses	0.07	0.02	(0.05)	-72.08%
Postage, stamp, telecommunication etc.	0.19	0.17	(0.03)	-13.32%
Stationery, printing, advertisement etc.	0.68	0.19	(0.50)	-72.72%
Managing Director's salary and allowances	0.68	0.70	0.02	2.37%
Directors' fees	0.14	0.09	(0.05)	-35.79%
Auditors' fees	0.03	0.04	0.01	51.88%
Depreciation and repairs of company's assets	4.65	4.55	(0.10)	-2.06%
Other operating expenses	3.24	1.70	(1.53)	-47.36%
Total operating expenses	15.93	13.77	(2.16)	-13.56%

The main contributors to changes in operating expenses were:

- Staff related cost increased by 4.04%, comprising:
 - Growth in average number of employees in 2020 compared to 2019
 - Incentives provided to employees in line with strong financial performance in 2019
- Rent, insurance, and electricity expenses decreased by 50.68% along with 2.06% decrease of depreciation and repairs of company's assets.

- Efficient business dealings with clients, effective cost management strategy during pandemic period reduced cost of stationery, printing, and advertisement by 72.72% and legal expenses by 72.08%.
- Other operating expenses decreased by 47.36% in 2020 compared to 2019. Major contributors of other operating expenses were office maintenance, IT maintenance, training expenditure, CSR expenses, project site supervision expenses, travelling allowance and conveyances.
- Auditor's fees increased by 51.88% in 2020 mainly due to selection of top ranked audit firm and appointment of additional compliance audit in addition to statutory audit fees.

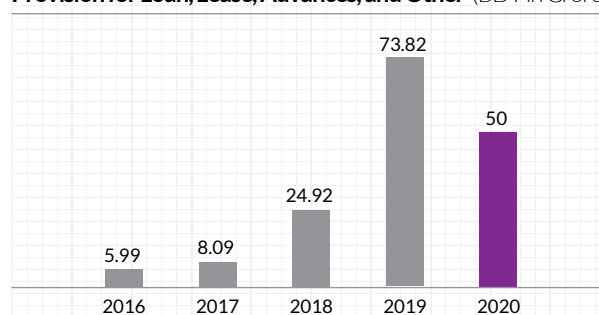
Operating Expenses (BDT in Crore)



Provision for leases, loans, and advances and other

Provision for leases, loans and advances increased over the last five years along with the growth in loan portfolio. Provision maintained in 2020 is fully voluntary as measure of building resilience against market and economic shock arises from adverse situation as like Covid-19 pandemic.

Provision for Loan, Lease, Advances, and Other (BDT in Crore)



Analysis of Financial Position

Leases, loans, and advances

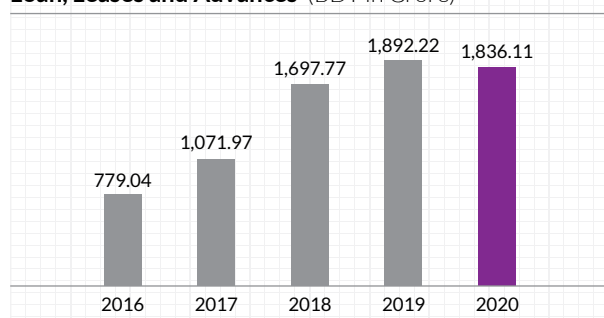
In 2020, leases, loans and advances stood to BDT 1,836.11 crore compared to BDT 1,892.22 crore in the previous year reflecting year to year negative growth of 2.97%. Strong measures for recovery of due

instalments and cautious selection of new projects for disbursement during pandemic period resulted negative growth of loan portfolio. BIFFL was focusing financing on different sectors like textiles, garments and accessories, transport, steel and engineering, power and energy, electronics and electrical, plastic, food and beverage, glass and ceramics, services, and other sectors.

Particulars	In BDT Crore		Y-Y Growth	
	2019	2020	Amount	%
Leases, loans, and advances	1,892.22	1,836.11	(56.11)	-2.97%

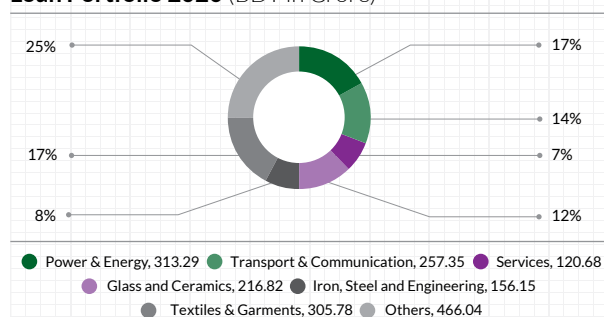
BIFFL loans, leases, and advances portfolio have experienced a steady growth over the last five years. In 2016, loans & leases portfolio was only BDT 779.04 crore. However, within a span of 5 years, it reached to BDT 1,836.11 crore.

Loan, Leases and Advances (BDT in Crore)



Major share of the leases & loans portfolio has been invested in power & energy and Garments & Textile Sectors in line with BIFFL's vision of financing energy efficient export sector to spur export earnings and infrastructure development. As a part of infrastructure development BIFFL also has mandate to invest in transport and communication sector. Other important sectors are services, economic zones, glass and ceramics, steel, and engineering etc.

Loan Portfolio 2020 (BDT in Crore)

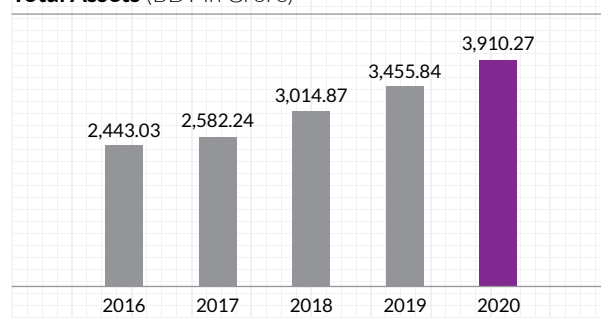


Total Assets

Total assets of BIFFL have increased by 60.05% in last five years. Over the last five years BIFFL's asset base grew on average @10% per year. This increase in

assets is mostly financed by sustainable earnings and low-cost borrowing from DFIs.

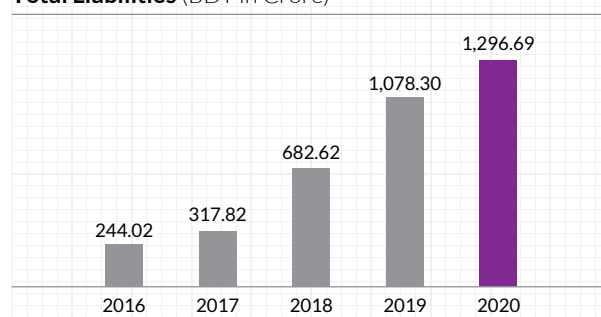
Total Assets (BDT in Crore)



Total Liabilities

In 2020, total liabilities increased by 20.25% to BDT 1,296.96 crores. The increase in total liabilities is mainly due to injection of fund from loan from JICA and fund from IPFF II of WB through Bangladesh Bank. However, liability portion is still quite low compared to equity capital. Before 2019, most part of this liability consisted of different operational liabilities and short-term fund arrangement with different banks and financial institutions.

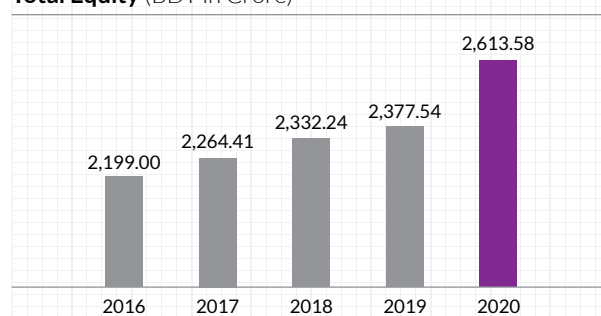
Total Liabilities (BDT in Crore)



Equity Capital

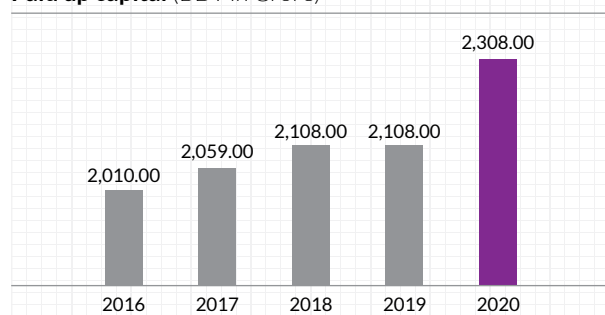
Over the last five years, the equity capital of BIFFL has increased by almost BDT 415 crore. This increment is from additional equity injection of government amounting BDT 200 crore and remaining part is from retained earnings over the last five years. At the end of 2020, the amount of common equity capital was BDT 2,613.58 crore.

Total Equity (BDT in Crore)



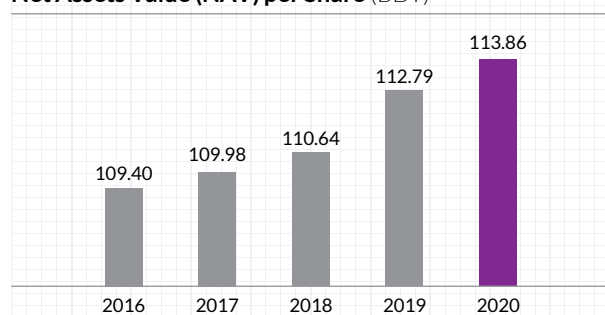
Paid up capital at the end of 2016 was BDT 2,010 crore which stood at BDT 2,308 crore at the end of 2020.

Paid up capital (BDT in Crore)



Net assets value per share of BIFFL is in an increasing trend from 2016. At the end of 2020 NAV per share was BDT 113.86, BDT 1.07 higher than previous year.

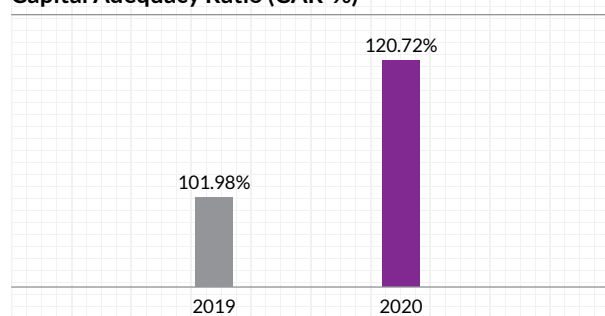
Net Assets Value (NAV) per Share (BDT)



Capital and Capital Adequacy

BIFFL is operating with strong capital base with capital adequacy ratios (CAR) well above the Basel II minimum regulatory capital requirements. Required CAR is 10% where, in 2020 BIFFL had 120.72% compared to 101.98% in 2019. Rise in CAR by around 20% is mainly due to increase in equity capital and downward movement of risk weighted assets in 2020 compared to previous year. Total capital increased by 9.83% in 2020 with an amount of BDT 2,637.25crore and BDT 2,401.21 crore in 2019

Capital Adequacy Ratio (CAR-%)

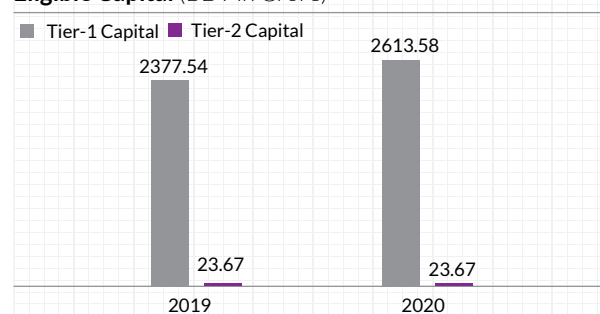


Balance sheet was well positioned with our Basel II CAR at 120.72%. CAR is substantially well above regulatory requirement of 10%.

Particulars	In BDT Crore		Y-Y Growth	
	2019	2020	Amount	%
Tier-1 Capital	2,377.54	2,613.58	236.04	9.83%
Tier-2 Capital	23.67	23.67	0.00	0.0%
Total Capital	2,401.21	2,637.25	236.04	9.83%

Increase in Tier-1 eligible capital was mainly due to higher amount of shareholders equity compared to previous year supported by retained earnings and additional equity injection by the shareholders.

Eligible Capital (BDT in Crore)

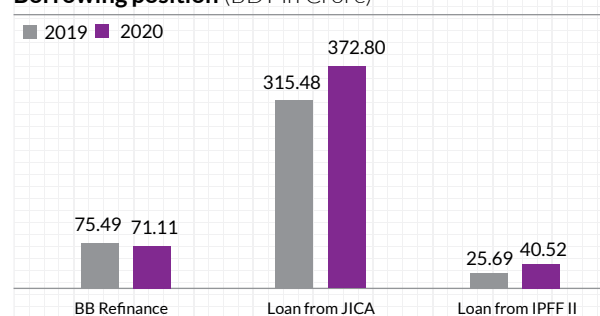


Liquidity level of BIFFL remained sound with increasing statutory liquid assets and cash reserve resulting in positive liquidity coverage ratio which was well above the regulatory requirement.

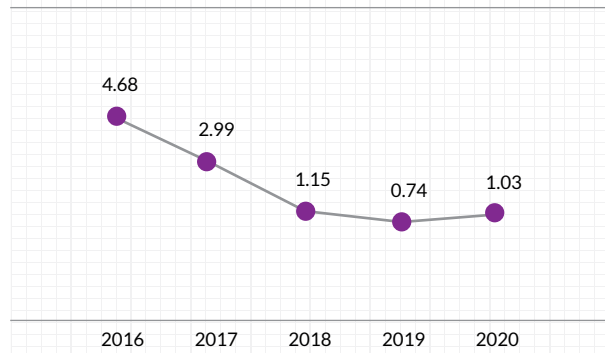
Fund from Bangladesh Bank refinancing scheme and Multilateral Agency

BIFFL received around BDT 55 crore and BDT 13 crore fresh disbursement of long-term loans from JICA, IPFF-II of WB in 2020.

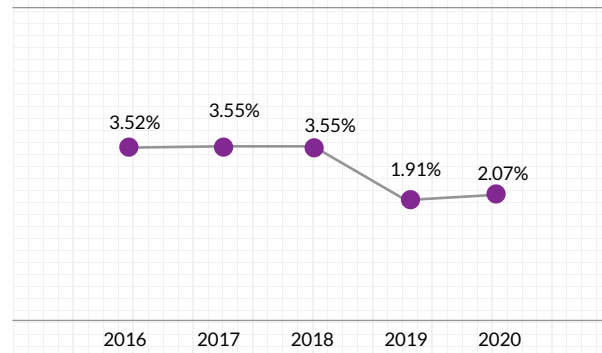
Borrowing position (BDT in Crore)



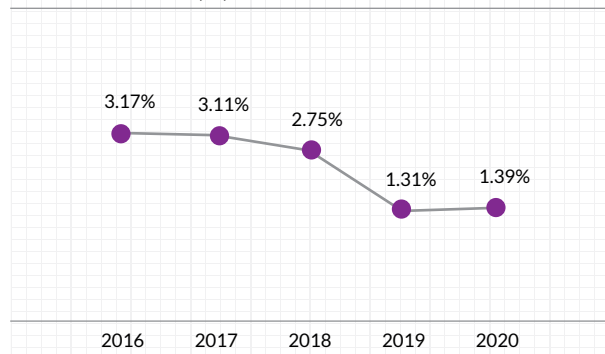
Current Assets to Liabilities (Times)



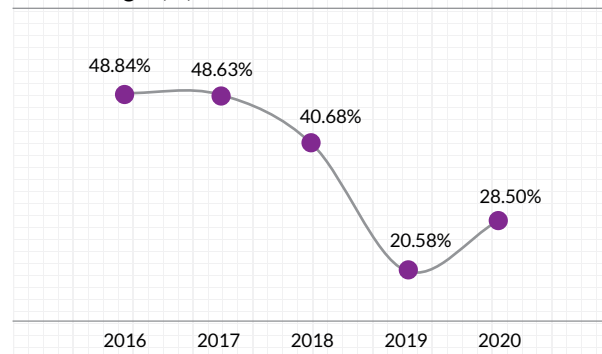
Return on Share Holders Equity (%)



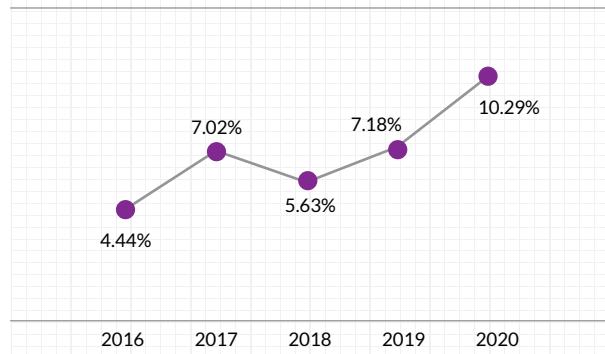
Return on Assets (%)



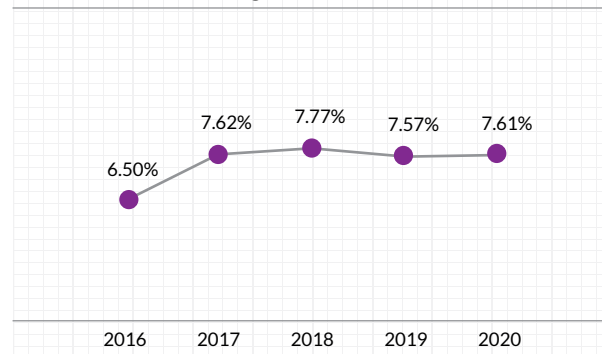
Profit Margin (%)



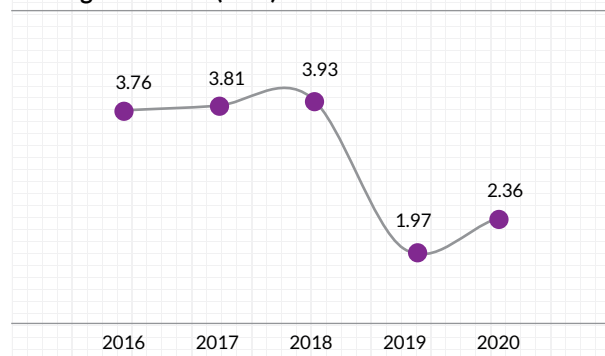
Return on Investment (%)



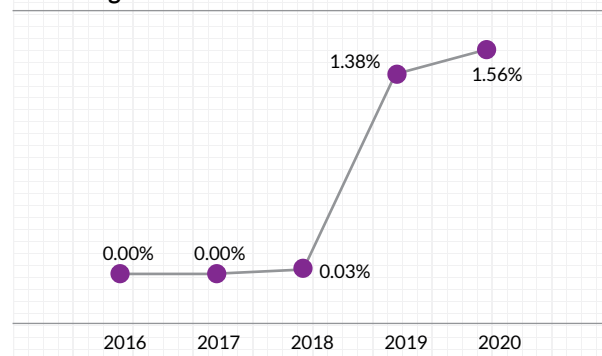
Opex as % of Operating Income



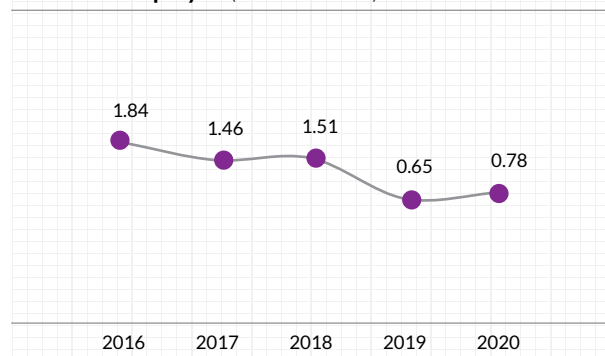
Earnings Per Share (BDT)



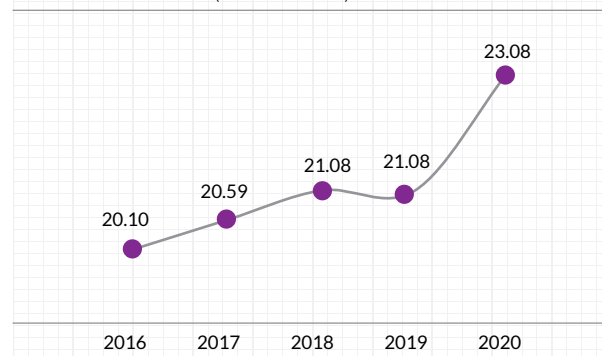
Percentage of classified loans



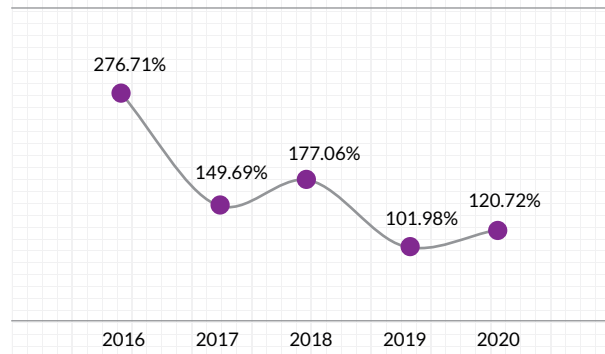
Profit Per Employee (BDT in Crore)



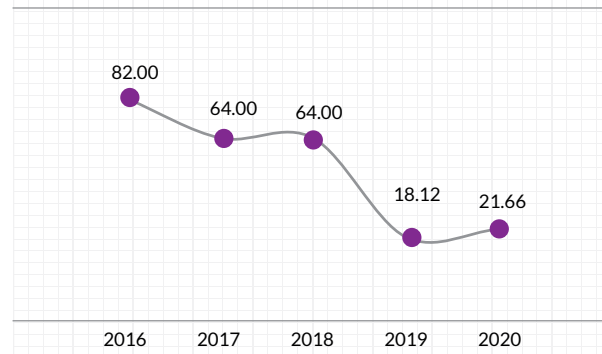
Number of Shares (No. in Crore)



Capital Adequacy Ratio (CAR-%)



Dividend (BDT in Crore)



Key Operating & Financial Highlights

Particulars	2016	2017	2018	2019	2020	Growth of 2020 over 2019	5-Year AVG(%)
Financial Performance (BDT)							
Long-Term Investment	855,544,789	747,603,687	1,313,443,963.79	3,005,862,186.16	2,919,028,755.00	-2.89%	28%
Short-Term Investment	1,650,000,000	1,750,000,000	250,000,000.00	250,000,000.00	250,000,000.00	0.00%	-31%
Loan Portfolio	7,790,365,136	10,719,748,885	16,977,708,408.05	18,922,252,015.98	18,361,145,944.52	-2.97%	19%
Power & Energy	270,054,602	244,962,850	1,176,563,046.86	2,497,143,757.84	3,132,893,943.83	25.46%	63%
Transport & Communication Services	3,800,000,000	3,200,000,000	5,683,422,222.22	3,564,884,027.67	2,573,528,754.58	-27.81%	-7%
Glass and Ceramics	518,692,706	1,202,611,111	1,226,668,940.00	1,100,286,937.06	1,206,784,551.94	9.68%	18%
Glass and Ceramics	102,481,875	467,547,146	1,104,177,286.98	1,924,139,629.36	2,168,226,739.06	12.69%	84%
Iron, Steel and Engineering	-	800,000,000	736,657,322.09	1,188,523,408.62	1,561,468,924.50	31.38%	14%
Textiles & Garments	-	664,378,185	1,444,541,904.25	2,809,066,682.87	3,057,838,441.59	8.86%	36%
Others	3,099,135,953	4,140,249,593	5,605,677,685.64	5,838,207,572.57	4,660,404,589.02	-20.17%	9%
Total Assets	24,430,253,970	25,822,384,167	30,148,654,129.44	34,558,436,056.25	39,102,717,178.21	13.15%	10%
Total Liabilities	2,440,217,844	3,178,240,743	6,826,216,327.66	10,783,007,972.11	12,966,911,094.27	20.25%	40%
Total Equity	21,990,036,126	22,644,143,424	23,322,437,801.78	23,775,428,084.25	26,385,806,083.72	10.98%	4%
Net Current Assets	11,406,612,423	9,163,271,367	7,655,078,598.32	7,060,956,811.72	9,788,995,320.41	38.64%	-3%
Operational Performance (BDT)							
Interest Income from Leases, Loans and Advances	412,661,561	748,241,004	1,132,242,764.30	1,736,088,526.88	1,120,550,038.55	-35.46%	22%
Total Revenues	1,583,574,404	1,653,372,411	2,035,884,782.68	2,201,351,617.47	1,900,439,684.84	-13.67%	4%
Operating Income	1,547,302,192	1,650,140,401	2,003,473,349.00	2,105,005,636.34	1,810,153,567.38	-14.01%	3%
Operating Expenses	100,571,797	125,801,396	155,707,083.19	159,278,573.35	137,680,789.23	-13.56%	6%

Financial Expenses	36,272,212	3,232,010	32,411,433.68	96,345,980.63	90,286,116.96	-6.29%	20%
Provision for Loan, Lease, advances, investments, FDR and other assets	59,936,697	80,858,449	249,241,428.54	738,228,621.00	500,000,000.00	-32.27%	53%
Profit Before Provision & Tax	1,446,730,395	1,524,339,005	1,847,766,265.81	1,945,727,062.99	1,672,472,778.15	-14.04%	3%
Profit Before Tax	1,386,793,698	1,443,480,556	1,598,524,837.00	1,207,498,441.99	1,172,472,778.15	-2.90%	-3%
Net Profit After Tax	773,414,997	804,107,298	828,294,377.70	452,990,281.25	541,574,112.48	19.56%	-7%
EBITDA	1,497,942,604	1,564,365,401	1,918,575,286.00	1,349,004,966.91	1,307,328,916.69	-3.09%	-3%
Financial Ratios							
Current Assets to Liabilities Ratio (Times)	4.68	2.99	1.15	0.74	0.99	32.53%	-27%
Return on Assets (%)	3.2%	3.1%	2.7%	1.3%	2.02%	54.44%	-9%
Return on Investment (%)	4.44%	7.02%	5.63%	7.18%	10.29%	43.21%	18%
Return on Share Holders Equity (%)	3.52%	3.55%	3.55%	1.91%	2.07%	8.76%	-10%
Profit Margin (%)	48.84%	48.63%	40.68%	20.58%	28.50%	38.49%	-10%
Opex as % of Operating Income	6.50%	7.62%	7.77%	7.57%	7.61%	0.52%	3%
Earnings Per Share (BDT)	3.76	3.81	3.93	1.97	2.36	19.56%	9%
Profit Per Employee (BDT)	18,414,643	14,620,133	15,059,897.78	6,471,289.73	7,848,900.19	21.29%	-16%
Capital Adequacy Ratio (CAR)	276.71%	149.69%	177.06%	101.98%	120.72%	18.37%	15%
% Classified Laons	-	-	0.03%	1.38%	1.56%	12.44%	120%
Equity Statistics							
Number of Shares (No.)	201,000,000.00	205,900,000.00	210,800,000.00	210,800,000.00	230,800,000	9.49%	3%
Paid-Up Capital (BDT)	20,100,000,000.00	20,590,000,000.00	21,080,000,000.00	21,080,000,000.00	23,080,000,000	9.49%	3%
Share Holders Equity (BDT)	21,990,036,126.33	22,644,143,424.07	23,322,437,801.78	23,775,428,084.25	26,135,806,084	9.93%	4%
Dividend (BDT)	820,000,000.00	640,000,000.00	640,000,000.00	181,196,112.00	216,629,645	19.56%	-23%
Net Assets Value (NAV) per Share	109.40	109.98	110.64	112.79	113.86	0.95%	1%

Horizontal Analysis

For the last 5 years

Balance Sheet

Particulars	2016	2017	2018	2019	2020
PROPERTY AND ASSETS					
Cash	100%	70%	58%	53%	3%
Cash in hand	100%	21%	25%	29%	19%
Balance with Bangladesh Bank	100%	71%	58%	53%	3%
Balance with others Banks and Financial Institutions	100%	83%	45%	45%	110%
Inside Bangladesh	100%	83%	69%	70%	110%
Outside Bangladesh	-	-	-	-	-
Money at call and short notice	0%	100%	0%	46%	45%
Investment	100%	100%	62%	130%	126%
Government Securoties	-	-	-	-	-
Others Investments	100%	100%	62%	130%	130%
Lease, Loans and advances	100%	138%	218%	243%	236%
Lease portfolio, term finance, short term loan, etc.	-	-	-	-	-
Fixed assets including land, Building, Furniture and Fixtures	100%	90%	103%	90%	75%
Other assets	100%	117%	142%	169%	50%
TOTAL PROPERTY AND ASSETS	100%	106%	123%	141%	160%
LIABILITY AND SHAREHOLDERS' EQUITY					
Liabilities					
Borrowings from Bangladesh Bank ,Other Banks and Financial Institutions	100.00%	79.21%	56120%	95008%	110461%
Term Deposits	-	-	-	100%	0%
Other Liabilities	100%	130%	179%	251%	333%
TOTAL LIABILITIES	100%	130%	280%	442%	531%
Share holders' Equity	100%	103%	106%	108%	119%
Paid up capital	100%	102%	105%	105%	115%
Share premium	-	-	-	-	-
Statury reserve	100%	113%	126%	134%	142%
General reserve	-	-	-	100%	200%
Fair value measurement reserve	-	-	-	-	-
Retained earnings	100%	101%	104%	152%	183%
Non controlling interest	-	-	-	-	-
TOTAL LIABILITY AND SHAREHOLDERS' EQUITY	100%	106%	123%	141%	160%

Horizontal Analysis

For the last 5 years

Profit and loss account

Particulars	2016	2017	2018	2019	2020
Operating income					
Net interest	100%	198%	292%	436%	274%
Interest income	100%	181%	274%	421%	272%
Less: Interest expenses on deposits & borrowings	100%	9%	89%	266%	249%
Income from investment	100%	157%	79%	210%	293%
Commission ,exchange and brokerage income	-	-	-	-	-
Other operational income	100%	69%	77%	22%	43%
Total Operating income	100%	107%	129%	136%	117%
Operating expenses					
Salary and allowances	100%	153%	187%	232%	241%
Rent, taxes, insurance	100%	70%	112%	67%	33%
Legal and professional fees	100%	27%	49%	26%	7%
Postage, stamp, telecommunication	100%	73%	81%	91%	79%
Stationary, printing, advertisement	100%	55%	164%	77%	21%
Managing directors salary and allowances	100%	105%	113%	75%	77%
Director's fees and expenses	100%	98%	105%	110%	71%
Audit fees	100%	115%	353%	255%	388%
Repair, maintenance and depreciation	100%	152%	160%	182%	178%
Other expenses	100%	130%	159%	161%	85%
Total Operating expenses	100%	125%	155%	158%	137%
Net operating income	100%	105%	128%	134%	116%
Provision for loans, investment and other assets	100%	135%	416%	1232%	834%
Provision for loans, investment and other assets	100%	135%	416%	1232%	834%
Profit before tax and reserve	100%	104%	115%	87%	85%
Provision for tax made during the year	100%	104%	126%	123%	103%
Net profit after tax	100%	104%	107%	59%	70%
Earning per share (EPS)	100%	104%	104%	53%	63%

Vertical Analysis

For the last 5 years

Balance Sheet

Particulars	2016	2017	2018	2019	2020
PROPERTY AND ASSETS					
Cash	0.24%	0.16%	0.11%	0.09%	0.00%
Cash in hand	0.00%	0.00%	0.00%	0.00%	0.00%
Balance with Bangladesh Bank	0.24%	0.16%	0.11%	0.09%	0.00%
Balance with others Banks and Financial Institutions	46.47%	36.41%	25.98%	23.05%	32.00%
Inside Bangladesh	46.47%	36.41%	25.98%	23.05%	32.00%
Outside Bangladesh	0.00%	0.00%	0.00%	0.00%	0.00%
Money at call and short notice	0.00%	0.23%	0.00%	0.08%	0.07%
Investment	10.26%	9.67%	5.19%	9.42%	8.10%
Government Securoties	0.00%	0.00%	0.00%	0.00%	0.00%
Others Investments	10.26%	9.67%	5.19%	9.42%	8.10%
Lease, Loans and advances	31.89%	41.51%	56.31%	54.75%	46.96%
Fixed assets including land, Building, Furniture and Fixtures	1.21%	1.03%	1.02%	0.77%	0.57%
Other assets	9.93%	10.98%	11.40%	11.83%	12.30%
TOTAL PROPERTY AND ASSETS	100.00%	100.00%	100.00%	100%	100%
LIABILITY AND SHAREHOLDERS' EQUITY					
Liabilities					
Borrowings from Bangladesh Bank ,Other Banks and Financial Institutions	0.02%	0.01%	8.16%	12.06%	12.39%
Term Deposits	0.00%	0.00%	0.00%	1.46%	0.00%
Other Liabilities	9.97%	12.29%	14.48%	17.69%	20.77%
TOTAL LIABILITIES	9.99%	12.31%	22.64%	31.20%	33.16%
Share holders' Equity	90.01%	87.69%	77.36%	68.80%	66.84%
Paid up capital	82.28%	79.74%	69.92%	61.00%	59.02%
Share premium	-	-	-	-	-
Statutory reserve	5.08%	5.43%	5.20%	4.80%	4.52%
General reserve	-	-	-	0.14%	0.26%
Fair value measurement reserve	-	-	-	-	-
Retained earnings	2.65%	2.52%	2.24%	2.85%	3.04%
Non controlling interest	-	-	-	-	-
TOTAL LIABILITY AND SHAREHOLDERS' EQUITY	100.00%	100.00%	100.00%	100%	100%

Vertical Analysis

For the last 5 years

Statement of Comprehensive Income

Particulars	2016	2017	2018	2019	2020
Operating income					
Net interest	23.77%	45.06%	54.02%	74.49%	54.21%
Interest income	26.06%	45.26%	55.61%	78.86%	58.96%
Less: Interest expenses on borrowings	2.29%	0.20%	1.59%	4.38%	4.75%
Income from investment	7.03%	10.60%	4.32%	10.62%	17.15%
Commission, exchange and brokerage income	0.00%	0.00%	0.00%	0.00%	0.00%
Other operational income	66.91%	44.15%	40.06%	10.51%	23.89%
Total Operating income	97.71%	99.80%	98.41%	95.62%	95.25%
Operating expenses					
Salary and allowances	1.61%	2.36%	2.34%	2.68%	3.23%
Rent, taxes, insurance	0.33%	0.22%	0.29%	0.16%	0.09%
Legal and professional fees	0.17%	0.04%	0.07%	0.03%	0.01%
Postage, stamp, telecommunication	0.13%	0.09%	0.08%	0.09%	0.09%
Stationary, printing, advertisement	0.56%	0.30%	0.72%	0.31%	0.10%
Managing directors salary and allowances	0.57%	0.58%	0.50%	0.31%	0.37%
Director's fees and expenses	0.08%	0.08%	0.07%	0.06%	0.05%
Audit fees	0.01%	0.01%	0.02%	0.01%	0.02%
Repair, maintenance and depreciation	1.62%	2.35%	2.01%	2.11%	2.40%
Other expenses	1.27%	1.58%	1.56%	1.47%	0.90%
Total Operating expenses	6.35%	7.61%	7.65%	7.24%	7.24%
Net operating income	91.36%	92.20%	90.76%	88.39%	88.00%
Provision for loans, investments and others	3.78%	4.89%	12.24%	33.54%	26.31%
Provision for loans, investments and others	3.78%	4.89%	12.24%	33.54%	26.31%
Profit before tax and reserve	87.57%	87.31%	78.52%	54.85%	61.69%
Provision for tax made during the year	38.73%	38.67%	37.83%	34.27%	33.20%
Provision for tax made during the year	38.73%	38.67%	37.83%	34.27%	33.20%
Net profit after tax	48.84%	48.63%	40.68%	20.58%	28.50%

Highlights

(As per Bangladesh Bank guidelines)

Annexure -B

Sl No.	Key Indicators	Amount in BDT	
		31-Dec-20	31-Dec-19
1	Paid-up capital	23,080,000,000	21,080,000,000
2	Total capital	26,622,469,886	24,012,091,886
3	Capital surplus	24,437,874,699	21,657,598,903
4	Total assets	39,102,717,178	34,558,436,056
5	Total deposits	-	504,618,055
6	Total leases, loans, and advances	18,361,145,945	18,922,252,016
7	Total contingent liabilities and commitments	454,800,000	503,031,759
8	Credit deposit ratio	-	3750%
9	Percentage of classified loans against total leases, loans, and advances	1.56%	1.38%
10	Profit after tax and provision	541,574,113	452,990,281
11	Amount of classified loans during current period	23,838,714	256,776,476
12	Provision kept against classified loans	29,883,945	29,883,945
13	Interest earning assets	34,069,156,611	30,170,764,534
14	Non-interest earning assets	5,033,560,567	4,387,671,522
15	Return on investment (ROI)	10.29%	7.18%
16	Return on assets (ROA)	1.39%	1.31%
17	Income from investment	325,936,996	233,825,597
18	Earnings per share (EPS)	2.36	1.97
19	Net income per share	2.36	1.97

Value Added Statement

The value added statement appended below is the details of total value addition by Bangladesh Infrastructure Finance Fund Limited (BIFFL) and distribution thereof. The distribution of value reveals how the company contributed for socio-economic development by paying salaries and allowances to the employees, dividend to the shareholders (Government), taxes to the Government and retention of some amounts for growth and expansion.

Value addition	2020	2019	2018	2017	2016	%
	BDT	BDT	BDT	BDT	BDT	%
Total income	1,900,439,684.84	2,201,351,617	2,035,884,783	1,653,372,411	1,583,574,404	
Cost of borrowing	(90,286,116.96)	(96,345,981)	(32,411,434)	(3,232,010)	(36,272,212)	
Provisions	(500,000,000)	(738,228,621)	(249,241,429)	(80,858,449)	(59,936,697)	
Operating expenses excluding salary expenses and depreciation	(31,723,687.82)	(48,293,934)	(59,517,228)	(40,416,710)	(51,065,781)	
	1,278,429,880	1,318,483,082	1,694,714,693	1,528,865,242	1,436,299,714	
Distribution of Value Addition						
To Employees as salaries and allowances	61,387,079.83	65,842,767	57,792,269	48,590,300	34,566,019	3%
To Government as Income Tax	638,629,480.96	760,435,907	768,477,974	641,851,639	606,429,852	42%
To Shareholders (Government) as Dividend	216,629,644.99	181,196,112	-	640,000,000	640,000,000	42%
Value retained for expansion and future growth						
Value retained in business	324,944,468	271,775,498	828,294,378	164,107,298	133,414,997	11%
Deferred Tax	(7,730,815.28)	(5,927,746)	1,752,485	(2,478,381)	6,948,849	-0.16%
Depreciation	44,570,021.58	45,160,544	38,397,587	36,794,386	14,939,997	2%
Amount Distributed	1,278,429,880	1,318,483,082	1,694,714,693	1,528,865,242.13	1,436,299,714	100%
Number of employees at the end of the year	69	70	85	55	42	
Value created per employee	18,527,969	18,835,473	19,937,820	27,797,550	34,197,612	
Number of shares	23080000	210,800,000.00	210,800,000.00	205,900,000	201,000,000	
Value created per share	5.54	6.25	8.04	7.43	7.15	

Statement on Contribution to Government Exchequer

For the Year Ended on 31 Decemeber 2020

Government is one of the most important stakeholders and also play a critical role in economic and technological advancement of the country. As a concious and ethical government owned entity Bangladesh Infrastructure Finance Fund Limited (BIFFL) makes consistent contribution to the Goverment Exchequer. For the year ended 31 December 2020, BIFFL contributed to the Government Exchequer an amount of BDT 97 crore compsoed of income tax, withholding tax, withholding VAT.

Forms of Contribution	2020	2019	2018	2017	2016
Income Tax:	785,660,551	572,298,649	626,410,466	401,906,989	819,646,450
Payroll tax	2626944	3,555,045	3,501,643.00	3,228,043	2,205,800
Advance corporate tax	781,687,573	561,655,414	619,980,669	397,143,090	816,773,044
Tax on payment to suppliers, vendors, service providers etc.	1346034	7,088,190	2,928,155	1,535,856	667,606
Value Added Tax (VAT):	2,403,780	6,950,948	5,378,349	3,806,467	3,639,402
VAT on payment to suppliers, vendors, service providers etc.	2,403,780	6,950,948	5,378,349	3,806,467	3,639,402
Dividend:	181,196,112	-	150,000,000	150,000,000	120,000,000
Cash dividend	181,196,112	-	150,000,000	150,000,000	120,000,000
Total contribution to Government Exchequer	969,260,443	579,249,597	781,788,816	555,713,456	943,285,852



2020 was celebrated as the 'Mujib Year' across Bangladesh to mark the Birth Centenary of Father of the Nation, Bangabandhu Sheikh Mujibur Rahman.



Contribution to Achieving SDGs



A resolution titled 'Transforming our World: the 2030 Agenda for Sustainable Development' was adopted by the UN General Assembly on 25 September 2015, heralding the commencement of yet another 15-year cycle of global development goal following the footsteps of Millennium Development Goals (MDGs) for 2000-15. This post-2015 global agenda contains 17 Sustainable Development Goals (SDGs) and 169 targets. The SDG agenda is a plan of action for the people, planet and collective prosperity by seeking to strengthen global peace and larger freedom at the same time eradicating poverty in all its forms and dimensions.

The 2030 Agenda comes at a time when Bangladesh has already kicked-off its journey towards an upper-middle income country by 2030 and a developed

country by 2041. Bangladesh has incorporated priorities of SDGs in all its development policies. The Government has adopted an inclusive approach to development so that the poorest and the most vulnerable section of the society can be integrated into its national development efforts. As the country moves ahead, challenges in several areas, including in resource mobilization and data management, will have to be addressed. Bangladesh is confident to set the example of a leading SDG achiever.

BIFFL is a unique organization working for infrastructure development, environment and climate conservation as well as women empowerment which directly impacts poverty eradication, redressing gender disparity and sustainable development of the country in partnership between the private and public sector.



Infrastructure Development

BIFFL was formed to facilitate the long-term infrastructure projects which are crucial for the country's development towards achieving middle income status. For development of infrastructures in connectivity, power and energy, development of economic zones, BIFFL financed about BDT 3,807.89 crore as of 31 December 2020. Besides, a good number of projects are under consideration for financing. By financing infrastructure, BIFFL contributes to the achievement of SDG-8, SDG-9 and SDG-11 in particular.



Partnership for Capacity Development Program

BIFFL has been working with different multilateral and bilateral development partners such as JICA, the World Bank, ADB, KFW and AFD for capacity development (under Technical Assistance) for energy efficiency and conservation promotion, infrastructure development and food value chain improvement project which contributes towards the achievement of SDG-11 (partnership for the Goal).



Environment & Climate

BIFFL believes in sustainable development protecting the environment and nature. In line with this, the organization has been working to promote environment-friendly green construction materials in development works. The company has been organizing 'Green and PPP Convention and Expo' from 2016 with the aim of raising awareness among the populace, business entrepreneurs, media and the policy makers of the country about green technologies and energy efficiency.

BIFFL has financed about BDT 356 crore in 17 sustainability-themed projects. Such green initiatives of BIFFL contributes the preservation of environment and climate which contributes towards achieving SDG-6, SDG-7, SDG-13, SDG-14 and SDG-15.



Women Empowerment

BIFFL has been working on women empowerment and redressing gender disparity. In this connection, BIFFL formed its Women Entrepreneurship Development Unit (WEDU) in 2017 and is financing women entrepreneurs for inclusive economic development and growth. Meanwhile, the organization financed 25 individual women entrepreneurs. Besides, it provided cluster-finance to 157 women entrepreneurs in 'Jamdani Palli' at Rupganj, Narayanganj and 85 women crab farmers in Rampal, Bagerhat.

Through WEDU, BIFFL has been contributing a lot on the development of the poor women entrepreneurs, helping them to improve their economic status, promoting social empowerment and redressing gender disparity which reflects on achievement of SDG-5 (Gender Equality).

BIFFL has been working for sustainable development of the country in line with the perspective plan 2010-2021 and the 7th & 8th five-year plans of Bangladesh. As such, BIFFL is fully committed to work together with all stakeholders towards the achievement of SDG 2030.

Reference:

1. World Bank, 2007. *World Development Report 2008*
2. *Financial Express*, Published: 06 Dec 2016, 21:50:36
3. *Financial Express*, Published: Mon, 10 July 2017
4. *United Nations Framework Convention on Climate Change (UNFCCC), Paris. un, 2015b.*
5. *Global Sustainable Development Report, 2015 edition. UN, 2016,*
6. *Article on SDG, Bangladesh by Dr. Helal Uddin Ahmed, retired Additional Secretary and former Editor of Bangladesh Quarterly.*
7. <https://sustainabledevelopment.un.org/?page=view&nr=164&type=230>

Key Resources of BIFFL

Financial Capital:

- Shareholder's Equity: BDT 2,614 crore
- Total Assets: BDT 3,910 crore
- Consolidated Fund under Management: BDT 2,153 crore
- Dividend Paid so far: BDT 578 crore
- Net Profit (2020): BDT 54 crore



Human Capital:

- Total Employees: 69
- Employees to Investment Ratio: BDT 31.20 crore
- Earning per Employee Ratio: BDT 0.78 crore



Manufactured Capital:

- BIFFL is a fully Govt. owned organization and facilitates public initiatives taken by Govt., Public-Private Partnership and Private Sector initiatives
- Focused on conserving nature
- LEED PLATINUM Certified Office



Intellectual Capital:

- Training on procurement under Food Value Chain Improvement Project
- Training on Financing for Energy Efficiency and Conservation arranged by SREDA



Social and Relationship Capital:

- Stakeholder engagement
- Voluntary contributions towards Corporate Social Responsibility (CSR)
- Committed towards sustainability



Natural Capital:

- Green Financing
- Green Brick Projects
- Energy Efficiency



Financial Capital

BIFFL, owned by the Government of Bangladesh, is the largest NBF in Bangladesh with authorized and paid-up capital of BDT 10,000 crore and BDT 2,308 crore, respectively. BIFFL receives funds from several development partners such as JICA, ADB, the World Bank etc. BIFFL has access to refinancing and on-lending funds from Bangladesh Bank to finance green projects. The fund is sourced to address the need of infrastructure development vis-à-vis insufficient investment in the particular sector, with a view to promoting an attractive environment for sustainable private investment.

Material Aspects	Highlights	Strengths and Opportunities	Challenges
- Portfolio De-growth of BDT 56.11 crore - Net Profit of BDT 54.16 crore - NPL Ratio 1.56% - Cost to Income Ratio 7.61%	- Portfolio De-growth of 2.97% - NPL Ratio 1.56% - Cost to income ratio 7.61% - Return on Investment (ROI) of 10.29% - Return on Asset (ROA) of 1.39%	- Lower level of operational cost - Talented and adept workforce - Increasing exposure to the market - Increasing exposure to the foreign funds	34 NBFs, greater competition - Low barrier to entry in the market - Marketing excellence needed to introduce in BIFFL - Low regional exposure

Key Financial Highlights

Particulars	2019	2020	Growth
Financial Performance (BDT):			
Long Term Investment	3,005,862,186	2,919,028,755	-2.89%
Leases Loans & Advances	18,922,252,016	18,361,145,945	-2.97%
Total Assets	34,558,436,056	39,102,717,178	13.15%
Total Liabilities	10,783,007,972	12,96,69,11,094	20.25%
Total Equity	23,775,428,084	26,135,806,084	9.93%
Operational Performance (BDT):			
Total Revenues	2,201,351,617	1,900,439,685	-13.67%
Operating Income	2,105,005,636	1,810,153,567	-14.01%
Operating Expenses	159,278,573	137,680,789	-13.56%
Financial Expenses	96,345,981	90,286,117	-6.29%
Provision for loans, investments and others	738,228,621	500,000,000	-32.27%
Profit Before Provision & Tax	1,945,727,063	1,672,472,778	-14.04%
Net Profit before Tax	1,207,498,442	1,172,472,778	-2.90%
Net Profit After Tax	452,990,281	541,574,112	19.56%

Manufactured Capital



Ownership

BIFFL is a fully Government-owned organization focusing on supporting infrastructure development, which can take place in three ways through:

- I. public initiatives taken by the Government agencies like BEZA and Roads & Highways department etc.
- II. PPP implemented by the private sector and
- III. private sector initiatives.

BIFFL's policy is to support all three models of infrastructure developments.



Source of Funding

Another uniqueness of BIFFL is its source of funding. Its source of fund is mostly long-term that allows it to finance long-term infrastructure projects. In financing such long-term projects, we take calculated risks in investments like preference shares, bonds and commercial papers to ensure projects' ability to raise the required financing. Such risks are taken based on project's viability and higher ROI.



Steps for Conserving Nature

One requirement for ensuring sustainability is efficiency and conservation. We not only finance a development project but also ensure efficient use of the projects' output to reduce pollution and conserve the nature. BIFFL leverages the market for commercial banks by way of offering low rate of interest and thereby increasing borrower's repayment capacity. We believe that a project's outcome will not be environment-friendly if its construction materials are also not environment-friendly.



LEED Platinum Certified Office

BIFFL promotes a befitting environment for sustainable investment and upholds the true essence of green financing in every possible aspect. Alongside its commendable efforts towards environment-friendly investment policy, BIFFL is committed to contrive such a workspace for its employees which would be green and at the same time environmentally sound. In accordance with this resolution, BIFFL decided to go for USGBC LEED certification under the commercial interior category for its corporate office. BIFFL puts together a highly efficient team to execute the project incorporating an Integrated Project Delivery (IPD – Team Process) methodology. With the help of the collective efforts of Design Consultant (ARCHVISTA), Green Building Consultant (360 Degree Total Solutions) and Project Contractor (INSIGNIA Studio), it has been possible to execute the plan and BIFFL takes the pleasure in being the first Government-owned organization to bag the prestigious and highly coveted LEED PLATINUM (highest possible category) certificate.

Natural Capital

EE&C: A better Solution for Nature

When applying for the loan to BIFFL, the proponents of EE&C submit energy consumption and production data for existing equipment and estimation figures for the new energy efficient equipment. Under some assumption provided by SREDA we calculate the theoretical energy conservation figures with those data. Theoretical energy saving data for the ongoing EE&C projects are listed in the following table:

			
Energy Savings	CO ₂ Reduction	11,344MWh/Year BDT 9.70 crore/Year	6743t CO ₂ /Year

Notes: 1 Unit = BDT 8.55

The calculation shows that a total of 11,344 MWh will be saved by the EE&C projects funded by BIFFL in a year. In monetary terms, the value of the energy conservation will be BDT 9.70 crore. Total CO₂ reduction per year will be 6,743 ton.

Objectives of EE&C Financing

			
Encourage and promote the use of EE&C technology in Bangladesh	Contribution to the Sustainable Development	Reduce Power Demand-supply gap	Contribute to the Reduction of Greenhouse Gas Emissions.

Features of the Loan

Total Available Fund	USD 50 million
Amount Threshold	Maximum BDT 150 crore (USD 17.6 Million) Minimum BDT 0.5 crore (USD 58.8 Thousand)
Interest Rate	4% p.a. (standard minimum)
Tenure of Loan	Depending on project cash flow
Grace Period	Depending on project need
Eligibility	As set forth by SREDA from time to time

EECPFP Phase II

The EECPFP Phase II has started in this year. In this regard, Subsidiary Loan Agreement has been signed in January 2020. The major features of the fund are:

				
Agreement in May 2019	USD 100 million for BIFFL	5%-7% p.a. Interest	Increased eligible machinery	EE Home Appliances

EECPFP Implementation Challenges for BIFFL

	Inadequate market awareness		Lack of technical knowledge/ professional people		Arranging fund for remaining project cost
BIFFL was initially at a formative stage		High price of EE machinery		Tendency of profitable businesses with least concern to environment	

Activities to Overcome Challenges

Create Awareness at both Micro & Macro level	Promote EE related programs	Design viable finance schemes for EE	Undertake technical capacity building	Enter into partnership with stakeholders
Arrange Seminars & Expos	Engage in sourcing fund mix	Engage consulting team	Strive to maintain cooperative relationship with regulators	Explore other sources

Investment in Green Construction Materials Contribution in Carbon Reduction

Brick making is one of the largest sources of greenhouse gas emissions in Bangladesh estimated to produce 6 million tons of CO₂ annually. 90% of existing brick kilns is based on 150-year-old technology that is highly energy intensive and emits huge carbon. A study conducted by BUET shows that a traditional brick kiln consumes 24 tons of coal a year and emits some 1,500 tons of CO₂, making it one of the worst greenhouse gas emitters in the country. Most brick kilns in Bangladesh are highly polluting since they use crude technology and low-quality coal for fuel.

To replace these air polluting traditional brick kilns, BIFFL so far invested in 10 green brick projects based on environment friendly tunnel kiln technology which will contribute to the reduction of greenhouse gas emissions. In addition, the new technologies use the heat generated for drying of the bricks instead of letting them out, thereby reduce environmental impact. It is estimated that 1 modern kiln can replace about 8 conventional brick kilns. According to this calculation, BIFFL's investment is equivalent to replacing 80 conventional brick kilns which will reduce emission of 120,000 tons of CO₂ in a year.

Human Capital

At BIFFL, “Human Capital” is considered as a key element in improving the assets, since it is a sustainable competitive advantage and increases the employees’ efficiency to accelerate the achievement of the organization’s goals. BIFFL strongly believes that human capital plays an important role in people’s development, improving the life and income, increasing knowledge, skill, and production capacities, economic growth and reducing poverty which facilitates the achievement of SDG 2030. In this present world, where knowledge and communication with customers

have gained increasing importance, human capital, which shows the volume of knowledge, technical skills, creativity, and experience of the organization, gains great importance, thus human resource is considered as productive assets not costly assets. BIFFL attracts, develops and retains employees by ensuring equal opportunity, training and development opportunities, attractive remunerations and fringe benefits etc. That is why BIFFL has become a great place to work where people can excel in their performance with joy and pride.

BIFFL’s Code of Conduct

 Rigorous Training and Workshops (BIFFL always concentrates on continuous development of all the employees)	 Equal Opportunity Career Progression and Diversity (All employees are treated equally and fairly, not disadvantaged by prejudices or bias)	 Employee Engagement (Birthday celebrations, family day, Annual Retreat, Iftar party, Children’s art competitions, Pahela Boishakh and Happy New Year celebration)	 Awards and Recognition (Monetary/ Non-monetary; (acknowledgement in company newsletter or team meetings)
 Work-Life Balance (Encouraged to leave work issues at work and home issues at home)	 Competitive Remuneration and Benefits (Attractive and competitive salary as well as other benefits to the employees)	 Human Rights, and Safety (Achieved LEED green building certification from USGBC)	 Succession Planning (Managing resourcing strategy, HR demand/ supply analysis, HR planning and auditing, skills analysis)

BIFFL’s Human Capital at a Glance

Total Employees	Permanent Employee	Contractual Employee	Female Employee
69	58	11	16

Intellectual Capital

BIFFL, as a learning organization, chooses the investment in individuals, because people are valuable human capital with different qualities. Over the last couple of years, BIFFL strengthens the knowledge and awareness of leadership through training programs and recognizes the contribution of training towards enhancing efficiency and profitability. It hires attitude and then trains them

for skill. Accordingly, BIFFL always concentrates on continuous development of all the employees of the Company so that they can develop new skills as well as sharpen their own skills. Every year, BIFFL's HRD facilitates good number of learning opportunities for the employees. As a result, profitability per employee has been one of the highest in the industry for years.



- Employee excellency ensures employees with technical know-how
 - Excellent academic knowledge and past experience
 - Vast amalgamation of experienced people from different sectors in the business arena- Common spirit of the firm, 'One Team, Big Dream. Be the Best!'
 - Entertain best-in-the-sector cultural practice to ensure an aesthetic work environment
- Well adept internal database management system to ensure uninterrupted work experience
 - Well recognized brand among the banks and NBFIs available in this sector
 - Well maintained relation base among the other players in the sector
 - Strong relation with the regulatory bodies ensures higher compliance
 - Good customer relationship ensures better performance of the portfolio

Social and Relationship Capital

Stakeholder Engagement

Social and relationship capital refer to the cooperative relationships with our customers, clients, capital providers, regulators and other stakeholders that we create, develop and maintain to remain commercially and socially relevant, and operate as a responsible corporate citizen. At BIFFL, this capital

is the cooperative and supportive relationships we share with all concerned in our business ecosystem. BIFFL's social and relationship capital also enable it to create new business opportunities and contribute to the development of other forms of capital. In other words, it is social and relationship capital provides itself with the opportunity to operate as a leading NBF in the country.

Key Stakeholders Targeted	How we engage	BIFFL's Sustainable Business Objectives
Customers	- Website - Print media - Annual General Meeting - Faster service - Dedicated departments - Customer relationship teams	- Provide quality product/ service that meets absolute needs of customers - Careful management of operations so as to protect customer interest especially of depositors
Regulators	- Statutory reporting - Meetings as and when required - Emails - Letters - Verbal communication	Ensure compliance with all regulatory guidelines and directives
Employees	- Training programs - Employee days Sports and recreational activities - Celebration of Women's Day - Annual Retreat	- Continuously encouraging employees and working towards creating a healthy, ethical and supportive work environment - Nurturing human capital to ensure sustained collaboration with the company
Local Communities	- CSR initiatives - Website - Social media page - Marketing events - Seminars and workshops	- Adding value to the society - Conducting business without causing disruptions in the society
Environmentally interested groups/Non-Government Organizations	- Green project financing - CSR initiatives - Training programs, seminars and workshops to involve more in environment friendly initiatives	Conducting business without harming the environment

Large Infrastructure

Infrastructure is the lifeblood of any country's economic development. Keeping in line with that, it has become a core priority of the Government's ambitious strategy to boost the nation's economic progress.

BIFFL was established to expedite the country's economic growth by facilitating large-scale infrastructure and Public Private Partnership (PPP) projects. Turning this mandated goal into a reality is what the Credit and Investment Department is working for.

This department deals primarily with Power and Energy, Transportation and Communication, Economic Zones, Tourism and Healthcare sectors. It works with not only PPP projects, but also other large-scale infrastructure projects. Due to the short to mid-term funds available in the local market and the extremely long-term requirements of large-scale infrastructure projects, there is often a mismatch between what a project needs and what financiers can provide. The large infrastructure department seeks to bridge this gap by providing longer tenors for loans based on the cash flow generation of projects.

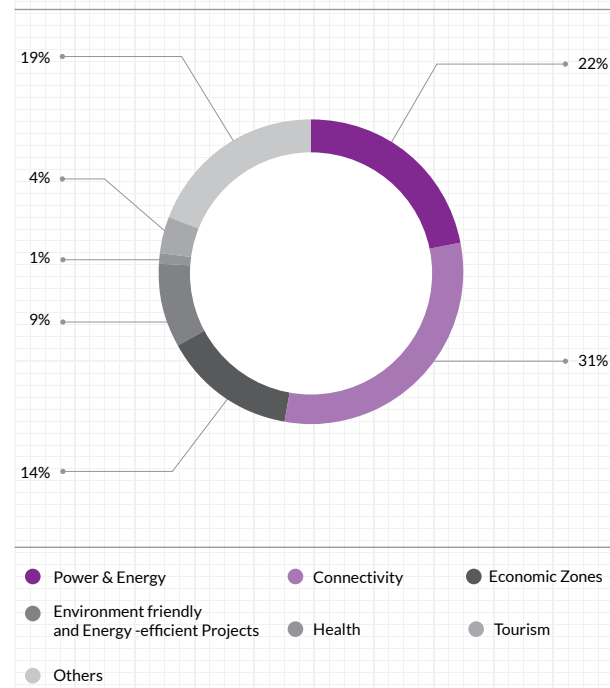
The department also plans to incorporate new sectors in their portfolio in the upcoming years and offer more innovative financial products to cater to specific project needs. It currently has access to financing opportunities such as the IPFF-II fund from the World Bank and refinancing schemes from the ADB. It plans to establish new affiliations with other multilateral organizations for low-rate and long-term funds.

Investments

The department has around 31% exposure to connectivity and communication projects, 22% to power projects, and 14% to economic zone projects. So far, it has got approval for investment of BDT 2,505 Crore in the connectivity sector, BDT 1,650 Crore in power and BDT 660 Crore in economic zones.

In 2020, BIFFL disbursed 32% of its overall disbursement in connectivity projects. At the same time, it has focused heavily on the power sector, disbursing around 30% of its total disbursement in 2020.

Sector-wise Disbursement



PPP Seminar 2018

To raise awareness about PPP investment opportunities in the country, the unit arranged a one-day seminar on the "Prospects and Challenges of PPP in Bangladesh" in October 2018. The seminar took place at the Hall of Fame in Bangabandhu International Convention Centre (BICC), Dhaka. The seminar was moderated by Executive Director and CEO of BIFFL. Mr. Syed Afsor H. Uddin, CEO of PPP Authority Bangladesh was the keynote speaker. He delivered a presentation on the issues around PPP development in Bangladesh. The event also contained a sector presentation on the connectivity in Bangladesh.

This was followed by a panel discussion. The panelists included distinguished individuals working in the field of Large Infrastructure, PPP and Finance: Mr. Navidul Huq, Managing Director of Desh Energy Ltd., Mr. Mahbub Jamil, Head of Structured Finance of The City Bank Ltd., Mr. Thamaka Thimbiripola, Country Manager of Raj Lanka Power Company Ltd., Mr. Nazmul Haque, Director (Investment) and Head of Advisory of IDCOL, Mr. Ahmed Shaheen, DMD of Corporate Banking in Eastern Bank Ltd., Mr. Irteza A Khan, MD and CEO of Meridian Finance Ltd., and Mr. Obaidur Rahman, General Manager, Finance and MIS of Max Infrastructure Ltd.



Agreement Signing of Dhaka Bypass Expressway Development Company Limited

Common Terms Agreement

Dhaka Bypass Expressway Development Company Limited and Bangladesh Infrastructure Finance Fund Limited has put their sign on signature pages on 13 April 2021 keeping the agreement undated. China Development Bank has put their sign on signature pages on 23 April 2021 keeping the agreement undated. The agreement was dated as 23 April 2021 by the common legal counsel, Hogan Lovells.



Onshore Facility Agreement

Dhaka Bypass Expressway Development Company Limited and Bangladesh Infrastructure Finance Fund Limited has put their sign on signature pages on 13 April 2021 keeping the agreement undated. The agreement was dated as 23 April 2021 by the common legal counsel, Hogan Lovells.

Power Sector Contribution

BIFFL funded a total number of 16 projects in power sector of Bangladesh amounting BDT 851.68 crore till December 2020. All power projects financed by BIFFL are currently producing and providing approximately 1,818 MW power to the national grid of the country. Out of the total 16 power projects BIFFL has approved a solar project having 50 MW namely Technaf Solartech Energy Limited. We have another two solar project in our pipeline namely Rangunia Solar Limited (50 MW) and Gtech Solar Limited (5 MW)

Karnafuly Dry Dock Limited

BIFFL approved term loan facility of BDT 53.00 crore under World Bank's IPFF-II facility in favor of Karnafuly Dry Dock Limited to establish a dry

dock at Badalpur, Chittagong (beside Bangladesh Marine Academy, Chittagong). Total Project cost of the project is approximately BDT 1,142 Crore. It is the first 100,000 DWT capacity dry dock project in Bangladesh.



Anlima Energy Limited

BIFFL approved term loan facility of BDT 100.00 crore to undertake a HFO based 116 MW power plant under BOO (Build Own & Operate) basis at Patiya, Chittagong in favour of Anlima Energy Limited. The estimated cost of the proposed power plant is approx. BDT 895.56 Crore.



Notable Projects



Proposed Dhaka Bypass Expressway



Proposed First Dhaka Elevated Expressway



Technaf Solartech Energy Limited



Ace Alliance Power Ltd.

Sustainable Finance & Green Banking

Areas of Investment:

1. Energy Efficient Technologies
2. Green Construction Materials
3. Utility-scale Solar power
4. Green Buildings
5. Waste Treatment & Recycling facilities

A. Services:

1. Advisory Services
2. Project Finance/ Refinance
3. Fund Arrangement
4. Awareness and Promotions

B. Approval Status:

1. Energy Efficiency & Green Industry:

Name of the Project	Project Location
Odyssey Craft (Pvt.) Ltd.	Dhamrai, Dhaka
Aman Spinning Mills Ltd.	Savar, Dhaka
M. M. Ispahani Limited	Pahartali, Chittagong
Bandhab Tex Limited	Panchdona, Narsingdi
Fair Electronics Ltd.	Narsingdi
GPH Ispat Limited	Sitakunda, Chittagong
Raw Tech Limited	Masterbari, Mymensingh
Asia Composite Mills Limited	Gazipur
Seven Circle (Bangladesh) Limited	Char Mirpur, Kaligonj, Gazipur
Roshawa Cotton Mills Ltd	Sreepur, Gazipur

2. Green Brick Projects:

Name of the Project	Project Location
ARB Enterprise	Dhamrai, Savar
Makrail Auto Green Bricks Ltd.	Modhukhali, Faridpur
Dharmapur Ceramic Bricks Industries Ltd.	Ashulia, Dhaka
First Auto Bricks Ltd.	Polash, Narshingdi
Asim Auto Bricks Industry Ltd.	Mirjapur, Tangail
Phoenix Ceramic & Auto Bricks Ltd.	Bhuspur, Chittagong
Piya Auto Bricks Ltd.	Mirsharai, Chittagong
Usa Agro and Auto Bricks Ltd.	Dumki, Patuakhali

Name of the Project	Project Location
Nowhata Auto Bricks Ltd.	Poba, Rajshahi
KB Auto Bricks Ltd.	Dera, Sunamganj
Eco Ceramic Industries Ltd.	Sirajdikhan, Munshiganj

3. Refinancing Schemes:

BIFFL is offering soft loans from 3 different refinance schemes:

A. Energy Efficiency and Conservation Promotion Financing Project (Phase1&2)

- a. Source of Fund: JICA, Amount: USD 150 million; Interest Rate: 4%-7%
- b. Featured Areas: Fertilizer, Paper, RMG, Glass, Cement, Steel, Food, Telecom Industry, Green Building and Home Appliance

B. Refinance Scheme for Green products/ Initiatives

- a. Source of Fund: Bangladesh Bank, Amount: BDT 200 Crore, Interest rate: 8%-9%, subject to tenor
- b. Featured Areas: Solar Energy, Biogas, Wind Energy, Waste Treatment & Recycling, Energy Efficiency, Green Building, Green Bricks and other construction materials, etc.

C. Food Value Chain Improvement Project

- a. Source of Fund: JICA, Amount: USD 110 million; Interest Rate: up to 6%
- b. Featured Areas: 1) Fruit processing industry, 2) Vegetable processing industry, 3) Spice processing industry, 4) Rice, wheat and bean processing industry, 5) Edible oil producing industry, 6) Seed Processing industry, 7) Organic fertilizer producers / biological pesticide producers, 8) Wholesalers and logistics industries, including warehouse and transport industries, and 9) Retail industries (including supermarkets).

D. Sector Specific Environmental Policies:

Strategies are being formulated to design specific policies for different environmentally sensitive sectors.

Women Entrepreneur Development Unit (WEDU)

BIFFL started the WEDU in September 2017 with the goal of supporting, financing and developing women entrepreneurs in Bangladesh. The unit started financing under the product name “Shoilee.” It has disbursed first loan in January 2018 and reached approx. BDT 6.00 crore till now.

Lending Policy

Product Name	Eligibility	Interest Rate	Collateral	Loan Limit
BIFFL Shoilee	Women entrepreneur having 51% or more shareholding	Bank rate + Maximum 4%	<=BDT 25 Lac- Personal Guarantee >BDT 25 Lac-Other Suitable security Collateral	BDT 50 Lac

Under this program, the women owning at least 51% shares in any business can apply for the loan from BIFFL. The interested women entrepreneurs can apply only with the reference of personal guarantor. However, for the loan of more than BDT 25 lac, the borrower will need to provide mortgage as collateral. The loan amount cannot be more than BDT 50 lac per borrower.

Sector-wise Borrower Status

WEDU has clustered 157 borrowers in Rupganj and 85 borrowers in Bagerhat for the cluster financing

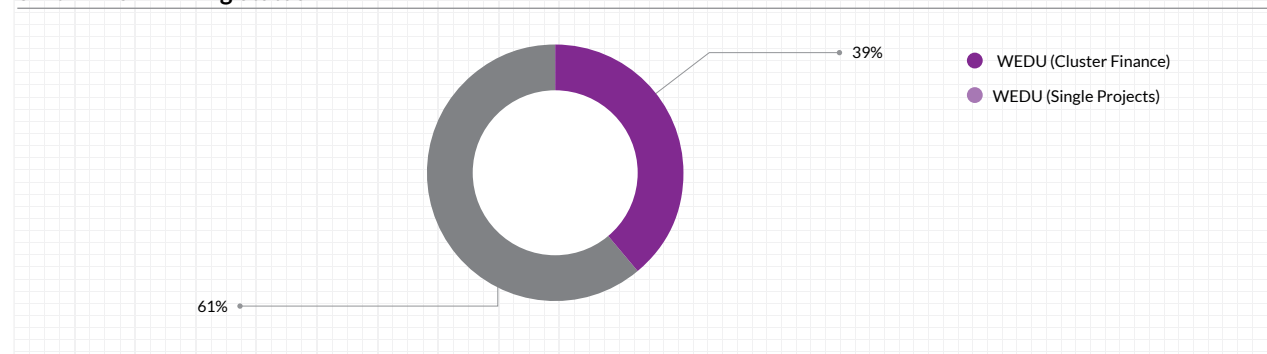
in Jamdani and Crab farming sector, respectively. These two are the largest sectors sharing half of the investment under WEDU. Besides, WEDU has financed 36 single projects in total and a total number of 23 projects of WEDU and WEDU Cluster Financing had paid of their debt obligation till the year 2020.

Sector wise Lending Status

In the loan portfolio of WEDU, the highest share 61% is held by WEDU single projects of the total investment. The remaining 39% share is held by the WEDU cluster financing sector.

Sl No.	Particulars	Number of Projects	Total Disbursement	Total Outstanding	% of Disbursement
1.	WEDU (Single Projects)	36	BDT 3.68 crore	BDT 2.39 crore	61
2.	WEDU Cluster Financing	242	BDT 2.32 crore	BDT 1.24 crore	39
Total			BDT 6.00 crore	BDT 3.63 crore	100.00

Sector wise Lending Status



Cluster Finance: An Innovative Financing Solution

Cluster Finance #1: Jamdani Palli

Jamdani Palli encompasses many areas like Noyapara, Kazipara, South Ruposhi, South Noyapara and East Borabo. These areas are located at Rupganj thana in Narayanganj district. The life of the people of this Palli is centered around weaving. Each house has at least one loom which was not enough for living. Again, if the wheel of loom did not rotate, the wheels of life would have stopped. In the absence of cash, the weavers of this region could not hire the workers. Since it was being tough for them to manage two meals a day, the other primary human rights were near to dream for them. Even two years ago that was a general picture of this place.



In the meantime, BIFFL brought 157 women to become self-reliant through a loan with low interest rate. Our team visited the Jamdani Palli several times and discussed with women entrepreneurs about their difficulties in this sector and how to remove the problems they face. Most of them did not have their own looms and required capital for smooth operation of their small business. So, BIFFL decided to finance them for establishing their own loom and removing other financial problems they face; like hiring assistants (skilled & semi-skilled), for purchasing thread etc. BIFFL made a cluster of this Jamdani Palli and extended an amount of BDT 100,000 as loan to each borrower.



So far, Jamdani Palli has been one of the most successful projects of WEDU cluster financing. Within a few years, the image of this place has radically changed. Today, every house in this Palli spends busy time in weaving Jamdani Saree. As the income has increased, the living standard of the people of this area is also increasing day by day. Earlier, where all the hard work was done by themselves, the weavers now can hire workers to help them. They have no longer any liability to moneylender or need to sell their products through any third party at a lower price.

Cluster Finance 2: Crab Farming

BIFFL is also financing in crab farming for developing our economic growth. The WEDU team visited different villages in Khulna and Bagerhat districts like as Bhaga, Malidangha, Rampal several times. The team talked with the women who are working directly in crab farming and know their problems. Then BIFFL made a cluster of 34 people in first phase and 51 people in second phase for crab farming.



In continuity of women development, BIFFL also contributes in boutiques, parlor, farming and many more sectors. BIFFL has also been approached by many women from service sectors for loan.

Treasury Operations

In banking business, movement or transformation of the components in the balance sheet is an ongoing process which has an effect on the profitability and overall strength of an FI. BIFFL's treasury plays an important role by identifying and measuring those risks and minimizing or hedging those risks using various financial tools for stabilizing the balance sheet and maximizing profit. Therefore, in the process, treasury operates through the integrated efforts of money market, FX, and ALM to achieve the desired goal.

Money Market & Fixed Income

Money market remained liquid all through 2020. Our money market and fixed income desk was very active throughout the year and in view of the falling term structure, invested fresh fund laddering methods to maintain SLR at optimum level. Recognizing the investment opportunity in other money market products, treasury extracts advance money from holding with some capital gain realization based on duration rather than waiting for maturity. Treasury ensured optimum duration of investment and

brought the investment position down and shifted the portfolio to placement with Bank/FIs due to demand for money in inter-bank transactions.

Asset Liability Management

BIFFL successfully maintained all ALM regulatory requirements within limits. Throughout the year, changes in market liquidity and interest rates exposed the FIs to the risk of losing money. ALM has therefore become a key financial and risk management discipline that managed both on/off balance sheet position to maintain a risk reward profile for creating stakeholders' value. Treasury's primary objective was to mitigate the balance sheet gap in cost effective manner, maximizing NII, and managing Basel III liquidity standards of LCR, NSFR, leverage which have also become key concern of management and regulators around the world. Throughout the year, treasury took proactive approach and remained a strong hand of ALCO for asset liability position, commitment of FI, market liquidity, and transfer pricing rate for profit centers. BIFFL's balance sheet is now in sustainably strong position and ready for an excelled take-off.



Key Strengths

- Highest Paid-up capital among all NBFIs
- Strong management focus and support for growth of the treasury business
- Trading culture anchored on rigorous regulatory compliance and risk management based dealing discipline
- Adapting to the changing regulations and compliance requirements and structuring the products accordingly
- Strong relationship with customers and regulators

Treasury Priorities for 2021

In the context of current market scenario with cautious movement of regulators and narrowing market liquidity along with wider scope of openness of Bangladesh economy, treasury is prepared for

big leap forward for risk addressed expansion of its business horizon in a holistic approach through combined efforts of treasury and other business units. Accordingly, the necessary actions have been sorted out to accomplish the company's vision.



Grow the business as per budget



Recruit a treasury product sales team to strengthen BIFFL's market reach



Focus on the growth of the treasury business



Ensure the highest levels of compliance to mitigate risks



Introduce FX operations

Empowering Business through IT

We believe in empowering business through Information Technology. Thus, we are able to adapt the idea of smarting everything through technology. Over the years, BIFFL re-engineered its technical infrastructure to be modern, resilient

and scalable. We are continuously transforming our platform through scalable IT infrastructure and application of programming interfaces that enable us to automate business and ensure better performance.



Strategic Goals

- Implementing advanced but proven technologies in line with developing trends through continuous evaluation ensuring cost effectiveness and reliability
- Ensuring all technology solutions and policies are consistent with all standards and security mandates such as-Bangladesh Bank ICT Guidelines in terms of confidentiality, integrity and availability of all electronic data
- Centralizing tech support to minimize cost and service time
- Implementation of security information and event management solution to monitor security threats
- Security assessment and remediation of weaknesses IT infrastructure
- Implementation of a real-time online web-based portal to make an effective platform for interactions between customers, business partners, employees and other stakeholders.

The Way Forward

A scalable automated MIS environment

A fully augmented MIS and Business Automation system will be implemented for future business growth across the enterprise. When automation is implemented, it streamlines document management completely, making it effortless. Data organization and retrieval is simplified. Confidential data can be secured with role-based access. Accurate information moves smoothly between processes, increasing employee productivity by leaps and bounds.

Cyber Security Initiatives

Data theft is a trending phenomenon primarily caused by system administrators and office workers with access to technology such as database servers, desktop computers and a growing list of hand-held devices capable of storing digital information, such as USB flash drives, iPods and even digital cameras. The dynamic management of BIFFL has realized the importance of network and cyber security and has approved an ICT Security Policy which complies with all the requirements of Bangladesh Bank.

Financial Relations

Financial Relations Unit liaises with other banks/ financial institutions, Government, and development partners in order to arrange funds for its borrowers under syndication, club financing, co-financing, refinancing, bridge financing etc. as required for various projects.

Syndication

Loan syndication has always been an important part of the financial landscape of Bangladesh to diversify risks by sharing and to tackle capital and exposure limit constraints while financing large projects. BIFFL partners with peer banks/FIs for the projects of its borrowers in most of the cases becoming either the lead arranger or participating lender. In 2020, BIFFL successfully completed financial closure of a number of milestone transactions for an ADB funded project for infrastructure financing titled 'Strengthening BIFFL Project'. After the initial success of the Energy Efficiency and Conservation Promotion Financing Project (EECPFP) under JICA, more energy efficiency projects are in the offing with various development partners. BIFFL also participated in syndicated facilities under the IPFF II project funded by the World Bank and administered by Bangladesh Bank.

Development Partners

Bangladesh Government's 8th Five Year Plan addresses the need for financing to develop country's infrastructure. Although the Government has been encouraging private sector participation keeping PPP at the core of its infrastructure development strategy, Bangladesh is facing about USD 9-10 billion long-term financing gap every year. The nature of financing requirement for large scale infrastructure projects demands alternative financing solutions from development partners i.e., JICA, the World Bank, ADB, KfW, AFD etc. BIFFL is already in the process of having/has access to the following development partners' loans:

Japan International Cooperation Agency (JICA)

EECPFP

Under the 37th Japanese ODA loan package, GoB and Government of Japan have signed an agreement on Energy Efficiency and Conservation Promotion

Financing Project (BD-P90) of JPY 11,988 million. Out of this amount JPY 4,989 million was made available to BIFFL for on-lending to the eligible energy efficient projects. Besides, BIFFL received JPY 574 million as TA for 6 years as grant. SREDA as an agent for GoB is providing technical support for implementation of the project. Till 2020, BIFFL has approved a number of projects amounting BDT 4,106.60 million. Out of the approved amount, BDT 1,770.33 million has already been disbursed and remaining amount is waiting for disbursement.

EECPFP Phase 2

Considering the unprecedented success of EECPFP and huge market demand for the loan, JICA extended the 2nd phase of the project named "Energy Efficiency and Conservation Promotion Financing Project Phase -2" under the 40th Japanese ODA Loan Package. Out of the total fund of JPY 20,076 million, BIFFL received JPY 9,500 million for on-lending to the eligible projects. This allocated fund is almost double of the phase-1 fund and is now available with BIFFL.

FVCIP

JICA extended a loan facility to the People's Republic of Bangladesh through initiating "Food Value Chain Improvement Project (FVCIP)" with an amount not exceeding JPY 11,218 million. The objective of the Project is to improve financial access for agribusiness and food processing industries and to enhance their capacity in business development, food processing, and food safety by providing concessional financing and technical assistance. A part of the loan proceeds will be used for appointing consulting firm for assistance in implementation of the Project. Ministry of Industries is the sponsoring ministry of the project while Bangladesh Infrastructure Finance Fund Limited (BIFFL) is the sole implementing agency. The fund is now available with BIFFL for on-lending.

World Bank IPFF-II

Bangladesh Bank has been implementing Investment Promotion and Financing Facility II (IPFF-II) Project, a project of Finance Division, Ministry of Finance (MoF) supported by the World Bank (WB), with five years tenure from July 2017 to June 2022. IPFF-II Project has two components: (1) Long-Term Infrastructure Financing component of USD 403.70 million and (2)

Technical Assistance (TA) component of USD 13.00 million. The project is established with a view to increasing long-term financing for infrastructure and to build the capacity of the local financial institutions for promoting private sector-led infrastructure financing in Bangladesh.

As an eligible Participating Financial Institution, BIFFL has access to long-term Infrastructure Financing Component (USD 403.7 million) under IPFF-II of the World Bank for on-lending and investment in support of long-term infrastructure projects by private sector investors. In addition to conventional debt, this component supports leveraging the market through innovative and diverse financial instruments. BIFFL is entrusted with the responsibility for creating, promoting and developing innovative infrastructure finance instruments utilizing the tentative allocation of USD 1.9 million under TA Component. BIFFL received refinance for on-site development of a hi-tech city and for a dry dock project to the extent loan disbursed. Currently, BIFFL is in the process of obtaining refinance for a PET recycling project and a number of grid-tied solar power projects through conventional debt segment of IPFF-II.

ADB

IN 2020, Government of Bangladesh signed an agreement with the Asian Development Bank (ADB) providing a 25-year long credit line worth USD 50 million to BIFFL for re-lending to eligible sub-projects structured through PPP modality. BIFFL will also receive a technical assistance of USD 650,000 as per the agreement. The project will support the Government of Bangladesh's efforts in strengthening BIFFL's institutional capacity to develop public-private partnership (PPP) infrastructure projects. The support will help to restart infrastructure development, spur economic growth, and generate jobs during the recovery from the Covid-19. It will help ease Bangladesh's infrastructure financing

constraint, alleviate poverty by creating jobs during both the construction and operation phases of the infrastructure projects.

Utilizing the above credit facility, BIFFL has signed the Common Terms Agreement for providing BDT 1075 crore loan to Dhaka Bypass Expressway development PPP project.

Besides, BIFFL and ERD are in discussion with ADB for a credit facility for the "Scaling Up Energy Efficiency Project".

AFD

With a view to financing investments in the fields of energy efficiency, renewable energies and women entrepreneurship projects of BIFFL, the Board of Directors of Agence Française de Développement (AFD) has approved a sovereign loan of EUR 50 million along with a Technical Assistance grant of EUR 560,000 to the People's Republic of Bangladesh. This loan is intended to be on-lent to BIFFL for its implementation at the level of private or public-private investors. The loan agreement is expected to be signed soon.

KfW

BIFFL is also in discussion with Kreditanstalt für Wiederaufbau (KfW), the German state-owned development bank, for credit facility in energy efficiency sector. IPC, a KfW appointed consultancy firm, conducted a Design study to promote energy efficiency in the industry in Bangladesh. IPC also conducted due diligence of BIFFL for assessing BIFFL's capacity and experience.

BIFFL regularly engages with development partners to leverage its portfolio by making sustainable and long-term financial solutions available in the backdrop of Bangladesh's long-term financing gap and national infrastructure development goals.

Technical Unit

BIFFL, being a specialized financial institution, invests in various power plants, expressways, railways, dry docks and energy efficient technologies. Often these projects are complex in nature and involve sophisticated technologies. Besides, BIFFL also provides consultancy services that involve technical feasibility studies. Furthermore, BIFFL receives funds from various development partners (such as JICA, ADB etc) which have specific technical requirements to be met. Realizing the importance, BIFFL management established a full-fledged Technical Unit from the very beginning. Currently, the technical unit consists of an electrical engineer and a civil engineer. The unit conducts project appraisal and due diligence of the upcoming projects. It also monitors the implementation status of the existing projects on a regular basis. The unit collects and prepares necessary technical documents for any regulatory approval as well.

Several training sessions were arranged last year by BIFFL to increase the technical knowledge of its staff. Some of the workshops attended include Stakeholder Consultation Workshop on the draft National Solar Energy Road Map: 2021-2041, Technical Seminar on Renewable Energy Storage in Bangladesh: Opportunities and Challenges, A Technical workshop on Floating Solar PV Technology (all arranged by SREDA) etc. Additionally, members of the Technical Unit received training on JICA consultant procurement under the Food Value Chain Improvement Project. A detailed Standard Operating Procedure for the Technical Unit regarding the Energy Efficiency and Conservation Promotion Financing Project was also developed during the year 2020. This will also help the unit to manage technical issues in future energy efficiency financing projects.

Through financing in energy efficient technologies, BIFFL helped reduce generation load by 1.855 MW which contributed to reduction of carbon emission by 7,534 tons.

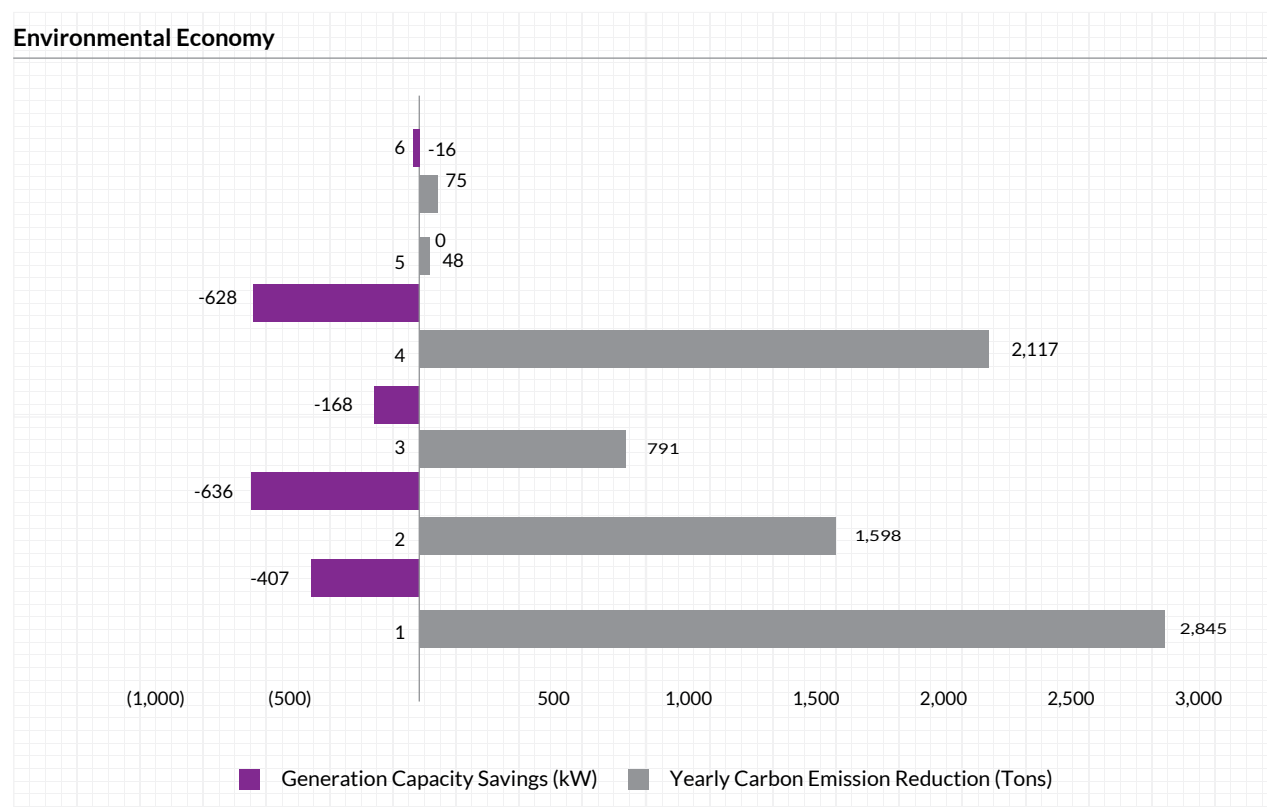


Fig. Environmental economy achieved through EECPP project so far

Human Resource

At BIFFL, “Human Resource” is considered as a key element in improving the overall health of the Company. It ensures sustainable competitive advantage and increases the employees’ efficiency to accelerate the achievement of the organization’s goals. BIFFL strongly believes that Human Capital plays an important role in employee’s development; improving the life and income; increasing knowledge, skill, and capacities, economic growth; and reducing poverty which facilitates the achievement of SDG 2030. In this present world where knowledge and communication with customers have gained increasing importance, human capital, which represents the volume of knowledge, technical skills, creativity, and experience of the organization, gains great importance; thus human resource is considered as a productive asset. BIFFL attracts, develops and retains employees by ensuring equal opportunity, training and development opportunities, attractive remunerations and fringe benefits etc. As a result, BIFFL has become a great place to work where people do not just excel at their jobs, but also enjoy it.

Code of Conduct and Ethical Guidelines

BIFFL has an Employees’ Service Rules adopted by the Board in line with the guidelines of the Bangladesh Bank. The rules provide for a Code of Conduct and Ethical Guidelines for the employees. As per the ‘Code of Conduct and Ethical Guidelines’ for BIFFL employees, all have to maintain the Code of Conduct and demonstrate the highest ethical standards. These are the core values of BIFFL. Employees must follow and nurture. Ethical guidelines, behavioural patterns of the employees and what the employees should do and what they should not, are elaborately incorporated in the rules. BIFFL manages its employees putting into practice its Employees’ Service Rules. BIFFL’s core behaviours encourage employees to speak up and have open conversations. BIFFL’s Code of Conduct, Compliance Standards, and Policies guide our day-to-day decisions, actions and behaviours and govern our business. Any known or suspected incidents of illegal, unacceptable, undesirable conduct such as harassment, corruption and forgery etc are viewed with zero tolerance.

Training & Development

BIFFL, as a learning organization, chooses the investment in individuals, because people are valuable

human capital with different qualities. Over the last couple of years, BIFFL strengthened the knowledge and awareness of leadership through training programs and recognizes the contribution of training towards enhancing efficiency and profitability. It hires attitude then trains for skill. Accordingly, BIFFL always concentrates on continuous development of all the employees of the Company, so that they can develop new skills as well as sharpen their available skill sets. Every year BIFFL Human Resources facilitates good number of learning opportunities for the employees. As a result, the employee profitability has been one of the highest in the industry for years.

Table: Training at Home and Abroad

Particulars	Num. of Participants in 2020	Num. of Training in 2020
Home	45	4
Abroad	10	4

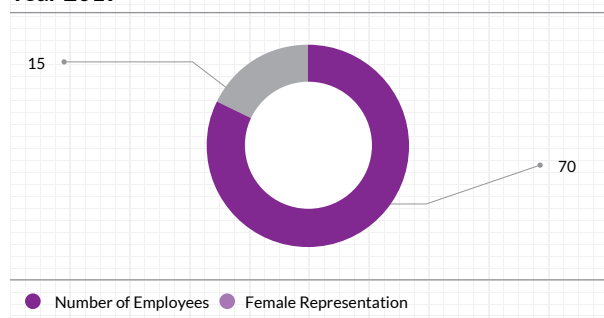
Equal Opportunity, Career Progression and Diversity

BIFFL ensures equal opportunity for all employees. They are treated equally and fairly. They are not disadvantaged by any prejudices or bias. We do not have discrimination on the grounds of gender, age, racial origin, religious affiliation, disability or marital status. Employment decisions are taken on the basis of an individual’s ability to do a particular job. BIFFL evaluates performance of the potential employees on the ground of their capacity, experience and potential.

Work Life Balance

BIFFL believes work life balance can play a vital role for a positive employee- employer relationship. When employees feel a greater sense of control and ownership over their own lives, they tend to have better relationships with management and are able to leave work issues at work and home issues at home. Balanced employees tend to feel more motivated and less stressed out at work. Thereby, it increases BIFFL’s productivity and reduces the number of conflicts among co-workers and management.

Year 2019



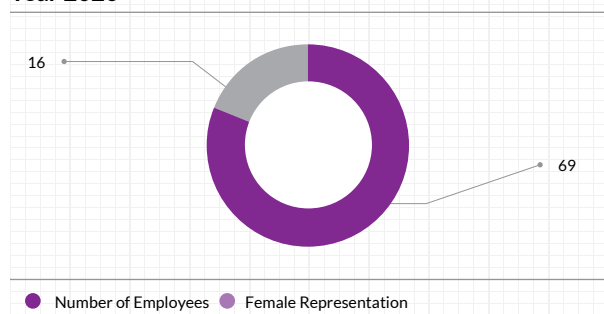
Human Resource Analysis

Head Count		
Employee	2020	2019
Permanent Employee	58	58
Contractual Employee	11	12
Total	69	70

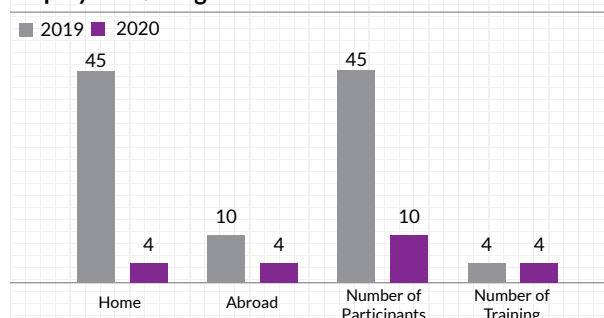
Female representation and percentage

Particulars	2020	2019
Number of Employees	69	70
Female Representation	16	15
In Percentage	23.19%	21.43%

Year 2020



Employee Training



Remuneration and Benefits

In terms of facilitating employees with the competitive package to maintain the centre of excellence we

are fully compliant with regulatory bodies. We have market driven salary package which includes fringes benefits as short term benefits and provident funds, gratuity as long-term benefits. In addition, we also offer soft loans to employees like Employee House Building Loan, Car Loan and Loan Against Provident Fund. BIFFL offers satisfactory financial and nonfinancial benefits for the employees to ensure a better lifestyle, such as-

- Attractive compensation package
- Festival and incentive bonus
- Fair promotion policy
- Annual increment
- Career growth opportunities
- Training and workshops (home and abroad)
- Employee friendly work environment
- Healthcare facilities
- Loan facilities at a privileged rate
- Retirement benefits, e.g., provident fund, gratuity fund
- Leave fare assistance

Succession Planning

Our succession planning sits inside a wider set of resourcing and development processes and that is why we call it 'succession management' which includes management of resourcing strategy, aggregate analysis of demand/supply (human resource planning and auditing), skills analysis, the job filling process, and management development including graduate and high-flyer programs. HR plays a key role with each of these processes. BIFFL focuses on hiring the right person for the right position and also concentrates on the proper development and motivation of the personnel. HR and Administration Department, in consultation with other departments, forecasts the future manpower requirements. The objective of BIFFL is to recruit the dynamic people who are best suited for the particular job. We also meet our HR requirements through job rotations and job changes. Besides this, the company places high emphasis on strategy for retention of good performers as well.

Human Rights and Safety

Healthy employees are productive and sustainably engaged in their workplace. We always comply with internal workplace health and safety policies. Our office is the first Government owned entity which has achieved LEED Platinum certification from USGBC. We encourage mothers to give more time to their children and maintain proper maternity leave. We have a day care center for the employees with young children.

Environmental and Social Considerations

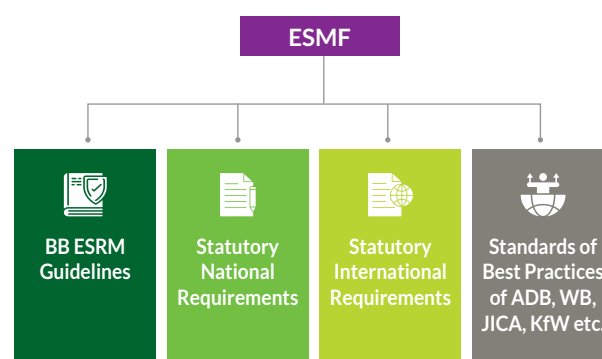
Environmental pollution and economic development are inextricably linked. Economic production can cause environmental damage and accelerate climate change if proper mitigation measures are not in place. Here, financial institutions as an integral part of an economy can play crucial role to tackle climate change and reduce environmental pollution. BIFFL as a financial institution has started to take a wider view of environmental factors in its credit assessment and loan approval.

BIFFL believes in environmentally and socially responsible investment and has been promoting clean technology with lower Carbon dioxide (CO₂) emission, which in turn will help Bangladesh to meet the target of emission reduction under the nationally determined contributions (NDCs) article of Paris Agreement. BIFFL carefully assesses environmental footprint of all of its portfolios and pipelines. BIFFL is committed to stimulate the economic growth of Bangladesh through its various loan products by ensuring job creation, women empowerment, gender equality, zero child- labour, safe work environment, workers safety and so on. Sustainable agriculture is one of the key SME areas where BIFFL is working, in order to enhance the resilience of climate vulnerable people of Bangladesh.

Our approach towards environmental and social compliance

BIFFL is committed to protect the environment as well as the community through adopting eco-

friendly measures in all aspects while considering any investment projects. For this purpose, BIFFL adopted its Environmental & Social Monitoring Framework (ESMF) in 2014 that details the agreed policies, guidelines, and procedures to be integrated into the implementation of BIFFL's projects. Besides, BIFFL has also endorsed and recognised various multilateral development partner's Environmental & Social safeguard policies including but not limited to 'Environmental & Social Management System, 2019' as per ADB's Safeguard Policy Statement, Environmental and Social Policy and Procedures (ESPP) of IPFF II Project, Environmental & Social Framework of the World Bank.



BIFFL recognizes the significance of environmental health & safety (E&S) and social safeguards and primarily focuses on the following environmental and social aspects during project financing:

Environmental aspects



Air pollution



Water pollution



Soil contamination



Impact on biodiversity



Waste management



Noise generation

Social aspects



Involuntary resettlement



Impacts on indigenous people



Impacts on cultural heritage



Occupational health and safety measures



Disturbance to community movement



Child labour

BIFFL has also established a full-fledged Environmental and Social Unit (ESU) comprising three full-time professional employees and several consultants.

Practice of BIFFL to ensure the environmental and social safeguards includes but not limited to the followings:

- Conducting environmental & social due diligence;
- Assessing environmental & social risk;
- Promoting sustainable and environment-friendly technologies;
- Complying with the BB ESRM Guidelines for Banks and Financial Institutions as well as guidelines of development partners;
- Adopting ethical and sustainable measures for a safer and greener tomorrow;
- Ensuring proper mitigation measures taken by borrower to reduce environmental and social impacts
- Encouraging clients to implement environmentally friendly processes and enthusiastically manage E&S risk arising from the client's business operations;
- Initiating the awareness building activities for leaving an exemplary environment and society for the future generations; and
- Participating in different CSR activities.

Our business model is one that looks beyond the “short-term economic value” to one of “long-term social and environmental value.” Some of the practices of BIFFL towards environment and society are shown in the pictures below:



Participated in 17th National Renewable Energy & Green Expo 2017.



BIFFL and Ministry of Finance signed an agreement for implementing “Energy Efficiency Conservation Promotion Financing Project” under JICA financing on April 10, 2017.



On 08 January 2019 Bangladesh Infrastructure Finance Fund Limited (BIFFL) & Bangladesh Bank signed a participation agreement between the two organizations under the BB's “Refinance Scheme for Green Products/Initiatives”



BIFFL organized Green Brick Workshop 2017 for the Banking Officials on 27 April 2017.



BIFFL arranged a seminar on Energy Project Finance on 28 January 2019.



BIFFL signed a 'Letter of Collaboration' with Future Carbon Energy Services (FCES), working in Energy Efficiency and Carbon Management program under the UNFCCC Kyoto Protocol Agreement in 2017 to include the Brick Kilns projects financed by BIFFL in the Clean Development Mechanism (CDM) project of FCES titled 'National Programme for Energy Efficiency Improvement in the Brick Manufacturing Sector in Bangladesh'.



On 31 January 2019 BIFFL, in response to the Sustainable Finance Department of Bangladesh Bank, handed over 800 blankets for the cold suffered poor people in 5 social organisations in the country as a part of its CSR activities.

Green Office Management

Besides the project's environmental & social risk management, BIFFL is also conscious about the indoor environment of the office and ensures provision for a safe, healthy and green working environment for its employees. For this purpose, the management of BIFFL has adopted the following green initiatives:



Use of energy saving LED lights



High efficiency VRF system



Installation of daylight sensor



Separate energy metering



Individual task light



Installation of low flow water fixture



Use of green materials



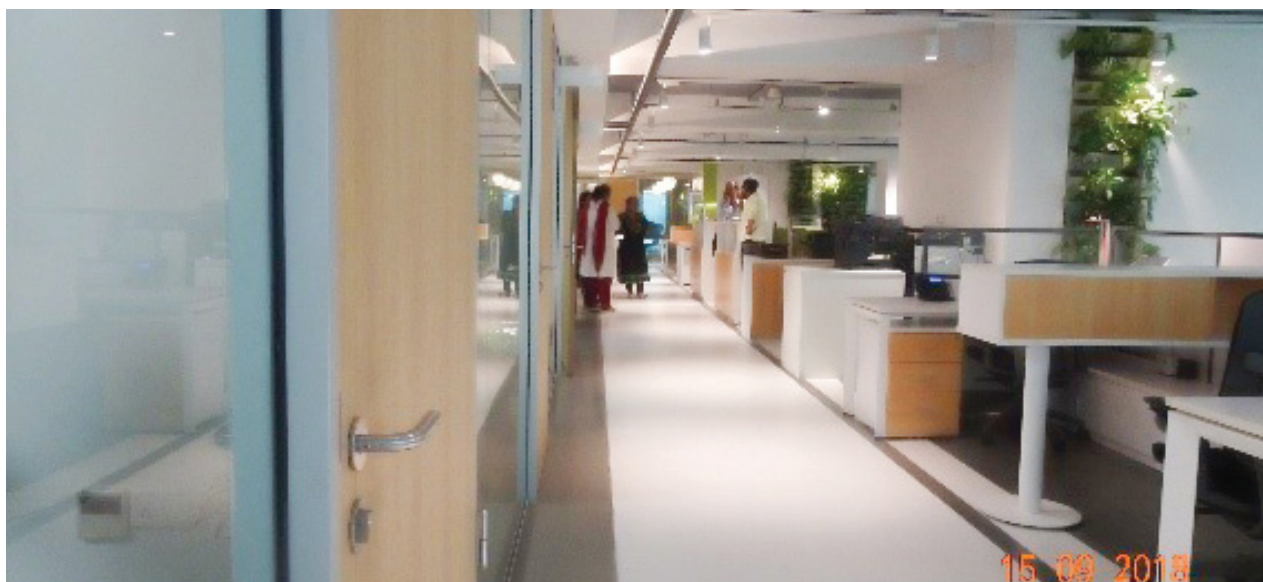
Double low e-glass to reduce heat and noise



Indoor gardens



Segregation of waste for recycling purpose



By the above means we have reduced energy consumption by 38.19% compared to conventional office and achieved water saving of 44%. Our office space is designed to have more than 85% daylight and more than 30% fresh air to contribute to health and wellbeing of the employees. Now, our office is USGBC LEED Platinum certified.

Strategic Evaluation

SWOT Analysis of BIFFL



- Government ownership
- Strong Board of Directors
- Visionary management
- Target oriented employees
- Large capital base
- Diverse and long-term sources of fund
- Cost leader in the market
- Close relations with Government bodies and development partners
- Niche market intervention



- Government ownership
- Strong Board of Directors
- Visionary management
- Target oriented employees
- Large capital base
- Diverse and long-term sources of fund
- Cost leader in the market
- Close relations with Government bodies and development partners
- Niche market intervention



- Constant Growth of GDP & target of 8% GDP p.a.
- Government Vision to achieve middle income country status
- Government plan to implement PPP Projects throughout the country
- Sourcing funds for sustainable projects from development agencies
- 8th 5-year plan for infrastructure projects and its implementation
- Raising Fund from Capital Market through issuance of Share and Bond
- Investment in Economic Zones & connectivity projects
- Investment in health and tourism industry
- Technical and financial support of the Development Partners
- Innovation of new instruments and expansion of new technology.



- Slow awarding and implementation of PPP Projects
- Increase of interest rate in the financial markets
- Sponsor's inability to implement projects on schedule
- Contagion effect of national or international financial crisis
- Saturation of Power Sector

Strategic Response to Potential Threats:

Based on the potential threats that have been indicated above, BIFFL has the following strategic responses against each threat:

- The Company is committed to work with PPPA to address issues related to delayed implementation of PPP projects. BIFFL is actively engaged in providing innovative financial solutions for complex and lengthy projects.
- In the presence of higher market interest rates, BIFFL can switch its focus towards high-risk with high-return projects since it has such a high risk-appetite which few banks or financial institutions have at the moment.
- From time to time, BIFFL will arrange workshops and discussions which will bring together policymakers, project sponsors, suppliers, financiers, and other stakeholders, so that they can have open platforms to raise and address issues related to implementation of projects.
- BIFFL has a strong equity capital base and is not listed in the stock exchange; hence it will be less exposed to volatility in capital market. BIFFL is rather focusing on securing foreign funds from international development agencies

Short-term objectives:

- Establish BIFFL as a full-fledged financial institution;
- Establish brand image and nurture a good corporate culture;
- Build trust among different stakeholders of the financial market;
- Optimize operational procedures and strengthen corporate governance;
- Engage experienced professionals and development partners.

Implementation of short-term objectives:

- Arrange necessary support from Government and multilateral agencies to establish BIFFL as a full-fledged financial institute;
- Ensure quality investment by conducting thorough due diligence on every project and promote innovative financing to support our clients in meeting their financing needs;

- Implement CFS to conduct real time transactions. Commit to have secured and efficient software to deliver effective customer services;
- Put the highest importance on managing its assets and maximize profits by adopting sound governance practices as well as effective risk management structure;
- Ensure compliance with all regulatory guidelines and directives through adopting best processes, practices and controls;
- Continue participating in CSR activities, e.g., blood donation program, contribution to the Honorable Prime Minister's relief fund, distribution of relief to flood victims etc; and
- Provide advisory services to its clients to make the projects viable and ultimately successful.

Mid-term objectives:

- Increase institutional capacity;
- Support adequate infrastructure development to meet up the growing demand of the economy;
- Ensure long-term financing sources from capital market within the next 5 years;
- Become a regional financial power;
- Enhance exposure in the financial market by financing diverse sectors and become the leader in infrastructure financing by 2021; and
- Develop a vibrant infrastructure market from the perspective of both the investors and financiers.

Implementation of mid-term objectives:

- Raise funds of BDT 1,500 crore issuance of infrastructure bonds, debentures and shares etc. and help build a dynamic capital market;
- Recruit the best talents of the country by ensuring competitive recruitment process and providing them adequate training facilities and a conducive workplace;
- Disburse more than BDT 1,100 crore in Green & renewable energy sector by 2025 supporting environment-friendly and innovative projects like ETP, polyester staple fibre projects, green building & Construction and food processing projects etc.;

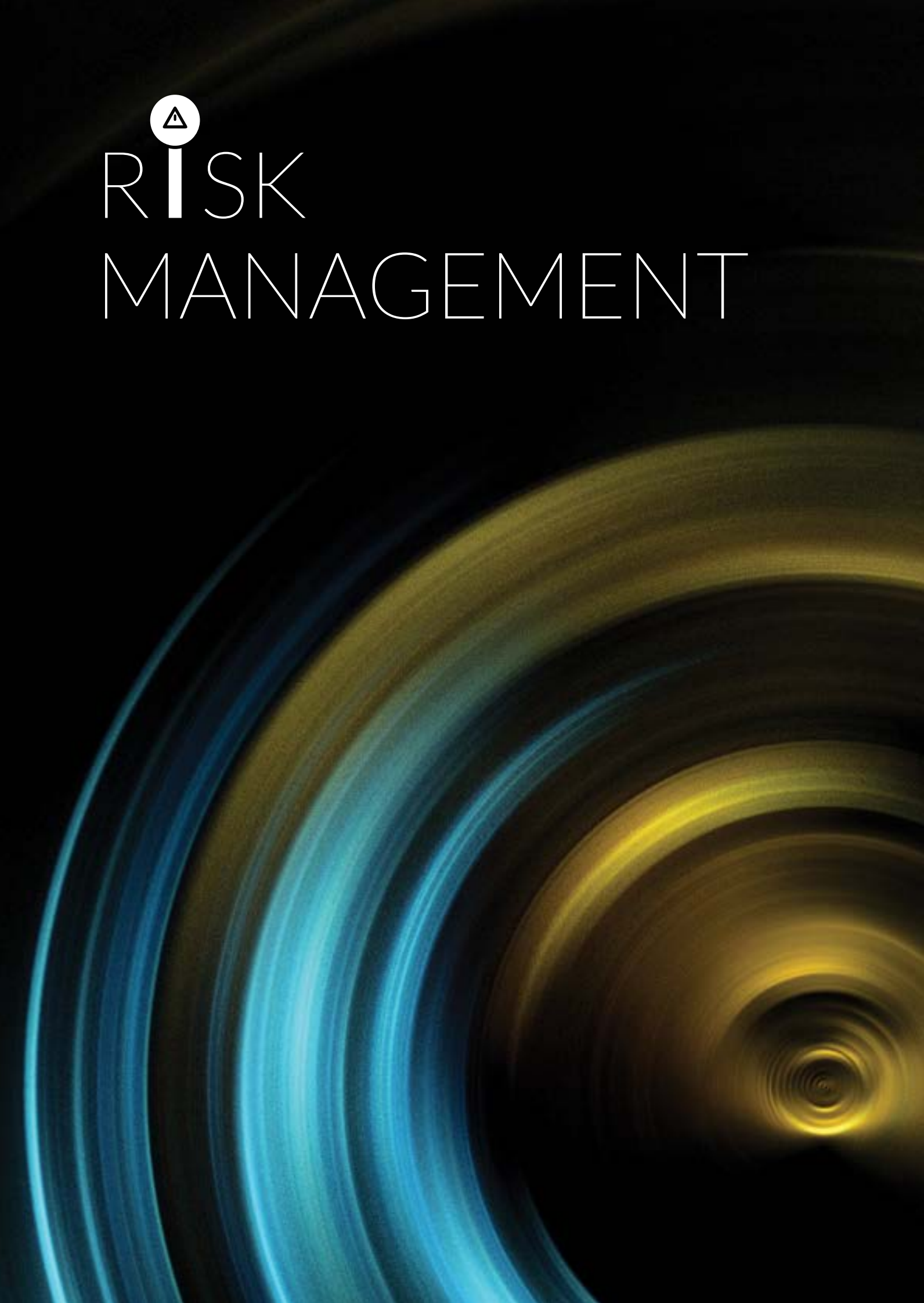
- Create a new unit focusing only on PPP projects and collaborate with Government as well as private sectors to become a major development partner of the country; and
- Build a loan portfolio of BDT 9,000 crore by 2025 prioritizing the sectors that expedite the growth of the economy like power & energy, transportation & communication, economic zone and green & renewable energy etc.

Long-term objectives:

- Become a brand in infrastructure financing
- Help in achieving SDG (Sustainable Development Goals) while conserving nature
- Help build a sound financial market to foster long-term stability of the economy
- Become a partner of choice, an employer of choice and a center of excellence;
- Integrate with global financial market and become a global financial power;
- Ensure implementation and operations of PPP projects;
- Attract private investments in long-term infrastructure projects by addressing the asset liability mismatch of existing bank finance; and
- Maintain a healthy relationship among existing client base and channel resources towards finding new opportunities.

Implementation of long-term objectives:

- Prioritize the sectors that trigger the growth of the economy and contribute to poverty alleviation;
- Build up institutional capacity, ensure professional excellence, adopt most advanced technology and global best practices.
- Penetrate in the global market by issuing bonds and shares in the international market;
- Increase geographical coverage to serve maximum population of the country;
- Focus on arranging long-term and sustainable funding sources by collaborating with local and foreign development partners;
- Develop and use innovative financing instruments and explore different avenues of money market and capital market to ensure proper mobilization and utilization;
- Put emphasis on developing the industrial sectors and help attract domestic and foreign investment;
- Attach high importance on its social and environmental impact to make the project sustainable in the long-run. Green economy and eco-friendly measures are our foremost priority while considering any investment deal;
- Arrange seminars, conventions & expos to exhibit the prospects and necessity of environment-friendly construction and engage development partners for long-term funding sources.



RISK MANAGEMENT

Statement on Risk Management

The importance of infrastructure for ensuring sustainable economic development and thereby, the amelioration of the socio-economic condition of millions of people cannot be overemphasized. The country has been failing to realize its full growth potential due to high transaction costs, mainly, arising from inadequate and inefficient infrastructure. One of the main reasons for such infrastructure-related shortcomings has been insufficient investment. In order to create an enabling environment for attracting private investments on a sustainable basis, the Government of Bangladesh (GoB) has established BIFFL and attached priority to materialize Public Private Partnership (PPP) concept in right earnest for delivering its multipronged benefits to the national economy. Conceptually, PPP project is a contract between the public sector and private sector, which requires new investments by the private partners i.e. money or technology or expertise/ time or reputation, which transfers some key risks to the private sector (design/ technology, construction/ installation, availability, demand etc., in which payments are made in exchange of performance for the purpose of delivering a service traditionally provided by the public sector.

With a continued average economic growth above 7% in the last ten years (2009-2019), Bangladesh now proudly stands as an emerging trade and investment destination. The steady growth in export business, hard-working labor force and committed entrepreneurs supported by the pro-business, pro-investment policies of the Government are leading Bangladesh towards the line of global business competency. The country's unequivocal position for peace and harmony, regional stability, cooperation, economic development through international and regional trade with its trade partners and an increasing flow of remittance by expatriate Bangladeshis living across the world have helped the country achieve and retain the impressive economic status. In FY 2019-20, GDP growth was 8.15%. Despite the impact of coronavirus pandemic, GDP growth rate is projected to reach 5.24% in FY2020-21. A strong domestic demand, high export growth and continued expansion of infrastructural facilities attributed to the

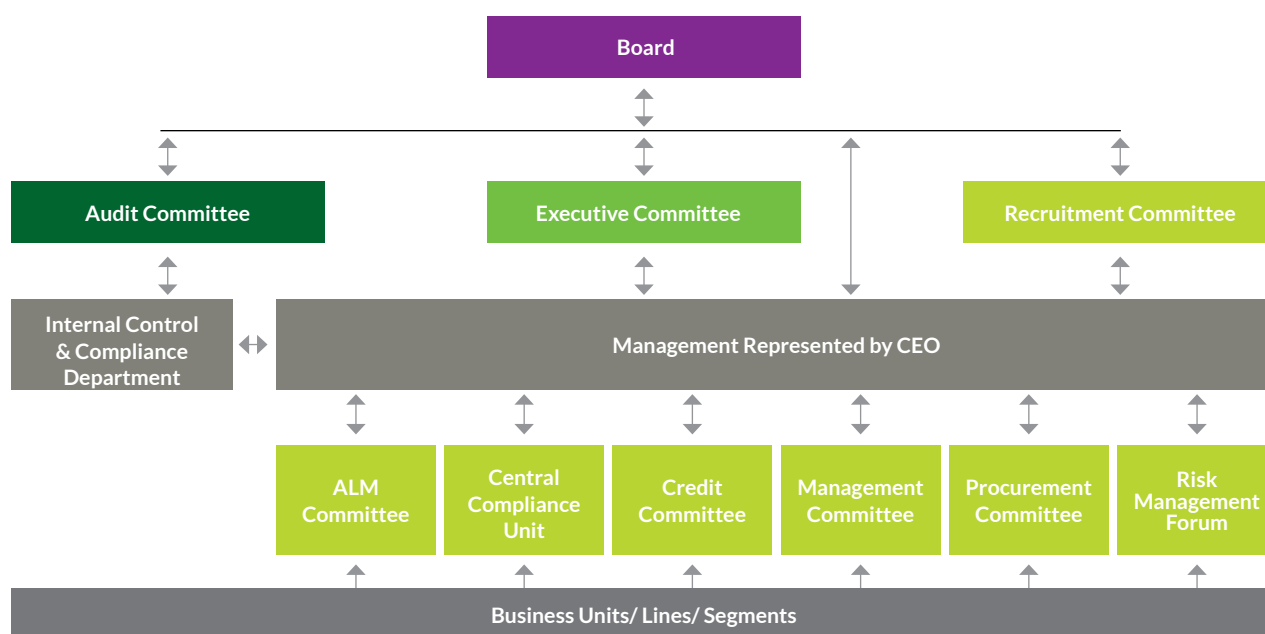
accomplishment of accelerated growth. Bangladesh will continue to engage its efforts to achieve the SDG goals which will hinge on several factors such as accelerated resource mobilization, higher investment, efficiency in infrastructure implementation, skilled human resources and strong institutional set up.

Statement on Risk Management of BIFFL

BIFFL believes that effective risk management is of utmost importance to its overall operations. Accordingly, BIFFL's risk management process has been designed to monitor, evaluate and manage the principal risks it assumes in conducting its activities. Specifically, the activities that BIFFL engages in—and the risks those activities generate—must be consistent with BIFFL's underlying commitment to the principles of and in line with BIFFL's risk appetite. BIFFL's risk appetite framework includes principle-based qualitative boundaries to guide behavior and quantitative boundaries within which the firm will operate, including capital strength and portfolio diversification and regulatory compliance. In BIFFL, only calculated risks are taken while conducting business to strike a balance between risk and return. Risk is clearly identified, mitigated or minimized and if possible, eliminated to protect capital and to maximize value for the shareholders. BIFFL selectively takes risks in support of its underlying customer-centric business strategy. BIFFL evaluates and rewards employees with specific consideration to their risk behaviors, including transparency, communication and escalation of concerns.

BIFFL Risk Management Structure

Risk management procedures are approved, monitored, and mitigated at various stages of BIFFL with a combination of Board, its committees, management committees, management units, Internal Control & Compliance Department and Risk Management Forum (RMF). The hierarchy of BIFFL risk management infrastructure is as under:



Board of Directors

The Board oversees and approves all major risk management policies and parameters considering market condition, regulatory requirements and lessons learned in the past. While setting forth policies and parameters for credit, operational and market risks, a balance is maintained for ensuring smooth operations but protecting against down side risk from potential loss or foregone income and to protect interest of shareholders.

Executive Committee (EC) of the Board

Executive Committee of the Board is responsible to oversee that the management and its committees are operating within approved limits and authorities and that all major risks are managed and mitigated effectively while potential and actual losses arising from risks are within the acceptable limits. EC also has the delegation to approve credit proposals except the large loan proposals, administrative proposals and major purchases as recommended by

the Credit Committee, Management Committee and Procurement Committee respectively.

Audit Committee (AC) of the Board

Audit Committee independently monitors all activities of operations involving credit risks, operational risks and market risks through Internal Control & Compliance Department (ICCD) of BIFFL. Risk based audit plan for ICCD is approved by the committee and its implementation is monitored on a regular basis to ensure that all risk factors are adequately addressed and any deviation is quickly corrected to ensure sustainable operation of BIFFL.

Risk Management Framework

BIFFL is a highly dedicated financial institution of Bangladesh conducting business in a professional manner by adopting the internationally accepted best practices upholding the ethical values and maintaining transparency in all activities. BIFFL believes in sustainable growth which is ensured through appropriate trade-off between risk and return.



Risk Management Framework

Risk Identification, Assessment and Analysis

Risk Analysis Unit (RAU) identifies and analyses all prevailing and probable risk of BIFFL appropriately and timely. This unit collects all relevant data related to the risk indicators from different models and information system at the earliest. They assess the quality, completeness and correctness of those data. They identify and quantify the risks and their exposures to material loss. They prepare Risk Management Paper on quarterly basis and conduct periodic Stress Testing.

In addition, the Credit Committee (CC) regularly meets to review the market and credit risk related to lending and recommend and implement appropriate measures to mitigate associated risks. CC reviews the due diligence of an individual project considering its technical, commercial, financial, management, economic and social & environmental aspect. They also review the probable impacts of local and global economic condition on the projects.

An independent Credit Risk Management Department (CRMD) is in place at BIFFL to check all compliances of regulatory body, credit norms and policy of BIFFL in order to create a high quality and efficient credit portfolio and maximize shareholders' return. Credit Risk Grading (CRG) technique helps a financial institution to understand and quantify the risks involved in financing individual project. This is done at BIFFL at pre-sanction and post sanction stages of loan. This assists management to monitor changes and trend in risk levels. The process also allows the management to manage risk and optimize return.

To mitigate credit risk, BIFFL requires credit report from Credit Information Bureau (CIB) of Bangladesh Bank and Credit Rating Report of the individual customer/project from external Credit Rating Agency approved by Bangladesh Bank. This report is scrutinized by CRMD to understand the liability condition, repayment behavior of the customer and business and market condition of the project. BIFFL has already established Internal Control and Compliance Department (ICCD) to address operational risk. ICCD ensures that an appropriate framework exists to identify, assess and manage operational risk. However, internal control measures are in place at BIFFL to mitigate operational risks under Board Audit Committee.

The Asset Liability Management Committee (ALCO) of the company regularly meets to assess the prevailing market risk. ALCO members analyze the changes in interest rate, market conditions, re-pricing of products and thereby take effective measures to monitor and control risks related to interest rate and mismatch of asset and liabilities.

Risk Reporting and Communication

After assessment of risks inherent at different Departments of BIFFL, those risks are reported by Risk Analysis Unit to Risk Management Forum-RMF (consisting of the top management of BIFFL).

Plan Actions

RMF recommends some specific action plans for mitigating the identified risks to be implemented by the head of different Departments with a given timeline. Furthermore, risks are properly communicated to the Board of Directors by Board Audit Committee.

Implementation of Action Plans

In line with guideline of Bangladesh Bank for comprehensive risk management of the FIs, the CRMD & RMF has been carrying out the following activities:

- a) All regulatory compliances related to Basel II
- b) All regulatory compliances related to Stress Testing
- c) All regulatory compliances related to CAMELS Rating of Bangladesh Bank
- d) All regulatory compliances related to comprehensive Risk Management Rating including preparation of Risk Management Paper in line with the Bangladesh Bank's reporting format and informing the Board/ Risk Management Committee about major findings of Risk Management Paper for ensuring the regulatory compliances as per requirement.

Monitoring and Controlling of Risk

BIFFL risk management process requires that risks are effectively identified and assessed, and that appropriate controls and responses are in place. Board Audit Committee and ICCD are to carry out regular audits of policy and standards, compliance and standard performance are reviewed to identify opportunities for improvement. The monitoring process provides assurance that there are appropriate controls in place for the organization's activities and the procedures are understood and followed.

BIFFL Risk Management Process

A well-structured and proactive Risk Management system is in place at BIFFL to address the risk relating to Credit, Market, Liquidity, and Operation. BIFFL has different committees for risk management and

internal control. The governance of risk management starts with our Board which plays an important role in reviewing and approving risk management policies and practices. In addition, as part of the industry's best practices for assessing, identifying, and measuring risk, BIFFL's Board has approved core risk policies as per guideline of managing core risk of financial institutions issued by Bangladesh Bank time to time. Through our risk management framework, we manage enterprise-wide risk, with the objective of maximizing risk-adjusted returns while remaining within our tolerance. As a part of this framework, the Board has approved a set of principles that describe the risk management culture we wish to sustain:

Balancing risk and return:

- We manage our risks to build a sustainable franchise, in the interests of all our stakeholders.
- We only take Risks within our risk tolerances and risk appetite, and where consistent with our approved strategy.
- We manage our risk profile to maintain a low probability of an unexpected loss event that would materially undermine the confidence of our investors.

Conduct of business:

- We demonstrate that we are here for good through our conduct and are mindful of the reputational consequences of inappropriate conduct.
- We seek to achieve good outcomes for clients, investors and the markets in which we operate while abiding by the spirit of laws and regulations.
- We treat our colleagues fairly and with respect.

Responsibility and accountability:

- We take individual responsibility to ensure risk-taking is disciplined and focused, particularly within our area of authority.
- We make sure risk-taking is transparent, controlled and reported in line with the risk management framework, within risk appetite and risk tolerance boundaries and only where there is appropriate infrastructure and resource.

Anticipation:

- We seek to anticipate material future risks, learn lessons from events that have produced adverse outcomes and ensure awareness of known risks.

Competitive advantage:

- We seek to achieve competitive advantage through efficient and effective risk management and control.

We have identified a comprehensive suite of risk factors which covers the broad range of risks our businesses are exposed to. Several risk factors have the potential to affect the results of our operations or financial condition but may not necessarily be deemed as top or emerging risks. However, they inform the ongoing assessment of our top and emerging risks which may result in our risk appetite being revised. The principal risks associated with business and ways of mitigations are described below:

Credit Risk Management

Credit risk is one of the most significant risks that BIFFL faces as an institution. As a result, BIFFL has a well-established framework in place for managing credit risk across all businesses. This includes a defined risk appetite, credit limits and credit policies, both at the business level as well as at the company-wide level. BIFFL's credit risk management also includes processes and policies with respect to problem recognition, including 'watch lists', portfolio review, updated risk ratings and classification triggers. Credit Risk Management, as one of the core risks, is designed and regularly updated to identify, measure, manage and mitigate credit risk to maintain and improve quality of loan portfolio and reduce actual loan losses and to ensure that approved processes are followed, and appropriate due diligence are carried out in appraisal and subsequent approval of new credit facilities. Credit Risk Grading (CRG) is an important tool for credit risk management as it helps BIFFL to understand various dimensions of risks involved in different credit transaction. The aggregate score of CRG can provide better assessment of the quality of credit portfolio of BIFFL. Another tool of minimizing credit risk is to obtain and review credit rating of a company before extending credit facilities. Risk Management Committee is responsible to review the credit rating of the borrower annually.

Credit risk for counterparty arises from an aggregation of the following:

- Financial Risk
- Business/Industry Risk
- Management Risk
- Security Risk
- Relationship Risk

Each of the above mentioned key risk areas need to be evaluated and aggregated to arrive at an overall risk grading measure.

a) Evaluation of Financial Risk:

Risk that counterparties will fail to meet obligation due to financial distress. This typically entails analysis of financials i.e. analysis of leverage, liquidity, profitability & interest coverage ratios. To conclude, this capitalizes on the risk of high leverage, poor liquidity, low profitability & insufficient cash flow.

b) Evaluation of Business/Industry Risk:

Risk that adverse industry situation or unfavorable business condition will impact borrowers' capacity to meet obligation. The evaluation of this category of risk looks at parameters such as business outlook, size of business, industry growth, market competition & barriers to entry/exit. To conclude, this capitalizes on the risk of failure due to low market share & poor industry growth.

c) Evaluation of Management Risk:

Risk that counter-parties may default as a result of poor managerial ability including experience of the management, succession plan and team work.

d) Evaluation of Security Risk:

Risk that the lender might be exposed due to poor quality or strength of the security in case of default. This may entail strength of security & collateral, location of collateral and support.

e) Evaluation of Relationship Risk:

These risk areas cover evaluation of limits utilization, account performance, conditions/covenants compliance by the borrower and deposit relationship.

Credit Strategy

A sound credit strategy is crucial for improving an organization's investment capacity as well as maximizing its profitability. The following general policy governs the credit strategy of BIFFL:

- a) BIFFL will finance projects within the geographic boundary of the People's Republic of Bangladesh as well as overseas, subject to prior approval of the Board and following due process as required by the concerned authorities.

- b) BIFFL will comply with all applicable Laws and Regulations;
- c) Projects processed through PPP Authority under the PPP Act 2015 will be given preference for financing;
- d) BIFFL will approve credit facilities primarily to Clients who are involved in business activities having successful track record of profitable business growth.
- e) At all times, the policy of "Know Your Customer (KYC)" and his/her credit standing will be considered as the foremost requirement in processing loan applications;
- f) BIFFL's investment/lending decisions shall primarily be based on merit of individual proposals analyzed from legal, financial, technical, marketing, social, environmental, economic, and management points of view. Prime consideration will be the debt service capability of the proposal out of fund generated from business operations. Security coverage shall depend on the factors like financial viability, past history of profitable operations, business goodwill, credit worthiness etc. of the proposal/promoters. Additional security in the form of mortgage of land, building, machinery and other fixed assets, lien of FDR, sponsor's existing business cash flow etc. may be obtained in appropriate cases; In addition to the project cash flows, BIFFL should explore the possibility of creating a security structure of the sponsor's existing business' cash flows.
- g) BIFFL shall also support projects/investments related to innovative ideas, social, community and infrastructure development;
- h) BIFFL shall give priorities to projects wherein the developer has been identified through a competitive bidding process. Projects where there hasn't been a competitive process for selection of the developer, necessary statutory/administrative approvals and clearances from relevant government agency/ authority would be required for considering the same.
- i) BIFFL will not engage in name lending based only on the general reputation of the Borrower; and
- j) BIFFL will render total satisfaction to the customers through high standard of prompt customer services.

Eligibility Criteria

In order to be eligible for funding from BIFFL, a project shall meet the following eligibility criteria:

- a) BIFFL shall consider only those projects for financing which will withstand the viability test from the commercial and socio-economic viewpoints. Viable projects may also include those projects that will become viable after receiving “Viability Gap Financing (VGF)” from the Ministry of Finance, Government of the People’s Republic of Bangladesh, as per approved “Guidelines of Viability Gap Financing for PPP Projects”;
- b) Any “For-Profit” or “Not-For-Profit” entity legally registered in Bangladesh or abroad at the time of submission of proposal(s) in response to Request for Qualification (RFQ) or Unsolicited Proposal(s) will be eligible to apply for BIFFL financing. However, at the time of contract signing, the foreign entity is required to be registered as a legal entity in Bangladesh;
- c) The project shall be implemented (i.e. developed, financed and operated for the project term) by a:
 - i. Public Sector Company, with 51 percent or more of the subscribed and paid-up equity owned and controlled by the GoB, jointly or severally;
 - ii. Private Sector Company, with 51 percent or more of the subscribed and paid-up equity owned and controlled by the private sector.
- d) A Private Sector Company not selected through a competitive bidding process would be eligible for direct lending by BIFFL only after the necessary statutory/ administrative approvals and clearances from relevant government agency/ authority have been obtained provided that-
 - The service to be provided by the infrastructure project is regulated and non-monopolistic in nature;

- The project is being set up under an agreement with the Government or a public sector undertaking; and
- Total lending for such private projects does not exceed 25 percent of the lending program of BIFFL in any Fiscal Year (FY).

- e) Projects should be an integral part of the GOB’s priority plan for the relevant sector/sub-sectors;
- f) Projects should meet GOB and BIFFL’s Environmental and Social Assessment Criteria; and
- g) The economic rate of return of the project should be at least 12 percent.

In case BIFFL management needs any clarification regarding eligibility of a project, the same may be referred to the Board for appropriate directions.

Credit Approval Process

BIFFL Board of Directors has the overall authority and responsibility for management of risks. The Board decides the risk management policies of BIFFL. The Credit Committee is a subcommittee including senior management of BIFFL. In general, all credit proposals are originated from the investment department of BIFFL. The Credit Risk Management team conducts a thorough credit and risk assessment prior to forwarding any proposal to the Credit Committee. Nevertheless, the credit proposal clearly states that all instructions and guidelines of the credit policy have been complied with. To ensure prompt and accurate service and mitigation of credit risk, the credit approval process takes place in two stages depending on the size of the loan which are Executive Committee and/or BIFFL Board. The Executive Committee (EC) is a committee including CEO and members of the Board of Directors. EC approves the credit proposal within their delegated authority after recommendation/ review of Credit Committee. Credit proposal which is beyond delegated authority of EC is submitted to the Board of Directors for approval.



Flow Chart: Credit Approval Process

BIFFL believes in diversification in terms of products and sectors. Sector allocation has already been passed by the BIFFL Board of Directors to overcome any adverse impact on the BIFFL's return. According to risk-return criteria, a risk based pricing model is followed at BIFFL. This automatically provides asking price for a particular customer/project depending on the project type, repayment capability, tenure of the Loan, risk grading of the project and prevailing market/economic condition of the country vis-a-vis the world.

Internal Credit Risk Rating (ICRR)

BIFFL follows Internal Credit Risk Rating System (ICRRS), a credit risk assessment framework developed by Bangladesh Bank for banks operating in Bangladesh. Internal Credit Risk Rating System refers to the system to analyze a borrower's repayment ability based on information about a customer's financial condition including their liquidity, cash flow, profitability, debt profile, market indicators, industry and operational background, management capabilities, and other indicators. The system comprises with 20 (twenty) different rating templates for 20 (twenty) industries/sectors. The summary of indicators derived from the system will be called Internal Credit Risk Rating (ICRR), a key reference for credit risk assessment and decision making.

Internal Credit Risk Rating System will be an integral part of credit risk management for BIFFL

- To provide a granular, objective, transparent, consistent framework for the measurement and assessment of borrowers' credit risk.
- To facilitate the portfolio management activities
- To assess the quality of individual borrower and determine the quality of the credit portfolio of BIFFL as a whole.
- To be used for individual credit selection, credit pricing, and setting credit limit and terms and conditions.

Functions of Internal Credit Risk Rating (ICRR)

- A. Internal Credit Risk Rating System is a fully automated credit risk scoring system that calibrates the characteristics of different sectors and industries in one single model;
- B. To get the appropriate rating and score, the analyst shall select the appropriate sector or

industry from the dropdown list provided in the top page of the template; If the right sector or industry is not selected; the rating will not reflect the unique characteristics of the particular sector or industry.

- C. If the borrower is in multiple lines of business, the sector should be used assessing the line of business generating the highest portion of the revenue &/or profit. If there is no particular line of businesses can be singled out- the ICRRS should be conducted using "other industry- if manufacturing" or "other service-if service".

Use of ICRR

- A. ICRR shall be an integral part of the credit approval process. The guidelines and rating system issued by Bangladesh Bank will be strictly followed without making any change, extension, modification or deletion.
- B. The ICRR shall be applicable for all exposures (irrespective of amount) except consumer loans, small enterprises having total loans exposures less than BDT 50 (fifty) lac, short-term agri loans, micro-credit and lending to bank, NBFI and Insurance.
- C. The quantitative part of the ICRR exercise shall be conducted by a credit officer/ an analyst. The Relationship Manager/ Branch Manager shall complete the qualitative assessment part to generate the total scores.
- D. The CRM team will be responsible for the accuracy and integrity of the rating as the second line of defense.
- E. The executive summary report of the ICRR of the borrower shall be approved and signed by the Chief Risk Officer (CRO).
- F. Latest audited financial statements of the borrower will be used for generating the quantitative rating under ICRR.
- G. All credit proposals whether new, renewal or enhancement shall go through the ICRR process and a set of the ICRR report shall be retained in the loan file.
- H. The Relationship Manager shall pass the approved ICRR report to the related department for updating their MIS/record.
- I. Conduct routine internal audit to check whether the Internal Credit Risk Rating System is

functioning as per the instructions laid down in the guidelines.

- J. ICRR shall be conducted for all credit proposals including new, renewal and enhancement of the existing proposal.
- K. For existing credit relationship, the ICRR shall be reviewed at least annually at the time of annual/regular credit review.

Credit Risk Ratings Scores

The ICRR consists of 4-notched rating system covering the Quantitative and Qualitative parameters. The ratings and scores are mentioned below:

Rating	Scores Aggregate
Excellent	≥80%
Good	≥70% to <80%
Marginal	≥60% to <70%
Unacceptable	<60%

The features of different categories of Credit Risk Ratings are given below:

Risk Rating	Definition
Excellent	- Aggregate score of 80 or greater in ICRR. - Strong repayment capacity of the borrower evident by the high liquidity, low leverage, strong earnings, and cash flow - Borrower has well established strong market share. - Very good management skill & expertise.
Good	- Aggregate score of 70 or greater but less than 80 and the quantitative score of at least 30. - These borrowers are not as strong as “Excellent” borrowers, but still demonstrate consistent earnings, cash flow and have a good track record. - Borrower is well established and has strong market share. - Very good management skill & expertise.
Marginal	- Aggregate score of 60 or greater but less than 70 and the quantitative score of at least 30. - This grade has potential weaknesses that deserve management’s close attention. If left uncorrected, these weaknesses may result in a deterioration of the repayment prospects of the borrower.

Risk Rating	Definition
Unacceptable	- Aggregate score of less than 60 - Financial condition is weak and no capacity or inclination to repay. - Severe management problems exist. - Facilities should be downgraded to this grade if sustained deterioration in financial condition is noted (consecutive losses, negative net worth, excessive leverage).

Management Action Triggers

- A. BIFFL will lend to a borrower if the borrower’s ICRR is “Excellent” or “Good”. For the “Marginal” cases, BIFFL shall take cautionary measures in renewing the facilities or lending new loan money to the customers. While assessing credit proposals, BIFFL must satisfy itself on the future prospect of the business, additional collateral coverage etc. BIFFL shall take heightened measures for monitoring these accounts through including but not limited to regular client visits, monitoring of the improvement plans, close monitoring of the repayment performances, timely review of the facilities, oversight on the improvement areas etc.
- B. No loan shall be sanctioned to borrowers whose ICRR is “Unacceptable” unless the loan is 100% cash covered or fully guaranteed by the Government or Multilateral Development Banks (MDBs) or the loan is for any state-owned organization or state-owned project.
- C. For the quantitative and qualitative risk analysis, if the ICRR falls under “Marginal” or “Unacceptable” for any risk criteria (among 16 quantitative and 18 qualitative); whatever the aggregate score is, the relationship manager shall evaluate what would be the impacts of such on loan repayment and justify how those risks are mitigated; and in loan proposal the approval authority should review those justifications thoroughly and make necessary evaluations on it and should be documented in the loan file.
- D. In deriving ICRR, whatever score a borrower gets in the qualitative analysis if the score in the quantitative part is less than 50%, the borrower’s ICRR shall be “Unacceptable”.
- E. BIFFL can make renewal and enhancement of existing loans for maximum 2 (two) times if the borrower’s ICRR is “Unacceptable”.

- F. In conducting qualitative analysis, justifications for all criteria are required to be documented.
- G. BIFFL must maintain portfolio level database for the assets with “Excellent”, “Good” “Marginal” and “Unacceptable” category and maintain risk appetite/tolerance level for portfolio.

Market Risk Management

Market risk encompasses funding and liquidity risk, interest rate risk and price risk, each of which arises in the normal course of business of a financial intermediary such as BIFFL. Market risk is actively monitored by the Treasury Unit of BIFFL. The objective of market risk management is to manage and control market risk exposure within acceptable parameters.

Funding and Liquidity Risk Management

Adequate liquidity and sources of funding are essential to BIFFL’s businesses. Funding and liquidity risks arise from several factors, many of which BIFFL cannot control, such as disruptions in the financial markets, changes in key funding sources, credit spreads, changes in credit ratings and political and economic conditions.

BIFFL has no exposure in capital market yet and therefore it is not exposed to any market risk related to securities but exposed to interest rate risk. The Treasury Unit in collaboration with Accounts and Finance Department manage interest rate risk with oversight of Asset-Liability Management Committee (ALCO) comprising senior management of BIFFL. Since BIFFL does not take any deposits from the market there is no adverse maturity gap in terms of its assets and liabilities. But it exposes liquidity risk of converting its fixed deposit into cash at reasonable price on time. The Treasury Unit manages the liquidity risk with oversight of Asset-Liability Management Committee (ALCO) comprising senior management of BIFFL.

Operational Risk Management

Operational risk is the potential loss arising from the failure of company’s systems, people and procedures, internal control, compliance requirements or corporate governance practices that result in human error, fraud, failure, damage of reputations, delay in performance of the works. Operational risk is the risk of loss, whether direct or indirect, to which the lender is exposed due to inadequate or failed internal processes or systems, human error, or external

events. Operational risk includes legal and regulatory risk, business process and change risk, fiduciary or disclosure breaches, technology failure, financial crime and environmental risk. It exists in some form in every Bank business and function. Operational risk can not only result in pecuniary loss, but also regulatory sanctions and damage to the reputation. BIFFL is very successful at managing operational risk with a view to safeguarding client assets and preserving shareholder value.

Reputational Risk

Reputational risk is the risk that negative publicity regarding BIFFL’s conduct, business practices or associations, whether true or not, will adversely affect its revenues, operations or customer base, or require costly litigation or other defensive measures. BIFFL finances projects that enhance our economic activities that bring change in the people’s lives. BIFFL does not involve in any controversial business venture that may damage the reputation of the company.

Environmental Risk

Environmental risk is a facilitating element of credit risk arising from environmental issues. These can be due to environmental impacts caused by and / or due to the prevailing environmental conditions. These increase risks as they bring an element of uncertainty or possibility of loss in the context of a financing transaction. The overall purpose of Environmental Risk Management is to understand and manage risks that arise from environmental concerns. This brings a focus on planning and implementing policies and procedures to mitigate environmental risks.

The specific purposes are –

- To examine the environmental issues and concerns associated with potential business activities proposed for financing,
- To identify, evaluate and manage the environmental risks and the associated financial implications arising from these issues and concerns, and
- To enhance the credit risk appraisal process.

Compliance Risk Management

Compliance risk is defined as the current or prospective risk of legal sanction and/or material financial loss that an organization may suffer as a result of its failure to comply with laws, its own regulations, code of conduct, and standards of the best practice as

well as from the possibility of incorrect interpretation of laws or regulations. The guidelines articulate the respective roles of the Board, senior management and compliance function units in managing compliance risks and also require formulation of a written compliance risk management policy.

BIFFL has always fostered a compliance oriented culture. Senior management has constantly stressed the need to do business in a compliant manner. In general, compliance risk management is embedded in the day to day to business processes and practices of the company.

Potential risks

- Potential financial loss;
- Serious regulatory implications (revocation of license, imprisonment, possibility of fines/penalties from regulators);
- Potential/actual damage to reputation;
- Major corporate governance failure;
- Customer dissatisfaction;
- Loss of business opportunities.

Plan of action to mitigate potential compliance risks

- Understand applicable rules and regulations and keep up to date;
- Communicate new rules and regulations to concerned departments and help them in adoption of the same;
- Communicate the required reports/statements to regulators within the stipulated time period;
- Maintain cordial relations with the regulators, customers and other stakeholders;
- Act as a liaison between management and regulators;
- Arrange for in-house trainings and attend out-of-house trainings on new developments in the financial sector;
- Develop checklists for applicable rules and regulations and ensure compliance of the concerned departments, like through DCFCLs.

The Internal Control & Compliance (ICC) Department of BIFFL was formed and started the operation from 2016. Since then, the department is monitoring the reporting of various departments to Bangladesh Bank and other regulatory authorities. The department also ensure the compliance of relevant laws, regulations, directives of different regulators and its own policies.

Financial Reporting

BIFFL maintains proper accounting practices in recording transactions. Adequate books of accounts e.g. account statements, loan register etc. are maintained and updated regularly. The financial statements are also prepared following the Bangladesh Financial Reporting Standards (BFRSs) and relevant circulars of the Bangladesh Bank. BIFFL maintains transparency in the conduct of business and protects the confidential information at the same time.

BIFFL regularly reports to Bangladesh Bank following the regulatory requirements and submits the financial reports in due time. Bangladesh Bank and BIFFL RMF recommend action plans to concerned department for mitigating identified risk areas and follow-up the implementation of previous recommendations. Some of the major reports are –

Name of the Report	Frequency
Risk Management Paper	Monthly
Loan/Lease Reschedule Statement	Monthly
CIB Reporting	Monthly
Interest Rate for deposit & Lending	Quarterly
Loan/Lease Write off Statement	Quarterly
Sector Wise Loan/Lease	Quarterly
CP Reporting	Quarterly
Loan Lease Classification	Quarterly
Recovery of Loan/Lease/Business Activity	Quarterly
NBFI-3	Quarterly
Industrial Loan and Advances	Quarterly
Collateral- Security Database	Quarterly

Statement on Non-Performing Loan (NPL) Management

Managing Non-Performing Loan (NPL)

Effective flow of investment is the precondition of the economic development of any country. As a developing country, Bangladesh faces several obstacles such as increasing trend of NPL as well as underdeveloped capital market which mostly depend on the mobilization of the savings and granting credit facilities to the investors by the financial institutions. Increase in NPL affects the financial health by reducing the asset quality and might put a financial institution in difficult situations.

It is known that –

- NPL shrinks the profitability of financial institution. NBFIs do not earn interest income from the classified loans.
- NPL decreases the loanable funds, and when the problem becomes prevalent in the financial sector, financial institutions become unable to provide credit to the productive sectors of the economy. Decrease in credit disbursement also leads to lower return on assets and return on equity which might affect liquidity and solvency of the institution.

As such, to maintain sound financial health, BIFFL has put NPL management as topmost priority. BIFFL believes that firm specific variables are more important in explaining NPL than macroeconomic variables. That means, irregularity in loan management is responsible for increase in NPL. BIFFL has always engaged its efforts towards reduction and prudent management of NPL through systematic, proactive, and focused approach.

Industry Overview and Current Position of BIFFL

At present, there are 35 NBFIs operating in Bangladesh (including Peoples Leasing & Financial Services Limited, which is under liquidation). Bangladesh Bank has issued license to a new financial institution named 'Strategic Finance and Investment Limited' in the year 2020. Among the NBFIs, three are government-owned, 13 are joint ventures with foreign participation, and the rest 19 are private sector companies.

At the end of June 2020, the NPL for NBFIs was 13.29 percent. In the total asset composition of all NBFIs, the amount of loans, lease and advances was 77.82 percent.

in Billion BDT

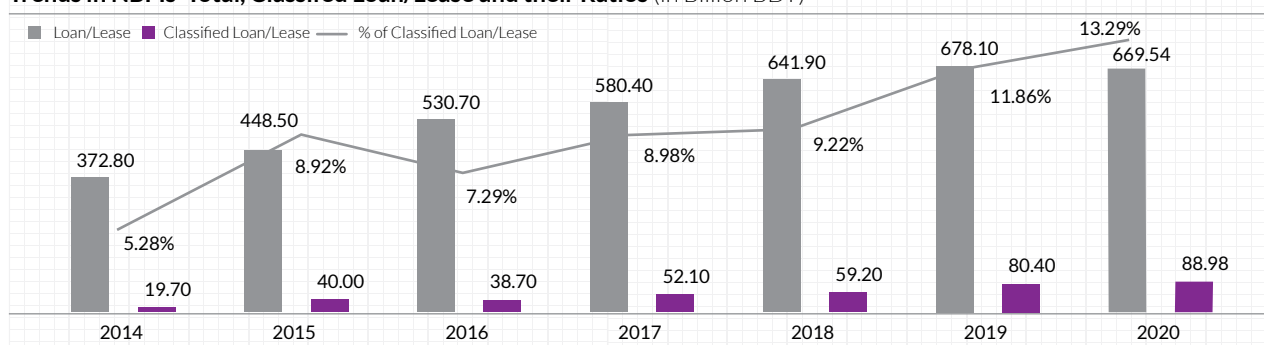
Particulars	2014	2015	2016	2017	2018	2019	2020
Loan/ Lease	372.80	448.50	530.70	580.40	641.90	678.10	669.54
Classified Loan/ Lease	19.70	40.00	38.70	52.10	59.20	80.40	88.98
% Of Classified Loan/ Lease	5.28%	8.92%	7.29%	8.98%	9.22%	11.86%	13.29%

Table: Trends in Total Loan/Lease and Classified Loan/Lease of NBFIs (source: BB)

Non-performing loans in NBFIs are showing an increasing trend over the past 7 years. At the end of June 2019, the NPL ratio was 11.86 percent

while it was 13.29 percent at the end of 2020 which shows a 12 percent increase on year-to-year basis.

Trends in NBFIs' Total, Classified Loan/Lease and their Ratios (in Billion BDT)



The asset of NBFIs decreased by 1.28 percent at the end of June 2020 compared to the asset at the end of 2019. Total asset of NBFIs at the end of June 2020 was BDT 860.33 billion, which was BDT 871.50 billion at the end of 2019. This indicates that the credit disbursement decreased in 2020 which mainly due to Covid-19 pandemic.

NBFIs have invested in different sectors of the economy, but their investments are mostly concentrated in industrial sector. Sector wise composition of NBFIs' investment at the end of June 2020 was as follows: industry 46.45 percent, real estate 19.41 percent, margin loan 2.22 percent, trade and commerce 13.84 percent, merchant banking 3.34 percent, agriculture 2.30 percent and other sectors 12.44 percent.

Total deposits of the NBFIs at the end of December 2019 went down to BDT 451.93 billion (60.00 percent of total liabilities) from BDT 466.26 billion (63.03 percent of total liabilities) at the end of 2018 showing an overall decrease of 3.07 percent. At the end of June 2020, total deposit of NBFIs stood at BDT 441.17 billion.

Total liability of the industry increased to BDT 753.12 billion at the end of December 2019 from BDT 739.69 billion that of December 2018. At the end of June 2020, total liability and equity stood at BDT 768.71 billion and BDT 91.62 billion respectively.

Covid-19 has slowed down the economy and the investment made by the NBFIs experienced slowed repayment. The decrease of assets and increase of liabilities indicate the effect of pandemic on financial institution.

NPL at BIFFL

BIFFL has only 1.56 percent of classified loans at the end of FY 2020 which indicates the base of strong asset quality. At the end of December 2020, the amount of classified loans at BIFFL was BDT 28.57 crore and the total amount of loan/ lease was BDT 1,836.11 crore. While the NPL ratio of NBFIs is 13.29 percent (as of June 2020), that of BIFFL was only 1.56 percent.

Written Off Loans

BIFFL hasn't written off any loan so far. However, BIFFL will write-off loans that consistently remain as bad/loss category (subject to approval of the Board of Directors).

BIFFL's Strategies to Manage NPL

BIFFL has been very successful in managing NPLs, and it has been possible through the concerted efforts of BIFFL officials of all departments. Close supervision of CEO and effective oversight of the Board of Directors towards containing NPL also played a crucial role. BIFFL emphasizes on the following aspects in its NPL management strategy:

Sound corporate governance: To ensure that loans do not become non-performing in the first place, BIFFL conducts a comprehensive due diligence on the clients and their business before disbursement. Loan facility is provided on commercial consideration as per the merit of the businesses and risk exposure, devoid of political or external influences.

Elaborate credit monitoring policies and procedures: BIFFL's NPL management is governed by comprehensive Credit Policy and its application in selection in probable borrowers. Credit Policy of BIFFL has been formulated incorporating the guidelines of Bangladesh Bank and internationally accepted best practices.

Choice of collaterals: BIFFL ensures that the security kept against the loan is adequate to recover the loan if it defaults. Comprehensive inspection of the project site and valuation of the proposed collaterals (e.g., mortgage of land) is conducted by a reputed surveyor to estimate the value of the security and risk exposure in the loan appraisal stage.

Setting up of a dedicated unit: BIFFL has established a dedicated unit, Special Asset Management Department, for management of the NPLs. SAMD regularly evaluated the performance of the client and prepared the strategy to keep the NPL at minimum.

Early Alert System: The main goal of Early Alert System is to identify problematic borrowers for immediate attention and remediation, with the goal of preventing those loans to become



** Incentive Program for NPL Recovery

BIFFL has introduced incentive programme to encourage recovery of loans and to bring down the Non-Performing Loans (NPLs). The table below shows an indicative incentive plan:

Recovery as a % of Principal plus Interest	Recommended incentive as % of net recovery amount	
	If CRG 7-8	If written off
76% to 100%	1.00%	2.00%
51% to 75%	0.50%	1.00%
20% to 50%	0.25%	0.50%

Reporting and Provisioning

BIFFL strictly follows the Prudential Regulations for Financial Institution formulated by Bangladesh Bank and DFIM Circular No. 04: Master Circular: Loan/ Lease Classification and Provisioning dated 26 July 2021 for loan classification, loan rescheduling, CIB reporting, provisioning and write-off and suspension of interest. Loan rescheduling, provisioning, write-offs, or release of provisions/ upgrade of a loan account are subject to approval of the Board of Directors based on the recommendations of the Management of BIFFL.

Provisions are made against the expected losses following the guidelines of Bangladesh Bank at the time they are estimated, regardless of the time when the actual losses incur. Depending on situation, BIFFL Management, in order to increase shock absorbing capacity, follows more stringent policy on keeping provision against loans.

Forced sales value of the securities are determined by the valuation conducted by the surveyor. Force Sale Value is generally the amount that is expected to be realized through the liquidation of collateral held as security or through the available operating cash flows of the business, net of any realization costs. As per DFIM Circular No. 04: Master Circular: Loan/ Lease Classification and Provisioning dated 26 July 2021, general provision and specific provision are calculated keeping in consideration the salvage value of eligible securities of the loans.

Following formula is applied in determining the required amount of provision:

1	Gross Outstanding	XXX
	Less:	(XXX)
	(i) Cash margin held or Fixed Deposits/SP under lien (as per the eligibility criterion).	(XXX)
	(ii) Interest in Suspense Account	
2	Facility Value	XXX
	(For which provision is to be created before considering estimated realizable value of other security/collateral held)	
	Less: Estimated salvage value of security/collateral held	(XXX)
3	Net Facility Value	(XXX)

Special Asset Management Department

Special Asset Management Department (SAMD) is devoted to managing the classified loans and reducing the existing NPLs adopting advanced, specialized tools and mechanism. SAMD analyses the profile of the classified loans, ensures constant follow-up and close monitoring of the classified loan accounts and prepares the strategy and action plan for recovery / regularization of classified loans engaging officials of all relevant departments. SAMD works initiates legal actions with the help of Legal Unit of BIFFL in consultation with the panel lawyers. SAMD also take initiatives to bring mortgaged assets/property under BIFFL's control and take actions to sell out the property to recover NPL.

SAMD reports to the Management about the overall asset quality of the organisation on a regular basis and recommends the Management of BIFFL for appropriate course of action (e.g., rescheduling of loan) in order to keep the NPL at minimum level. Recovery meeting is held in every month to ensure follow-up, set up action plans and expedite the recovery progress.

Strategic Outlook in 2021

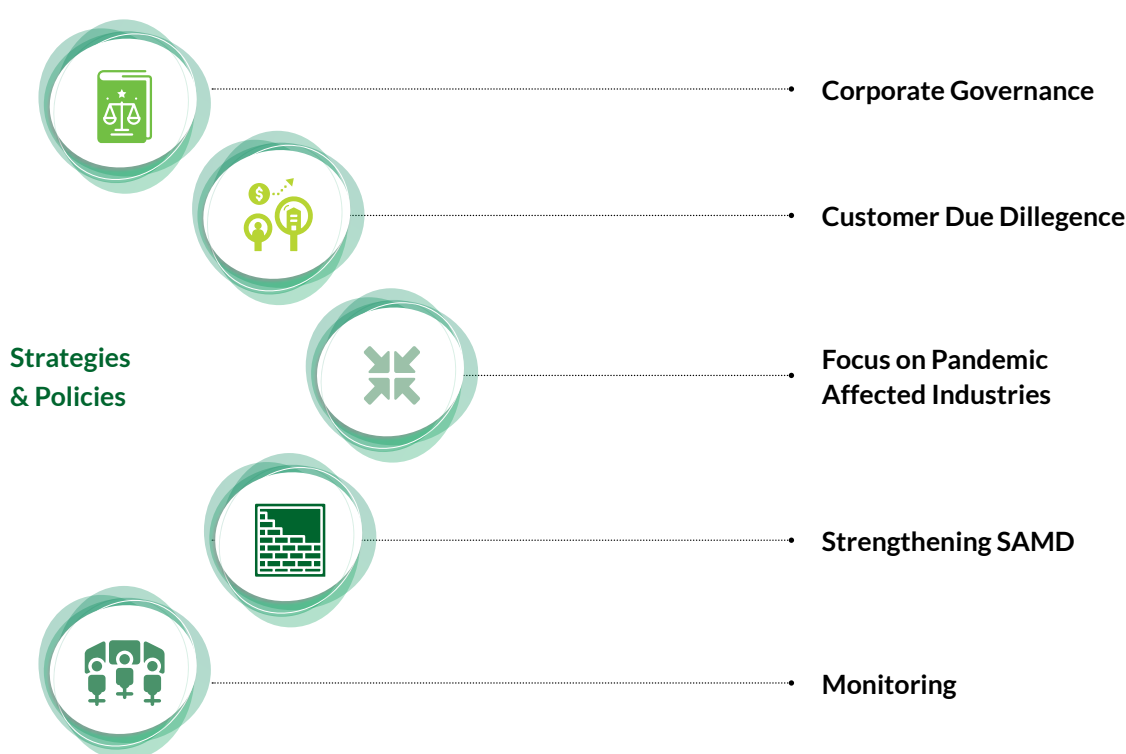
At BIFFL, NPL management starts with the very beginning of the loan appraisal process i.e., through conducting comprehensive due diligence on customer and screening loan applicants. Although increase of NPL in the financial sector in 2020 has been mostly due to Covid-19 pandemic, BIFFL believes that efficient loan management is key to keeping the NPL at minimum level.

Businesses were shut down due to lockdown and few industries e.g., tourism were heavily impacted. Small and Medium Enterprises (SMEs) were the worst sufferers of this pandemic, and this sector will get our special attention. Since businesses of a few industries

will face difficulties in resuming their operation, BIFFL will have enhanced focus on regularizing the early-stage irregular loans.

Moreover, running recovery campaigns by the Special Asset Management Department from time to time will continue to be one of the strategies of BIFFL to reduce the NPLs. In addition, continuation of the litigation process against the classified loan accounts shall be crucial to speed up recovery.

Strategic Outlook in 2021 can be summed up as follows:



- Close monitoring of the projects that suffered due to Covid-19 pandemic
- Special focus on the SME sector
- Emphasis on rigorous due diligence
- Running recovery campaigns regularly

- Strengthening Special Asset Management Department
- Regularizing the early-stage irregular loans
- Continuation of litigation process with the help of Legal Unit

CORPORATE GOVERNANCE AND COMPLIANCE



Directors' Report

It is a pleasure and privilege on the part of the Board of Directors of Bangladesh Infrastructure Finance Fund Limited (BIFFL) to present the Directors' Report and Auditor's Report together with the Audited Financial Statements of the company for the year ended on 31 December 2020 prepared in compliance with section 184 of the Companies Act, 1994 and guidelines of Bangladesh Bank and other regulators.

In 2020, BIFFL witnessed another successful year with steady progress during the worldwide pandemic Covid-19 situation. Some operational and regulatory challenges has made the company more resilient and compliant during the course of the year.

Current World Economy

The World has been experiencing the devastating Covid-19 situation through 2020 and 2021. Economy, Health Management, Societal Structures, Employment, Livelihood- everything has been impacted intensely due to pandemic Covid-19. In response to the exponential rise in Covid-19 infections, many countries across the globe are implementing lockdowns, travel restrictions, social distancing policies, and workplace and school closures. These necessary measures aim to slow the spread of the virus, minimize lives lost and avoid catastrophic outcomes for national health systems, but they also have a sudden and drastic impact on trades, business, and economy.

As per The World Bank's Global Economic Prospects (June 2021) the global economy is set to expand 5.6 percent in 2021. This recovery is uneven and largely reflects sharp rebounds in some major economies.

According to Asian Development Bank, East Asia's 2021 growth forecast is raised from 7.4% to 7.5%,

reflecting a strong first quarter. Expansion is expected in the People's Republic of China following favorable domestic and external trends.

In South Asia, new waves of infections prompt a lower growth forecast of 8.9% for 2021, followed by growth at 7.0% in 2022. India's 2021 growth projection is downgraded from 11.0% in April to 10.0%, followed by 7.5% growth in 2022.

Southeast Asian growth forecast is downgraded from 4.4% to 4.0% in 2021 as some countries reimpose pandemic restrictions, followed by 5.2% growth in 2022.

Central Asia's growth prospects for 2021 are revised up from 3.4% to 3.6%. The Pacific forecast, by contrast, is slashed from 1.4% to 0.3% as Fiji tightens containment measures.

According to the latest South Asia Economic Focus, the region is set to regain its historical growth rate by 2022. India, which comprises the bulk of the region's economy, is expected to grow more than 10 percent in the fiscal year 2021-22—a substantial upward revision of 4.7 percentage points from January 2021 forecasts. The outlook for Bangladesh, Nepal, and Pakistan has also been revised upward, supported by better-than-expected remittance inflows. The improved economic outlook reflects South Asian countries' efforts to keep their Covid-19 caseload under control and swiftly roll out vaccine campaigns. Governments' decisions to transition from widespread lockdowns to more targeted interventions, accommodating monetary policies and fiscal stimuli through targeted cash transfers and employment compensation programs have also propped up recovery.

Reference:

1. World Bank's Global Economic Prospects (June 2021), <https://www.worldbank.org/en/publication/global-economic-prospects> www.un.org/publication
2. How Covid-19 is changing the world: a statistical perspective Journal, <https://unstats.un.org/unsd/ccsa/documents/covid19-report-ccsa.pdf>
3. Asian Development Outlook Supplement, July 2021, <https://www.adb.org/outlook>
4. South Asia Overview (world Bank Group) <https://www.worldbank.org/en/region/sar/overview>

Bangladesh: Current Economic Growth and Key Challenges

Bangladesh has been among the fastest growing economies in the world over the past decade, thanks to demographic dividend, strong ready-made garment (RMG) exports and stable macroeconomic conditions. As a result, Bangladesh reached lower-middle-income status in 2015 and is on track to graduate from the UN's Least Developed Countries (LDC) list in 2026. Extreme poverty declined from 44 percent in 1991 to 10.5 percent in 2019, based on the international poverty line of USD 1.90 a day. Moreover, human development outcomes improved along many dimensions.

The Covid-19 pandemic impacted Bangladesh profoundly. In addition to the impact on health, GDP growth decelerated and poverty increased. The pandemic may also have long term economic implications because of reduced female labor, learning losses, and heightened financial sector vulnerabilities.

Following the guidelines of the Honorable Prime Minister Sheikh Hasina, Bangladesh Government undertook a comprehensive stimulus and economic

recovery program containing 28 packages to the tune of BDT 187,679 crore (USD 22.08 billion) to facilitate the implementation of these strategies. The current economic trend in Bangladesh and the performance of its macro-economic indicators reflect that the fiscal and stimulus measures adopted by the government have so far played a highly effective role in countering the adverse economic shocks of COVID-19 and is expected to play a similar role in facilitating quick economic recovery in the coming days.

Resolving longer term structural challenges could also accelerate post Covid-19 recovery. Reform priorities include a diversification of exports beyond the RMG sector, deepening the financial sector, improving urbanization, and strengthening public governance. Addressing infrastructure gaps would accelerate growth and reduce spatial disparities in opportunities across regions and within cities. Human capital development remains a priority as well.

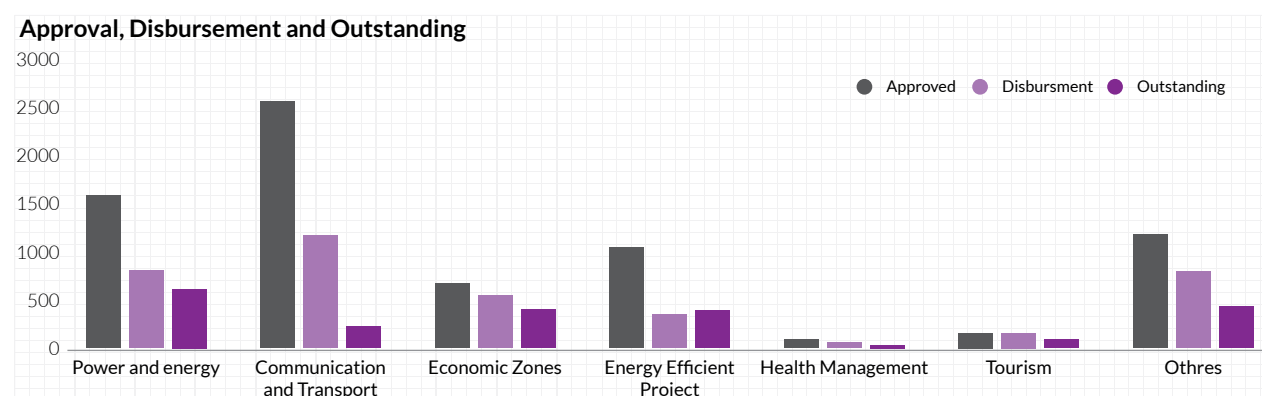
With the right policies and timely action, Bangladesh can accelerate its recovery from the economic downturn and continue to progress towards upper-middle income status.

BIFFL: Performance 2020

As on July 2021, BIFFL approved 95 loan proposals for financing BDT 7,108.91 crore in 74 different projects in various sectors and disbursed BDT 3,850.95 crore.

Sectors	Approved	Disbursement	Outstanding
Power and energy	1,650.48	855.87	557.43
Communication and Transport	2,505.00	1,192.98	220.71
Economic Zones	660.00	537.06	316.67
Energy Efficient Project	1,016.71	360.83	410.30
Health Management	80.00	20.00	28.80
Tourism	150.00	150.00	98.91
Others	1,046.72	734.21	401.85
Total	7,108.91	3,850.95	2,034.66

* Figures are shown above in BDT crore.



Reference:

1. World Bank's Global Economic Prospects (<https://www.worldbank.org/en/country/bangladesh/overview>)

Classification Status of Leases, Loans and Advances

The classification status of leases, loans and advances of BIFFL (as of 31.12.2020) is as follows:

Classification Status	BDT in Crore
Unclassified	1,781.28
Special mention Account (SMA)	26.26
Sub-Standard (SS)	28.57
Doubtful (DF)	-
Bad and Loss (BL)	-
Total	1,836.11

The non-performing loans, leases and advances stood at BDT 28.57 crore as on 31 December 2020 which is 1.56% of the total loans, leases, and advances.

Apart from that, BIFFL's portfolio includes BDT 316.90 crore investment in different projects as on 31 December 2020 where non-performing investment is BDT 25.00 crore. Considering these, total non-performing loans and investment stood at 2.49%.

Financing Proposals Underway

A number of projects of BDT 877 crore in different sectors are under consideration, as follows:

Sectors	BDT in Crore
Power and Energy	245.00
Connectivity	50.00
Tourism	-
Energy Efficient Process	469.00
Green Construction Materials	-
Women Entrepreneurs Initiatives	-
Others	113.00
Total	877.00

BIFFL'S Contribution to Achieving SDGs

Bangladesh has incorporated priorities of Sustainable Development Goals (SDGs) in all its development policies. BIFFL is working as a unique organization for development of infrastructure, conservation of environment and climate as well as women empowerment with poverty eradication, redressing gender disparity and sustainable development of the country in partnership between the private and public sector.

For establishment of infrastructures in Road Transport and Connectivity, Power and Energy, Development of Economic Zones BIFFL approved financing BDT 4815.48 crore and disbursed BDT 2585.91 crore. Besides, a good number of projects are under consideration for financing.

BIFFL has been working with different bilateral and multilateral development partners such as World Bank, JICA, ADB, KFW and AFD for capacity development (Technical Assistance) for energy efficiency and conservation promotion, infrastructure development and food value chain improvement projects.

BIFFL has been working to promote environment friendly green construction materials in

development works. It has organized nationwide expos from 2016 to 2018 which created huge impact on awareness of the mass people, business entrepreneurs and even the policy makers of the country about green technology and energy efficiency. BIFFL approved financing BDT 1016.71 and disbursed BDT 360.83 crore in this area.

BIFFL has been contributing a lot on development of the insolvent women entrepreneurs which impacts their economic status, social empowerment and redressing gender disparity. It financed 25 individual women entrepreneurs for development of their business entrepreneurs. Besides, it also provided cluster finance to almost 250 women entrepreneurs in 'Jamdanee Palli' at Rupganj, Narayanganj and 'Kakra Gher' at Bagerhat of Khulna district.

Financial Outcome

The company finalized its Annual Financial Statements ended on 31-12-2020 and ACNABIN, Chartered Accountants, audited the accounts accordingly. The key financial indicators are as follows:

Financial Performance	FY-2020	FY-2019	Change
Total assets	3,910.27	3,455.84	13.15%
Total liabilities	1,296.69	1,078.30	20.25%
Total equity	2,613.58	2,377.54	9.93%
Paid up capital	2,308.00	2,108.00	9.49%
Total leases, loans, and advances	1,836.11	1,892.23	-2.97%
Total investment	316.90	325.59	-2.67%
Operational Performance			
Total revenue	190.04	220.14	-13.67%
Interest expenses	9.03	9.63	-6.29%
Total operating income	181.02	210.50	-14.01%
Operating Expenses	13.77	15.93	-13.56%
Profit before provision	167.25	194.57	-14.04%
Other provision	50.00	73.82	-32.27%
Total profit before income tax	117.25	120.75	-2.90%
Provision for income tax	63.09	75.45	-16.38%
Net profit after tax and provision	54.16	45.30	19.56%
Other Key Ratios	FY-2020	FY-2019	Change
Earnings per share (EPS) @BDT 100/-	BDT 2.36	BDT 1.97	19.56%
Net assets value (NAV) per share @BDT 100/-	BDT 113.86	BDT 112.79	0.95%

Note: EPS was BDT 2.15 in 2019 which was subsequently restated due to increase of shares (2 crore shares @Tk100 each)

Sources of Fund

Other than equity i.e., paid-up capital, BIFFL channels funds from other sources to enhance its leverage and cater to a larger range of clients. BIFFL has already completed one and is in the process of implementing several on-lending projects undertaken by Japan International Cooperation Agency (JICA) and Government of Bangladesh (GoB) to promote financing in energy efficiency and conservation, food value chain improvement etc. Besides, BIFFL has also secured soft loans from World Bank and ADB to leverage some mega projects where financing from traditional bank loans would not have been possible. BIFFL is also near financial closure of several new concessional credit lines from AFD, KfW and ADB in different areas of

development financing. Apart from the bigger figures, financing the underprivileged woman entrepreneurs with limited access to formal finance under the central bank's refinancing scheme has been another development initiative of BIFFL.

EECPFP

From the "Energy Efficiency and Conservation Promotion Financing Project" (EECPFP) under the Loan Agreement No. BD-P90 included in the 36th Japanese ODA loan package, dated June 2016 between Japan and GoB, a total loan of JPY 9,978 million (USD 95 million approximately) is available for BIFFL, shared with IDCOL. BIFFL has already received JPY 574 million (approximately USD 5.50 million) as technical assistance. This service can be used for 9 years.

EECPFP PHASE-II

Based on the success of EECPF, JICA extended the project as the EECPF Phase-II, Loan Agreement No.: BD-P109 dated May 2019 under the 40th ODA Loan Package of Japan Government. BIFFL will also receive half of the extended fund of JPY 20,076 million for on lending and technical assistance.

FVCIP

The “Food Value Chain Improvement Project” (FVCIP) is another JICA funded project under the Loan Agreement No. BD-P115 included in the 41st ODA Loan package of Japan government. BIFFL is the sole implementing agency of this project. This project aims to facilitate access to credit for agribusiness and food processing industries to in turn enhance the quality and productivity of end products by providing concessional loans (total loan amount JPY 11,218 million). Like other projects of JICA, this project shall include technical assistance for the lender and borrowers.

IPFF-II

The loan under “Investment Promotion and Financing Facility” (IPFF)-II, is USD 416.70 million, comprising of USD 100 million from IDA and USD 256.70 million in the form of SDR and USD 60 million from GoB. BIFFL is a participating financial institution (PFI) to implement the project having a unique allocation of USD 30 million for financing through innovative financial instruments.

SBIFFLP

In 2020, the GOB signed an agreement with ADB for providing a 25-year long credit line worth USD 50 million to BIFFL for re-lending to the eligible subprojects structured in PPP modality. The project aims to strengthening BIFFL’s institutional capacity to develop and facilitate infrastructure projects. BIFFL will also receive a technical assistance of USD 650,000 as per the agreement. Meanwhile, BIFFL has signed the Common Terms Agreement and onshore facility agreement for providing loan of BDT 1,075 crore to the subproject “Dhaka Bypass Expressway Development Company Ltd.”

Proposal of Dividend for 2020

As per the audited accounts of 2020, the retained surplus stood at 43,32,59,290 after deducting all provisions and statutory reserves. BIFFL’s Board in its 97th meeting held on 28.08.2021 recommended dividend for the FY2020 @ 50% of the Net Profit After Tax and Provisions less Statutory Reserve.

Earlier, BIFFL paid a total of BDT 578.12 crore to GoB as dividend, as follows:

Year	Dividend (BDT in Crore)		Total (BDT in Crore)
	Stock	Cash	
2014	340.00	10.00	350
2015	70.00	12.00	82
2016	49.00	15.00	64
2017	49.00	15.00	64
2018	-	-	-
2019	-	18.12	18.12
Total	508.00	70.12	578.12

Total contribution to the National Exchequer (BDT in Crore)

Up to August 2021 from inception of BIFFL	Income Tax and VAT	620.11
	Dividend	578.12
	Total	1,198.23

Corporate Governance

Corporate Governance and Compliance is a priority issue of BIFFL being a Government-owned organization working to facilitate country’s infrastructure development and promote energy efficient and environment friendly projects liaising with the international development agencies. The company practices corporate governance principles in its operations and thrives to comply in all aspects.

The Board of Directors emphasizes on transparency and accountability of the operations and transactions of the organization comprehensively and the management also reports to the Board accordingly. The management also tries to standardize management information system and periodic reports as and when required by the Board.

A separate report on Corporate Governance of BIFFL is included in the Annual Report.

Shareholders	Shares position at the end of year									
	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020
Finance Division, MoF	159,999,984	159,999,984	159,999,984	159,999,984	193,999,984	200,999,984	205,899,984	210,799,984	210,799,984	230,799,984
Secretary Finance Division, MoF	10	10	10	10	10	10	9	9	9	9
Secretary Prime Minister's Office	1	1	1	1	1	1	1	1	1	1
Secretary Power Division, MoPE&MR	1	1	1	1	1	1	1	1	1	1
Secretary E&MRD, MoPE&MR	1	1	1	1	1	1	1	1	1	1
Secretary Road Transport and Highways Division, MoRT&B	1	1	1	1	1	1	1	1	1	1
Secretary Bridges Division, MoRT&B	1	1	1	1	1	1	1	1	1	1
Secretary ERD, MoF	0	0	0	0	0	0	1	1	1	1
Additional Secretary Finance Division, MoF	1	1	1	1	1	1	1	1	1	1
Total	160,000,000	160,000,000	160,000,000	160,000,000	194,000,000	201,000,000	205,900,000	210,800,000	210,800,000	230,800,000

MoF= Ministry of Finance

E&MRD= Energy and Mineral Resources Division

MoPE&MR= Ministry of Power, Energy and Mineral Resources

MoRT&B= Ministry of Road Transport and Bridges

ERD= Economic Relations Division

Board of Directors

BIFFL is an organization with 100% shareholding of the GoB represented by the Finance Division as the sponsoring Division/Ministry. All Directors represent their concerned Divisions/Ministries

of the government by virtue of their official positions only.

According to BIFFL's Articles of Association, the Board comprised of 7 members including Senior Secretary/Secretary of different Divisions/Ministries, as follows:

						
Finance Division, MoF.	Prime Minister's Office	Power Division, MoPE&MR.	Energy and Mineral Resources Division, MoPE&MR.	Road Transport and Highways Division, MoRT&B.	Bridges Division, MoRT&B.	Economic Relations Division, MoF

Later, BIFFL's Board in its 56th meeting included the Secretary, Economic Relations Division, MoF as a Director pursuant to the nomination of the Finance Division, MoF.

The Board is the highest authority to make/approve the policy and guidelines of the organization pertinent

to its operation and approves of the loan/financing and business functions. The Chief Executive Officer, as an ex-officio member of the Board, conducts the day-to-day business affairs of the company under the supervision of the Board and within the authority given by the Board through Power of Attorney.

Existing Board of Directors

SI	Name	Designation	First Appointment	Reappointment
1	Mr. Abdur Rouf Talukder	Chairman	8-Aug-18	30-Sept-2020 (9 th AGM)
2	Mr. Md. Anisur Rahman	Director	27-Feb-20	
3	Mr. Md. Nazrul Islam	Director	7-Nov-17	30-Sept-2020 (9 th AGM)
4	Mr. M. Tofazzel Hossain Miah	Director	27-Feb-20	
5	Ms. Fatima Yasmin	Director	04-Jun-20	
6	Mr. Md. Abu Bakr Siddique	Director	19-July-21	
7	Md. Md. Habibur Rahman	Director	31-Dec-20	
8	Mr. Md. Ekhlasur Rahman	Director	06-Feb-18	30-Sept-2020 (9 th AGM)

Change of Directors in 2020 and up to July 2021

In order of the date of joining

SI	Name	Designation	Appointment	Ceased
1	Mr. Abdur Rouf Talukder	Chairman	8-Aug-18	Continuing..
2	Mr. Md. Anisur Rahman	Director	27-Feb-20	Continuing..
3	Mr. Md. Nazrul Islam	Director	7-Nov-17	Continuing..
4	Mr. Mohammed Belayet Hossain	Director	20-Nov-19	19-July-21
5	Dr. Sultan Ahmed	Director	27-Feb-20	31-Dec-20
6	Mr. M. Tofazzel Hossain Miah	Director	27-Feb-20	Continuing..
7	Ms. Fatima Yasmin	Director	04-Jun-20	Continuing..
	Md. Md. Habibur Rahman	Director	31-Dec-20	Continuing..
9	Md. Md. Abu Bakr Siddique	Director	19-July-21	Continuing..
10	Mr. Md. Ekhlasur Rahman	Director	6-Feb-18	Continuing..

Board Meeting and Attendance

In 2020, eight (8) Board meetings were held. The meetings were arranged on virtual/online platform due to pandemic situation. As per the guidelines of Bangladesh Bank and Bangladesh Securities Exchange and Commission (BSEC), the proceedings of the meetings were recorded and preserved for future reference. A status of meeting attendances during the year 2020 and up to July 2021 is as follows:

Directors	No of Meeting	No of attendance	% of presence
Mr. Abdur Rouf Talukder	12	12	100%
Mr. Md. Anisur Rahman	11	10	91%
Mr. Md. Nazrul Islam	12	7	58%
Mr. Mohammed Belayet Hossain	11	11	100%
Dr. Sultan Ahmed	6	6	100%
Mr. M. Tofazzel Hossain Miah	11	11	100%
Ms. Fatima Yasmin	10	10	100%
Md. Md. Abu Bakr Siddique	1	1	100%
Md. Md. Habibur Rahman	5	5	100%
Mr. Md. Ekhlasur Rahman	12	12	100%

Directors Proposed for Re-Election

Pursuant to provisions stipulated in the Companies Act, 1994 (1st schedule, clause 79 & 80), one third (1/3) of directors (senior most in order of appointment/re-appointment) of BIFFL will retire in the 10th AGM. The retiring Directors are eligible for re-election (1st schedule, clause 81). The retiring Directors are as follows:

Name of Director	Designation	Appointment	Remarks
Mr. Md. Anisur Rahman	Director	27-Feb-20	First Appointment
Mr. M. Tofazzel Hossain Miah	Director	27-Feb-20	First Appointment
Ms. Fatima Yasmin	Director	04-Jun-20	First Appointment

Board Committees

The Board formed two Board Committees named the 'Executive Committee' and 'Audit Committee' consisting of Directors vide Board meeting dated 19.08.2014. Later, the committees were reconstructed in the 86th meeting held on 27.02.2020. From 1 January 2020 and up to 31 July 2021, 4 meetings of the Executive Committee and 3 meetings of the Audit Committee were held.

Going Concern

The Directors are of the opinion that the company is a going concern. It is recognized through appropriate inquiries and analysis that the resources are adequate to support the operations and that sufficient business opportunities do exist to justify the company as a going concern. Accordingly, the financial statements are prepared on a going concern basis and there is no doubt on the company's ability to continue as a going concern.

Related Party Transactions

Transactions with related parties are made on commercial basis on the principle of arm's length and are done in the ordinary course of business. Details of related parties and related party transactions are described in notes of the financial statements in this Annual Report as per requirements of relevant International Financial Reporting Standards (IFRS).

Human Resources

Human resource is the most vital component on which success or failure of an organization depends. BIFFL recruits and engages talented officials and proactive staffs to keep the organization growing towards its purpose. As of July 2021, the number of employees is 65, as follows:

Organizational Affairs	No. of Employee
Functional Management	
Chief Executive Officer	1
CEO's Secretariat	2
Governance and Compliance Management	
Governance and Corporate Affairs Department	1
Internal Control and Compliance Department	2
HR and Administration	
Officers	5
Support staff	21
Accounts and Finance Department	3
Treasury Department	3
Technical and IT Departments	2
Credit and Investment	
Chief Operating Officer	1
Credit and Investment Department	6
Credit Risk Management Department	6
Credit Administration Department	5
Special Assets Management Department	7
Total	65

Currently, the gender ratio of male to female employees in BIFFL is approximately 3:1. The employee turnover is about 8.63%. As of 31 December 2020, the net income per employee is BDT 78,48,900.

The company has a plan to increase its employee strength matching its objective and investment plan. BIFFL Board and Management also emphasize on continuous development of professional skills, knowledge, and expertise of employees through training, exposure and exchange programs.

Audit of the Financial Statements for FY2020

The shareholders in the 9th AGM approved the appointment of ACNABIN, Chartered Accountants for the FY2020.

The auditor, ACNABIN, Chartered Accountants audited the financial statements and transaction papers for the FY2020 and submitted the Audited Financial Statements. The financial statements of BIFFL provided a true and fair view of the financial position as on 31 December 2020, and of its financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs) and comply with the Financial Institutions Act 1993, the rules and regulations issued by Bangladesh Bank, the Companies Act, 1994, the Securities and Exchange Rules, 1987 and other applicable laws and regulations. The Audited Financial Statement and Independent Auditor's Report is attached in the Annual Report.

Regulatory Compliance

BIFFL has complied with the provision of the Companies Act, 1994, Financial Institutions Act, 1993 and other rules and regulations of Registrar of Joint Stock Companies and Firms, Bangladesh Bank, Bangladesh Securities and Exchange Commission etc. during the FY2020. Under section 184 of the Companies Act, 1994 and BSEC's Corporate Governance Guidelines, Condition-1.5, we report that:

1. The Financial Statements of the company presents the state of affairs, cash flows and changes in equity.
2. Proper books of Accounts of the company are maintained.
3. Appropriate accounting policies have been consistently applied in preparation of the financial statements and the accounting estimates are based on the reasonable and prudent judgment.
4. International Accounting Standards (IASs) have been followed in preparation of the financial

statements and any departure there has been adequately disclosed.

5. The system of financial control is sound in design and has been effectively implemented and monitored.
6. There is no doubt upon the company's ability to continue as a Going Concern.
7. The key operating and financial data for the last 5-year at a glance is given.
8. The Board has recommended dividend for the year 2020.
9. In 2020, 8 meetings were held, and the Directors have served the Board with their position.
10. BIFFL is fully government owned as on 31 December 2020.

Acknowledgment

The Board takes the opportunity to express its heartiest appreciation and gratitude to the shareholders, borrowers and other stakeholders for their continued support and cooperation towards the success of the company. The Board also expresses its warmest gratitude to Bangladesh Bank, Bangladesh Securities and Exchange Commission, Registrar of Joint Stock Companies and Firms, National Board of Revenue and other regulatory bodies for their guidance and advice. The Board also thanks ACNABIN, Chartered Accountants, the auditors of the company for their effort.

The Board believes that the contribution of BIFFL to the national economy will increase day by day through financing infrastructure and environment friendly projects of the country.

For and on behalf of the Board of Directors,



Abdur Rouf Talukder
Chairman

Statement on Corporate Governance

Corporate Governance is the system/practice through which a company is functioned, controlled and managed. This is done through a collection of procedures that are aligned with recognized standards that responds to the interests of shareholders and other stakeholders. It ensures transparency, accountability and fairness in the corporate sector and safeguards the interest of all stakeholders.

In pursuance of corporate objective, BIFFL is committed to establish its corporate governance framework by adopting, reviewing and complying with all the policies and practices to ensure a balanced corporate environment within the organization with maximum accountability and transparency.

In line with this, Board reviews and improves the systems and policies from time to time to ensure the best practices in the industry.

BIFFL has incorporated the guidelines of Corporate Governance issued by the Bangladesh Securities and Exchange Commission (BSEC) and the Bangladesh Bank as follows. The extent of compliance by BIFFL for the year ended 31 December 2020 with the above rules and directive principles and best practices are given in:

Annexure-I

The Code of the best Practice on Corporate Governance issued by the Bangladesh Securities and Exchange Commission (BSEC) vide notification no. BSEC/CMRRCD/2006-158/207/Admin/80, dated 3 June 2018.

Annexure-II

BIFFL's level of compliance with the requirement of the Bangladesh Bank circular DFIM Circular No. 07, dated 25 September 2007.

Corporate Governance Framework

BIFFL's corporate governance framework is based on the principles of accountability, transparency, ethical management and fairness. A philosophy of sound governance is entrenched across the business. BIFFL operates within a comprehensive governance framework, which is outlined below:

- BIFFL's Board comprises of 9 members including 8 senior govt. officer from different ministries of

the state and the CEO as an ex-officio member of Board. The appointment of Independent Director is in the process

- Board Committee i.e. Audit Committee and Executive Committee comprises of the Directors are working as per term of reference prescribed by Bangladesh bank
- Formation of Risk Management Forum and Risk Analysis Unit
- Formation of different committees/units to strengthen the process of business operation through segregation of duties
- Adoption of the Finance and Accounts Manual and Treasury Policy
- Adoption of the Human Resource Policy
- Approval of the Credit Policy
- Approval of Environmental and Social Monitoring Framework following guidelines of Bangladesh Bank
- Approval of ICT Policy
- Approval of ALM Policy
- Approval of Anti-Money Laundering Policy
- Approval of Green Banking Policy and Green Office Guide
- Approval of ICC Policy and ICC Systems Guidelines- Policy and Procedure
- Strengthening the process of identification, recording and disclosure of related party transactions
- Expansion of geographical presence.

(i) Board and Board Committees

Board of Directors

The Board of Directors is the highest authority of BIFFL which is collectively responsible for setting out the company's strategic aims, providing the necessary leadership to implement such aims, supervising the management and reporting to shareholders on their stewardship. The Board is also responsible

to the shareholders for the overall management and performance of the company.

From 1 January 2020 to 31 August 2021, a total of 13 Board meetings were held with more than 80% attendance of the members.

Executive Committee (EC)

The EC consists of 4 members. Matters related to ordinary business operations of the company and those the Board authorizes from time to time are vested on the EC. The committee ensures proper and timely implementation of policies and guidelines through the management. Company Secretary acts as the secretary of EC.

From 1 January 2020 to 31 August 2021, a total of four EC meetings were held with more than 90% attendance of the members.

Audit Committee (AC)

The AC consists of 4 members and is responsible to examine any matter relating to the financial affairs of the company and to review all audit and inspection reports, internal control systems and procedures, accounting policies and adherence to compliance requirements, among others. The Committee also performs an annual assessment of the effectiveness of the company's internal audit functions and ensures that internal audit has adequate resources to fulfill its mandate. Company Secretary acts as the secretary of AC.

From 1 January 2020 to 31 August 2021, three meetings of the AC were held with more than 90% presence of the members.

(ii) Management Committees

Management Committee (MANCOM)

The MANCOM is responsible for all aspects of day to day operations in line with the policies and guidelines adopted by the Board. The committee is also responsible to implement the decisions made by the Board. The committee comprises of:

01	Mr. S. M. Anisuzzaman Chief Executive Officer	Chairman
02	Mr. Md. Sagir Hossain Khan EVP & Chief Operating Officer	Member
03	Mr. Mohammad Khan, FCS Company Secretary	Member Secretary

04	Mr. Tanvir Warsi Head, Credit Risk Management Department	Member
05	Mr. Md. Sheikh Anower Sadat Head, Credit & Investment Department	Member
06	Mr. Md. Mizanur Rahman Head, Special Asset Management Department	Member
07	Ms. Rabeya Rahman In-charge, Treasury Management Department	Member
08	Mr. Salah Uddin Kader Chy In-charge, Accounts & Finance Department	Member
09	Mr. Muhammed Shahjahan In-charge, HR & Administration Department	Member

The committee sits at least once each month to make decisions and supervise the regular functions and operations of the organization. In 2020, a total of 16 meetings were held with the presence of most of the members.

Credit Committee (CC)

To maintain proper discipline in the loan/investment approval process and to ensure better assessment of quality of credit/investment portfolio of BIFFL, Credit Committee is formed comprising following officials:

01	Mr. Md. Sagir Hossain Khan EVP & Chief Operating Officer	Chairman
02	Mr. Mohammad Khan, FCS Company Secretary & Head of Central Compliance Unit	Member
03	Mr. Tanvir Warsi Head, Credit Risk Management Department	Member Secretary
04	Mr. Md. Sheikh Anower Sadat Head, Credit & Investment Department	Member
05	Mr. Md. Rabeya Rahman In-charge, Treasury Management Department	Member
06	Mr. Salah Uddin Kader Chy In-charge, Accounts & Finance Department	Member

The Credit Committee

- i. Reviews the risks and upcoming challenges (technical, economic, social & environmental, and/or legislative) that may adversely affect the proposed project.
- ii. Reviews the compliance of applicable policies (internal and external) and rules & regulations / circulars/directives/guidelines of the Regulators in the project appraisal process.
- iii. Considers the observation and recommendation of the Credit Risk Management Department on the proposal and review the mitigation scopes of the observations.
- iv. Places specific recommendation based on the information, analysis and appraisal report placed by the Credit & Investment Department and the viability, risks & challenges of the project sorted out by the Credit Risk Management Department including the mitigation scope to overcome the risks and challenges.

Asset Liability Management Committee (ALCO)

In order to manage the balance sheet risk specially for mitigating liquidity and interest rate risks and to assist the MANCOM in decision-making process, BIFFL management formed an ALCO. The committee is also responsible for creating an optimal structure of the company's balance sheet to provide the maximum profitability, limiting the possible risk level, monitoring the capital adequacy and risk diversification. The ALCO convenes periodical meeting and regularly reviews the decisions of the meeting. The members of the ALCO are:

01	Mr. S. M. Anisuzzaman Chief Executive Officer	Chairman
02	Mr. Md. Sagir Hossain Khan EVP & Chief Operating Officer	Member
03	Mr. Mohammad Khan, FCS Company Secretary	Member
04	Mr. Tanvir Warsi Head, Credit Risk Management Department	Member
05	Mr. Md. Sheikh Anower Sadat Head, Credit & Investment Department	Member

06	Mr. Md. Mizanur Rahman Head, Special Asset Management Department	Member
07	Mr. Sujit Basak In-charge, Internal Control & Compliance Department	Member
08	Ms. Rabeya Rahman In-charge, Treasury Management Department	Member Secretary
09	Mr. Salah Uddin Kader Chy In-charge, Accounts & Finance Department	Member
10	Mr. Muhammed Shahjahan In-charge, HR & Administration Department	Member

Risk Management Forum (RMF)

The RMF was formed in accordance with the Bangladesh Bank's DFIM Circular no. 01 dated April 07, 2013 to introduce proactive risk management procedures in line with the international best practices. The RMF:

- Reviews management's plans for mitigation of the material risks faced by BIFFL, evaluating their potential impact and implementing appropriate strategies to manage those risks
- Promotes awareness of a risk-based culture and achievement of a balance between risk minimization and reward for mitigation of risks
- Reviews the sufficiency of personnel, systems, procedures and other risk management issues
- Reviews and assesses the integrity and adequacy of the risk management function, including process and organizational structure.

The forum consists of the following members:

01	Mr. S. M. Anisuzzaman Chief Executive Officer	Convener
02	Mr. Md. Sagir Hossain Khan EVP & Chief Operating Officer	Member
03	Mr. Mohammad Khan, FCS Company Secretary	Member

04	Mr. Tanvir Warsi Head, Credit Risk Management Department	Member
05	Mr. Md. Sheikh Anower Sadat Head, Credit & Investment Department	Member
06	Mr. Md. Mizanur Rahman Head, Special Asset Management Department	Member
07	Mr. Sujit Basak In-charge, Internal Control & Compliance Department	Member
08	Mr. Salah Uddin Kader Chy In-charge, Accounts & Finance Department	Member
09	Ms. Rabeya Rahman In-charge, Treasury Management Department	Member
10	Ms. Mehnaz Hossain Senior Officer, Credit Administration Department	Member Secretary
11	Khandokar Riazul Hoque MTO, Credit Administration Department	Member
12	Mr. Refat Muntaquine In-Charge, IT & MIS	Member

Risk Analysis Unit (RAU)

The RAU is formed to act as the secretariat of the Risk Management Forum with the responsibility for identifying and analyzing various types of risks appropriately and in a timely manner. The RAU comprises:

01	Mr. Md. Sagir Hossain Khan EVP & Chief Operating Officer	Convener
02	Mr. Tanvir Warsi Head, Credit Risk Management Department	Member
03	Mr. Md. Sheikh Anower Sadat Head, Credit & Investment Department	Member
04	Mr. Md. Rabeya Rahman In-charge, Treasury Management Department	Member

05	Mr. Salah Uddin Kader Chy In-charge, Accounts & Finance Department	Member
06	Mr. Muhammed Shahjahan In-charge, HR & Administration Department	Member
07	Mr. Mokabbir Sarkar Senior Officer, Credit Administration Department	Member
08	Ms. Mehnaz Hossain Senior Officer, Credit Administration Department	Member Secretary
09	Mr. Muhammed Shahjahan In-charge, HR & Administration Department	Member
10	Mr. Md. Amir Hossain Nadim MTO, Credit Risk Management Department	Member

Central Compliance Unit (CCU)

Pursuant to the directions and guidelines of the “Guidance Notes on Prevention of Money Laundering and Terrorist Financing” issued by Bangladesh Financial Intelligence Unit, Bangladesh Bank, BIFFL formed the Central Compliance Unit (CCU). The unit is responsible to monitor, supervise and follow up the entire compliance issues of the organizations including the compliance with Anti-Money Laundering (AML) and Combating Financing of Terrorism (CFT) under the policy on AML, as approved by the Board. The CCU comprises:

01	Mr. Mohammad Khan, FCS Company Secretary	Head of CCU & Chief Anti-Money Laundering Compliance Officer
02	Mr. Tanvir Warsi Head, Credit Risk Management Department	Member
03	Mr. Mokabbir Sarkar Senior Officer, Credit Administration Department	Member
04	Ms. Mehnaz Hossain Senior Officer, Credit Administration Department	DCAMLCO & Member Secretary

Integrity and Ethics Committee

BIFFL has formed an Integrity and Ethics Committee as per the directions and guidelines of Bangladesh Bank

to abide by the code of integrity and good governance in line with National Integrity Strategy of Bangladesh. The committee is responsible for development of the integrity and ethical standard among the employees of the organization. The committee comprises:

01	Mr. Md. Sagir Hossain Khan EVP & Chief Operating Officer	Chairman
02	Mr. Mohammad Khan, FCS Company Secretary	Focal Point
03	Mr. Sujit Basak In-charge, Internal Control & Compliance Department	Member Secretary
04	Mr. Salah Uddin Kader Chy In-charge, Accounts & Finance Department	Member
05	Mr. Muhammed Shahjahan In-charge, HR & Administration Department	Member

Sustainable Finance Committee

Pursuant to the directions of SFD Circular no. 02, dated 01 December 2016 issued by Bangladesh Bank, BIFFL formed the Sustainable Finance Committee. The committee is responsible for supervising the

activities of Sustainable Finance Unit of BIFFL. The committee formed as follows:

01	Mr. Md. Sagir Hossain Khan EVP & Chief Operating Officer	Chairman
02	Mr. Mohammad Khan, FCS Company Secretary	Member
03	Mr. Tanvir Warsi Head, Credit Risk Management Department	Member
04	Mr. Md. Sheikh Anower Sadat Head, Credit & Investment Department	Member
05	Mr. Sujit Basak In-charge, Internal Control & Compliance Department	Member
06	Mr. Salah Uddin Kader Chy In-charge, Accounts & Finance Department	Member
07	Mr. Md. Amir Hossain Nadim MTO, Credit Risk Management Department	Member Secretary

Corporate Governance

Compliance Report on BSEC's Notification

Status of compliance with the conditions imposed by the Securities and Exchange Commission's notification No. BSEC/CMRRCD/2006-158/207/Admin/80 dated 03 June 2018 issued under section 2CC of the Securities and Exchange Ordinance 1969. The status report on compliance with those conditions is furnished below:

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
1	Board of Directors			
1.1	Size of the Board of Directors:	√		
1.2	Independent Directors:			Appointment of Independent Director is under process
1.2(a)	At least one fifth (1/5) of the total number of directors	-	-	"
1.2(b)(i)	Does not hold any share or holds less than 1% share of the total paid-up shares	-	-	"
1.2(b)(ii)	Not connected with any sponsor/director/shareholder who holds 1% or more shares of the total paid-up shares on the basis of family relationship	-	-	"
1.2(b)(iii)	Not been an executive of the company in immediately preceding 2 (two) financial years	-	-	"
1.2(b)(iv)	Does not have any other relationship, whether pecuniary or otherwise, with the company or its subsidiary/associated companies	-	-	"
1.2(b)(v)	Not a member, director or officer of any stock exchange	-	-	"
1.2(b)(vi)	Not a shareholder, director or officer of any member of stock exchange or an intermediary of the capital market	-	-	"
1.2(b)(vii)	Not a partner or an executive or was not a partner or an executive during the preceding 3 (three) years of any statutory audit firm	-	-	"
1.2(b)(viii)	Not be an independent director in more than 5 (five) listed companies	-	-	"
1.2(b)(ix)	Not been convicted by a court of competent jurisdiction as a defaulter in payment of any loan to a bank or a NBF	-	-	"
1.2(b)(x)	Not been convicted for a criminal offence involving moral turpitude	-	-	"
1.2(c)	Appointed by the Board and approved by the shareholders in the AGM	-	-	"
1.2(d)	Not remain vacant for more than 90 (ninety) days	-	-	"
1.2(e)	Tenure of office of an independent director shall be for a period of 3 (three) years, which may be extended for 1 (one) term only	-	-	"
1.3	Qualification of Independent Directors:			Not applicable
1.3(a)	Knowledge of Independent Directors	-	-	"
1.3(b)	Qualifications of Independent Director:			
1.3(b)(i)	Who is or was a promoter or Director of an unlisted company or any listed company or a member of any national or international chamber of commerce or business association	-	-	"
1.3(b)(ii)	Who is or was a top level executive not lower than CEO or MD or DMD or CFO or Head of F&A or CS or Head of IAC or Head of Legal of an unlisted company	-	-	"

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
1.3(b)(iii)	Former official of govt. or statutory or autonomous or regulatory body in the position not below 5th Grade of national pay scale having at least educational background of bachelor's degree in economics or Commerce or Business or Law	-	-	"
1.3(b)(iv)	University teacher who has educational background in Economics or Commerce or Business Studies or Law	-	-	"
1.3(b)(v)	Professional who is or was an advocate practicing at least in the High Court Division of Bangladesh Supreme Court or a CA or a CMA or a CFA or a CCA or CPA or CMA or CS or equivalent qualification	-	-	"
1.3(c)	Shall have at least 10 (ten) years of experience in any field mentioned in clause (b)	-	-	"
1.3(d)	The qualifications or experiences in clause (b) may be relaxed subject to prior approval of the commission	-	-	"
1.4	Quality of Chairperson of the Board of Directors and Managing Director or CEO:			
1.4(a)	The position of Chairperson of the Board of Directors and the MD or CEO of the company shall be filled by different individuals	√		
1.4(b)	The MD or CEO of a listed company shall not hold the same position in another listed company	√		
1.4(c)	The Chairperson of the Board shall be elected from among non-executive directors of the company	√		
1.4(d)	The roles and responsibilities of the Chairperson and MD or CEO shall be clearly defined by the Board	√		
1.4(e)	In the absence of Chairman, the remaining members may select one of themselves from non-executive directors as Chairperson for the particular Board meeting but the reason of absence of the regular chairperson shall be duly recorded in the minutes	√		
1.5	The Directors Report to Shareholders:			
1.5(i)	Industry outlook and possible future developments in the industry	√		
1.5(ii)	Segment-wise or product-wise performance	√		
1.5(iii)	Risks and concerns	√		
1.5(iv)	Discussion on Cost of Goods sold, Gross Profit Margin and Net Profit Margin	-	-	Not applicable
1.5(v)	Discussion on continuity of any extra-ordinary gain or loss	√		
1.5(vi)	Discussion on related party transactions along with a statement	√		
1.5(vii)	Utilization of proceeds from public issues, rights issues and/or through any others	-	-	Not applicable
1.5(viii)	Explanation if the financial results deteriorate after the company goes for IPO, RPO, Rights Offer, Direct Listing	-	-	Not applicable
1.5(ix)	Explanation on any significant variance occurs between Quarterly Financial performance and Annual Financial Statements	-	-	No such event occurred
1.5(x)	Remuneration to directors including independent directors	√		
1.5(xi)	Fairness of Financial Statements	√		
1.5(xii)	Proper books of accounts maintained	√		
1.5(xiii)	Application of appropriate accounting policies and estimates	√		
1.5(xiv)	Followed IAS/BAS/IFRS and BFRSs in preparation financial statements	√		
1.5(xv)	The system of internal control sound in design & effectively implemented & monitored	√		

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
1.5(xvi)	Minority shareholders have been protected from abusive actions	√		
1.5(xvii)	No significant doubt upon its ability to continue as a going concern	√		
1.5(xviii)	Reporting of significant deviations from the last year's in operating results	√		
1.5(xix)	Key operating and financial data of at least preceding 5 (five) years	√		
1.5(xx)	Reasons of not declared dividend	√		
1.5(xxi)	Statement that no bonus share or stock dividend declared as interim dividend	-	-	No such event occurred
1.5(xxii)	Total number of board meeting held & attendance reporting	√		
1.5(xxiii)(a)	Parent/Subsidiary/Associated Companies and other related parties	-	-	No such relationship
1.5(xxiii)(b)	Directors, CEO, CS, CFO, HIA and their spouses and minor children	√		
1.5(xxiii)(c)	Executives	√		
1.5(xxiii)(d)	10% or more voting interest	-	-	Not applicable
1.5(xxiv)(a)	Brief resume of the Director	√		
1.5(xxiv)(b)	His/her expertise in functional areas	√		
1.5(xxiv)(c)	Companies in which the person holds the directorship and the membership of committees of the Board	√		
1.5(xxv)	Management's discussion and analysis signed by CEO or MD on company's position and operations	√		
1.5(xxv)(a)	Accounting policies and estimation	√		
1.5(xxv)(b)	Changes in accounting policies and estimation, if any	√		
1.5(xxv)(c)	Comparative analysis	√		
1.5(xxv)(d)	Compare financial performance and position with peer industry	√		
1.5(xxv)(e)	Explain the financial and economic scenario	√		
1.5(xxv)(f)	Risks and concern to the financial statement and the mitigation plan	√		
1.5(xxv)(g)	Future plan or projection or forecast for company's operation, performance and financial position	√		
1.5(xxvi)	Certification by the CEO and the CFO to the Board under condition no. 3(3)	√		
1.5(xxvii)	The report and certificate for compliance of conditions of this Code as required under condition no. 9	√		
1.6	Meeting of the Board of Directors: Conduct its Board meetings and records the minutes of the meetings	√		
1.7	Code of Conduct for the Chairperson, other Board members and CEO:			
1.7(a)	Lay down a code of conduct, based on the recommendation of the NRC at condition no. 6	√		BIFFL adopted code of conduct as circulated by BB
1.7(b)	The Code of Conduct shall be posted on the website	√		
2	Governance of Board of Directors of Subsidiary Company			BIFFL has no subsidiary
2(a)	Composition of the Board of Directors	-	-	"

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
2(b)	At least 1 (one) independent director to the subsidiary company	-	-	"
2(c)	Submission of Minutes to the holding company	-	-	"
2(d)	Review of Minutes by the holding company	-	-	"
2(e)	Review of Financial Statement by the holding company	-	-	"
3	Managing Director (MD) or Chief Executive Officer (CEO), Chief Financial Officer (CFO), Head of Internal Audit and Compliance (HOIC) and Company Secretary (CS)			
3.1	Appointment:			
3.1(a)	Board shall appointment MD or CEO, CS, CFO, and HIAC	√		
3.1(b)	Position of MD or CEO, CS, CFO, and HIAC shall be filled by different individuals	√		
3.1(c)	MD or CEO, CS, CFO, and HIAC shall not hold any executive position in any other company	√		
3.1(d)	Board shall clearly define roles, responsibilities and duties of CS, CFO, and HIAC shall be filled by different individuals	√		
3.1(e)	MD or CEO, CS, CFO, and HIAC shall not be removed from their position without approval of the Board	√		
3.2	Requirement to attend Board of Director's Meetings: The MD or CEO, CS, CFO, and HIAC shall attend the meetings of the Board	√		
3.3	Duties of Managing Director (MD) or Chief Executive Director (CEO) and Chief Financial Officer (CFO):			
3.3(a)	MD or CEO and CFO shall certify to the Board that they have reviewed financial statements	√		
3.3(a)(i)	The statements do not contain any materially untrue statement that might be misleading	√		
3.3(a)(ii)	The statement presents a true and fair view of the company's affairs and compliance with existing standards and laws	√		
3.3(b)	Certify that no transactions entered which are fraudulent, illegal or violation of the code of conduct for the company's Board	√		
3.3(c)	The certification shall be disclosed in the annual report	√		
4	Board of Director's Committee			
4(i)	Audit Committee (AC)	√		
4(ii)	Nomination and Remuneration Committee (NRC)	-	-	Formation of NRC is under process
5	Audit Committee			
5.1	Responsibility to the Board of Directors:			
5.1(a)	Have an Audit Committee as a sub-committee of the Board	√		
5.1(b)	Assist the Board in ensuring true and fair view of the state of affairs and monitoring system	√		
5.1(c)	Audit Committee shall be responsible to the Board	√		
5.2	Constitution of Audit Committee:			
5.2(a)	At least 3 (three) members	√		
5.2(b)	Appointment of members of the Audit Committee	√		
5.2(c)	Qualification of Audit Committee members	√		
5.2(d)	Term of service of Audit Committee members	√		
5.2(e)	Secretary of the Audit Committee	√		
5.2(f)	Quorum of the Audit Committee shall not constitute without 1 (one) Independent Director	√		
5.3	Chairperson of the Audit Committee:			

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
5.3(a)	Board shall select the Chairperson of the AC, who shall be an Independent Director	-	-	No Independent Director
5.3(b)	In the absence of Chairman, the remaining members may select one of themselves as Chairperson for the particular meeting for quorum as required under condition no. 5.4 (b) but the reason of absence of the regular chairperson shall be duly recorded in the minutes	√		
5.3(c)	Chairperson of the Audit Committee shall remain present in the AGM	√		
5.4	Meeting of the Audit Committee:			
5.4(a)	At least 4 (four) meeting in a financial year	-	√	AC meeting held as per organizational requirement
5.4(b)	Quorum of the meeting of the AC	√		
5.5	Role of Audit Committee:	√		
5.5(a)	Oversee the financial reporting process	√		
5.5(b)	Monitor choice of accounting policies and principles	√		
5.5(c)	Monitor Internal Audit and Compliance process	√		
5.5(d)	Oversee hiring and performance of external auditors	√		
5.5(e)	Hold meeting with the external or statutory auditors for review of the financial statements	√		
5.5(f)	Review the annual financial statements before submission to the Board for approval	√		
5.5(g)	Review the quarterly and half yearly financial statements before submission to the Board for approval	√		
5.5(h)	Review the adequacy of internal audit function	√		
5.5(i)	Review of Management's discussion and analysis	√		
5.5(j)	Review statement of all related party transactions	√		
5.5(k)	Review Management Letters/ Letter of Internal Control weakness issued by statutory auditors	√		
5.5(l)	Oversee the determination of audit fees based on scope and magnitude	√		
5.5(m)	Disclosure to the AC about the uses/applications of funds raised by IPO/RPO/Right issue	-	-	Not applicable
5.6	Reporting of the Audit Committee:			
5.6(a)	Reporting to the Board of Directors:			
5.6(a)(i)	Report on activities of Audit Committee to the Board	√		
5.6(a)(ii)	Immediately report to the Board:			
5.6(a)(ii)(a)	Conflicts of interest	√		
5.6(a)(ii)(b)	Material defect identified in the internal audit and compliance process	√		
5.6(a)(ii)(c)	Infringement of laws, rules and regulations	√		
5.6(a)(ii)(d)	Any other matter which deems necessary to be disclosed	√		
5.6(b)	Reporting to the Authorities	√		
5.7	Reporting to the Shareholders & General Investors:			
6	Nomination and Remuneration Committee (NRC)			Appointment of Independent Director is under process

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
6.1	Responsibility to the Board of Directors:			
6.1(a)	Have a Nomination and Remuneration Committee (NRC) as a sub-committee of the Board	-	-	"
6.1(b)	The NRC shall assist the Board	-	-	"
6.1(c)	The ToR of the NRC in writing as stated at the condition no. 6 (5) (b)	-	-	"
6.2	Constitution of the NRC:			
6.2(a)	At least 3 (three) members	-	-	"
6.2(b)	All members are non-executive directors	-	-	"
6.2(c)	Members of the committee are nominated and appointed by the Board	-	-	"
6.2(d)	Board have the authority to remove and appoint any members	-	-	"
6.2(e)	Fill the vacancy for death, resignation, disqualification or removal	-	-	"
6.2(f)	Appoint or co-opt any external expert as advisor	-	-	"
6.2(g)	Secretary of the Committee	-	-	"
6.2(h)	Quorum of the Audit Committee shall not constitute without 1 (one) Independent Director	-	-	"
6.2(i)	No remuneration other than Director's fee	-	-	"
6.3	Chairperson of the NRC:			
6.3(a)	Board shall select the Chairperson of the committee, who shall be an Independent Director	-	-	"
6.3(b)	In the absence of Chairman, the remaining members may select one of themselves as Chairperson for the particular meeting but the reason of absence of the regular chairperson shall be duly recorded in the minutes	-	-	"
6.3(c)	Chairperson of the Audit Committee shall remain present in the AGM	-	-	"
6.4	Meeting of the NRC:			
6.4(a)	At least 1 (one) meeting in a financial year	-	-	"
6.4(b)	Convene emergency meeting	-	-	"
6.4(c)	Quorum of the meeting	-	-	"
6.4(d)	The proceedings of each meeting be recorded in the minutes	-	-	"
6.5	Role of the NRC:			
6.5(a)	Be independent and responsible to the Board	-	-	"
6.5(b)	Oversee and make report with recommendations	-	-	"
6.5(b)(i)	Formulating policy for remuneration of the Directors and top-level executive	-	-	"
6.5(b)(i)(a)	The level and composition of remuneration	-	-	"
6.5(b)(i)(b)	The relationship of remuneration to performance	-	-	"
6.5(b)(i)(c)	Remuneration involves a balance between fixed and incentive pay	-	-	"
6.5(b)(ii)	Policy on Board's diversity	-	-	"
6.5(b)(iii)	Identifying process for qualification of Directors and top-level executive	-	-	"
6.5(b)(iv)	Criteria for evaluation of performance of ID	-	-	"
6.5(b)(v)	Identifying the company's needs for employees and determine the employment process	-	-	"
6.5(b)(vi)	Developing, recommending and reviewing the company's human resource and training policies	-	-	"

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
6.5(c)	Disclose the nomination and remuneration policy and the activities of NRC in its annual report	-	-	"
7	External/Statutory Auditors			
7.1	Shall not engage external/statutory:			
7.1(i)	Appraisal or valuation services or fairness opinions	√		
7.1(ii)	Financial information systems design and implementation	√		
7.1(iii)	Book-keeping	√		
7.1(iv)	Broker-dealer services	√		
7.1(v)	Actuarial services	√		
7.1(vi)	Internal audit services	√		
7.1(vii)	Services that the Audit Committee determines	√		
7.1(viii)	Audit services on compliance of corporate governance under condition no. 9(1)	√		
7.1(ix)	Other services that create conflict of interest	√		
7.2	Audit firms shall not hold any share of the company they audit	√		
7.3	Audit firm shall not certify on compliance of corporate governance	√		
8	Maintaining a website by the Company			
8.1	Have an official website	√		
8.2	Keep the website functional	√		
8.3	Available the detailed disclosures on its website	√		
9	Reporting and Compliance of Corporate Governance			
9.1	Obtain certificate regarding compliance of conditions of Corporate Governance Guidelines	-	-	Not applicable
9.2	The professional for the certificate appointed by the shareholders in the AGM	-	-	Not applicable
9.3	Annexure-C attached, in the directors' report whether the company has complied these conditions or not	√		

Statement of Compliance

Annexure-I

with the Good Governance Guideline Issued by the Bangladesh Bank

Bangladesh Bank vide, DFIM Circular no. 7, dated 25 September 2007, issued a policy on the responsibility on the Board of Directors, Chairman, Chief Executive Officer of financial institution. The Board of Directors of the company has taken appropriate steps to comply with the guidelines.

A status report on compliance with those guidelines is stated below:

Sl. no.	Particulars	Status of Compliance	Remarks (if any)
01	Responsibilities and authorities of Board of Directors The responsibilities of the Board of Directors are mainly related to and developing strategy. Those are as-		
	A. Work Planning and Strategic Management		
	i. The Board shall determine the vision/ mission of the company. Board shall also determine the strategy and work plan for enhancement of institutional efficiency and other policy matters on annual basis. The Board shall make necessary amendments on the strategy on quarterly basis.	Complied	
	ii. The Board shall have its analytical review to be incorporated in the Annual Report as regard to the success or failure in achieving the target as set out in the annual work plan and inform the same to the shareholders in the Annual General Meeting (AGM).	Complied	
	iii. The Board shall determine the Key Performance Indicators for chief executive along with other top-level executives and re-assess on half yearly basis.	Complied	
	B. Formation of Sub-committee		
	For making timely decision, Executive Committee and Audit Committee can be formed. No alternative director shall be included in this committee.	Complied	
	C. Financial Management		
	i. Annual budget and statutory financial reports shall be authorized by the Board of Directors.	Complied	
	ii. The Board shall review company's statement of income and expense, statement of loan/lease, liquidity requirement, capital adequacy of provision, action taken for legal cases and recovery of default loan.	Complied	
	iii. The Board shall approve the procurement policy and shall accordingly approve the delegation of power for making such expenditure. The maximum delegation of power shall rest on the CEO and top management. However, decision relating to purchase of land, building, and vehicle shall remain with the Board.	Complied	
	iv. Bank account of the Company shall be operated by a group constituted from amongst the Management which must be approved by the Board and having dual signatures (As amended through circular number 09, dated October 08, 2007).	Complied	
	D. Loan/Lease/Investment Management		
	i. The policies, strategies, procedures etc. in respect of loan appraisal of loan/ lease/ investment proposal sanction, disbursement, recovery, rescheduling, and write-off shall be made with the Board's approval under the purview of the existing laws, rules and regulations. The Board shall specifically delegate the power of sanction of loan/ lease/ investment and such delegate should desirably be made among the CEO and other top management of the company.	Complied	
	ii. No Director shall interfere directly or indirectly in the process of loan approval.	Complied	

Sl. no.	Particulars	Status of Compliance	Remarks (if any)
	iii. Core Risk Management Guidelines shall be approved by the Board of Directors of the company.	Complied	
	E. Risk Management		
	Approval shall be taken from Board of Directors for syndicate loan/lease/investment and large loan, lease or investment.	Complied	
	F. Internal Control & Compliance		
	Audit Committee shall be formed for effective implementation of an integrated internal control system of the company and for keeping loan/lease/investment quality at a desired level. Board Audit Committee shall review the report provided by the Internal Control & Compliance Department, the external auditor and the Bangladesh Bank shall make comments thereon.	Complied	
	G. Human Resources Management (HRM)		
	Polices relating to recruitment, promotion, transfer disciplinary and punitive measures, HR development etc. and service rule shall be framed and approved by the Board. The Chairman or the Board shall no way involve themselves or influence over any administrative affairs including recruitment, promotion, transfer and disciplinary measures as executed under the service rules. No member of the Board shall be included in the selection committees for recruitment and promotion of different levels except the position MD, DMD and GM or equivalent.	Complied	
	H. Appointment of Managing Director and Increase of Salaries & Allowances		
	Board of Director shall appoint a competent Managing Director with approval of the Bangladesh Bank. Board shall approve any increment of salaries and allowance of the Managing Director.	Complied	
	I. Benefit to the Chairman		
	Chairman may be offered an office room, a personal secretary, a telephone at the office, a vehicle in the business-interest of the company subject to the approval of the Board.	Complied	
02	Responsibilities and Duties of Chairman		
	i. Chairman shall not personally possess the jurisdiction to apply policy making or executive or operational and routine affairs of the company.	Complied	
	ii. The Minutes of the Board meetings shall be signed by the Chairman.	Complied	
	iii. Chairman shall sign-off the personal for appointment of Managing Director and revision of his salaries & allowances.	Complied	
03	Responsibilities of Managing Director		
	The Managing Director or Chief Executive officer of the company or whatsoever be called, shall work under the following area:	Complied	
	i. Managing Director shall discharge his responsibilities on matters relating to financial, business and administration vested by the Board upon him. He is also accountable for achievement of financial and other business targets by means of business plan, efficient implementation of administration and financial management.	Complied	
	ii. Managing Director shall ensure compliance of Financial Institution Act 1993 and other relevant circulars of Bangladesh Bank and other regulatory authorities.	Complied	
	iii. All recruitment /promotion /training, except recruitment/promotion/ training of DMG & GM (as equivalent to EVP) shall be vested upon the Managing Director. He shall act such in accordance with the approve HR policy of the Company.	Complied	
	iv. Managing Director may re-schedule job responsibilities of employees.	Complied	
	v. Managing Director shall sign all the letters/statements/ relating to compliance of policies and guidelines. However, Departmental/unit heads may sign daily letters/ statements as set out in DFIM circular no.2 dated 06 January 2009 if so authorized.	Complied	

Credit Rating Status

Bangladesh Infrastructure Finance Fund Limited (BIFFL) has been awarded AAA (pronounced as Triple A) rating as a Government Supported Entity (GSE) in the long-term and ST-1 rating in the short-term as a highly integrated GSE. As a Stand-alone Financial Institution (SFI), BIFFL has been awarded AA- (pronounced as Double A minus) rating in the long-term and ST-1 rating in the short-term by Credit Rating Information and Services Limited (CRISL) based on financial and other available information up to the date of rating declaration. The outlook on the rating is “Stable” in the last four years.

Normally rating company considers financial performance, capital base, asset quality, liquidity position, management experience, prospect of the industry and other parameters while assigning the ratings. The assigned rating reflects the strength of the company which is backed by a strong management team, growth in non-interest income, deposits and investments, adequate capital coverage with high Tier-1 capital, improved asset quality and well controlled liquidity position.

Date of Issue	Long-Term Rating		Short-Term Rating		Outlook	Date of Validity	Credit Rating Agency
	GSE	SFI	GSE	SFI			
26-Nov-2020	AAA	AA-	ST-1	ST-1	Stable	25-Nov-2021	CRISL
26-Aug-2019	AAA	AA-	ST-1	ST-1	Stable	25-Aug-2020	CRISL
20-Aug-2018	AAA	AA-	ST-1	ST-1	Stable	19-Aug-2019	CRISL
24-Aug-2017	AAA	AA-	ST-1	ST-1	Stable	23-Aug-2018	CRISL

Credit Rating Information and Services Limited (CRISL) rating scales for Financial Institutions:

Long-Term: AAA (Triple A)

Institutions rated in this category are adjudged to be best quality, offer highest safety and have highest credit quality. Risk factors are negligible and risk free, nearest to risk free Government bonds and securities. Changing economic circumstances are unlikely to have any serious impact on this category of financial institutions.

Long-term: AA- (Double A minus)

An institution rated in this category are adjudged to be of high quality, offer higher safety and have high credit quality. This level of rating indicates a corporate entity with a sound credit profile and without significant problems. Risks are modest and may vary slightly from time to time because of economic conditions.

Short Term: ST-1

Highest certainty of timely payment. Short-term liquidity including internal fund generation is very strong and access to alternative sources of funds is outstanding, safety is almost like risk free Government short-term obligations.

Outlook: Stable

Indicates that a rating is likely to remain unchanged.

Ethics and Compliance

BIFFL pays close attention to the moral concerns in order to make the right ethical practice on a day-to-day basis over and above observing the law, as one of the basic professional requirements for the NBFIs. It is also committed to establishing and upholding the highest standards of ethics and compliance by its employees. This commitment is reflected in its Code of Conduct that covers, among other issues, the following areas:

- a) Their relationship with and responsibilities to BIFFL
- b) Their relationship with and responsibilities to customers
- c) Compliance with laws and regulations
- d) Acting professionally and ethically
- e) Protection of business assets
- f) Disclosure of conflicts of interest
- g) Prohibition of any conduct involving dishonesty, fraud, deceit, or misrepresentation including insider trading.

Code of Ethics and Conduct at BIFFL

Key areas of our efforts are:

- Fair Treatment of Customers: BIFFL ensures that customers are treated fairly and without prejudice that fosters good support and helps to build a long-term sustainable business relationship.
- Privacy and Security of Client Information: As per our 'Code of Conduct', all information gathered from customers/clients during the course of providing service is to be considered confidential unless it is clearly stated otherwise.
- Transparency and Accuracy of Financial, Tax, and Other Reporting: Concerned employees of BIFFL must ensure that information/reporting relating to their customer is readily available, accurate, and transparent.
- Interaction in Print, Electronic, and Social Media: All media (print, electronic, and social) inquiries are forwarded to representatives of the corporate communication department or any authorized personnel to initiate contact with the media on behalf of the organization.

- Ethics against Discriminatory Harassment: BIFFL Management ensures strict compliance with antidiscrimination and harassment policy whereby the wrongdoer may be subjected to the full range of disciplinary actions up to and including termination of his /her employment as well as may be tried by the prevailing laws of the country.
- Kickback and Secret Commission: BIFFL employees must not receive payment or compensation of any kind from any customer/vendor/supplier, except as authorized under the organization's business. In particular, BIFFL strictly prohibits the acceptance of secret commissions from suppliers and clients.
- Personal Investment and Insider Trading: It is also prohibited for the employees of BIFFL to take part in the trading of publicly traded securities and investments for personal gain if they possess material non-public information about the security or the issuer.
- Conduct towards Female Colleagues: Any harassment or discriminatory behavior directed at female employees in the form of derogatory or provocative comments, physical violence, horseplay/inappropriate jokes, unwanted physical contact, use of the epithet, comments or innuendo, obscene or harassing telephone calls, e-mails, letters, notes, or other forms of communication, and any other conduct that may create a hostile working environment is strictly prohibited. In some cases, can lead to termination of employment.
- Workplace Security and Safety: One of the primary concerns of BIFFL is to maintain a healthy and productive work environment by ensuring the safety and security of office premises.

Monitoring Compliance

At BIFFL, compliance with our Code of Conduct and Ethics is embedded in our employment contracts, recruitment, and performance management activities. All new employees joining BIFFL as well as existing employees are required to read the Code of Conduct and duly sign a statement

of compliance attesting that they have read and understood the aforementioned and provide their commitment to comply with the applicable laws, regulations, and corporate ethics, be held accountable for carrying out the compliance responsibilities, and acknowledge that ignorance of the rules and regulations outlined in the Code cannot be an excuse for non-compliance. We also arrange a session on the Code of Conduct during the orientation program for the new joiners. All the employees of BIFFL are required to comply with the Code of Conduct; any breach of this code may lead to disciplinary action. Moreover, BIFFL practices a reward and recognition program which is designed to reward employees who demonstrate ethical principles and uphold the core values of integrity and morality in the Code of Conduct. This type of recognition serves to validate the ethical actions of the concerned employee, encourages repeat behavior, and thus helps sustain a culture of transparency, accountability, and integrity.

Communication of the Statement of Ethics and Business Practices

At the time of joining, all the BIFFL employees required to sign an annual declaration confirming that they have read and understood the Code of Conduct. It is the responsibility of the Human Resource department to circulate the required declaration and ensure the sign of the employee. The Internal Control and Compliance Department (ICCD) ensures whether an employee has breached the Code of Conduct.

Board's Commitment

The BIFFL Board acknowledges its responsibility for ensuring that the company's business activities are conducted following the highest standards of ethics and compliance.

The Board views adherence to ethical standards and compliance as an integral part of the broader corporate governance framework and seeks to adopt a holistic approach in ensuring its implementation. As part of this, it has instituted several approaches to underline its commitment to high standards of ethical behavior:

- Setting down standards of expected behavior through the formulation and communication of a Code of Conduct
- Installing a system of internal controls, which is reviewed, evaluated, and updated continuously
- Positioning company policies and procedures on ethical foundations to ensure that ethical considerations are integrated into day-to-day decision-making, activities, and processes
- Establishing a clearly defined organizational structure that assigns responsibility and authority for the conduct of organizational functions while at the same time ensuring accountability for individual actions
- Establishing a variety of monitoring mechanisms including the creation and empowerment of an operationally independent internal audit team with reporting responsibilities to the AC.

Report of the Audit Committee

1. Structure of the Audit Committee

The Audit Committee (AC) of the company has been formed pursuant to the Bangladesh Bank guideline on internal control and compliance framework vide DFIM Circular no.13, dated 26 October 2011 and the corporate governance code issued by Bangladesh Securities and Exchange Commission. The present AC of the company comprises of the following members:

Sl. No.	Name & Designation	Position
i.	Mr. Md. Nazrul Islam Secretary, Road Transport and Highways Division, Ministry of Road Transport and Bridges	Chairman
ii.	Mr. M. Tofazzel Hossain Miah Secretary, Prime Minister's Office	Member
iii.	Ms. Fatima Yasmin Secretary, Economics Relations Division, Ministry of Finance	Member
iv.	Mr. Md. Habibur Rahman Secretary, Power Division, Ministry of Power, Energy & Mineral Resources	Member

The committee is responsible and reports to the Board of Directors. The Board Secretary functions as the Secretary of the committee.

2. The Terms of Reference

The Terms of Reference (ToR) of the AC, defines its roles and responsibilities clearly. The ToR is reviewed and revised with the concurrence of the Board of Directors. The AC is responsible to and reports to the Board on its activities regularly. The role and functions of the committee are further regulated by the rules governing the AC as specified by the 'Conditions on Corporate Governance' issued by the BSEC for listed companies and the 'Corporate Governance for NBFIs in Bangladesh' issued by Bangladesh Bank even though BIFFL is yet to be listed.

3. Roles and responsibilities of the Audit Committee

The AC is a sub-committee formed by the Board of Directors of the company. The AC on behalf of the Board attempts to ensure effective implementation of the processes set out in the business plan and policies. The committee will consider the internal control and effectiveness within the organization.

The main objective of the Audit Committee is to assist the Board of Directors on the following matters:

- The integrity of the financial statements of BIFFL
- Ensure compliance of the company with legal and regulatory requirements
- Monitor/review all internal and external audit matters and Bangladesh Bank's inspection reports
- Review the efficiency of internal control systems and procedures, in place
- Review the quality of Accounting Policies and their adherence to Statutory and Regulatory Compliances
- Performs independent review to ensure control over a well-managed sound financial reporting system and all other operational matters
- Examine financial and other important matters of the company
- Ensure that company's policies are firmly committed to the highest standards of good corporate governance practices and operations conform to the highest ethical standards and in the best interests of all stakeholders.

4. Meetings

Generally, the meeting of the committee held on quarterly basis. In 2020, 2 (two) meetings were held as per organizational requirement. The members of the senior management of the company were invited to participate at meetings as and when required. The proceedings of the Audit Committee meetings are regularly reported to the Board of Directors. The committee continued guiding the management with the selection of new accounting policies and implementing the same.

5. Activities

The committee carried out the following activities during the year 2020:

5.1 Financial Reporting

The committee supports the Board to discharge their responsibility for the preparation of financial statements that reflect a true and fair view of the financial performance and financial position based on

the company's accounting records and in terms of the Bangladesh Financial Reporting Standards (BFRSs), by:

- Reviewing the systems and procedures to ensure that all transactions are completely and accurately recorded in the books of account
- Reviewing the effectiveness of the financial reporting system in place to ensure the reliability of the information provided to the stakeholders
- Reviewing the accounting policies and to determine the most appropriate accounting policies
- Strict adherence to and compliance with the BFRSs and the best accounting practices
- Reviewing the annual report and accounts prepared for publication, prior to submission to the Board.

5.2 Regulatory Compliance

The company's procedures in place to ensure compliance with mandatory Bangladesh Bank's instructions and statutory requirements were under close scrutiny. The committee monitored the compliance of all requirements through various statements/reports submitted by different departments. The committee also monitored the compliance with all relevant laws, regulations and timely meetings which are part of statutory requirements.

5.3 Internal Control

As part of internal control, the committee:

- Evaluated whether management is setting the appropriate compliance culture by communicating the importance of internal control and the management of risk and ensuring that all employees have understanding of their roles and responsibilities
- Reviewed the arrangements made by the management for building a suitable Management Information System (MIS) and its applications
- Considered whether internal control strategies recommended by internal and external auditors have been implemented by the management
- Reviewed the existing risk management procedures for ensuring an effective internal check and control system
- Reviewed the corrective measures taken by the management as regards to reports relating to non-compliance, deficiencies in internal control or other similar issues detected by internal and external auditors and inspectors of the regulatory authority and inform the board on a regular basis.

5.4 Internal Audit

The Committee

- Reviewed the activities and organizational structure of the internal audit function and ensured that no unjustified restrictions or limitations were made
- Reviewed the efficiency and effectiveness of internal audit function
- Reviewed that findings and recommendations made by the internal auditors for removing the irregularities detected and also running the affairs of the institution were duly considered by the management
- Recommended the Board in case of change of the accounting policies.

5.5 External Audit

The Committee

- Reviewed the auditing works of the external auditors and their audit reports
- Reviewed whether the external auditor's findings were addressed by the management through appropriate action
- Reviewed the non-audit services provided by the Auditors to ensure that such services do not fall within the restricted services and provision of such services does not impair the External Auditors independence and objectivity
- Made recommendations to the Board regarding the appointment of the external auditors.

5.6 Ethics and Good Governance

Highest standards in good corporate governance and strict adherence to the requirements of BIFFL's Code of Ethics are ensured through close monitoring. Through the Code of Ethics at all levels of staff have been educated and encouraged to resort to whistle blowing, when they suspect wrong doings or other improprieties. The committee also ensures that appropriate procedures are in place to conduct independent investigations into all such incidents.

BIFFL's Audit Committee was sincere enough to take the internal control and compliance procedure and practice of the organization according to the guidelines of regulators and best practices in the industry to ensure good corporate governance. The committee also takes care of continuous capacity enhancement and development of the internal audit team of BIFFL.

Responsibility Statement of CEO and CFO

We have reviewed the financial statements of BIFFL which contains balance sheet as on 31 December 2020, profit & loss statement, changes of equity statement, cash flow statement for the year ended 31 December 2020 and a summary of significant accounting policies and others explanatory notes.

These financial statements prepared and presented fairly in accordance with:

1. International Financial Reporting Standards (IFRSs) adopted by the Institute of Chartered Accountants of Bangladesh (ICAB)
2. Bangladesh Bank guidelines
3. Companies Act 1994
4. Income Tax Ordinance 1984
5. Financial Institutions Act 1993
6. Bangladesh Securities and Exchange Rules 1987 and
7. Other applicable laws and regulations.

The company has taken proper and sufficient care in installing a system of internal control, which is reviewed, evaluated and updated on an ongoing basis. The internal control and compliance unit conducts periodic audits to provide reasonable assurance that the established policies and procedures of the company are consistently followed.

Based on the internal control system of the company and our review of these financial statements, we certify to the best of our knowledge and belief that:

- i) The statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading.
- ii) The statements together present a true and fair view of the company's affair and follow existing accounting standards and applicable laws.
- iii) No transaction entered by the company during the year which are fraudulent illegal or violation of the company's code of conduct.
- iv) Proper books of accounts as required by the law have been kept by the company.
- v) The expenditure incurred was for the company's business.
- vi) Adequate provisions have been made for lease/loans and advances, investments and other assets which in our opinion are doubtful to be recovered.



Salah Uddin Kader Chy
In-charge, Accounts and Finance
Department



S. M. Anisuzzaman
CEO

Assessment Report on Going Concern

Going concern is one of the fundamental accounting assumptions that underlies the preparation of financial statements of the companies. Under the going concern concept, it is assumed that a company will continue its operation and that there is neither the intent nor the need to liquidate it or cease its operation. The purpose of this going concern statement is to bring together the requirements of International Accounting Standards, Companies Act, Listing rules and Bangladesh Securities & Exchange Commission on going concern in the preparation of the financial statements.

The management and Directors of BIFFL has made annual assessment based on the accounting period ended on 31 December 2020 of whether the company is a going concern involves making appropriate inquiries including review of budgets and future outcome of inherent risks involved in the business.

BIFFL's management and Directors have reached the conclusion from the following factors that the financial statement for the year ended 31 December 2020 is prepared based on the going concern assumption.

The following indicators underline the company's ability to continue as a going concern:

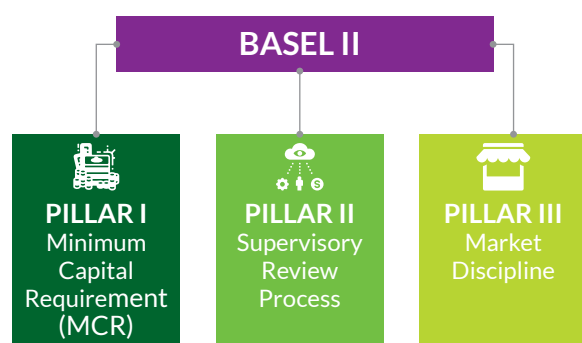
- 1) **Less reliance on borrowings and debt** At the close of financial year 2020, BIFFL has no significant dependence on borrowings and debt. Considering the present liquidity position, it can be said that the company may not be needed to borrow in emergency basis.
- 2) **Favorable key financial ratios** The company's financial ratios (please see the Key Operating and Financial Highlights at pg. 76) revealed the sound financial strength and prospect.
- 3) **Consistent payment of dividend** BIFFL has been paying dividend to the shareholders consistently which reflects the company's long-term viability in operational existence.
- 4) **Credibility in settling of obligation** The company has strong credibility in terms of settlement of obligation to the creditors and relevant authorities. It has no default payment history for settlement of its obligations.
- 5) **Consistency in making operating profit** The company is making operating profit consistently from the beginning of its operation.
- 6) **Growth in quality lending portfolio** At the end of 2020, BIFFL had 1.56% classified loans. This represents the positive indication of sustainable business of the company.
- 7) **Employee satisfaction and working environment** BIFFL is an employee-friendly organization. There exists a very good corporate environment in the company. It pays a very competitive compensation package with fringe benefits like car facilities, provident fund, performance bonus, gratuity, group insurance, hospitalization insurance, rewards and recognition etc.
- 8) **Maintenance of Capital Adequacy Ratio (CAR)** As per DFIM circular number 14, dated December 28, 2011 of Bangladesh Bank regarding Capital Adequacy and Market Discipline for FIs, each Financial Institution is required to maintain CAR at least 10% of the total risk weighted assets. As on 31 December 2020, CAR of BIFFL was 121%.
- 9) **Strong equity base** BIFFL is one of the highest equity-based companies among the FIs. As on 31 December 2020, total equity of BIFFL stands at BDT 26,135.81 million (BDT 23,775.24 million in 31 December 2019), representing an increase of 9.93% over last year.
- 10) **Ability to pay operational expenses** The company has not faced any difficulties in meeting its day to day operational expenses and has continued its reputation of paying vendors on time. The company generates sufficient operating cash flow to meet its operational expenses.
- 11) **Borrowing facilities from multilateral agencies** The solidity of financial position and the reputation allows the company to negotiate or renew borrowing facilities at a favorable rates and flexible terms and conditions from different development partners i.e. JICA, ADB, the World Bank, KfW and others.
- 12) **Strong CAMELS Rating** CAMELS rating is used by the Bangladesh Bank as a tool for evaluating the strength and performance of a non-bank financial institution. The composite rating adjudged by the Bangladesh bank signifies satisfactory performance of BIFFL. The report contained no adverse material observations of the Bangladesh bank on the activities of the company.
- 13) **Off-balance sheet obligations** The company keeps very low exposure in off-balance sheet liabilities and the company has sufficient financial strength to pay the obligations should these materialize.
- 14) **Changes in Government's policy** The Board and management of BIFFL anticipate no significant changes in legislation or Government's policy which may materially affect the business of the company.

Based on the review of the above indicators, the management and Directors of the company is of the view that the preparation of the financial statements of the company for the year ended 31 December 2020 on the basis of "going concern assumption" is appropriate.

Disclosures on

Capital Adequacy and Market Discipline (CAMD)-Pillar III

The following detailed qualitative and quantitative disclosures are provided in accordance with Prudential Guidelines on Capital Adequacy and Market Discipline for Financial Institutions which has been published on December 28, 2011. The purpose of these requirements is to complement the capital adequacy requirements and the Pillar III – supervisory review process. These disclosures are intended for market participants to assess key information about the FI's exposure to various risks and to provide a consistent and understandable disclosure framework as per regulatory requirement. The FI has an approved disclosure policy to observe the disclosure requirements set out by the Bangladesh FI and International Financial Reporting Standards (IFRSs) and International Accounting Standards (IAS) as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB) into Bangladesh Accounting Standards (BAS) and Bangladesh Financial Reporting Standards (BFRSs) where relevant to the FI.



Consistency and Validation

The quantitative disclosures are made based on audited financial statements of BIFFL for the year ended 31 December 2020. Financial Statements are prepared under relevant IFRSs as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB) and related circulars/instructions issued by Bangladesh Bank (BB) from time to time.

A. Scope of Application

Qualitative Disclosures

- These guidelines apply to Bangladesh Infrastructure Finance Fund Limited (BIFFL).
- BIFFL has no subsidiary

Quantitative Disclosures

- Not applicable

B. Capital Structure

Qualitative Disclosures

Summary information on the terms and conditions of the main features of all capital instruments, especially in case of capital instruments eligible for inclusion in Tier-1 and Tier-2.

As per Basel II guidelines, regulatory capital consists of Tier-1 and Tier-2 capital.

Tier-1 capital consist of:

- Fully Paid-up Capital
- Statutory Reserves
- General Reserve and
- Retained Earnings.

Tier-2 capital of consists of:

- General provision up to a limit of 1.25% of Risk Weighted Asset (RWA) for Credit Risk
- Revaluation reserves:
 - 50% Revaluation reserve for fixed assets
 - 45% Revaluation reserve for securities
 - 10% Revaluation Reserve for Equity Instruments
- All other preference shares.

Conditions for maintaining regulatory capital:

The calculation of Tier-1 capital, and Tier-2 capital, shall be subject to the following conditions:

- The amount of Tier-2 capital will be limited to 100% of the amount of Tier-1 capital.
- 50% of revaluation reserves for fixed assets, 45% of revaluation reserves for securities and 10 % revaluation reserve for equity instruments are eligible for Tier-2 capital.

Quantitative Disclosures

The amount of eligible capital, with separate disclosure of:

Particulars	Amount in BDT crore
Paid up capital	2,308.00
Non-repayable share premium account	-
Statutory reserve	176.74
General reserve	10
Retained earnings	118.84
Minority interest in subsidiaries	-
Non-cumulative irredeemable preference shares	-
Dividend equalization account	-
a. Total Tier-1 capital	2,613.58
b. The total amount of Tier-2 capital	23.67
c. Other deductions from capital	-
d. Total eligible capital (a+b+c)	2,637.25

C. Capital Adequacy

Qualitative Disclosures

(a) A summary discussion of BIFFL's approach to assessing the adequacy of its capital to support current and future activities.

• Risk Weighted Assets (RWA) and Capital Adequacy Ratio (CAR)

BIFFL has applied Standard Approach for computation of Capital Charge for Credit Risk and Market Risk while Basic Indicator Approach for Operational Risk. Total Risk Weighted Assets (RWA) of the company is determined by multiplying capital charge for market risk and operational risk by reciprocal of the minimum capital adequacy ratio and adding the resulted figures to the sum of risk weighted assets for credit risk. Total eligible capital is divided by total RWA to derive Capital Adequacy Ratio.

• Strategy to achieve the required Capital Adequacy:

Operational level:

Immediate measures:

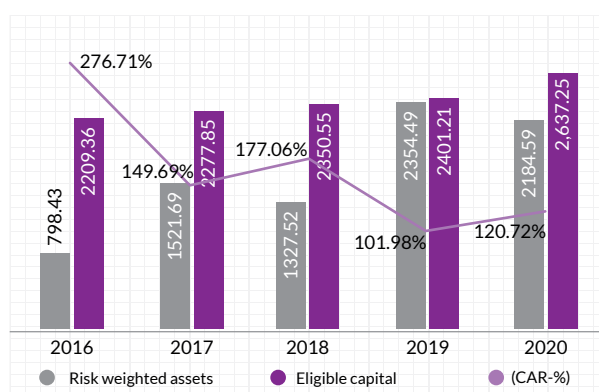
- Asking unrated clients to have credit rating from External Credit Assessment Institutions (ECAIs) recognized by Bangladesh Bank
- Rigorous monitoring of overdue contracts to bring those under 90 days overdue

- Assessing incremental effect of capital charge over the expected net income from financing before sanctioning any appraisal, which could be one of the criteria for taking financing decision
- Continuous measures
- Financing clients having good credit rating
- Using benefit of credit risk mitigation by taking easily liquidable financial collaterals against lending
- Focusing more on attracting high spread earning assets, controlling operating expenses and thus increasing retained earnings

Strategic level:

- Injecting fresh capital by issuing new shares. As such BIFFL have capital above industry average.

Quantitative Disclosures



Particulars	BDT in Crore
Capital requirement for Credit Risk	187.77
Capital requirement for Market Risk	-
Capital requirement for Operational Risk	30.69
Minimum capital requirement (MCR)	218.46
Total eligible capital	2,637.25
Risk-weighted assets	2,184.60
Capital to Risk-Weighted Asset Ratio	120.72%
Tier-1	2,613.58
CAR on Tier-1	119.64%
Tier-2	23.67
CAR on Tier -2	1.08%
Capital Conservation Buffer (1.25% of RWA)	27.31

D. Credit Risk

Qualitative Disclosures

General Disclosure

Credit risk is defined as the probability of failure of the counterparty to meet its obligation as per agreed terms. FIs are very much prone to credit risk due to its core activities i.e. lending to corporate, consumer, SME, another Bank/FI. The main objective of credit risk management is to minimize negative impact through adopting proper mitigants and to limit credit risk exposures within the acceptable limit. Credit risk management has been independent of the origination of business functions to establish better control and to reduce conflicts of interest. The Head of Credit Risk Management Department (HoCRMD) has well defined responsibility for the management of credit risk. Final authority and responsibility for all activities that expose the FI to credit risk rest with the Board of Directors (BoD). The Board, however, delegated authority to the management of the company.

Board sets forth credit policies and delegates authority to the management for setting procedures, which together has structured the credit risk management framework in the FI. The Credit Policy contains the core principles for identifying, measuring, approving, and managing credit risk in the FI and is designed to meet the organizational requirements that exist today as well as to provide flexibility for the future. These policies represent the minimum standards for credit extension by the FI, and are not a substitute to experience and good judgment.

Definitions of past due and impaired credit:

To define past due and impairment through classification and provisioning, BIFFL follows Bangladesh Bank Circulars and Guidelines. The summary of some objective criteria for loan classification and provisioning requirement is as below:

As per Bangladesh Bank's Prudential Guideline on Capital Adequacy and Market Discipline for FIs, the unsecured portion of any claim or exposure (other than claims secured by residential property) that is past due for 90 days or more, net of specific provisions (including partial write-off) will be risk-weighted as per risk weights of respective balance sheet exposure. For defining the net exposure of the past-due loan, eligible financial collateral (if any) may be considered for credit risk mitigation.

To encounter and mitigate credit risk, the following control measures are in place at BIFFL

- Vigorous monitoring and follow up by fully dedicated recovery and collection team;
- Strong follow up of compliance of credit policies by appraiser and credit department;
- Taking collateral, performing valuation and legal vetting on the proposed collateral by members of BIFFL's own dedicated technical and legal department;
- Seeking legal opinion from external lawyers for any legal issues if required;
- Monthly review of the market situation and industry exposures through Risk Management Forum;
- Insurance coverage for funded assets;
- In addition to the best industry practices for assessing, identifying, and measuring risks, BIFFL also considers the Guideline for Managing Core Risks of Financial Institutions issued by BB for the management of risks.

Approved Credit Policy by the Board of Directors

The Board has approved the credit policy for the company where major policy guidelines, growth strategy, exposure limits and risk management strategies have been described/ stated. Credit policy is regularly updated to cope up with the changing global, environmental, and domestic scenarios.

Separate Credit Risk Management (CRM) Department

An independent CRMD is in place, at BIFFL, to scrutinize projects from a risk-weighted point of view and assist the management in creating a high-quality credit portfolio and maximize returns from risky assets. CRMD has been segregated from the Credit Administration Department (CAD) in line with Central Bank's guidelines. CRMD assess credit risks and suggest mitigating measures before recommendation of every credit proposal for final approval to board. While CAD confirms that adequate security documents are in place before disbursement.

Monitoring and Recovery Team

A strong recovery team monitors the performance of the loans and advances, identifies early signs of delinquencies in the portfolio, and takes corrective measures to mitigate risks, improve loan quality, and ensure recovery of loans promptly including legal actions.

Independent Internal Control & Compliance Department

Appropriate internal control measures are in place at BIFFL. An Internal Control & Compliance Department

has been established to ensure compliance with all internal guidelines, BB guidelines, operational procedures, and adequacy of internal control and documentation procedures.

Credit Evaluation by Credit Committee

The Credit Committee (CC) regularly meets to review the market and credit risk related to lending and recommend and implement appropriate measures to counter associated risks. The CC critically reviews projects considering the current global financial crisis and its probable impact on the project. Credit Risk Grading Model (CRGM) helps a Financial Institution to understand the various dimensions of risks involved in transactions related to small and corporate business clients who are plying their businesses in various geographical locations across the country. BIFFL developed CRGM to promote the safety and soundness of the company by facilitating informed decision-making. This model measures credit risk and differentiate individual credits and groups of credits by the risk they pose. This allows CC members to monitor changes and trends in risk levels. The process also allows the management to manage risk to optimize returns. To mitigate credit risk, BIFFL search for credit report from the Credit Information Bureau (CIB) of Bangladesh Bank. The report is scrutinized by CRM and CC to understand the liability condition and repayment behavior of the client. Depending on the report, banker's opinions are taken from client's banks. Suppliers' and buyers' opinion are taken to understand the market position and reputation of our proposed customers.

Credit Approval Process

To ensure both speedy service and mitigation of credit risk, the approval process is maintained through a multilayer system. Depending on the size of the loan, a multilayer approval system is designed. As the smaller loan is very frequent and comparatively less risky, lower sanctioning authority is set to improve processing time and associated risk. Large loans require more scrutiny as the associated risk is higher hence sanctioning authority is higher as well.

Early Warning System

The performance of loans is regularly monitored to trigger an early warning system to address the loans and advances whose performance shows any deteriorating trend. It helps the company to grow its credit portfolio with the ultimate objective of protecting the interest of the stakeholders.

Methods Used to Measure Credit Risk

As per the directives of BB, 'The Standardize Approach' is applied by the company to measure its risk.

Quantitative Disclosures

Total gross credit risk exposures (by major types) as on 31-12-20:

a. Geographical distribution of credit exposures

Inside Bangladesh	Amount in BDT Crore
Urban	
Dhaka Division	297.51
Chittagong Division	27.37
Khulna Division	-
Rajshahi Division	-
Barisal Division	-
Sylhet Division	-
Sub-total	324.87
Rural	
Dhaka Division	454.96
Chittagong Division	797.40
Khulna Division	0.35
Rajshahi Division	17.03
Barisal Division	5.30
Sylhet Division	220.21
Rangpur Division	3.89
Mymensingh Division	12.10
Sub-total	1,511.24
Outside Bangladesh	-
Total	1,836.11

Sectoral allocation of leases, loans, and advances

Name of the Sectors	Amount in BDT Crore
i) Textiles	1.49
ii) Garments and accessories	304.30
iii) Transport (including marine transport)	257.35
iv) Chemicals and pharmaceuticals	-
v) Iron, steel and engineering	156.15
vi) Agricultural equipment and agro industries	-
vii) Power and energy	313.29
viii) Electronics and electrical	25.58
ix) Information technology (IT)	0.02
x) Paper printing and packaging	-
xi) Plastic	12.55
xii) Real estate and housing	-
xiii) Food and beverage	0.41
xiv) Glass and ceramics	216.82
xv) Services	120.68
xvi) Others	427.48
Total	1,836.11

E. Equities: Disclosures for Banking Book Positions

Qualitative Disclosures

The general qualitative disclosure requirement to equity risk, includes:

- Difference between holding on which capital gains are expected and those taken under other objectives including for relationship and strategic reasons.
- Total equity shares holdings are for capital gain purposes.

Quantitative Disclosures

BIFFL is yet to make any investment in the Share Market.

F. Interest Rate Risk in the Banking Book

Qualitative Disclosures

Interest Rate Risk is the risk that affects the FI's financial condition due to changes in market interest rates. Changes in interest rates affect both the current earnings (earnings perspective) and also the net worth of FI (economic value perspective). FI assesses the interest rate risk both in earning and economic value perspective. The process of interest rate risk management by the FI involves the determination of the business objectives, expectation about future macro-economic variables, and understanding the money markets and debt market in which it operates. Interest rate risk management also includes quantifying the appetite for market risk to which FI is comfortable. The FI uses the following approach to manage interest rate risk inherent in the Balance sheet:

Simple GAP Analysis:

Traditional Gap analysis of on-balance sheet Asset Liability Management (ALM) involves careful allocations of assets and liabilities according to re-pricing/maturity buckets. This approach quantifies the potential change in net interest income using a specified shift in interest rates, e.g. 100 or 200 basis points, or a simulated future path of interest rates.

Assumptions: For gap analysis FIs considers the following:

- For fixed-rate contracts, remaining maturity is considered;
- For contracts with the provision of re-pricing, the time remaining for the next re-pricing is considered;
- Re-pricing of assets and liabilities takes place in the midpoint of the time bucket;
- The expectation that loan payment will occur on schedule;
- No early encashment is considered in term and recurring deposit;
- Non-maturity deposit withdrawal is considered based on past withdrawal behavior;
- Interest paid on liabilities tends to move faster than interest rates earned on assets;
- Interest rate attached to FI's assets and liabilities does not move at the same speed as market interest rates;
- Point at which some assets and liabilities are re-priced is not easy to identify.

Quantitative Disclosures

Funding Gap Analysis:

Funding Gap Analysis attempts to determine the potential impact on Net Interest Income (NII) due to changes in interest rate. Result of interest rate risk (increase in interest rate).

Interest Rate Risk			
	Minor	Moderate	Major
Magnitude of Shock	2%	4%	6%
Change in the Value of Bond Portfolio (BDT in Crore)	0.00	0.00	0.00
Net Interest Income (BDT in Crore)	30.34	60.68	91.02
Revised Regulatory Capital (BDT in Crore)	2,692.59	2,722.93	2,753.27
Risk Weighted Assets (BDT in Crore)	2,184.60	2,184.60	2,184.60
Revised CAR (%)	123.25%	124.64%	126.03%

Duration Gap Analysis

The focus of the Duration Analysis is to measure the level of FI's exposure to interest rate risk in terms of sensitivity of Market Value of its Equity (MVE) to interest rate movements. Duration Gap can be used to evaluate the impact on the MVE of the FI under different interest rate scenarios. ALCO monitors the Leveraged Liability Duration and duration gap of the total FI balance sheet every quarter to assess the impact of the parallel shift of the assumed yield curve.

G. Market Risk

Qualitative Disclosures

Market Risk: Market Risk is defined as the possibility of loss due to changes in the market variables. It is the risk that the value of on/off balance sheet positions will be adversely affected by movements in equity price, interest rate, and currency exchange rates. The objective of our market risk policies and processes is to obtain the best balance of risk and return whilst meeting customers' requirements. The primary categories of market risk for the FI are:

- **Interest rate risk:** Arising from changes in yield curves, credit spreads, and implied volatilities on interest rate options.
- **Currency exchange rate risk:** Arising from changes in exchange rates and implied volatilities on foreign exchange options.
- **Equity price risk:** Arising from changes in the prices of equities, equity indices, equity baskets, and implied volatilities on related options.

BIFFL has a comprehensive Treasury Policy, Asset-Liability Management Policy, Credit Policy approved by the BoD to assess, monitor, and manage all the aforementioned market risks. Various internal limits have been set to monitor market risk and the capital requirement is assessed as per the standardized approach of Basel II.

Methods Used to Measure Market Risk: FI applies the maturity method in measuring interest rate risk in respect of securities in trading books. The capital charge for entire market risk exposure is computed under the standardized approach using the maturity method and in accordance with the guideline issued by BB.

Market Risk Management System: To manage the interest rate risk, BIFFL regularly monitors various

ratios and parameters. Of the ratios, the key ratios that ALCO regularly monitors are

- Liquidity Coverage Ratio (LCR)
- Net Stable Funding Ratio (NSFR)
- Maximum Cumulative Outflow (MCO)
- Liquid assets to total assets
- Volatile liability dependency ratio
- Snap liquidity ratio
- Short-term borrowing to liquid assets ratio.

ALCO also regularly monitors the interest rate sensitive gap and duration gap of the total portfolio.

To manage equity risk, the ALCO of the FI takes prudent decisions complying sectorial preferences as per the investment policy of the FI and capital market investment limit set by BB.

H. Operational Risk

Qualitative Disclosures

Operational Risk:

Operational risk is the risk of loss arising from fraud, unauthorized activities, error, omission, inefficiency, systems failure, or external events. It is inherent in every business organization and covers a wide spectrum of issues. We seek to minimize exposure to operational risk, subject to cost-benefit trade-offs. BIFFL captures some identified risk events associated with all functional departments of the FI through a standard reporting format.

Views of Board on the system to reduce Operational Risk:

The policy for measuring and managing operational risks is approved by the Board in line with the relevant guidelines of BB. The Audit Committee of the Board directly oversees the activities of the Internal Control and Compliance Department (ICCD) to protect against all operational risks. As a part of continued surveillance, the Management Committee (MANCOM), Risk Management Forum (RMF), and CRMD regularly review different aspects of operational risks and suggest formulating appropriate policies, tools, and techniques for the mitigation of operational risk.

Performance gap of executives and staffs:

BIFFL is an equal opportunity employer. It recognizes the importance of having the right people in the right positions to achieve organizational goals. Our recruitment and selection are governed by the philosophy of fairness, transparency, and diversity. Understanding what is working well and what requires further improvement is essential to our performance management system. The performance management process aims to clarify what is expected from employees as well as how it is to be achieved. Our learning and development strategy puts special focus on continuous professional development to strengthen individuals' skill set by removing weaknesses to perform the assigned job with perfection. We have a wide range of internal and external training programs to enhance capabilities as well as minimize the performance gap that will contribute more to the bottom line. Peoples' performance is assessed on the basis of performance objectives and key performance indicators (KPI) set at the beginning of each year. Decisions related to rewards and recognitions for the employees are taken on the basis of how well the assigned KPIs are met.

Potential external events:

The overall environment within which an NBF operates creates certain externalities which could affect business performance directly such as:

Fraud Risk is the risk of incurring losses as a result of an intentional act or omission by a third-party involving dishonesty, for personal and/or business gain, to avoid personal and/or business loss, or to conceal the improper or unauthorized activity. This includes facilitation, misrepresentation, money laundering, terrorist financing, theft, forgery, and cyber-crime.

Business Continuity Risk is the risk of incurring losses resulting from the interruption of normal business activities, i.e. interruptions to our infrastructure as well as to the infrastructure that supports our businesses.

Information Security Risk is the risk of an event that could result in the compromise of organizational assets, including, but not limited to, unauthorized use, loss, damage, disclosure, or modification of

organization assets. It includes the risk of cyber threats on the organization.

Regulatory Compliance Risk is the risk of incurring regulatory sanctions (including restrictions on business activities, fines, or enhanced reporting requirements), financial and/or reputational damage arising from our failure to comply with applicable laws, rules, and regulations.

Vendor Risk arises from adverse events and risk concentrations due to failures in vendor selection, insufficient controls, and oversight over a vendor and/or services provided by a vendor and other impacts to the vendor itself.

Policies and processes to mitigate operational risk:

Risk analysis unit is primarily responsible for risk identification, measurement, monitoring, control, and reporting of operational risk. This unit identifies risk issues primarily through a review of the Departmental Control Function Check List (DCFCL) and reports to the Head of ICCD. DCFCL is a self-assessment process for detecting 'high' risk areas and finding mitigation of those risks. The forum titled 'Risk Management Forum (RMF)' also oversees the operational risk issues. RMF analyzes 'high' and 'moderate' risk indicators and sets responsibility for specific people to resolve the issues.

Approach for calculating the capital charge for operational risk:

BIFFL applies the 'Basic Indicator Approach'. Under this approach, FIs have to calculate the average annual gross income (GI) of the last three years and multiply the result by 15% to determine the required capital charge. Gross Income is the sum of 'Net Interest Income' and 'Net non-interest Income' of a year or 'Total Operating Income' of the FI with some adjustments as noted below. GI shall:

- Be gross of any provision (e.g. for unpaid interest);
- Be gross of operating expenses, including fees paid to outsource service providers;
- Include lost interest i.e. interest suspense on classified loans (SS, DF, BL).

Quantitative Disclosures

Particulars	BDT in Crore
Capital requirement for Operational Risk	30.69

NOTICE, REPORTS &
FIN[↑]ANCIAL STATEMENTS



Bangladesh Infrastructure Finance Fund Limited

BIFFL Office, 117 Kazi Nazrul Islam Avenue, Eskaton Garden, Dhaka-1217
e-mail: info@biffl.org.bd; Website: www.biffl.org.bd

Ref: BIFFL/CS-2.2.1/2021

Date: 02 September 2021

NOTICE

The 10th Annual General Meeting

The 10th Annual General Meeting of Bangladesh Infrastructure Finance Fund Limited (BIFFL) for the year ended on 31 December 2020 will be held on 30-09-2021, Thursday at 7:30 pm through online meeting platform (ZOOM) to transact the following business:

AGENDA:

1. To receive, consider and adopt the audited financial statements of the FY2020 ended on 31-12-2020 including Independent Auditor's Report, and Director's Report, 2020.
2. To approve the dividend for the FY2020.
3. To re-elect the director(s).
4. To appoint/reappoint auditors for the FY2021.
5. Miscellaneous, if any.

The Shareholders, Directors and Auditors are requested to attend the meeting. The meeting ID, password/link will be provided to the respective participants before the meeting.

Note: The proceedings of the meeting will be recorded for reference as guided by the Bangladesh Bank and Bangladesh Securities and Exchange Commission.

By the order of the Board,

Mohammad Monirul Islam Khan FCS

Company Secretary

Bangladesh Infrastructure Finance Fund Limited

Cell: 01841655302, e-mail: mohammad.khan@biffl.org.bd

COPY DISTRIBUTION:

Chairman:

1. Mr. Abdur Rouf Talukder, Senior Secretary, Finance Division, MoF.

Directors:

2. Mr. Md. Anisur Rahman, Senior Secretary, Energy and Mineral Resources Division, MoPE&MR.
3. Mr. Md. Nazrul Islam, Secretary, Road Transport & Highways Division, MoRT&B.
4. Mr. M. Tofazzel Hossain Miah, Secretary, Prime Minister's Office.
5. Ms. Fatima Yasmin, Secretary, Economic Relations Division, MoF.
6. Mr. Md. Abu Bakr Siddique, Secretary, Bridges Division, MoRT&B.
7. Mr. Md. Habibur Rahman, Secretary, Power Division, MoPE&MR.
8. Mr. Md. Ekhlashur Rahman, Additional Secretary, MoF.

Shareholder:

9. The Finance Division, Ministry of Finance, GoB.

Auditors:

10. ACNABIN Chartered Accountants.

Independent Auditor's Report To the Shareholders of Bangladesh Infrastructure Finance Fund Limited

Report on the Audit of the financial statements

Opinion

We have audited the financial statements of Bangladesh Infrastructure Finance Fund Limited (the Company), which comprise the Balance Sheet as at December 31, 2020, and Profit and Loss Account and Statement of Changes in Equity and Statement of Cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 2020, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs) as explained in note # 2 to the financial statements.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) and we have fulfilled our other ethical responsibilities in accordance with IESBA Code and the Institute of Chartered Accountants of Bangladesh (ICAB) Bye-Laws. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matters

Without qualifying our opinion, we are drawing attention to the following matters:

1. In note # 2.10.04 to the financial statements, the Company disclosed its depreciation policy and plan to revise the useful life of the 'Building'.
2. In note # 2.11.02 to the financial statements, the Company disclosed its defined contribution plan (provident fund). Since 2017 the Company did not conduct any audit of the provident fund. As a result, we were unable to confirm the compliance status of FRC notification # 179/FRC/FRM/Gazette/2020/2 dated 07 July 2020.
3. In note # 4.3 to the financial statements, the Company disclosed about the status of recoverability against Fixed Deposit Receipts made in different Banks and Non-Banking Financial Institutions.
4. In note # 13.4 to the financial statements, the Company disclosed amounting to BDT 3,222,615 as 'Employee benefit liabilities', which inter-alia includes 'Gratuity Fund (GF) payable' amounting to BDT 2,888,030. However, the Company did not measure gratuity fund liabilities following actuarial assumptions, which is a non-compliance with International Accounting Standard 19.
5. In note # 13.6 to the financial statements, the Company disclosed the reasons for transferring 'Interest on short-term investment (FDRs)' and 'Interest on loans and advances' to 'Interest suspense account'.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of 2020. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Risk	Our response to the risk
Measurement of provision for loans and advances	
The process for estimating the provision for loans and advances portfolio associated with credit risk is significant and complex.	We tested the design and operating effectiveness of key controls focusing on the following:
For the individual (party-wise) analysis, these provisions consider the estimates of future business performance and the market value of the collateral provided for credit transactions.	• Tested the credit appraisal, loan disbursement procedures, monitoring and provisioning process; • Identification of loss events, including early warning and default warning indicators; • Reviewed quarterly Classification of Loans (CL);
At year end the Company reported total gross loans and advances of BDT 18,361,145,945 (2019: BDT 18,922,252,016) and provision for loans and advances and others at the year end BDT 1,671,846,464 (2019: BDT 1,171,846,464).	



Risk	Our response to the risk
We have focused on the following significant judgments and estimates which could give rise to a material misstatement or management bias: - Completeness and timing of recognition of loss events in accordance with criteria set out in FID circular no 08, dated 03 August 2002, FID circular no.03, dated 03 May 2006 and FID circular no.03 dated 29 April 2013; - For assessed provisions, the measurement of the provision may be dependent on the valuation of collateral, estimates of exit values and the timing of cash flows; - Provision measurement is primarily dependent upon key assumptions relating to the probability of default, the ability to repossess collateral, and recovery rates.	Our substantive procedures in relation to the provision for loans and advances portfolio comprised the following: - Reviewed the adequacy of the companies general and specific provisions; - Assessed the methodologies on which the provision amounts based, recalculated the provisions and tested the completeness and accuracy of the underlying information; - Finally assessed the appropriateness and presentation of disclosures against relevant accounting standards and Bangladesh Bank guidelines.

See note # 7 and 13.5 to the financial statements.

Legal and regulatory matters

We focused on this area because the Company operates in a legal and regulatory environment that is exposed to significant litigation and similar risks arising from disputes and regulatory proceedings. Such matters are subject to many uncertainties and the outcome may be difficult to predict.

These uncertainties inherently affect the amount and timing of potential outflows with respect to the provisions which have been established and other contingent liabilities.

Overall, the legal provision represents the Company's best estimate for existing legal matters that have a probable and estimable impact on the financial position.

We obtained an understanding, evaluated the design, and tested the operational effectiveness of the key controls over the legal provision and contingencies process.

We enquired to those charged with governance to obtain their view on the status of all significant litigation and regulatory matters.

We also assessed the Company's contingent liabilities disclosure.

See note # 2.27 and 18 to the financial statements.

Borrowing from other banks and other financial institutions

We focused on this area because the Company receives loans from different donor agencies through GoB to implement infrastructure development projects in Bangladesh. Such an arrangement should be guided by strict internal control. Any Non-compliance of the financing agreements with the donor agencies may create major credit risk for the Company.

In responding to the identified key audit matter, we have performed the following procedures:

- Checked the drawdowns of borrowings from donor agency's server on a sample basis;
- Reviewed the repayments made to the agencies as required on a sample basis;
- Recalculated repayment schedule of the loans from donor agencies on a sample basis; and
- Reviewed the agreements with the donor agencies and checked whether the Company has complied with the requirements of the agreements on a sample basis.

See note # 11 to the financial statements.

Measurement of deferred tax assets (net)

The Company reports net deferred tax assets totaling BDT 7,200,926 as at 31 December 2020 (BDT 443,512 as at 31 December 2019).

Significant judgment is required in relation to deferred tax assets as their recoverability is dependent on forecasts of future profitability over several years.

We obtained an understanding, evaluated the design and tested the operational effectiveness of the Company's key controls over the recognition and measurement of Deferred Tax Assets and the assumptions used in estimating the Company's future taxable income.

We also assessed the completeness and accuracy of the data used for the estimations of future taxable income.

Finally assessed the appropriateness and presentation of disclosures against IAS 12 Income Tax.

See note # 9.2 and 13.3 to the financial statements



Risk	Our response to the risk
Investment and provision for diminutions in the value of investments	
At year end the Company reported total gross Investments of BDT 3,169,028,755 (2019: BDT 3,255,862,186) and Provision for leases, loans, advances and others at the yearend BDT 1,671,846,464 (2019: BDT 1,171,846,464). The process for estimating the provision against the investments associated with credit risk is significant and complex. We focused on this area because of the significance of the investments in the financial statements and departure from the recognition and presentation criteria of IFRS 9, IFRS 7 & IAS 32 to comply with the circulars of Bangladesh Bank for determining the valuation methodology and presentation to be applied by the management of the Company.	Our audit approach included a combination of controls testing, data analysis, and substantive procedures covering the following: - We obtained sufficient audit evidence to conclude that the inputs and methodologies used for the valuation of the investments are within a reasonable range and that the management of the Company consistently applied valuation policies; - We assessed the controls' design and operating effectiveness, measurement, and oversight of financial assets' valuation risk; and - We tested the calculations of provision for diminution in value of the investment and checked if the presentation and disclosure of investment are in compliance with FID circular no.8 dated 3 August 2002 and DFIM circular no. 2 dated 31 January 2012 issued by Bangladesh Bank.
See note # 6 and 13.5 to the financial statements.	
IT systems and controls	
Our audit procedures have a focus on IT systems and controls due to the pervasive nature and complexity of the IT environment, the large volume of transactions processed in numerous locations daily and the reliance on automated and IT-dependent manual controls.	We tested the design and operating effectiveness of the Company's IT access controls over the information systems that are critical to financial reporting. We tested IT general controls (logical access, changes management and aspects of IT operational controls). This included testing that requests for access to systems were appropriately reviewed and authorized. We tested the Company's periodic review of access rights and reviewed requests of changes to systems for appropriate approval and authorization. We considered the control environment relating to various interfaces, configuration and other application-layer controls identified as key to our audit.
See note # 2.25 to the financial statements.	
Implications of Covid-19	
The developments surrounding the Corona (Covid-19) virus have a profound impact on people's health and our society as a whole and on the operational and financial performance of organizations and the assessment of the ability to continue as a going concern. The global pandemic Covid-19 has already had a significant impact on global trade and economy, with a consequential impact on trade, business, financial market, and Bangladesh's overall economy. There is a potential impact on the Company's smooth operation, impairment of assets, the fair value of the asset, expected credit loss, contract modification, valuation of inventories, and going concern of the Company.	Our audit procedure included- - Checked the operational effectiveness and capacity utilization during the pandemic situation; - Checked the impairment testing of the assets, if the Company made any assessment; - Checked the subsequent position of the receivables and payables; and - Checked the going concern of the Company considering the existing operation and plan of the Company.
See note # 2.05 to the financial statements.	

Other Matter

The financial statements of the Company for the year ended 31 December 2019 were audited by Syful Shamsul Alam & Co., Chartered Accountants, who expressed an unmodified opinion on those statements on 08 September 2020.

Other Information

Management is responsible for the other information. The other information comprises all of the information in the Annual Report other than the financial statements and our auditor's report thereon. The Annual Report is expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.



In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs as explained on note # 2 and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Company's financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Company to express an opinion on the financial statements. We are responsible for the direction, supervision and performance of the Company audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

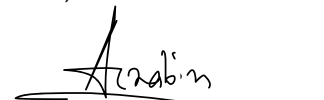


Report on other Legal and Regulatory Requirements

In accordance with the Companies Act 1994, the Financial Institutions Act, 1993 and the rules and regulations issued by Bangladesh Bank, we also report the following:

- a) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit and made due verification thereof;
- b) in our opinion, proper books of accounts as required by law have been kept by the Company so far as it appeared from our examination of those books;
- c) the balance sheet and profit and loss account together with the annexed notes dealt with by the report are in agreement with the books of accounts and returns;
- d) the expenditure incurred was for the purposes of the Company's business for the year;
- e) The financial statements of the Company have been drawn up in conformity with Financial Institutions Act, 1993 and in accordance with International Financial Reporting Standards as explained in notes as well as with related guidance, circulars issued by Bangladesh Bank;
- f) adequate provisions have been made for loans, leases, investment, advances and other assets which are, in our opinion, doubtful of recovery and Bangladesh Bank's instructions in this regard have been followed properly;
- g) the financial statements of the Company conform to the prescribed standards set in the accounting regulations which were issued by Bangladesh Bank after consultation with the professional accounting bodies of Bangladesh;
- h) statements sent to Bangladesh Bank have been checked on a sample basis and no inaccuracy has come to our attention;
- i) taxes and other duties were collected and deposited in the Government treasury by the Company as per Government instructions found satisfactory based on test checking;
- j) nothing has come to our attention that the Company has adopted any unethical means i.e. 'window dressing' to inflate the profit and mismatch between the maturities of assets and liabilities;
- k) proper measures have been taken to eliminate the irregularities mentioned in the inspection report of Bangladesh Bank and the instructions which were issued by Bangladesh Bank and other regulatory authorities have been complied properly as disclosed to us by management;
- l) based on our work as mentioned above under the auditor's responsibility section, the internal control and the compliance of the Company is satisfactory, and effective measures have been taken to prevent possible material fraud, forgery and internal policies are being followed appropriately;
- m) the Company has complied with relevant laws pertaining to capital, reserve and net worth, cash and liquid assets and procedure for sanctioning and disbursing loans/leases found satisfactory;
- n) We have reviewed over 80% of the risk-weighted assets of the Company, and we have spent around 2120 person-hours for the audit of the books and accounts of the Company;
- o) the Company has complied with relevant instructions which were issued by Bangladesh Bank relevant to classification, provisioning and calculation of interest suspense;
- p) the Company has complied with the "First Schedule" of the Financial Institutions Act, 1993 in preparing these financial statements; and
- q) all other issues which in our opinion are important for the stakeholders of the Company have been adequately disclosed in the audit report.

ACNABIN, Chartered Accountants



Muhammad Aminul Hoque, FCA
Partner

ICAB Enrollment#1129

DVC: 2109131129AS435711

Dated, Dhaka : 28 August 2021

Bangladesh Infrastructure Finance Fund Limited

Balance Sheet

As at 31 December 2020

Particulars	Note	Amount in Taka	
		31-Dec-20	31-Dec-19
Property and Assets			
Cash	3	1,686,760	31,084,487
In hand (including foreign currencies)		89,501	139,187
Balance with Bangladesh Bank and its agent bank(s) (including foreign currencies)		1,597,259	30,945,300
Balance with banks and other financial institutions	4	12,512,084,193	7,965,250,332
Inside Bangladesh		12,512,084,193	7,965,250,332
Outside Bangladesh		-	-
Money at call and on short notice	5	26,900,000	27,400,000
Investments:	6	3,169,028,755	3,255,862,186
Government		-	-
Others		3,169,028,755	3,255,862,186
Loans and advances	7	18,361,145,945	18,922,252,016
Loans, cash credits, overdrafts etc.		18,361,145,945	18,922,252,016
Bills purchased and discounted		-	-
Fixed assets including premises, furniture and fixtures	8	223,092,676	267,323,044
Other assets	9	4,808,778,850	4,089,263,991
Non-banking assets	10	-	-
Total Property and Assets		39,102,717,178	34,558,436,056
Liabilities and Shareholders' Equity			
Liabilities			
Borrowing from other banks, financial institutions and agents	11	4,844,313,906	4,166,587,594
Deposits and other accounts	12	-	504,618,055
Current accounts and other accounts etc.		-	-
Bills payable		-	-
Savings bank deposits		-	-
Term deposits		-	504,618,055
Bearer certificate of deposits		-	-
Other deposits		-	-
Other liabilities	13	8,122,597,189	6,111,802,323
Total Liabilities		12,966,911,094	10,783,007,973
Capital/Shareholders' Equity		26,135,806,084	23,775,428,084
Paid up capital	14	23,080,000,000	21,080,000,000
Statutory reserve	15	1,767,400,439	1,659,085,617
General reserve	16	100,000,000	50,000,000
Retained earnings	17	1,188,405,645	986,342,467
Total Liabilities and Shareholders' Equity		39,102,717,178	34,558,436,056



Particulars	Note	Amount in Taka	
		31-Dec-20	31-Dec-19
OFF-BALANCE SHEET ITEMS :			
Contingent liabilities	18	454,800,000	503,031,759
Acceptances and endorsements		-	-
Letter of comfort	18.1	454,800,000	503,031,759
Irrevocable letter of credit		-	-
Bills for collection		-	-
Other contingent liabilities		-	-
Other commitments		-	-
Documentary credits and short term trade-related transactions		-	-
Forward assets purchased and forward deposits placed		-	-
Undrawn note issuance and revolving underwriting facilities		-	-
Undrawn formal standby facilities, credit lines		-	-
Others		-	-
Total Off-Balance Sheet Items including contingent liabilities		454,800,000	503,031,759
Net Asset Value (NAV) per share	38	113.86	112.79

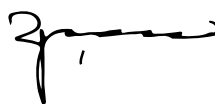
Annexed notes form an integral part of these financial statements.



Company Secretary



Chief Executive Officer



Director



Chairman

Signed as per our report on same date

ACNABIN, Chartered Accountants


Muhammad Aminul Hoque, FCA
Partner
ICAB Enrollment#1129
DVC: 2109131129AS435711

Dated, Dhaka : 28 August 2021

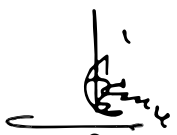
Bangladesh Infrastructure Finance Fund Limited

Profit and Loss Account

For the year ended 31 December 2020

Particulars	Note	Amount in Taka	
		31-Dec-20	31-Dec-19
Operating Income			
Interest income from leases, loans and advances	20	1,120,550,039	1,736,088,527
Less: Interest expenses on deposits & borrowings etc.	21	90,286,117	96,345,981
Net interest income		1,030,263,922	1,639,742,546
Investment income	22	325,936,996	233,825,597
Commission, exchange and brokerage		-	-
Other operating income	23	453,952,651	231,437,493
Total operating income		1,810,153,567	2,105,005,636
Operating Expenses			
Salary and allowances	24	61,387,080	59,002,335
Rent, taxes, insurance, electricity etc.	25	1,714,828	3,477,003
Legal expenses	26	195,188	699,163
Postage, stamp, telecommunication etc.	27	1,666,318	1,922,434
Stationery, printing, advertisement etc.	28	1,866,053	6,840,432
Managing Director's salary and allowances	29	6,983,548	6,821,760
Directors' fees	30	909,318	1,416,196
Auditors' fees	31	404,000	266,000
Charges on loan losses		-	-
Depreciation and repairs of company's assets	32	45,523,680	46,482,930
Other operating expenses	33	17,030,777	32,350,320
Total operating expenses		137,680,789	159,278,573
Profit before provision		1,672,472,778	1,945,727,063
Provision for investment, leases, loans and advances	34	-	82,929,904
Provision for diminution in value of investments		-	-
Other provision	35	500,000,000	655,298,717
Total provision		500,000,000	738,228,621
Total profit before income tax		1,172,472,778	1,207,498,442
Provision for income tax	36	630,898,665	754,508,161
Net profit after tax & provision		541,574,113	452,990,281
Appropriations to:		158,314,823	140,598,056
Statutory reserve	15	108,314,823	90,598,056
General reserve	16	50,000,000	50,000,000
Retained surplus		383,259,290	312,392,225
Earnings per share (EPS)	37	2.36	1.97

Annexed notes form an integral part of these financial statements.


Company Secretary


Chief Executive Officer


Director


Chairman

Signed as per our report on same date

ACNABIN, Chartered Accountants


Muhammad Aminul Hoque, FCA
Partner
ICAB Enrollment#1129
DVC: 2109131129AS435711

Dated, Dhaka : 28 August 2021

Bangladesh Infrastructure Finance Fund Limited

Statement of Cash Flows

For the year ended 31 December 2020

Particulars	Note	Amount in Taka	
		31-Dec-20	31-Dec-19
A. Cash flow from operating activities:			
Interest received		999,632,315	1,250,163,815
Interest paid		(18,667,353)	(49,011,044)
Dividend received		210,054,728	90,087,753
Interest received from commercial paper & bond		180,302,899	19,787,918
Cash paid to employees		(58,693,789)	(65,727,672)
Cash paid to suppliers		(8,252,674)	(22,938,956)
Income taxes paid		(781,687,573)	(561,655,414)
Received from other operating activities		461,089,667	263,361,486
Paid for other operating activities		(17,854,541)	(33,870,016)
Cash generated from operating activities		965,923,679	890,197,870
Increase/(decrease) in operating assets and liabilities, statutory deposits			
Loans and advances to other banks		-	-
Investment		-	-
Loans and advances to other customers		1,330,595,828	(1,458,618,896)
Other assets		(1,547,642)	(460,470)
Borrowings from banks, financial institutions and agents		626,430,404	1,667,185,085
Deposits from other banks/borrowings		(504,618,055)	504,618,055
Other liabilities		194,847,509	403,931,133
		1,645,708,043	1,116,654,907
Net cash flow from/(used in) operating activities		2,611,631,723	2,006,852,778
B. Cash flow from investing activities:			
Purchase of property, plant and equipment net of disposal proceeds		(351,408)	(5,838,180)
Proceed from investment in securities		286,833,431	177,581,778
Investment made during the period		(200,000,000)	(1,870,000,000)
Proceeds from disposal of fixed assets		18,500	-
Net cash flow from/(used in) investing activities		86,500,523	(1,698,256,402)
C. Cash flow from financing activities:			
Dividend paid		(181,196,112)	(150,000,000)
Issuance of shares		2,000,000,000	-
Net cash used in financing activities		1,818,803,888	(150,000,000)
D. Net increase/(decrease) in cash and cash equivalents (A+B+C)		4,516,936,134	158,596,375
E. Effects of exchange rate changes on cash and cash equivalents			-
F. Cash and cash equivalents at the beginning of the year		8,023,734,820	7,865,138,444
G. Cash and cash equivalents at the end of the year (D+E+F)		12,540,670,953	8,023,734,820
Cash and cash equivalents at the end of the year			
Cash in hand	3.1	89,501	139,187
Balance with Bangladesh Bank and its agent bank(s)	3.2	1,597,259	30,945,300
Balance with other banks and financial institutions	4	12,512,084,193	7,965,250,332
Money at call and short notice	5	26,900,000	27,400,000
		12,540,670,953	8,023,734,820
Net operating cash flow per share (NOCFPS)	39	11.38	9.52

Annexed notes form an integral part of these financial statements.


Company Secretary


Chief Executive Officer


Director


Chairman



Bangladesh Infrastructure Finance Fund Limited

Statement of Changes in Equity

For the year ended 31 December 2020

Particulars	Paid-up capital	Statutory reserve	General Reserve	Retained earnings	Amount in Taka Total
Balance as on 1 January 2019	21,080,000,000	1,568,487,561	-	673,950,242	23,322,437,803
Net profit for the year	-	-	-	452,990,281	452,990,281
Cash dividend	-	-	-	-	-
Stock dividend	-	-	-	-	-
Appropriations made during the year	-	90,598,056	50,000,000	(140,598,056)	-
Balance as on 31 December 2019	21,080,000,000	1,659,085,617	50,000,000	986,342,467	23,775,428,084
Balance as on 1 January 2020	21,080,000,000	1,659,085,617	50,000,000	986,342,467	23,775,428,084
Net profit for the year	-	-	-	541,574,113	541,574,113
Share issue	2,000,000,000	-	-	-	2,000,000,000
Cash dividend	-	-	-	(181,196,112)	(181,196,112)
Stock dividend	-	-	-	-	-
Appropriations made during the year	-	108,314,823	50,000,000	(158,314,823)	-
Balance as on 31 December 2020	23,080,000,000	1,767,400,439	100,000,000	1,188,405,645	26,135,806,084

Annexed notes form an integral part of these financial statements.



Company Secretary



Chief Executive Officer



Director



Chairman



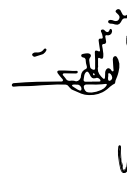
Bangladesh Infrastructure Finance Fund Limited

Liquidity Statement Asset and Liability Maturity Analysis

As at 31 December 2020

Particulars	Not more than 1 month term	1 to 3 months	3 to 12 months	1 to 5 years	More than 5 years	Total
Assets						
Cash in hand and balance with Bangladesh Bank and its agent bank(s)	1,686,760	-	-	-	-	1,686,760
Balance with banks and other financial institutions	6,849,144,598	2,588,189,679	-	3,074,749,917	-	12,512,084,193
Money at call and short notice	26,900,000	-	-	-	-	26,900,000
Investments	20,000,000	79,371,761	368,505,480	2,406,484,847	294,666,667	3,169,028,755
Loans and advances	224,830,057	1,290,731,092	2,522,445,632	8,921,073,612	5,402,065,552	18,361,145,945
Fixed assets including land, buildings, furniture and fixtures	-	-	-	-	223,092,676	223,092,676
Other assets	23,140,712	79,975,449	37,314,848	34,580,258	4,633,767,582	4,808,778,850
Non-banking assets	-	-	-	-	-	-
Total Assets (A)	7,145,702,128	4,038,267,981	2,928,265,961	14,436,888,633	10,553,592,476	39,102,717,178
Liabilities						
Borrowing from other banks, financial institutions and agents	1,372,916	2,353,683	113,899,404	1,454,858,291	3,271,829,611	4,844,313,906
Deposits	-	-	-	-	-	-
Other accounts	-	-	-	-	-	-
Provision and other liabilities	10,620,064	5,039,744	31,699,096	-	8,075,238,285	8,122,597,189
Total Liabilities (B)	11,992,980	7,393,427	145,598,500	1,454,858,291	11,347,067,896	12,966,911,094
Net liquidity gap (A-B)	7,133,709,147	4,030,874,554	2,782,667,461	12,982,030,342	(793,475,420)	26,135,806,084

Annexed notes form an integral part of these financial statements.



Company Secretary



Chief Executive Officer



Director




Chairman

Bangladesh Infrastructure Finance Fund Limited

Notes to the Financial Statements

For the year ended 31 December 2020

1 Reporting entity

1.01 Company profile

Bangladesh Infrastructure Finance Fund Limited hereinafter also referred to as 'BIFFL' started its journey as a Public Limited Company on 21 March 2011, registered under Company's Act 1994 (ACT XVIII of 1994). The authorized share capital of the Company is BDT 100 (one hundred) billion divided into 1 (one) billion shares of BDT 100 each and the subscribed share capital or paid-up capital is BDT 23.08 billion. Certificate of Incorporation was issued by the Registrar of Joint Stock Companies and Firms (RJSC). The business of the Company had commenced from the same date and the Certificate of Commencement of business was also issued by RJSC. BIFFL has also received license from Bangladesh Bank on 16 October 2011 to operate as a Non-Bank Financial Institution under the Financial Institutions Act 1993.

Presently, the Company has an 8-member Board of Directors. The overall policy decisions of the Company are vested with the Board of Directors. The Board of Directors of BIFFL includes: Senior Secretary, Finance Division, MoF; Senior Secretary, Power Division, MoPEMR; Secretary, Road Transport and Highways' Division, MoRT&B; Secretary, Bridges Division, MoRT&B; Secretary, Energy & Mineral Resources Division, MoPEMR; Secretary, Prime Minister's Office; Secretary, Economic Relations Divisions, MoF; and Additional Secretary, Finance Division, MoF. The Senior Secretary, Finance Division, Ministry of Finance is the Chairman of the Board. The CEO is an ex-officio member of the Board.

1.02 Nature of business

The Government of Bangladesh (GoB) has prioritized PPP program as a key initiative for increasing the investment in infrastructure. In order to create an enabling environment for attracting private investments on a sustainable basis, the GoB has also provided keen interest and attention to promote PPP in the country and also taken a series of important measures. As part of it, GoB has established BIFFL under Ministry of Finance (MoF) as a Special Purpose Vehicle (SPV) for financing infrastructure projects in Bangladesh. BIFFL has been designed to serve as channel for mobilizing domestic and foreign private resources along with the public fund through Private-Public Partnership, popularly known in its short form as 'PPP'.

The main objective of BIFFL is to provide predominantly long-term financing for infrastructure projects through issuance of bonds and debt instruments and equity offerings. BIFFL envisages attracting private investments from local & foreign investors and to invest in companies that are implementing infrastructure projects in Bangladesh.

The main goals of the company are to supplement in achieving Vision 2021, SDG 2030 and Vision 2041 of the Government through investment in infrastructure as well as sustainable development projects; to ensure adequate infrastructure development of the country through promotion of PPP; to cater to the requirements of critically important infrastructure projects through customized and structured financial solutions; and to bring in dynamism and necessary expertise in the financial industry for financing infrastructure projects.

BIFFL promotes, encourages and finance private sector investment in all critical infrastructure sectors, but not limited to the Power and Energy, Natural Resource Development, Fertilizer, Transportation System, Port Development, Air & Railway Transportation Projects, Tourism Infrastructure, Telecommunication System, Utility & Environment Management, Green & Renewable Energy Efficient Projects, Social and Industrial Infrastructure Projects, Poverty Alleviation Projects, and Urban & Rural Development Projects.

2 Significant accounting policies and basis of preparation of financial statements

2.01 Statement of compliance and basis of preparation

The Financial Reporting Act, 2015 (FRA) has been enacted during the year 2015. Under the FRA, the Financial Reporting Council (FRC) is to be formed and it is empowered to issue financial reporting standards for public interest entities such as Financial Institutions (FIs). The Financial Institutions Act, 1993 has been amended as required to comply for the preparation of their financial statements under such financial reporting standards. The FRC has been formed but yet to issue any financial reporting standards as per the provisions of the FRA and hence International Financial Reporting Standards (IFRSs) as adopted in Bangladesh are still applicable.

Accordingly, the financial statements of the Company continue to be prepared in accordance with International Financial Reporting Standards (IFRSs) and the requirements of the Financial Institutions Act, 1993, the rules and regulations issued by Bangladesh Bank, the Companies Act, 1994, the Securities and Exchange Rules, 1987. In case of any requirement of the Financial Institutions Act, 1993, and circulars issued by Bangladesh Bank, which differ with those of IFRSs, the requirements of the Financial Institutions Act, 1993, and circulars issued by Bangladesh Bank shall prevail. The financial statements have been prepared on historical cost basis.

2.02 Disclosure of departure from few requirements of IASs/IFRSs due to mandatory compliance of Bangladesh Bank's requirements

The Bangladesh Bank is the prime regulatory body for Non-Banking Financial Institutions (NBFI) in Bangladesh. Some requirements of Bangladesh Bank's rules and regulations differ with the requirements of IASs/IFRSs. As such the Company has departed from those contradictory requirements of IASs/IFRSs in order to comply with the rules and regulations of Bangladesh Bank which are disclosed below:

2.02.01 Valuation of investments in quoted and unquoted shares and securities

IFRS:

As per requirements of IFRS 9, classification and measurement of investment in shares and securities will depend on how these are managed (the entity's business model) and their contractual cash flow characteristics. Based on these factors it would generally fall either under "at fair value through profit or loss account" or under "at fair value through other comprehensive income" where any change in the fair value (as measured in accordance with IFRS 13) at the year-end is taken to profit and loss account or other comprehensive income respectively.



Bangladesh Bank:

As per FID circular No. 08, dated 03 August 2002 investments in quoted shares and unquoted shares are revalued at the year end at market price and as per book value of last audited balance sheet respectively. Provision should be made as per Bangladesh Bank DFIM circular No. 02 dated January 31, 2012 for investments in marketable securities and as per Bangladesh Bank DFIM circular No. 05 dated May 11, 2015 for Mutual funds.

There is no financial impact during the year

2.02.02 Provision on loans and advances**IFRS:**

As per IFRS 9 an entity shall recognise an impairment allowance on loans and advances based on expected credit losses. At each reporting date, an entity shall measure the impairment allowance for loans and advances at an amount equal to the lifetime expected credit losses if the credit risk on these loans and advances has increased significantly since initial recognition whether assessed on an individual or collective basis considering all reasonable information, including that which is forward-looking. For those loans and advances for which the credit risk has not increased significantly since initial recognition, at each reporting date, an entity shall measure the impairment allowance at an amount equal to 12 month expected credit losses that may result from default events on such loans and advances that are possible within 12 months after reporting date.

Bangladesh Bank:

As per FID circular No. 08, dated 03 August 2002, FID circular No. 03, dated 03 May 2006 and FID circular No. 03, dated 29 April 2013, a general provision at 0.25% to 5% under different categories of unclassified loans (good/ standard loans) has to be maintained irrespective of objective evidence of impairment on loans and advances. Also provision for sub-standard investments, doubtful investments and bad losses has to be provided at 20%, 50% and 100% respectively for investments depending on the duration of overdue.

2.02.03 Financial instruments - presentation and disclosure

In several cases Bangladesh Bank guidelines categories, recognise, measure and present financial instruments differently from those prescribed in IFRS 9. As such some disclosure and presentation requirements of IFRS 7 'Financial Instruments: Disclosures' and IAS 32 'Financial Instruments: Presentation' cannot be made in the accounts.

Presentation of financial statements is not fully aligned with all the requirements of IAS/IFRS.

2.02.04 Financial guarantees**IFRS:**

As per requirements of IFRS 9, financial guarantees are contracts that require an entity to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the terms of a debt instrument. Financial guarantee liabilities are recognised initially at their fair value, and the initial fair value is amortised over the life of the financial guarantee. The financial guarantee liability is subsequently carried at the higher of this amortised amount and the present value of any expected payment when a payment under the guarantee has become probable. Financial guarantees are included within other liabilities.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, financial guarantees such as L/C, L/G will be treated as off balance sheet items. No liability is recognised for the guarantee except the cash margin.

There will be no financial changes due to departure

2.02.05 Cash and cash equivalents**IFRS:**

Cash equivalents are short term, highly liquid investments that are readily convertible to known amounts of cash and only include those investments which are for a short tenure like: 3 months or less period. In the light of above, balance with Bangladesh Bank and fixed term deposits should be treated as investment asset rather than cash equivalents as it is illiquid asset and not available for use in day to day operations.

Bangladesh Bank:

Bangladesh Bank has issued templates for financial statements vide DFIM circular No. 11, dated 23 December 2009 which will strictly be followed by all NBFIs. The templates of financial statements provided detail presentation for statement of cash flows.

Presentation of financial statements is not fully aligned with the requirement of IAS.

2.02.06 Non-banking assets**IFRS:**

There is no particular/specific guideline about non-banking assets in IFRSs.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, there must exist a face item named non-banking asset. This is a presentation issue and there is no financial impact

2.02.07 Statement of cash flows**IFRS:**

Cash flow statement can be prepared either in direct method or in indirect method. The presentation is selected to present these cash flows in a manner that is most appropriate for the business or industry. The method selected is applied consistently.



Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, statement of cash flows is a mixture of direct and indirect method.

Presentation of statement of cash flows is not fully aligned with the requirement of IAS and there is no financial impact.

2.02.08 Balance with Bangladesh Bank

IFRS:

Balance with Bangladesh Bank should not be treated as cash and cash equivalents as it is not available for use in day to day operations as per IAS 7 'Statement of Cash Flows'.

Bangladesh Bank:

Balance with Bangladesh Bank is treated as cash and cash equivalents.

This is a presentation issue and there is no financial impact.

2.02.09 Off balance sheet items

IFRS:

As per IFRS, there is no mandatory requirement for disclosure of off-balance sheet items on the face of the balance sheet.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, off balance sheet items e.g. Letter of Credit, Letter of Guarantee, Acceptance must be disclosed separately on the face of balance sheet.

This is a presentation issue and there is no financial impact.

2.02.10 Disclosure of appropriation of profit

IFRS:

There is no mandatory requirement to show appropriation of profit in the face of the profit and loss account.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, an appropriation of profit should be disclosed on the face of profit and loss account.

There is no financial impact for this departure during the year.

2.02.11 Other comprehensive income

IFRS:

As per IAS 1 'Presentation of Financial Statements', other comprehensive income is a component of financial statements or the elements of other comprehensive income are to be included in a single Comprehensive Income (OCI) Statement.

Bangladesh Bank:

Bangladesh Bank has issued templates for financial statements which will strictly be followed by all financial institutions. The templates of financial statements issued by Bangladesh Bank do not include other comprehensive income; and the elements of other comprehensive income are also not allowed to be included in a single Other Comprehensive Income (OCI) Statement. As such the company does not prepare the other statement of comprehensive income. However elements of OCI, if any, are shown in the Statement of Changes in Equity.

There is no financial impact for this departure during the year.

2.02.12 Loans and advances net of provision

IFRS:

As per IFRS 9, Loans and advances should be presented as net of provision.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, provision on loans and advances are presented separately as liability and cannot be netted off against loans and advances.

There is no financial impact for this departure during the year.

2.02.13 Recognition of interest in suspense

IFRS:

Loans and advances to customers are generally classified at amortised cost as per IFRS 9 and interest income is recognised in profit and loss account by using the effective interest rate method to the gross carrying amount over the term of the loan. Once a loan subsequently become credit-impaired, the entity shall apply the effective interest rate to the amortised cost of these loans and advances.

Bangladesh Bank:

As per FID circular no. 8 dated 3 August 2002, once a loan is classified as impaired, interest on such loans are not allowed to be recognised as income, rather the corresponding amount needs to be credited to an interest in suspense account, which is presented as liability in the balance sheet.

Charging of interest on impaired assets is not fully aligned with IAS/IFRS.



2.03 Components of the financial statements

The financial statements comprise of (As per DFIM circular No. 11, Dated 23 December 2009):

- a) Balance Sheet as at 31 December 2020;
- b) Profit and Loss Account for the year ended 31 December 2020;
- c) Statement of Cash Flows for the year ended 31 December 2020;
- d) Statement of Changes in Equity for the year ended 31 December 2020;
- e) Liquidity Statement for the year ended 31 December 2020 and
- f) Notes to the Financial Statements for the year ended 31 December 2020.

2.04 Use of estimates & judgments

The preparation of the financial statements of the company in conformity with Bangladesh Bank Circulars and IFRSs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amount of assets, liabilities, income and expenses. Actual result may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future period affected.

Information about significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have most significant effect for the year ended 31 December 2020 is included in the following notes:

- a) Note 9.2 Deferred tax assets;
- b) Note 13.1 Provision for Income tax;
- c) Note 13.3 Deferred tax liabilities;
- d) Note 13.4 Employee benefit liabilities (provision for gratuity);
- e) Note 13.5 Provision for lease, loans, advances, investment, and others;
- f) Note 18.1 Letter of guarantee (contingent liabilities);
- g) Note 32 Depreciation and repairs of company's assets.

2.05 Going Concern

The Company has adequate resources to continue its operation for the foreseeable future. For this reason, the directors continue to adopt a going concern basis in preparing the financial statements. The Company's current credit facilities and resources provide sufficient funds to meet the current requirements of its existing businesses and operations.

The outbreak of Covid-19 across the world has resulted in disruptions in business activities everywhere. Covid-19 poses existential threats to a business's ability to survive, which in turn have significant financial reporting impacts from going concerned and liquidity to recoverability and valuation of assets.

However, the Covid-19 virus can evolve in various directions. If society, and as a consequence business, is exposed to Covid-19 for a longer period, this may result in prolonged negative results and pressure on our liquidity and profitability. However, the Company has taken and will take various measures to keep the Company's going concern status.

Response to address the Covid-19 effects:

- a) This includes ensuring adequate safety and health measures for the employees like social distancing and working from home to ensure the safety of the employees;
- b) Prudent balance sheet and cash management to ensure enough liquidity to manage all obligations;
- c) Introducing and implementing contingency plans for liquidity and putting into controls for regular monitoring;
- d) Effective cost control measures are already in place to combat the unprecedented situation;

Furthermore, the management continuously monitors the Company's key ratios and is confident enough to undertake all crisis management and business continuity measures. The Company's management has performed an extensive analysis on the possible impact and has responded through adequate measures mitigating possible impacts. By conducting a stringent review and assessing the levels of facilities expected to be available to the Company, the management strongly believes that the BIFFL has adequate resources for at least 12 months from the date of authorized for issue of the financial statements.

So, based on the facts and circumstances known at this moment, the management believes there is no material uncertainty that may cast any doubt upon the Company's ability to continue as a going concern.

2.06 Materiality and aggregation

Each material item considered by management as significant has been presented separately in the financial statements. No amount has been set off unless the Company has a legal right to set off the amounts and intends to settle on net basis. Income and expenses are presented on a net basis only when permitted by the relevant accounting standards.

2.07 Consistency

In accordance with the IFRS framework for the presentation of Financial Statements together with IAS 1 'Presentation of Financial Statements' and IAS 8 'Accounting Policies, Changes in Accounting Estimates and Errors', BIFFL applies the accounting disclosures and principles consistently from one period to the next. Where selecting and applying new accounting policies, changes in accounting policies applied, correction of errors, the amounts involved are accounted for and disclosed in accordance with the requirement of IAS 8.

2.08 Reporting period

The financial period of the Company was determined from 1 January to 31 December and followed consistently. These financial statements cover one year starting from 1 January 2020 to 31 December 2020.



2.09 Functional and presentation currency

The figures of the Financial Statements are presented in Bangladesh Taka (BDT /Taka/BDT) which is Company's functional currency. All financial Information presented in Taka has been rounded off to the nearest integer except otherwise indicated.

2.10 Assets and basis of their valuation

2.10.01 Cash and cash equivalents

Cash and cash equivalents comprises cash in hand, balance with Bangladesh Bank, cash at bank, term deposits, money at call and short notice that are readily convertible to a known amount of cash and that are subject to an insignificant risk of change in value. Cash and cash equivalents are shown as per DFIM circular no. 11 dated 23 December 2009.

2.10.02 Investment in securities

Investment in non-marketable shares have been shown at cost. The Company has no investment in marketable securities.

Provision for investment

BIFFL maintains provision on the outstanding balance of investment following the classification as reported in FICL submitted to Bangladesh Bank on quarterly basis.

2.10.03 Loans, advances and provisions

Loans and advances are stated at gross amount. General provisions on unclassified loans, specific provisions for classified loans and interest suspense account thereon are shown under other liabilities. Provision is made on the basis of quarter end against classified loans and advances reviewed by the management and instructions given in FID circular no. 08 dated 3 August 2002 and FID circular no. 03 dated 03 May 2006.

Interest on loans and advances

Interest is calculated on a daily product basis and is recognized as revenue on accrual basis. However, interest income under category of classified and Special Mention Account (SMA) account is not recognised as income but credited to interest suspense account as per Bangladesh Bank circulars and directives. In addition to above interest due on standard loans are also transferred to suspense accounts on judgmental basis. No interest is charged on bad and loss loans as per guidelines of Bangladesh Bank.

Provision for loans and advances

Provision for loans, advances and investments is an estimate of the losses that may be sustained in the investment portfolio. The methodology for measuring the appropriate level of the provision relies on several key elements, which include both quantitative and qualitative factors as set forth in the Bangladesh Bank guidelines. Provision for loans and advances are made on quarter basis as per the instructions given in FID circular no. 08 dated 03 August 2002, FID circular no. 03 dated 03 May 2006 and FID circular no. 03 dated 29 April 2013 of Bangladesh Bank.

Rate of provision

General Provision on unclassified loans and advances and specific provision on classified loans & advances are made as per below rate:

Particulars	Rate
Standard-other than SME	1%
Standard-SME	0.25%
Special mention account (SMA)	5%
Sub-standard (SS)	20%
Doubtful (DF)	50%
Bad/loss (BL)	100%

Presentation of loans and advances

Loans and advances are shown at gross amount as assets while interest suspense and loan loss provision against classified advances are shown as liabilities in the Balance Sheet.

Write off loans and advances

Loans and advances/investments are written off as per guidelines of Bangladesh Bank. Those written off however will not undermine/affect the claim amount against the borrower. Detailed memorandum records for all such written off accounts are meticulously maintained and followed up.

2.10.04 Property, plant and equipment

Property, plant and equipment are stated at cost less accumulated depreciation. The cost of an asset comprises its purchase price and any directly attributable costs associated with bringing the assets to its working condition for its intended use as per IAS 16 'Property, Plant and Equipment'.

Subsequent expenditure on property, plant and equipment

Subsequent expenditure is capitalized only when it increases the future economic benefits from the assets. All other expenditures are recognized as an expense as and when they are incurred.



Depreciation on property, plant & equipment

Depreciation on fixed assets is charged consistently on straight-line method at following rates throughout the estimated useful life of the assets. Depreciation method, useful lives and residual values are reviewed at each reporting date. The depreciation on newly acquired assets is charged from the date of acquisition.

Category of Fixed assets	Rate of Depreciation
Land & land development	0%
Computer & IT equipment	33%
Office equipment	20%
Furniture & fixtures	10%
Motor vehicles	20%
Building	10%
Electronics	12.5%
Civil construction	50%
Websites & software	50%

The gain or loss arising on the disposal or retirement of an asset is determined as the difference between the sale proceeds and the carrying amount of the concerned asset and is recognised accordingly in the Profit or Loss Account.

As per clause 6.2 of the Accounts and Finance Manual, BIFFL charges depreciation at the above-mentioned rate consistently on a straight-line basis. However, at the end of the reporting period expectations differ from previous estimates regarding the useful life of the Building (Floor Space). In this regard, the management of BIFFL intends to change its useful life from 10 years to a reasonable period considering the market practice and directions of IAS 16. This revision of the useful life of the building will be placed before the Board for approval.

Impairment

The carrying amount of the entity's non financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, the asset's recoverable amount is estimated. However, no such conditions that might be suggestive of a heightened risk of impairment existed at the reporting date.

2.10.05 Intangible assets

An intangible asset is recognised if it is probable that future economic benefits that are attributable to the asset will flow to the Company over a period of time and the cost of the asset can be measured reliably as per IAS 38 'Intangible Assets'. Intangible assets acquired separately are recorded on initial recognition at costs and are carried at cost less accumulated amortisation and accumulated impairment losses, if any.

Subsequent expenditure on intangible assets

Subsequent expenditure on intangible asset is capitalised only when it increases the future economic benefit from the assets. All other expenditures are recognised as expense as and when they are incurred.

Amortisation of intangible assets

Intangible assets are amortized on straight line basis to the profit and loss account from the date when the asset is available for use over its estimated useful life as follows:

<u>Items of intangible Assets</u>	<u>Estimate useful life</u>
Computer software	2 years

2.10.06 Other assets

Other assets include all other financial assets and fees and unrealised income receivable, advance for operating and capital expenditure and stocks of stationery and stamps. Details are shown in Note-9. Receivables are recognised when there is a contractual right to receive cash or another financial assets from another entity.

2.10.07 Non-banking assets

Non-banking assets are acquired on account of the failure of a borrower to repay the loan in time after receiving the decree from the court regarding the right and title of the mortgage property. There are no assets acquired in exchange for loan during the period of financial statements.

2.11 Basis for valuation of liabilities and provisions

2.11.01 Provision for tax

a. Current tax

Provision for current tax has been made on the basis of the profit of the year as adjusted for taxation purpose in accordance with the provisions of Income Tax Ordinance, 1984 and amendments made thereto from time to time. The Company's current tax liability is calculated using applicable tax rate on the reporting date, and any adjustments to tax payable in respect of previous years.



b. Deferred tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for:

- a) Temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss;
- b) Temporary differences related to investments in subsidiaries to the extent that it is probable that they will not reverse in the foreseeable future; and
- c) Taxable temporary differences arising on the initial recognition of goodwill.

Deferred tax assets are recognised for unused tax losses, unused tax credits and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be used. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Unrecognised deferred tax assets are reassessed at each reporting date and recognised to the extent that it has become probable that future taxable profits will be available against which they can be used.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date. The measurement of deferred tax reflects the tax consequences that would follow the manner in which the Company expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities. For this purpose, the carrying amount of investment property measured at fair value is presumed to be recovered through sale, and the Company has not rebutted this presumption.

2.11.02 Employees' benefit obligation

Defined contribution plan

The Company operates a contributory provident fund scheme for its permanent employees. Provident Fund is administered by a Board of Trustees and is funded by contributions equally from the permanent employees and from the Company @ 10% of basic salary of the employees. The contributions are invested to ensure optimum return to the employees.

Defined benefit plan

The Company operates a funded gratuity scheme for its permanent employees.

Short term benefit

Short-term employee benefit (salary, bonus etc.) obligations are measured on an undiscounted basis and are expensed as the related service is provided.

Other employee benefit obligation

The Company operates a group life insurance and hospitalisation insurance schemes for its permanent employees.

Workers profit participation and welfare fund (WPPF)

Establishment of Workers' Profit Participation and Welfare Fund (WPPF) is a matter of Banking and Financial Institutions Sector as a whole. Ministry of Finance through its letters no. 53.00.0000.311.22.002.17-130 dated February 14, 2017 and no. 53.00.0000.311.22.002.17-140 dated February 25, 2018 expressed its opinion that Chapter 15 on "Participation in Company Profits by Workers" in the Bangladesh Labor Act 2006 and amendments made therein on July 22, 2013 should not be applicable for Banks and Financial Institutions and requested to the Ministry of Labor and Employment to take necessary steps in this regard as well as not to apply the said chapter of Labor Act 2006 for Banks and Financial Institutions. Therefore, like other Banks and Financial Institutions, BIFFL did not recognize the WPPF.

2.11.03 Accrued expenses, provisions and payables

Liabilities are recognised for goods and services received, whether paid or not, for those goods and services. Payables are not interest bearing and are stated at their actual value.

Provisions and accrued expenses are recognised in the financial statements when the Company has a legal or constructive obligation as a result of past event and it is probable that an outflow of economic benefit will be probable to settle the obligation and a reliable estimate can be made of the amount of the obligation.

2.12 Capital and shareholders' equity

2.12.01 Capital management

The Company has a capital management process for measuring, deploying and monitoring its available capital and assessing its adequacy. This capital management process aims to achieve four major objectives; exceed regulatory thresholds and meet long-term internal capital targets, maintain strong credit rating, manage capital levels commensurate with the risk profile of the Company and provide the Company's shareholders with acceptable returns.

Capital is managed in accordance with the board approved capital management planning from time to time. Senior management develops the capital strategy and oversees the capital management planning of the Company. The company's finance and risk management department are key to implementing the Company's capital strategy and managing capital. Capital is managed using both regulatory control measures and internal matrices.

2.12.02 Paid up capital

Paid up share capital represents total amount of shareholder capital that has been paid in full by the Government of Bangladesh i.e. ordinary shareholder. In the event of winding-up of the company ordinary shareholder(s) rank after all other shareholders and creditors are fully entitled to any residual proceeds of liquidation.



2.12.03 Statutory reserve

As per Financial Institution Regulations, 1994, Non-Bank Financial Institutions (NBFIs) are required to transfer 20% of its post tax profit to statutory reserve before declaration of dividend. This requirement has been properly complied with.

2.12.04 Dividends payment

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the Company's shareholders.

2.13 Earnings per share

The Company presents basic and diluted EPS data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss that is attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss that is attributable to ordinary shareholders and the weighted-average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares, if any.

2.14 Contingent assets & liabilities

Any possible obligation that arises from past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or Any present obligation that arises from past events but is not recognised because:

- a) it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
- b) the amount of the obligation cannot be measured with sufficient reliability.

Contingent liabilities are not recognised but disclosed in the financial statements unless the possibility of an outflow of resources embodying economic benefits can reliably be estimated.

Contingent assets are not recognised in the financial statements as this may result in the recognition of income which may never be realised.

2.15 Director's responsibility statement

The Board of Directors is responsible for the presentation of the financial statements under section 183 of the Companies Act, 1994 and as per the provision of 'The Framework for the Preparation and Presentation of Financial Statements'.

2.16 Related party disclosure

As per IAS 24 Related Party Disclosures, parties are considered to be related if one of the parties has the ability to control the other party or exercise significant influence over the other party in making financial and operating decisions. The Company carried out transactions in the ordinary course of business on an arm's length basis at commercial rates with related parties.

2.17 Litigation

The Company is not a party to any material law suits except those arising in the normal course of business. The Company has filed necessary law suits against some of the default clients for non-performance in repayment of investment. The Company, however, has made adequate provision against such doubtful finances.

2.18 Borrowings from other banks, financial institutions and agents

Borrowings include short term and long term borrowings from banks and non-bank financial institutions. These are stated at amounts outstanding on the reporting date. Interest expense on these borrowings is charged to the profit and loss account on accrual basis.

2.19 Liquidity statement

The liquidity statement has been prepared in accordance with remaining maturity grouping of assets and liabilities as of the close of the reporting period as per following bases:

- Balance with other Company's and financial institutions are on the basis of their maturity term;
- Investments are on the basis of their residual maturity term;
- Loans and advances are on the basis of their repayment /maturity schedule;
- Property, plant and equipment are on the basis of their useful lives;
- Other assets are on the basis of their adjustments terms;
- Borrowings from other Companies and financial institutions are on the basis of their maturity/repayment schedule;
- Deposits and other accounts are on the basis of their maturity terms and past behavioral trends;
- Other liabilities are on the basis of their settlement terms.

2.20 Events after the reporting period

Events after the reporting period that provide additional information about the Company's position at the statement of financial position date are reflected in the financial statements in note no. 47 as per IAS 10 'Events after the reporting period'.

2.21 Comparatives and reclassification

Comparative information have been disclosed in respect of 2019 for all numerical information in the financial statements and also the narrative and descriptive information when it is relevant for understanding of the current period's financial statements.

To facilitate comparison, certain relevant balances pertaining to the comparatives have been rearranged /restated /reclassified whenever considered necessary to conform to current period's presentation.

2.22 Compliance Report on International Accounting Standards (IASs) and International Financial Reporting Standards (IFRSs)

Sl. No.	IFRS/ IAS No.	Name of the IFRS/IAS	Status
1	IFRS-1	First Time adoption of IFRS	Not Applicable
2	IFRS-2	Share based payment	Not Applicable
3	IFRS-3	Business combinations	Not Applicable
4	IFRS-4	Insurance contracts	Not Applicable
5	IFRS-5	Non-current assets held for sales and discontinued operations	Not Applied**
6	IFRS-6	Exploration for and evaluation of mineral resources	Not Applicable
7	IFRS-7	Financial instruments disclosures	Applied*
8	IFRS-8	Operating segments	Not Applicable
9	IFRS-9	Financial instruments	Applied*
10	IFRS-10	Consolidated financial statements	Not Applicable
11	IFRS-11	Joint arrangements	Not Applicable
12	IFRS-12	Disclosure of interest in other entities	Not Applicable
13	IFRS-13	Fair value measurement	Applied
14	IFRS-14	Regulatory Deferral Accounts	Not Applicable
15	IFRS-15	Revenue from contracts with customers	Applied*
16	IFSR-16	Leases	Not Applicable
17	IFSR-17	Insurance Contracts	Not applicable
18	IAS-1	Presentation of financial statements	Applied*
19	IAS-2	Inventories	Not Applicable
20	IAS-7	Cash flow statements	Applied*
21	IAS-8	Accounting policies, changes in accounting estimates and errors	Not Applied**
22	IAS-10	Events after the reporting period	Applied
23	IAS-12	Income taxes	Applied
24	IAS-16	Property, plant and equipment	Applied
25	IAS-19	Employee benefits	Applied
26	IAS-20	Accounting for government grants and disclosure of government assistance	Not Applicable**
27	IAS-21	The effects of changes in foreign exchange rates	Not Applicable**
28	IAS-23	Borrowing costs	Not Applicable**
29	IAS-24	Related party disclosures	Applied
30	IAS-26	Accounting and reporting by retirement benefit plans	Not Applicable
31	IAS-27	Consolidated and separate financial statements	Not Applicable
32	IAS-28	Investments in associates	Not Applicable
33	IAS-31	Interest in joint ventures	Not Applicable
34	IAS-32	Financial instruments: presentation	Applied*
35	IAS-33	Earnings per share	Applied
36	IAS-34	Interim financial reporting	Applied
37	IAS-36	Impairment of assets	Applied*
38	IAS-37	Provision, contingent liabilities and contingent assets	Applied*
39	IAS-38	Intangible assets	Applied
40	IAS-40	Investment property	Not Applicable
41	IAS-41	Agriculture	Not Applicable

*As the regulatory requirements differ with the standards, relevant disclosures have been made in accordance with Bangladesh Bank's requirements.

** Applicable but not applied in the reporting period as no relevant transactions were available.

2.23 Capital adequacy and market discipline

To cope with the international best practices and to make up the capital more risk sensitive as well as more shock resilient, a road map was issued in August 2010 on implementation of Basel Accord in the FIs. Being well pursuant with the road map, prudential guidelines namely 'Capital Adequacy and Market Discipline for Financial Institutions' had been introduced by Bangladesh Bank from December 2011. The guidelines came into force from 1 January 2012 with necessary supplements/revisions. Instructions in respect of Minimum Capital Requirement, Adequate Capital and Disclosures requirement as stated in the guidelines have been followed for the purpose of statutory compliance.

As per prudential guideline, BIFFL calculated Minimum Capital Requirement (MCR) by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I.



Pillar- 1: Minimum capital requirement

Credit Risk

The calculation of capital requirement against credit risk is more elaborate and risk sensitive. The accord gives a choice of some sophisticated approaches to address risks, and adoption of a particular approach depends on the risk measurement capabilities and robustness of the systems in place in a financial institution. A standardized approach has been the preliminary choice of FIs for the credit risk calculation.

Market risk

Market risk is defined as the risk of losses in on and off-balance-sheet positions arising from movements in market prices. The risks subject to this requirement are:

- the risks pertaining to interest rate related instruments and equities in the trading book;
- foreign exchange risk and commodities risk throughout the FI.

The capital charges for interest rate related instruments and equities applied to the current trading book items prudently valued by BIFFL. The capital charges for foreign exchange risk and for commodities risk applied to BIFFL's total currency and commodity positions, subject to some discretion to exclude structural foreign exchange positions.

Operational risk

The accord introduces for the first time a capital charge for operational risk. The framework presents three methods for calculating operational risk capital charges in a continuum of increasing complexity and risk sensitivity. These methods are the Basic Indicator Approach (a fixed percentage of gross income amount), Standardized Approach (sum of a certain percentage of FI's income in each business line) and Internal Measurement Approach (statistical measure of FI's operational loss based on its historical loss data). But initially, Basic Indicator Approach has been applied for calculating the capital charge against operational risk.

2.24 Stress testing

Stress Testing is an important risk management tool that is used by the financial institutions as part of internal risk management and through the Basel II capital adequacy framework, is promoted by Bangladesh Bank. Stress Testing alerts Financial Institutions management to adverse unexpected outcomes related to a variety of risks and provides an indication of how much capital might be needed to absorb losses should large shock occur. Stress Testing supplements other risk management approaches and measures playing particularly important role in:

- i. Providing forward-looking assessment of risk;
- ii. Overcoming limitations of models and historical data;
- iii. Supporting external and internal communication;
- iv. Feeding into capital and liquidity planning procedures;
- v. Informing the setting of an FI's risk tolerance; and
- vi. Facilitating the development of risk mitigation or contingency plans across a range of stressed conditions.

Stress Testing guidelines have been issued by Bangladesh Bank to provide a structured way of assessing the vulnerability of financial institutions to extreme but plausible market conditions. The guidelines enable institutions to accurately assess risk and define the "risk appetite" of the organization and also provide critical information to senior management for decision around capital allocation and contingency planning.

BIFFL exercise stress testing on its portfolio on quarterly basis and submit its stress testing report as per format prescribed by Bangladesh Bank on regular basis.

2.25 IT systems and control

Information Technology forms an integral part of the NBFIs Corporate Governance. It deals primarily with optimizing the linkage between Strategic Direction and Information Systems Management of the Company. In this regard, implementation of the organizational structure with well-defined roles for the responsibility of information, business processes, applications, infrastructure, etc. generates value for our stakeholders while mitigating the risks associated with incorrect deployment and use of Information Technology. IT and MIS department constantly working towards the development and implementation of new technologies to enable the organization to meet future market demand.

2.26 Prevention of money laundering

In recognition of the fact that financial institutions are particularly vulnerable to money laundering, BIFFL has established an Anti Money Laundering Policy. The purpose of this policy is to provide a guideline to comply with all laws and regulations regarding money laundering, both at country and international levels, to safeguard the Company from potential compliance, financial and reputational risks. Further, Know Your Customer (KYC) procedures have been set up for the borrowers. Training is also given as a continuous process for creating/developing awareness among the relevant officers. As per the regulatory obligation, the Chief Executive Officer (CEO) of the Company clearly and effectively declares BIFFL's stance to prohibit anti money laundering and financing for terrorism each year. The declaration of CEO also includes necessary operational guidelines to implement the same.

2.27 Legal & regulatory compliance

The Company's procedures are in place to ensure compliance with mandatory Bangladesh Bank's instructions and the statutory requirements are under close scrutiny. The Company monitors due compliance with all relevant laws & regulations. The system of internal controls, including financial, operational and compliance controls and risk management systems, are maintained by the Company's management and that was in place throughout the financial year and up to and as of the date of this report, is adequate to meet the needs of current business environment and to comply with the legal & regulatory requirements.



		Amount in Taka	
		31-Dec-20	31-Dec-19
3	Cash		
	Cash in hand (Note- 3.1)	89,501	139,187
	Balance with Bangladesh Bank and its agent bank(s) (Note- 3.2)	1,597,259	30,945,300
		1,686,760	31,084,487
3.1	Cash in hand		
	In local currency	89,501	139,187
	In foreign currency	-	-
		89,501	139,187
3.2	Balance with Bangladesh Bank and its agent bank(s)		
	Balance with Bangladesh Bank	1,597,259	30,945,300
	In foreign currency	-	-
		1,597,259	30,945,300
3.3	Balance with Bangladesh Bank		
	Balance with Bangladesh Bank is non-interest bearing and maintained to meet the Cash Reserve Requirement (CRR). CRR (note- 3.4) and Statutory Liquidity Reserve (note- 3.5) have been calculated and maintained in accordance with Financial Regulations 1994 and FID circular no. 06 dated 6 November 2003 and FID circular no. 02 dated 10 November 2004.		
3.4	Cash Reserve Requirement (CRR)		
	CRR is calculated at the rate of 2.5% on total term deposits which is preserved in current account maintained with Bangladesh Bank in compliance with FID circular no. 6 dated 6 November 2003 and FID circular no. 02 dated 10 November 2004. Total term deposits mean term or fixed deposits, security deposit against lease/loan and other term deposits received from individuals and institutions (except banks and financial institutions).		
	Required reserve	-	12,615,451
	Actual reserve held (Balance with BB)	1,597,259	30,945,300
	Surplus/(Deficit)	1,597,259	18,329,849
3.5	Statutory Liquidity Reserve (SLR)		
	SLR has been calculated at the rate of 5% of total liabilities less borrowing from other banks & FIs and Bangladesh Bank. SLR is maintained in liquid assets in the form of cash in hand, balance with Bangladesh Bank, balance with other banks & financial institutions, investment at call, unencumbered treasury bills, prize bond, savings certificates & any other assets approved by Bangladesh Bank.		
	Required reserve	612,791,715	501,404,556
	Actual reserve held	12,513,770,953	7,983,719,368
	Surplus/(Deficit)	11,900,979,238	7,482,314,812
4	Balance with other banks and financial institutions		
	Inside Bangladesh		
	Current accounts (Note- 4.1)	2,281	1,099,504
	Short noticed deposit accounts (Note- 4.2)	6,147,232,696	1,675,140,464
	Fixed deposit accounts (Note- 4.3)	6,364,849,216	6,289,010,363
		12,512,084,193	7,965,250,332
	Outside Bangladesh	-	-
		12,512,084,193	7,965,250,332
	The company does not maintain any account outside Bangladesh.		
4.1	Current account		
	Dutch Bangla Bank Ltd.	425	1,096,613
	Uttara Bank Ltd.	1,856	2,891
		2,281	1,099,504
4.2	Short noticed deposit account		
	United Commercial Bank Ltd.	769	7,929,694
	Shahjalal Islami Bank Ltd.	-	257,487,415
	Sonali Bank Ltd.	1,081,076,702	1,378,133
	Agrani Bank Ltd.	5,066,155,225	1,408,345,223
		6,147,232,696	1,675,140,464



		Amount in Taka	
		31-Dec-20	31-Dec-19
4.3	Fixed deposit accounts		
	BD Finance and Investment Ltd.	48,400,000	85,943,106
	Bangladesh Industrial Finance Company (BIFC) Ltd.	637,644,021	595,321,762
	Fareast Finance and Investment Ltd.	368,055,311	350,000,000
	Padma Bank Ltd.	1,090,395,157	1,127,232,034
	FAS Finance and Investment Ltd.	659,149,870	613,171,089
	First Finance Ltd.	217,842,133	208,500,000
	ICB Islamic Bank Ltd.	402,753,072	443,370,234
	International Leasing and Financial Services Ltd.	864,973,478	794,540,275
	Meridian Finance and Investment Ltd.	350,000,000	370,000,000
	NRB Commercial Bank Ltd.	-	10,000,000
	Peoples Leasing and Financial Services Ltd.	607,090,552	607,090,552
	Premier Leasing and Finance Ltd.	305,891,995	291,316,293
	Prime Finance and Investment Ltd.	253,375,000	250,000,000
	Aviva Finance Ltd. (Reliance Finance Ltd.)	145,000,000	162,135,000
	Union Capital Ltd.	414,278,627	380,390,018
		6,364,849,216	6,289,010,363
BIFFL maintained FDR accounts with different Banks and NBFIs licensed by Bangladesh Bank. However, due to the current market liquidity position and covid pandemic situation, some NBFIs have been facing difficulties to pay back the due amount on maturity. Nonetheless, BIFFL is pursuing the recovery drive continuously and has recovered significant amount from different Banks and NBFIs, and strong persuasion to recover the total fund is still continued. As BIFFL is wholly owned by the GoB, there is minimum chance of not being able to recover against this investments. The Board of Directors of BIFFL is also monitoring this issue from their position to recover the whole FDR amount. Besides that to build resilience against the economy and market shock, BIFFL has decided to build some provision against these FDRs. In addition, Bangladesh Bank vide letter no. FII(I-06/02)/2021-278 dated 04 April 2021 has given their consent to finalize the financial statements of BIFFL with the present provision status against FDR accounts and advised to build up the provision gradually.			
4.4	Maturity grouping of balance with banks and other financial institutions		
	On demand	2,281	1,099,504
	Up to 1 month	6,849,142,317	3,385,172,698
	Over 1 month but not more than 3 months	2,588,189,679	4,578,978,130
	Over 3 months but not more than 1 year	-	-
	Over 1 year but not more than 5 years	3,074,749,917	-
	Over 5 years	-	-
		12,512,084,193	7,965,250,332
5	Money at call and short notice		
	FAS Finance & Investment Ltd.	26,900,000	27,400,000
		26,900,000	27,400,000
6	Investments		
	Investment classified as per nature:		
	Government bond (Note- 6.1)	-	-
	Other investments (Note- 6.2)	3,169,028,755	3,255,862,186
		3,169,028,755	3,255,862,186
6.1	Government bond		
	Treasury bills	-	-
	National investment bonds	-	-
	Bangladesh Bank bills	-	-
	Government notes/bonds	-	-
	Others	-	-
		-	-

BIFFL has no investment in government bond.

		Amount in Taka	
		31-Dec-20	31-Dec-19
6.2	Other investments		
	Investment in preference share (Note- 6.2.1)	1,850,121,210	1,862,424,240
	Investment in commercial paper (Note- 6.2.2)	250,000,000	250,000,000
	Investment in bond (Note- 6.2.3)	1,068,907,546	1,143,437,946
		3,169,028,755	3,255,862,186
6.2.1	Investment in preference Share		
	Rajlanka Power Company Ltd.	145,454,543	242,424,240
	Doreen Power House & Technologies Ltd.	400,000,000	400,000,000
	Ace Alliance Power Ltd.	291,666,667	350,000,000
	Kushiara Power Company Ltd.	513,000,000	570,000,000
	Bhairab Power Ltd.	200,000,000	200,000,000
	Zodiac Power Chittagong Ltd.	200,000,000	-
	Summit Gazipur II Power Ltd.	100,000,000	100,000,000
		1,850,121,210	1,862,424,240
6.2.2	Investment in commercial paper		
	Computer Source Ltd.	250,000,000	250,000,000
		250,000,000	250,000,000
6.2.3	Investment in bond		
	IDLC zero coupon bond	68,907,546	143,437,946
	Ashuganj Power Station Company Ltd.	1,000,000,000	1,000,000,000
		1,068,907,546	1,143,437,946
6.2.4	Residual maturity grouping of investments		
	Up to 1 month	20,000,000	
	Over 1 month but not more than 3 months	79,371,761	62,238,315
	Over 3 months but not more than 1 year	368,505,480	304,595,116
	Over 1 year but not more than 5 years	2,406,484,847	1,762,362,089
	Over 5 years	294,666,667	1,126,666,666
		3,169,028,755	3,255,862,186
7	Leases, loans and advances		
	a) Inside Bangladesh		
	Leases (Note- 7.1)	-	-
	Loans	18,361,145,945	18,922,252,016
	Cash credits	-	-
	Overdrafts	-	-
	Sub-total	18,361,145,945	18,922,252,016
	b) Outside Bangladesh		
	Total	18,361,145,945	18,922,252,016
7.1	Leases	-	-
7.2	Sector wise leases, loans and advances		
	Public sector	3,967,651,794	4,867,672,027
	Co-operative sector	-	-
	Private sector	14,393,494,069	14,054,579,989
		18,361,145,863	18,922,252,016
7.3	Residual maturity grouping of leases, loans and advances		
	On demand	-	-
	Up to 1 month	224,830,057	-
	Over 1 month but not more than 3 months	1,290,731,092	682,184,881
	Over 3 months but not more than 1 year	2,522,445,632	2,046,554,642
	Over 1 year but not more than 5 years	8,921,073,612	9,550,588,327
	Over 5 years	5,402,065,552	6,642,924,167
		18,361,145,945	18,922,252,016



		Amount in Taka	
		31-Dec-20	31-Dec-19
7.4	Leases, loans and advances on the basis of significant concentration		
	a. Leases, loans and advances to Directors and organizations related to Directors (fully secured)	-	-
	b. Leases, loans and advances to Chief Executive Officer and other senior executives	15,328,299	14,582,864
	c. Leases, loans and advances to customer groups	-	-
	Large infrastructure projects	12,015,181,175	12,999,178,275
	Sustainable and eco-friendly projects	6,297,549,198	5,863,192,709
	SME- Women entrepreneurs	33,087,192	45,298,168
		18,361,145,863	18,922,252,016
	d. Leases, loans and advances on sector basis:		
	i) Textiles	14,878,345	10,817,309
	ii) Garments and accessories	3,042,960,097	2,798,249,374
	iii) Transport (including marine transport)	2,573,528,755	3,564,884,028
	iv) Chemicals and pharmaceuticals	-	-
	v) Iron, steel and engineering	1,561,468,924	1,188,523,409
	vi) Agricultural equipment and agro industries	-	-
	vii) Power and energy	3,132,893,944	2,497,143,758
	viii) Electronics and electrical	255,814,404	276,754,544
	ix) Information technology (IT)	192,731	-
	x) Paper printing and packaging	-	-
	xi) Plastic	125,472,391	4,415,305
	xii) Real estate and housing	-	-
	xiii) Food and beverage	4,128,167	5,564,814
	xiv) Glass and ceramics	2,168,226,739	1,924,139,629
	xv) Services	1,206,784,552	1,100,286,937
	xvi) Others	4,274,796,896	5,551,472,909
		18,361,145,945	18,922,252,016
7.5	Leases, loans and advances on geographical basis		
	Inside Bangladesh		
	Urban		
	Dhaka Division	2,975,063,191	3,488,397,067
	Chittagong Division	273,673,229	246,794,276
	Khulna Division	-	-
	Rajshahi Division	-	-
	Barisal Division	-	-
	Sylhet Division	-	-
	Rangpur Division	-	-
	Mymensingh Division	-	-
	Sub-total	3,248,736,420	3,735,191,342
	Rural		
	Dhaka Division	4,549,563,143	6,780,232,119
	Chittagong Division	7,974,033,225	5,212,336,162
	Khulna Division	3,485,836	5,175,566
	Rajshahi Division	170,347,466	120,089,954
	Barisal Division	52,954,396	48,373,975
	Sylhet Division	2,202,093,165	2,969,665,398
	Rangpur Division	38,886,469	-
	Mymensingh Division	121,045,825	51,187,500
	Sub-total	15,112,409,525	15,187,060,674
	Outside Bangladesh	-	-
	Total	18,361,145,945	18,922,252,016



		Amount in Taka	
		31-Dec-20	31-Dec-19
7.6	Classification of leases, loans and advances		
	Unclassified		
	Standard (STD)	17,812,847,897	18,163,479,034
	Special mention account (SMA)	262,556,538	496,870,186
	Sub-total	18,075,404,435	18,660,349,220
	Classified		
	Sub-standard (SS)	285,741,510	261,902,796
	Doubtful (DF)	-	-
	Bad/Loss (BL)	-	-
	Sub-total	285,741,510	261,902,796
	Total	18,361,145,945	18,922,252,016
7.7	Particulars of loans, advances and leases		
	i) Loan considered good in respect of which the FI is fully secured	7,670,517,222	6,160,257,420
	ii) Loan considered good for which the FI holds no other security than the debtor's personal security	3,404,303,898	4,104,496,516
	iii) Loan considered good and secured by the personal security of one or more parties in addition to the personal security of the debtors	7,286,324,824	8,657,498,080
	iv) Loan adversely classified; for which no provision is created	-	-
	Total	18,361,145,945	18,922,252,016
	v) Loan due by directors or officers of the FI or any of them either jointly or separately with any other persons	15,328,299	14,582,864
	vi) Loan due by companies and firms in which the directors of the FI have interests as directors, partners or managing agent or in case of private companies as members	-	-
	vii) Maximum total amount of advances, including temporary advances made at any time during the period to directors and managers or officers of the FI or any of them either severally or jointly with any other persons	-	-
	viii) Maximum total amount of advances, including temporary advances granted during the period to the companies or firms in which the directors of the FI have interests as directors, partners or managing agents or, in case of private companies as members	-	-
	ix) Due from other bank/FI companies	-	-
	x) Information in respect of classified loans and advances:	-	-
	"a) Classified loans for which interest/ profit not credited to income "	285,741,510	261,902,796
	b) Amount of provision kept against loans classified as bad/loss as at the balance sheet date	-	-
	c) Amount of interest credited to the interest suspense account	690,340,594	41,642,241
	xi) Cumulative amount of written off loans:		
	Opening balance	-	-
	Amount written off during the period	-	-
	Amount received from written off during the period	-	-
	Balance of written off loans and advances yet to be recovered	-	-
	The amount of written off loans for which law suits have been filed.	-	-
		-	-
7.8	Bills purchased and discounted		
	Payable inside Bangladesh	-	-
	Payable outside Bangladesh	-	-
		-	-
	BIFFL has no bills purchased and discounted.		
8	Fixed Assets		
	Fixed assets including premises, furniture and fixtures (Note- 8.1)	214,292,676	258,523,044
	Capital work in process (Note- 8.2)	8,800,000	8,800,000
		223,092,676	267,323,044



		Amount in Taka	
		31-Dec-20	31-Dec-19
8.1	Fixed assets including premises, furniture and fixtures		
	Cost		
	Opening balance	402,377,600	397,339,420
	Addition during the period (Annexure-A)	351,408	5,038,180
		402,729,008	402,377,600
	Disposal/Adjustment during the period	18,424	-
	Closing balance (A)	402,710,584	402,377,600
	Accumulated Depreciation		
	Opening balance	143,854,557	98,694,013
	Charged during the period	44,570,022	45,160,544
		188,424,579	143,854,557
	Adjustment for disposal during the period	6,671	-
	Closing balance (B)	188,417,908	143,854,557
	Written down value (A-B)	214,292,676	258,523,044
	Details are in (Annexure -A)		
8.2	Capital work in process		
	Opening balance	8,800,000	8,000,000
	Addition during the year:	-	800,000
	Closing balance	8,800,000	8,800,000
9	Other assets		
	Advance income tax (Note- 9.1)	4,625,712,118	3,844,024,544
	Interest receivables on FDR	49,597,026	60,825,928
	Interest receivables on STL	22,417	53,278
	Security deposit	303,975	63,975
	Advance to suppliers	550,563	360,000
	Deferred tax assets (Note- 9.2 and 13.3)	7,200,926	443,512
	Advance to staff	2,234,473	1,117,394
	Receivables against investment (Note- 9.3)	123,157,352	182,375,360
		4,808,778,850	4,089,263,991
9.1	Advance income tax		
	Opening balance	3,844,024,544	3,282,369,130
	Income tax deducted at sources	98,133,200	75,765,384
	Paid during the period	683,554,373	485,890,030
	Closing balance	4,625,712,118	3,844,024,544
9.1.1	Year to year breakdown of advance income tax payment		
	2014	1,137,841,620.00	1,137,841,620.00
	2015	1,468,902,697.00	1,468,902,697.00
	2016	816,773,044.00	816,773,044.00
	2017	397,143,090.00	397,143,090.00
	2018	619,980,669.00	619,980,669.00
	2019	561,655,414.22	561,655,414.22
	2020	782,143,562.88	-
	Adjustment in 2015	(1,158,271,990.00)	(1,158,271,990.00)
		4,626,168,107.10	3,844,024,544.22
9.2	Deferred tax assets		
	Opening balance	443,512	463,039
	Deferred tax income /(expense) during the period	711,700	(19,527)
		1,155,212	443,512
	Tax deductible temporary difference		
	Gratuity payable	2,888,030	1,108,780
	Applicable tax rate	40.00%	40.00%
	Closing deferred tax assets	1,155,212	443,512

		Amount in Taka	
		31-Dec-20	31-Dec-19
9.3	Receivables against investment		
	Dividend receivable (Note- 9.3.1)	55,969,732	58,774,429
	Interest receivable on commercial paper (Note- 9.3.2)	33,887,233	34,187,233
	Interest receivable on zero coupon bond (Note- 9.3.3)	33,300,388	89,413,698
		123,157,352	182,375,360
9.3.1	Receivable on preference share		
	Rajlanka Power Company Ltd.	4,063,429	6,385,388
	Doreen Power House & Technologies Ltd.	7,333,333	27,232,877
	Ace Alliance Power Ltd.	1,598,173	1,917,808
	Kushiara Power Company Ltd.	14,898,082	16,709,589
	Bhairab Power Ltd.	3,956,166	4,008,219
	Zodiac Power Chittagong Ltd.	21,600,000	-
	Summit Gazipur II Power Ltd.	2,520,548	2,520,548
		55,969,732	58,774,429
9.3.2	Receivable on commercial paper		
	Computer Source Ltd.	33,887,233	34,187,233
		33,887,233	34,187,233
9.3.3	Receivable on bond		
	IDLC Zero Coupon Bond	9,913,775	8,002,739
	Ashuganj Power Station Company Ltd.	23,386,612	81,410,959
		33,300,388	89,413,698
10	Non banking assets	-	-
11	Borrowings from banks, other financial institutions and agents		
	Inside Bangladesh (Note- 11.1)	711,076,787	754,916,849
	Outside Bangladesh (Note- 11.2)	4,133,237,119	3,411,670,745
		4,844,313,906	4,166,587,594
11.1	Inside Bangladesh		
	Advance from BB Refinance Scheme	711,076,787	754,916,849
	Secured overdraft and STL	-	-
		711,076,787	754,916,849
11.2	Outside Bangladesh		
	Borrowing from EECFPF JICA Loan No. BD-P90	3,728,001,236	3,154,756,597
	Borrowing from IPFF II of World Bank	405,235,883	256,914,148
		4,133,237,119	3,411,670,745
11.2.1	Borrowing from EECFPF JICA Loan No. BD-P90		
	Principal borrowing	3,648,926,951.30	3,107,500,000
	Interest due	79,074,284.46	47,256,597
		3,728,001,236	3,154,756,597
11.2.2	Borrowing from IPFF II of World Bank		
	Principal borrowing	378,843,514	250,000,000
	Interest due	26,392,369	6,914,148
		405,235,883	256,914,148
12	Deposits and other accounts		
	Current deposits and other accounts	-	-
	Bills payable	-	-
	Savings deposits	-	-
	Term deposits	-	504,618,055
	Bearer certificate of deposit	-	-
	Other deposits	-	-
		-	504,618,055



		Amount in Taka	
		31-Dec-20	31-Dec-19
13	Other liabilities		
	Provision for income tax (Note- 13.1)	5,120,425,388	4,481,795,907
	Account payables (Note- 13.2)	10,533,441	3,662,914
	Advance income	5,202,624	4,116,000
	Provision for leases, loans, advances and others (Note- 13.5)	1,671,846,464	1,171,846,464
	Deferred tax liabilities (Note- 13.3)	-	973,401
	Employee benefit liabilities (Note- 13.4)	3,222,615	1,783,378
	Audit fees payable	386,750	386,750
	Security deposit payable	109,418	97,418
	Interest suspense account (Note- 13.6)	1,277,763,809	434,356,267
	Interest payable	33,106,681	12,783,825
		8,122,597,189	6,111,802,323
13.1	Provision for income tax		
	Opening balance	4,481,795,907	3,721,360,000
	Addition during this period	638,629,481	760,435,907
	Less : Adjustment of AIT	-	-
	Closing balance	5,120,425,388	4,481,795,907
13.2	Account payables		
	Withholding and payroll tax	326,413	370,710
	Withholding VAT	245,134	580,105
	Bill payables	1,591,118	2,661,979
	Provision for incentive bonus	8,272,222	-
	Honorarium payable	85,554	-
	Salary payable	13,000	47,620
	Excise duty payable	-	2,500
		10,533,441	3,662,914
13.3	Deferred tax liabilities (assets)		
	Opening balance	973,401	6,920,674
	Deferred tax expense/(income) during the period	(7,019,116)	(5,947,273)
		(6,045,714)	973,401
	Taxable temporary difference		
	Carrying amount of fixed assets as per accounting base	214,292,676	258,523,044
	Carrying amount of fixed assets as per tax base	229,406,962	256,089,540
	Taxable temporary difference on fixed assets	(15,114,286)	2,433,503
	Applicable tax rate	40.00%	40.00%
	Closing deferred tax liabilities (Assets)	(6,045,714)	973,401
	Deferred tax liabilities at the beginning of the period	973,401	6,920,674
	Deferred tax expense/(income) during the period	(7,019,116)	(5,947,273)
13.4	Employee benefit liabilities		
	Gratuity Fund (GF) payable		
	Opening Balance	1,108,780	1,157,597
	Addition during the period	1,779,250	1,108,780
	Amount transferred during the period	-	(1,157,597)
	Closing Balance (A)	2,888,030	1,108,780
	Contributory Provident Fund (CPF) payable		
	Opening Balance	674,598	529,357
	Addition during the period	4,539,775	4,704,005
	Amount transferred during the period	(4,879,788)	(4,558,764)
	Closing Balance (B)	334,585	674,598
	Total (A+B)	3,222,615	1,783,378



		Amount in Taka	
		31-Dec-20	31-Dec-19
13.5	Provision for leases, loans, advances, investment, and others		
	General provision		
	<i>Leases, loans and advances:</i>		
	Opening balance	205,123,298	169,725,821
	Addition during the period	-	35,397,477
	Closing balance (i)	205,123,298	205,123,298
	<i>Investment:</i>		
	Opening balance	31,540,503	13,374,822
	Addition/(deduction) during the period	-	18,165,681
	Closing balance (ii)	31,540,503	31,540,503
	Closing balance of total general provision i+ii (A)	236,663,801	236,663,801
	Specific provision		
	<i>Leases, loans and advances:</i>		
	Opening balance	29,883,945	517,200
	Addition during the period	-	29,366,745
	Closing balance (i)	29,883,945	29,883,945
	<i>Investment:</i>		
	Opening balance	250,000,000	250,000,000
	Addition during the period	-	-
	Closing balance (ii)	250,000,000	250,000,000
	Closing balance of total specific provision i+ii (B)	279,883,945	279,883,945
	Other provision		
	<i>Fixed Deposit Receipts (FDRs)</i>		
	Opening balance	654,938,717	-
	Addition during the period	500,000,000	654,938,717
	Closing balance (i)	1,154,938,717	654,938,717
	Provision for other assets		
	Opening balance	360,000	-
	Addition during the period	-	360,000
	Closing balance (ii)	360,000	360,000
	Closing balance of total other provision i+ii (C)	1,155,298,717	655,298,717
	Closing balance of total provision maintained (A+B+C)	1,671,846,464	1,171,846,464

BIFFL maintained FDR accounts with different Banks and NBFIs licensed by Bangladesh Bank. However, due to the current market liquidity position and covid pandemic situation, some NBFIs have been facing difficulties to pay back the due amount on maturity. Nonetheless, BIFFL is pursuing the recovery drive continuously and has recovered significant amount from different Banks and NBFIs, and strong persuasion to recover the total fund is still continued. As BIFFL is wholly owned by the GoB, there is minimum chance of not being able to recover against these investments. The Board of Directors of BIFFL is also monitoring this issue from their position to recover the whole FDR amount. Besides that to build resilience against the economy and market shock, BIFFL has decided to build some provision against these FDRs.

In addition, Bangladesh Bank vide letter no. FII(I-06/02)/2021-278 dated 04 April 2021 has given their consent to finalize the financial statements of BIFFL with the present provision status against FDR accounts and advised to build up the provision gradually.

13.5.1 Provision for loans, advances and investments

General provision	236,663,801	236,663,801
Statutory requirement	218,496,905	235,182,356
Voluntary provision	18,166,896	1,481,445
Specific Provision	279,883,945	279,883,946
Statutory requirement	279,792,159	279,883,946
Voluntary provision	91,786	-
	516,547,747	516,547,746

13.5.2 Other provision

Statutory requirement	575,298,717	575,298,717
Voluntary provision	580,000,000	80,000,000
	1,155,298,717	655,298,717



		Amount in Taka	
		31-Dec-20	31-Dec-19
13.5.3	Total provision		
	Statutory requirement	1,073,587,782	1,090,365,019
	Voluntary provision	598,258,682	81,481,445
		1,671,846,464	1,171,846,464
13.6	Interest suspense account		
	On leases, loans and advances:		
	Opening balance	41,768,560	126,319
	Addition during the period	652,968,679	41,642,241
	Transferred to interest income	(4,396,646)	-
	Closing balance (i)	690,340,593	41,768,560
	On Investment		
	Opening balance	34,187,233	34,387,233
	Addition during the period	-	-
	Transferred to interest income	(300,000)	(200,000)
	Closing balance (ii)	33,887,233	34,187,233
	On Fixed Deposit Receipts (Note- 13.6.1)		
	Opening balance	358,400,474	-
	Addition during the period	460,806,646	358,400,474
	Transferred to interest income	(265,671,137)	-
	Closing balance (iii)	553,535,983	358,400,474
	Closing balance of interest suspense account (i+ii+iii)	1,277,763,809	434,356,267

A number of loan accounts under BIFFL loans and advances portfolio allowed for deferred payment of installments following directives of Bangladesh Bank. Amid the Covid-19 pandemic, some other projects whose installments were not due in the reporting period were also adversely affected, and project operation was stagnant. Considering the potential adverse impact of the Covid-19 pandemic and advice of Board, out of the interest on loans and advances BDT 61,23,73,126.26 interest accrued on loans and advances with standard classification status left aside from the interest income and kept in the interest suspense account. This amount will be eventually recognized as interest income depending on the recovery and the project performance in the subsequent reporting period(s). Besides, BIFFL made the short-term investment (FDRs) to different banks and Financial Institutes (FIs) based on satisfactory performance and ratings. However, due to vulnerable conditions in the money markets and liquidity crises, some banks and FIs struggle to pay back the due amount on maturity dates. Therefore, considering the ongoing liquidity crisis and vulnerable conditions in the money market, interest accrued on FDRs has been transferred to the interest suspense account.

13.6.1 Interest suspense on FDR

Bangladesh Industrial Finance Company (BIFC) Ltd.

First Finance Ltd.

ICB Islamic Bank Ltd.

BD Finance and Investment Ltd.

FAS Finance and Investment Ltd.

Padma Bank Ltd.

International Leasing and Financial Services Ltd.

Peoples Leasing and Financial Services Ltd.

Aviva Finance Ltd. (Reliance Finance Ltd.)

Union Capital Limited

Prime Finance and Investment Ltd.

Fareast Finance and Investment Ltd.

Premier Leasing and Finance Ltd.

Interest Suspense A/C FDRs- Accrual

Total

86,167,928	39,118,199
16,691,061	6,255,515
-	25,931,947
-	4,400,233
98,911,315	47,566,002
1,688	27,865,928
143,795,960	65,275,734
32,151,835	32,151,835
-	720,000
68,334,187	30,683,355
3,750,000	-
20,194,790	-
33,940,193	17,605,799
49,597,026	60,825,927
553,535,983	358,400,474

14 Share capital

14.1 Authorized capital

1,000,000,000 ordinary shares of BDT 100 each

100,000,000,000 **100,000,000,000**

14.2 Issued, subscribed & paid up capital

23,08,00,000 and 21,08,00,000 ordinary shares of BDT 100 each

23,080,000,000 **21,080,000,000**

14.3 Capital adequacy and market discipline

As per Capital Adequacy and Market Discipline for Financial Institutions guideline of Bangladesh Bank, BIFFL calculated minimum capital requirement by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I. BIFFL maintain Capital Adequacy Ratio (CAR) of minimum 10%.

		Amount in Taka	
		31-Dec-20	31-Dec-19
Tier-1 (Core capital)			
Fully paid-up capital/ capital lien with BB		23,080,000,000	21,080,000,000
Statutory reserve		1,767,400,439	1,659,085,617
Non-repayable share premium account		-	-
General reserve		100,000,000	50,000,000
Retained earnings		1,188,405,645	986,342,467
Minority interest in subsidiaries		-	-
Non-cumulative irredeemable preference shares		-	-
Dividend equalization account		-	-
Others (any item approved by Bangladesh Bank)		-	-
Sub-Total		26,135,806,084	23,775,428,084
Deductions from tier-1 (Core capital)			
Book value of goodwill and value of any contingent assets which are shown as assets		-	-
Shortfall in provisions required against classified assets		-	-
Shortfall in provisions required against investment in share		-	-
Remaining deficit on account of revaluation of investments in securities after netting off any other surplus on the securities		-	-
Any investment exceeding the approved limit		-	-
Investments in subsidiaries which are not consolidated		-	-
Others (if any)		-	-
Sub-Total		-	-
Total eligible Tier-1 capital		26,135,806,084	23,775,428,084
Tier-2 (Supplementary capital)			
General provision (Unclassified up to special limit+ SMA+ off balance sheet exposure)		236,663,801	236,663,801
Assets revaluation reserves upto 50%		-	-
Revaluation reserve for securities up to 50%		-	-
All other preference shares		-	-
Others (any item approved by Bangladesh Bank)		-	-
Sub-Total		236,663,801	236,663,801
Deductions, if any		-	-
Total eligible Tier-2 capital		236,663,801	236,663,801
Total capital		26,372,469,885	24,012,091,885
Total risk weighted asset		21,845,951,870	23,544,929,826
Required capital		2,184,595,187	2,354,492,983
Surplus/(deficit)		24,187,874,699	21,657,598,903
Capital Adequacy Ratio (CAR)		121%	102%
On core capital (Tier-1)		120%	101%
On supplementary capital (Tier-2)		1.08%	1.01%
15	Statutory reserve		
Opening balance		1,659,085,617	1,568,487,561
Add: Transferred from profit during the year		108,314,823	90,598,056
Closing balance		1,767,400,439	1,659,085,617
In compliance with the Rule 6 of The Financial Institutions Regulations 1994, the company transfers 20% of its net profit after tax to statutory reserve for the respective period.			
16	General Reserve		
Opening balance		50,000,000	-
Addition during the period		50,000,000	50,000,000
		100,000,000	50,000,000



		Amount in Taka	
		31-Dec-20	31-Dec-19
17	Retained earnings		
	Opening balance	986,342,467	673,950,242
	Add: Net profit for the period	541,574,113	452,990,281
		1,527,916,579	1,126,940,524
	Less:		
	Transferred to statutory reserve for the period	108,314,823	90,598,056
	Transferred to general reserve for the period	50,000,000	50,000,000
	Stock dividend	-	-
	Cash dividend	181,196,112	-
		339,510,935	140,598,056
	Closing balance	1,188,405,645	986,342,467
18	Contingent liabilities		
	In the normal course of business, the Company makes certain commitments in favor of clients and incurs some contingent liabilities. No material losses are anticipated as a result of these transactions. These contingent liabilities and commitments are quantified below.		
	Acceptances and endorsements	-	-
	Letter of comfort (Note- 18.1)	454,800,000	503,031,759
	Irrevocable letters of credit	-	-
	Bills for collection	-	-
	Indemnity bond	-	-
	Corporate guarantee	-	-
		454,800,000	503,031,759
18.1	Letter of comfort (Note- 18.1)		
	The Company gives the comforts to third parties on behalf of clients. Letter of comfort represents an undertaking that the Company will pay to third parties and it converts into loans or lease on the basis of the agreement with the clients. The maximum amount that the Company could be required to pay under the comforts is its principal amount.		
	Directors or officers	-	-
	Government	-	-
	Banks and other financial institutions	-	-
	Customers	454,800,000	503,031,759
		454,800,000	503,031,759
		Amount in Taka	
		Jan-Dec 2020	Jan-Dec 2019
19	Income statement		
19.1	Income		
	Interest, discount and similar income	-	-
	Interest income on leases, loans and advances (Note- 20)	1,120,550,039	1,736,088,527
	Investment income (Note- 22)	325,936,996	233,825,597
	Other operating income (Note- 23)	453,952,651	231,437,493
		1,900,439,685	2,201,351,617
19.2	Expenses		
	Interest expenses on deposits, borrowings etc. (Notes- 21)	90,286,117	96,345,981
	Salary and allowances (Note- 24)	61,387,080	59,002,335
	Rent, taxes, insurance, electricity etc. (Note-25)	1,714,828	3,477,003
	Legal expenses (Note- 26)	195,188	699,163
	Postage, stamp, telecommunication etc. (Note- 27)	1,666,318	1,922,434
	Stationery, printing, advertisement etc. (Note- 28)	1,866,053	6,840,432
	Managing Director's salary and allowances (Note- 29)	6,983,548	6,821,760
	Directors' fees (Note- 30)	909,318	1,416,196
	Auditors' fees (Note- 31)	404,000	266,000
	Charges on loan losses	-	-
	Depreciation and repairs of company's assets (Note- 32)	45,523,680	46,482,930
	Other operating expenses (Note- 33)	17,030,777	32,350,320
		227,966,907	255,624,555

		Amount in Taka	
		Jan-Dec 2020	Jan-Dec 2019
20	Interest income on leases, loans and advances		
	Interest income from term loan (Note- 20.1)	1,120,550,039	1,736,088,527
		1,120,550,039	1,736,088,527
20.1	Interest income from term loan		
	Interest income from loan to large infrastructure projects	935,564,419	1,447,422,596
	Interest income from loan to sustainable and eco-friendly projects	181,122,302	284,290,870
	Interest income from loan to women entrepreneurs	3,198,615	3,952,052
	Interest income from staff loan	664,703	423,009
		1,120,550,039	1,736,088,527
21	Interest expenses on deposits, borrowings etc.		
	Interest expense on BB refinance scheme	37,274,931	16,791,649
	Interest expense on borrowing in the form of SOD, STL and Term Deposits	1,715,278	41,330,462
	Interest expense on borrowing from IPFF II of World Bank	19,478,221	6,914,148
	Interest expense on borrowing from JICA	31,817,687	31,309,722
		90,286,117	96,345,981
22	Investment income		
	Interest income from commercial paper (Note- 22.1)	300,000	200,000
	Interest Income from bond (Note- 22.2)	118,386,965	102,865,854
	Dividend Income from preference share (Note- 22.3)	207,250,031	130,759,744
		325,936,996	233,825,597
22.1	Interest income from commercial paper		
	Computer Source Ltd.	300,000	200,000
		300,000	200,000
22.2	Interest income from bond		
	IDLC Zero Coupon Bond	27,380,635	21,454,895
	Ashuganj Power Station Company Ltd.	91,006,330	81,410,959
		118,386,965	102,865,854
22.3	Dividend income from preference share		
	Kushiara Power Company Ltd.	58,304,493	16,709,589
	Summit Gazipur II Power Ltd.	10,000,000	2,520,548
	Bhairab Power Ltd.	18,947,945	4,008,219
	Doreen Power House & Technologies Ltd.	44,100,457	43,879,452
	Rajlanka Power Company Ltd.	19,616,771	28,765,794
	Zodiac Power Chittagong Ltd.	21,600,000	-
	Ace Alliance Power Ltd.	34,680,365	34,876,141
		207,250,031	130,759,744
23	Other operating income		
	Interest income (FDRs)	240,794,887	218,043,021
	Interest on short term loan (STL)	2,766,221	2,221,703
	Interest on SND	195,464,647	5,408,018
	Fees income (Note- 23.1)	14,920,148	5,566,702
	Gain on disposal of assets	6,747	-
	Rental income	-	198,050
		453,952,651	231,437,493
23.1	Revenue from fees		
	Other fees*	14,920,148	5,566,702
		14,920,148	5,566,702

*As per DFIM circular no 01 dated 03 April 2018, due diligence fees, participation fees, supervision fees etc, can not be charged to the client. But whenever BIFFL participates in syndication financing then BIFFL receives relevant fees and charges on prorata basis.



		Amount in Taka	
		Jan-Dec 2020	Jan-Dec 2019
24	Salary and allowances		
	Salary and allowances	45,418,255	51,737,985
	Bonus	14,189,575	6,184,070
	Gratuity expenses	1,779,250	1,080,280
		61,387,080	59,002,335
25	Rent, taxes, insurance, electricity etc.		
	Rent and taxes	-	473,398
	Utility bills	1,164,554	2,007,897
	Health insurance premium	543,606	847,688
	Vehicle insurance premium	6,668	148,020
		1,714,828	3,477,003
26	Legal expenses		
	Legal expense	1,603	25,000
	Renewal & registration	173,990	667,593
	Stamp cost	19,595	6,570
		195,188	699,163
27	Postage, stamp, telecommunication etc.		
	Postage and courier	2,500	32,140
	Telephone, telex, fax and mobile	431,568	607,294
	Networking expense	672,000	683,000
	Internet bandwidth charge	560,250	600,000
		1,666,318	1,922,434
28	Stationery, printing, advertisement etc.		
	Stationery and printing	1,079,615	1,452,148
	Advertisement and publicity	179,627	3,997,523
	Books and periodicals	14,987	148,155
	Business development expenses	589,685	1,065,906
	Binding and Spiral	2,140	-
	Gift expenses	-	176,700
		1,866,053	6,840,432
29	Managing Director's salary and allowances		
	Basic pay and allowances	5,263,548	5,339,760
	Bonus	1,720,000	1,453,500
	Gratuity expenses	-	28,500
		6,983,548	6,821,760
30	Directors' fees		
	Honorarium for attending meeting	909,318	1,416,196
		909,318	1,416,196
31	Auditors' fees		
	Annual statutory audit fees	220,000	220,000
	Other audit fees	184,000	46,000
		404,000	266,000
32	Depreciation and repairs of company's assets		
	Repair & maintenance	953,658	1,322,386
	Depreciation on company's fixed assets (Annexure-A)	44,570,022	45,160,544
	Loss on disposal of assets	-	-
		45,523,680	46,482,930
33	Other operating expenses		
	Office maintenance	4,727,648	8,569,913
	Training expenses	71,775	1,718,658
	Bank charges & commission	1,670,418	2,619,454
	Entertainment expenses	2,091,923	2,592,094
	Promotional expenses	100,000	928,344



		Amount in Taka			
		Jan-Dec 2020	Jan-Dec 2019		
	Consultancy and professional Fees	1,056,388	6,588,568		
	AGM expenses	-	2,888,046		
	Project site supervision, travelling and conveyance expenses	2,058,725	2,830,932		
	Tax consultant fees	-	200,000		
	Recruitment expenses	224,887	127,253		
	Membership expenses	-	239,583		
	CIB service charges	221,552	802,319		
	CSR expenses	2,450,000	422,600		
	IT maintenance	2,196,346	1,606,449		
	Anti money laundering and national integrity strategy related expenses	161,115	216,107		
		17,030,777	32,350,320		
34	Provision for investment, leases, loans and advances				
	General Provision	-	53,563,158		
	Specific Provision	-	29,366,745		
		-	82,929,904		
35	Other provision				
	Provision on FDR	500,000,000	654,938,717		
	Provision on other assets	-	360,000		
		500,000,000	655,298,717		
35.1	Provision on FDR				
	On FDR with Peoples Leasing & Financial Services Ltd.	-	574,938,717		
	On FDR with Other Financial Institutes	500,000,000	80,000,000		
		500,000,000	654,938,717		
36	Provision for income tax				
	Current tax (Note- 36.1)	638,629,481	760,435,907		
	Deferred tax (income)/expense during the period	(7,730,816)	(5,927,746)		
		630,898,665	754,508,161		
36.1	Current tax expense				
	Income tax expense during the period	638,629,481	760,435,907		
	Previous year shortage of tax provision	-	-		
		638,629,481	760,435,907		
36.2	Effective tax rate				
	Income tax expense (A)	630,898,665	754,508,161		
	Profit before income tax (B)	1,172,472,778	1,207,498,442		
	Effective tax rate (A/B)	53.81%	62.49%		
36.3	Reconciliation of effective tax rate				
		2020	2019		
		%	Taka	%	Taka
	Profit before income tax		1,172,472,778		1,207,498,442
	Applicable tax rates		40%		40%
	Income tax	40.00%	468,989,111	40.00%	482,999,377
	Income tax on net inadmissible expenses and provision	18.00%	211,090,410	25.14%	303,588,479
	Tax savings from tax rates lower than applicable rate	-3.54%	(41,450,006)	-2.17%	(26,151,949)
	Effect of deferred tax	-0.66%	(7,730,816)	-0.49%	(5,927,746)
	Income tax expenses	53.81%	630,898,699	62.49%	754,508,161
	Effective tax rate		53.81%		62.49%
37	Earning Per Share				
	Earnings Per Share (EPS) has been computed by dividing the basic earning by the weighted average number of ordinary shares outstanding at the end of the year as per IAS 33 'Earnings Per Share'. EPS has been calculated as follows:				
	Net profit after tax		541,574,113		452,990,281
	Weighted average number of ordinary shares outstanding		229,539,726		229,539,726
	Earning Per Share (EPS) restated		2.36		1.97



37.1 Weighted average number of ordinary number of shares outstanding for the year ended on 31 December 2020

Particulars	Shares	Weighted average numbers of ordinary shares
1-Jan-20	210,800,000	210,800,000
23-Jan-2020*	20,000,000	18,739,726
	230,800,000	229,539,726

* On 23-Jan-2020 BIFFL issued 2 (two) crore additional shares @BDT 100 per share to its share-holders.

	Amount in Taka	
	31-Dec-20	31-Dec-19
38 Net Asset Value per share		
Net assets (total assets less total liabilities)	26,135,806,084	23,775,428,084
Weighted average number of ordinary shares outstanding	229,539,726	210,800,000
Net Asset Value (NAV) per share	113.86	112.79
39 Net operating cash flow per share		
Net cash flow from operating activities	2,611,631,723	2,006,852,778
Weighted average number of ordinary shares outstanding	229,539,726	210,800,000
Net operating cash flow per share	11.38	9.52

40 Related party disclosures

BIFFL entered into a number of transactions with related parties in the normal course of business. The name of the significant related parties, nature of these transactions and amounts are set out below according to the provisions of IAS 24, 'Related Party Disclosures'. Transactions with related parties are executed on the same terms, including interest rate and collateral, as those prevailing at the time for comparable transactions with other customers of similar credentials and do not involve more than a normal risk.

40.1 Particulars of the directors and the transactions with them

a. Name of the directors

"Mr. Abdur Rouf Talukder

Senior Secretary, Finance Division, MoF"

"Mr. Md. Anisur Rahman

Senior Secretary, E&MR Division, MoPE&MR"

"Mr. Md. Nazrul Islam

Secretary, Road Transport & Highways Division, MoRT&B"

"Mr. Mohammed Belayet Hossain

Secretary, Bridges Division, MoRT&B"

"Mr. M. Tofazzel Hossain Miah

Secretary, Prime Minister's Office"

"Ms. Fatima Yasmin

Secretary, Economic Relations Division, MoF"

"Ms. Md. Habibur Rahman

Secretary, Power Division, MoPE&MR"

"Mr. Md. Ekhlasur Rahman

Additional Secretary, Finance Division, MoF"

b. Transactions with the directors

	Nature of transactions	Transaction amount (BDT)
Mr. Abdur Rouf Talukder (Chairmen)	Meeting Remuneration	97,776
Mr. Md. Anisur Rahman (Director)	Meeting Remuneration	85,554
Mr. Md. Nazrul Islam (Director)	Meeting Remuneration	109,998
Mr. Mohammed Belayet Hossain (Director)	Meeting Remuneration	122,220
Mr. M. Tofazzel Hossain Miah (Director)	Meeting Remuneration	109,998
Ms. Fatima Yasmin (Director)	Meeting Remuneration	97,776
Mr. Md. Habibur Rahman (Director)	Meeting Remuneration	48,888
Mr. Md. Ekhlasur Rahman (Director)	Meeting Remuneration	127,110
Dr. Sultan Ahmed (Former Director)	Meeting Remuneration	48,888
Mr. Monowar Ahmed (Former Director)	Meeting Remuneration	24,444
Dr. Ahmed Kaikaus (Former Director)	Meeting Remuneration	12,222
Mr. Abu Hena Md. Rahamatul Munem (Former Director)	Meeting Remuneration	12,222
Mr. Sajjadul Hasan (Former Director)	Meeting Remuneration	12,222
Total		909,318



40.2 Details of transactions (excluding salary and employment benefits) with key management personnels:

Name of the personnel	Types of the transactions	Outstanding Balances as on 31 December 2020
Mohammad Sagir Hossain Khan (Chief Operating Officer)	Car loan	2,345,370
Mohammad Monirul Islam Khan FCS (Company Secretary)	Home loan	8,985,660
Sk Anower Sadat (Head of C&ID)	Car loan	1,837,431
Md. Tanvir Warsi (Head of CRMD)	Car loan	2,159,839
		15,328,299
Car loan:		
Balance at 01 January	8,198,502	2,900,725
Disbursements made during the period	-	9,650,000
Interest charged during the period	213,404	288,648
Loans adjusted during the period	(2,069,268)	(4,640,870)
Balance at 31 December	6,342,639	8,198,502
Home loan:		
Balance at 01 January	6,384,361	-
Disbursements made during the period	3,350,000	7,200,000
Interest charged during the period	451,299	134,361
Loans adjusted during the period	(1,200,000)	(950,000)
Balance at 31 December	8,985,660	6,384,361

41 Claim not acknowledged as Debt

"There was no claim against the financial institution unacknowledged as debt as on 31 December 2020."

42 Receivable from directors

No amount is due from any of the directors of the company.

43 Disclosure regarding branch

As at 31 December 2020, the company has no branch in or outside Bangladesh.

44 Executive Committee and Audit Committee

To conform with the Bangladesh Bank guidelines, the Board of Directors of BIFFL constituted the Executive Committee and Audit Committee (AC) as a sub committee of the Board and the committee met several times during the year 2020.

45 Rounding off

Monetary figures in the financial statements have been rounded off to the nearest Taka.

46 Approval of the financial statements and declaration of dividend.

The Board of Directors in its 97th meeting held on 28 August 2021 approved the financial statements and recommended BDT 21,66,29,645 as cash dividend for the year ended on 31 December 2020 for onward approval by shareholders of the Company at 10th Annual General Meeting (AGM).

47 Events after the reporting period

"As per IAS 10 'Events after the Reporting Period' events after the reporting period are those events, favorable and unfavorable, that occur between the end of the reporting period and the date when the financial statements are authorized for issue. Two types of event can be identified:

(a) Adjusting events after the reporting period which provide evidence of conditions which existed at the end of the reporting period; and

(b) Non adjusting events after the reporting period, are those that are indicative of conditions that arose after the reporting period.

The details about the events after reporting period are as follows:

On 11 March 2020, Covid-19 has been declared a pandemic by the World Health Organisation, and Bangladesh Government has taken restrictive measures including declared general public holidays to contain its further spread affecting free movement of people and goods. As a consequence, the Covid-19 outbreak has brought about additional challenges in the Company's operating environment and has impacted its operations. Essentially Bangladesh Bank is governing the operational model which is a limited scale operation. BIFFL is closely monitoring the impact of the developments on the Company's businesses. As the situation is fast evolving, the effect of the outbreak is subject to significant levels of uncertainty, with the full range of possible effects unknown."

There is no material adjusting or non adjusting events after the reporting period.


Company Secretary


Chief Executive Officer


Director


Chairman



Schedule of Fixed Assets & Intangible Assets

As at 31 December 2020

Amount in Taka

Particulars	Cost				Depreciation				Written down value	
	Balance as at 01.01.20	Addition during the year	Disposal/ adjustment during the year	Balance as at 31.12.20	Rate	Balance as at 01.01.20	Charged during the year	Disposal/ adjustment during the year	Balance as at 31.12.20	As at 31.12.19
Computer & IT Equipment										
Scanner & Printer	852,772	19,196	-	871,968	33.33%	648,095	118,337	-	766,433	204,677
Desktop & Laptop	5,923,462	263,265	-	6,186,727	33.33%	4,565,560	915,033	-	5,480,594	1,357,901
LT Pannel & PFI Plant & PABX & Others	9,139,468	-	-	9,139,468	33.33%	5,201,690	2,777,343	-	7,979,032	3,937,778
Multimedia Projector	541,200	-	-	541,200	33.33%	383,544	89,719	-	473,262	157,656
Projector Screen	20,000	-	-	20,000	33.33%	19,999	-	-	19,999	1
Wifi System	432,000	-	-	432,000	33.33%	432,000	-	-	432,000	0
Office Equipment										
Office Equipment	10,093,010	-	-	10,093,010	20%	3,970,590	1,905,522	-	5,876,112	6,122,420
HVAC	9,461,619	-	-	9,461,619	10%	1,083,165	946,162	-	2,029,327	8,378,454
Refrigerator	187,881	-	-	187,881	12.5%	27,024	23,485	-	50,509	160,857
Electric Meter	9,400	-	-	9,400	10%	6,580	940	-	7,520	2,820
Wasa Meter	5,980	-	-	5,980	10%	4,783	598	-	5,381	1,197
Civil Construction	1,536,612	-	-	1,536,612	50%	1,536,611	-	-	1,536,611	1
Building	291,527,555	-	-	291,527,555	10%	98,219,979	29,152,756	-	127,372,734	193,307,576
Furnitures & Fittings	37,065,913	68,947	-	37,134,860	10%	4,908,693	3,712,005	-	8,620,698	32,157,220
Vehicle	35,295,370	-	18,424	35,276,946	20%	22,560,884	4,928,120	6,671	27,482,334	12,734,486
Sub total	402,092,241	351,408	18,424	402,425,225		143,569,197	44,570,019	6,671	188,132,546	258,523,044
Intangible assets										
Website	172,500	-	-	172,500	50%	172,500	-	-	172,500	-
Accounting software	112,860	-	-	112,860	50%	112,860	-	-	112,860	-
Sub total	285,360	-	-	285,360		285,360	-	-	285,360	-
Total	402,377,601	351,408	18,424	402,710,585		143,854,557	44,570,019	6,671	188,417,906	258,523,044



DISCLOSURES,
CHECKLISTS & OTHER
PERTINENT
iNFORMATION

Glossary

Terms	Meaning
Accrual Basis	Recognizing the effects of transactions and events when they occur, without waiting for receipt or payment of cash or cash equivalent.
Amortization	Amortization is the systematic allocation of the depreciable amount of an intangible asset over its useful life.
Cash Basis	Recognizing the effects of transactions and events when receipt or payment of cash or cash equivalent occurs.
Cash Equivalents	Short-term highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk in change in value.
Depreciation	Depreciation is the allocation of the depreciable amount of an asset over its estimated useful life. Depreciation for the accounting period is charged to net profit or loss for the period either directly or indirectly.
Dividend	The proportion of profit distributed to shareholders inclusive of tax withheld.
Gross Portfolio	Leases, Loans & Advances and investments granted to clients under loan and quasi equity facilities.
Net Portfolio	Leases, Loans & Advances granted to clients under loan facilities.
Intangible Asset	An intangible asset is an identifiable non-monetary asset without physical substance held for use in the production or supply of goods or services, for rental to others, or for administrative purposes.
Interest expenses	The sum of monies accrued and payable to the sources of borrowed working capital.
Paid up Capital	All amounts received by the Company or due and payable to the Company in respect of the issue of shares
Provision	Amounts set aside against possible losses on net receivable of facilities granted to clients, as a result of them becoming partly or wholly uncollectible.
Related Parties	Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operating decisions.
Related Party Transactions	A transfer of resources or obligations between related parties, regardless of whether a price is charged.
Shareholders' Equity	Total of issued and fully paid ordinary share capital and reserves.
Value Addition	Value of wealth created by providing leases, loans & advances and other related services considering the cost of providing such services.

Ratios

Ratio	Method of computation	Indication
Cost to Income Ratio	Operating expenses excluding provision for bad and doubtful debts as a percentage of total income.	Efficiency of cost management in generating operating income, net of interest cost.
Earnings Per Share (EPS)	Profit attributable to ordinary shareholders divided by the weighted average number of ordinary shares outstanding during the year.	Share of current year's earnings attributable to an ordinary share in issue.
Net Asset Value per Ordinary Share	Ordinary shareholders' funds divided by the number of ordinary shares in issue.	Book value of ordinary shares.
Return on Assets (ROA)	Net profits expressed as a percentage of average total assets.	Overall effectiveness in generating profits with available assets; earning power of invested total capital.
Return on Equity (ROE)	Net profit, less preference shares dividends if any, expressed as a percentage of average ordinary investment (equity).	Earning power on shareholders' book value of shareholders' funds.

Abbreviations

AC	Audit Committee
ADB	Asian Development Bank
AFD	Agence Française de Développement (French Development Agency)
AGM	Annual General Meeting
AIT	Asian Institute of Technology
ALCO	Asset Liability Management Committee
ALM	Asset Liability Management
ANSI	American National Standards Institute
AoA	Articles of Association
ASHRAE	American Society of Heating, Refrigerating and Air-Conditioning Engineers
ASTM	American Society for Testing and Materials
BACS	Budget and Accounting Classification System
BAPA	Bangladesh Agro Processors Association
BASs	Bangladesh Accounting Standards
BAU	Bangladesh Agriculture University
BB	Bangladesh Bank
BB ESRM	Bangladesh Bank Environment and Social Risk Management
BBS	Bangladesh Bureau of Statistic
BCBL	Bangladesh Commerce Bank Limited
BDBL	Bangladesh Development Bank Ltd
BDT	Bangladesh Taka
BFRSs	Bangladesh Financial Reporting Standards
BGMEA	Bangladesh Garments Manufacturers and Exporters Association
BICC	Bangabandhu International Convention Centre
BIFFL	Bangladesh Infrastructure Finance Fund Limited
BIID	Bangladesh Industrial Innovation and Development
BKMEA	Bangladesh Knitwear Manufacturers and Exporters Association
BLFCA	Bangladesh Leasing and Finance Companies Association
BoD	Board of Directors
BPATC	Bangladesh Public Administration Training Centre
BRMA	Bangladesh Auto Re-rolling and Steel Mills Association
BRTA	Bangladesh Road Transport Authority
BSc	Bachelor of Science
BSEC	Bangladesh Securities and Exchange Commission
BSS	Bachelor of Social Sciences
BSSF	Bangladesh Shooting Sport Foundation
BTMA	Bangladesh Textile Mills Association
CAGR	Cumulative Average Growth Rate
CAMLCO	Chief Anti-Money Laundering Compliance Officer
CAR	Capital Adequacy Ratio
CCCI	Chittagong Chamber of Commerce and Industry
CCU	Central Compliance Unit
CEO	Chief Executive Officer
CFO	Chief Financial Officer

CFS	Core Financial Solutions
CFT	Combating the Financing of Terrorism
CGC	Corporate Governance Code
CIDA	Canadian International Development Agency
COO	Chief Operating Officer
CRAB	Credit Rating Agency of Bangladesh Ltd.
CRISL	Credit Rating Information & Services Limited
CS	Company Secretary
CSF	Critical Success Factor
CSR	Corporate Social Responsibility
DAC	Development Assistance Committee
DFI	Development Financial Institutions
DFIM	Department of Financial Institutions and Markets
DGIS	Directorate-General for International Cooperation
DNCC	Dhaka North City Corporation
DSCC	Dhaka South City Corporation
E&S	Environmental & Social
EBITDA	Earnings Before Interest, Tax, Depreciation and Amortization
EBRD	European Bank for Reconstruction and Development
EC	Executive Committee
EE	Energy Efficiency
EE&C	Energy Efficiency & Conservation
EECM	Energy Efficient Construction Material
EECPFP	Energy Efficiency & Conservation Promotion Financing Project
EFT	Electronic Fund Transfer
EIHP	Energy Institute Hrvoje Pozar
EIU	Economist Intelligent Unit
EPA	Environmental Protection Agency
EPACT	Energy Policy ACT
EPC	Engineering Procurement and Construction
EPRC	Energy and Power Research Council
EPS	Earnings per Share
EPZ	Export Processing Zone
ESMF	Environmental and Social Management Framework
ETP	Effluent Treatment Plant
FCS	Fellow Chartered Secretary
FEEM	Fiscal Economics and Economic Management
FI	Financial Institution
FICL	Classification of Loans of Financial Institutions
FIMA	Financial Management Academy
FMO	Netherlands Development Finance Company/ Nederlandse Financierings-Maatschappij voor Ontwikkelingslanden
FPP	Financial Programming and Policies
FRC	Financial Reporting Council
FX	Foreign Exchange
FY	Financial Year
FZOEU	Environmental Protection and Energy Efficiency Fund/Fond za zaštitu okoliša i energetske učinkovitost (Croatia)

GBCM	Green Bricks and Construction Materials
GCMU	Green Construction Materials Unit
GDP	Gross Domestic Product
GNI	Gross National Income
GPEDC	Global Partnership for Effective Development Cooperation
GoB	Government of Bangladesh
GrACe	Green Architecture Cell
GRI	Global Reporting Initiative
HRD	Human Resource Development
IAS	International Accounting Standards
IATI	International Aid Transparency Initiative
IBA	Institute of Business Administration
ICAB	Institute of Chartered Accountants of Bangladesh
ICC	Internal Control and Compliance
ICSB	Institute of Chartered Secretaries of Bangladesh
ICT	Information and Communications Technology
IESNA	Illuminating Engineering Society of North America
IFRSs	International Financial Reporting Standards
IGCC	International Green Construction Code
IIRC	International Integrated Reporting Council
ILO	International Labor Organization
IPFF	Investment Promotion and Financing Facility
IPO	Initial Public Offering
IPoA	Istanbul Program of Action
ISS	Institute of Social Studies
IT	Information Technology
JDI	Japan Development Institute
JICA	Japan International Cooperation Agency
KfW	Kreditanstalt für Wiederaufbau
LCR	Liquidity Coverage Ratio
LDC	Least Developed Country
LED	Light Emitting Diode
LEED	Leadership in Energy and Environmental Design
LL.B	Bachelor of Laws
LL.M	Master of Laws
LPD	Lighting Power Density
MANCOM	Management Committee
MCCI	Metropolitan Chamber of Commerce and Industry
MDGs	Millennium Development Goals
MIS	Management Information System
MoA	Memorandum of Association
MoF	Ministry of Finance
MoU	Memorandum of Understanding
MSc	Master of Science
MSM	Maastricht School of Management
MSS	Master of Social Sciences
MTBF	Medium Term Budget Framework
NBFI	Non-Bank Financial Institution

NBR	National Board of Revenue
NII	Net Interest Income
NOC	No Objection Certificate
NSFR	Net Stable Funding Ratio
OECD	Organization for Economic Co-operation and Development
p.a.	per annum
PBIG	Post-Busan Interim Group
PET	Polyethylene Terephthalate
PFI	Participating Financial Institution
PFM	Public Financial Management
PPP	Public Private Partnership
RE	Renewable Energy
RJSC	Registrar of Joint Stock Companies and Firms
RMF	Risk Management Forum
ROA	Return on Assets
ROE	Return on Equity
ROI	Return on Investment
SAARC	South Asian Association for Regional Cooperation
SAFA	South Asian Federation of Accountants
SCAQMD	South Coast Air Quality Management District
SDF	SAARC Development Fund
SDGs	Sustainable Development Goals
SFU	Sustainable Finance Unit
SLR	Statutory Liquidity Ratio
SME	Small and Medium-Sized Enterprise
SREDA	Sustainable and Renewable Energy Development Authority
SWOT	Strengths Weaknesses Opportunities Threats
TA	Technical Assistance
TAT	Turnaround Time
UNDP	United Nations Development Program
UNFPA	United Nations Population Fund
UNO	Upazila Nirbahi Officer
USD	United States Dollar
USGBC	United States Green Building Council
VAT	Value Added Tax
VGf	Viability Gap Funding
VOC	Volatile Organic Compounds
VRF	Variable Refrigerant Flow
WB	World Bank
WEDU	Women Entrepreneurship Development Unit
WESP	World Economic Situation and Prospects
WTP	Waste Treatment Plant
YC	Young Consultants
Y--Y	Year-to-year

Vote of Thanks

It is a pleasure for the Management of Bangladesh Infrastructure Finance Fund Limited (BIFFL) to prepare the Annual Report and organize the 10th Annual General Meeting (AGM). The Report contains the material information, financial outcomes as well as the Governance and Compliance Status of the organization during the FY2020.

On behalf of the Management, I would like to express gratitude to the honorable Chairman and Members of the Board of Directors, CEO for their immense support and guidelines. I would like to thank all the employees & staffs of BIFFL particularly in the department of HR & Administration, Finance & Accounts and Credit & Investment for their great efforts and sincerity to complete the Annual Report and organize the AGM.

I would like to convey our gratitude to the Finance Division of the Ministry of Finance, Regulatory Bodies, Auditors, Clients, Bankers as well as all Stakeholders of the organization.

Please accept our sincere apology for inadvertent mistake, if any occurred in the Annual Report.

Best Regards.
Yours Sincerely,



Mohammad Monirul Islam Khan FCS
Company Secretary

Notes



Bangladesh Infrastructure Finance Fund Ltd.

(A company owned by the Government of Bangladesh and represented by the Finance Division, Ministry of Finance)

Unique Heights, Level 3, 117, Kazi Nazrul Islam Avenue
Eskaton Garden, Dhaka-1217, Bangladesh

IP Phone: +8809638124335 | Email: info@biffl.org.bd

